SCHOOL OF ACCOUNTING SCIENCES

Department of Financial Accounting

Hons BCompt/CTA

Applied Financial Accounting

TOE407V &
ZAC407G

Tutorial letter 104/2009

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Dear Student

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DUE DATE FOR THIS TUTORIAL LETTER:	**1 MAY 2009**
TEST 2 ON TUTORIAL LETTER 103 & 104/ASSIGNMENT 72 & 73:	**9 MAY 2009**

Refer to the suggested working programme (as per tutorial letter TREKAL 301/2009) for the two week period 20 April to 1 May to help you to complete this tutorial by 1 May 2009.

PRESCRIBED METHOD OF STUDY - FOR EVERY STUDY UNIT

1. **Please read the prescribed study material for every study unit very thoroughly before you study the prescribed text book and/or additional information in section A of every study unit.**

2. Do the multiple choice questions and/or other questions in the study material and make sure you understand the principles contained in the questions.

3. Consider whether you have achieved the specific outcomes of the study unit.

4. Only now read the Statement(s) and interpretation(s) (if available) covered by the study unit.

5. After completion of **all** the study units - attempt the questions in the assignment (open book, but within the time constraint) to test whether you have mastered the contents of this tutorial letter. You are **not** required to submit this assignment.

SUGGESTED WORKING PROGRAMME:

APRIL / MAY 2009					
MONDAY	**TUESDAY**	**WEDNESDAY**	**THURSDAY**	**FRIDAY**	**WEEKEND**
20 Study School	21 Study School	22 Study School	23 Study School	24 Leases	25 + 26 →
27 Leases Public Holiday	28 Events after the reporting date provisions, contingent liabilities and assets	29 Do assignment 73	30 Do assignment 73	1 Do assignment 73 Workersday	2 + 3 →
4 Revision	5 Revision	6 Revision	7 Revision	8 Revision	9 + 10 **Saturday TEST 2 (5 hours)**
11 **Submit assignment 70***	12 **Submit assignment 70***	13 **Submit assignment 70***	14 **Submit assignment 70***	15 **Submit assignment 70***	16 + 17

* Compulsory assignment for examination admission (see section 5 and Appendix A).

Remember to keep a copy of the mark-reading sheet for your own records.

STUDY UNIT 15

BORROWING COSTS

KEY ISSUE

The revised edition of IAS 23 (AC 114) that appeared in July 2007, requires entities to capitalise borrowing costs on qualifying assets. The policy option to expense borrowing costs on qualifying assets was removed. An entity shall apply the standard for annual periods beginning on or after 1 January 2009. Earlier application is permitted. When application of this standard constitutes a change in accounting policy, prospective application is required. If an entity applies the standard from an earlier date, it should apply the standard to all qualifying assets for which the commencement date for capitalisation is on or after that designated date.

KEY CONCEPTS

The following key concepts are essential for the solving of problems in this study unit:

1. The criteria for qualifying assets.

2. The amount of borrowing costs that could be capitalised.

3. Taxation implications with regard to capitalised borrowing costs.

PRESCRIBED STUDY MATERIAL

You ***must*** study the following before you attempt the questions in this study unit:

1. The relevant chapter on borrowing costs in either:

   Descriptive Accounting, 13th addition

   or

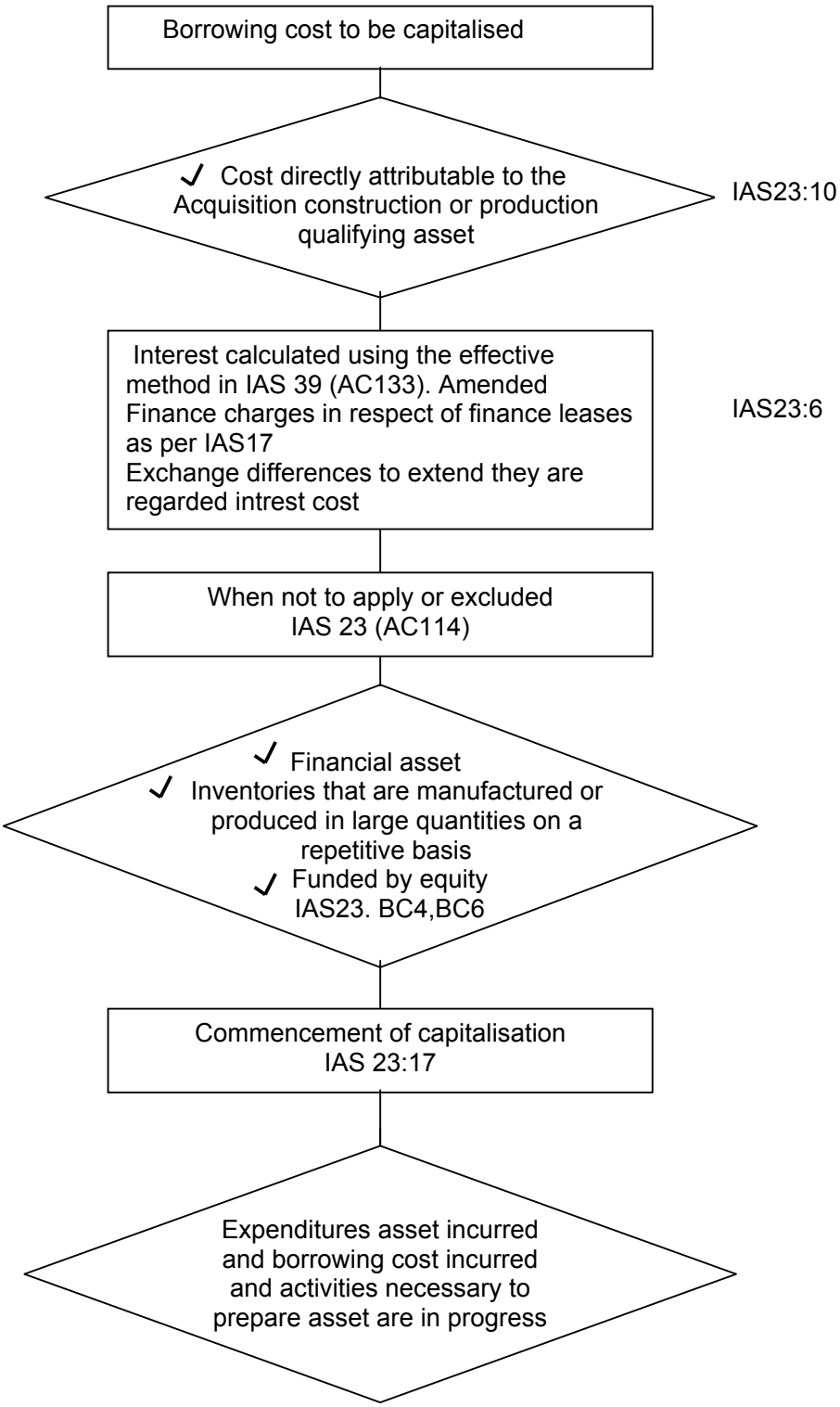
   GAAP Handbook 2009.

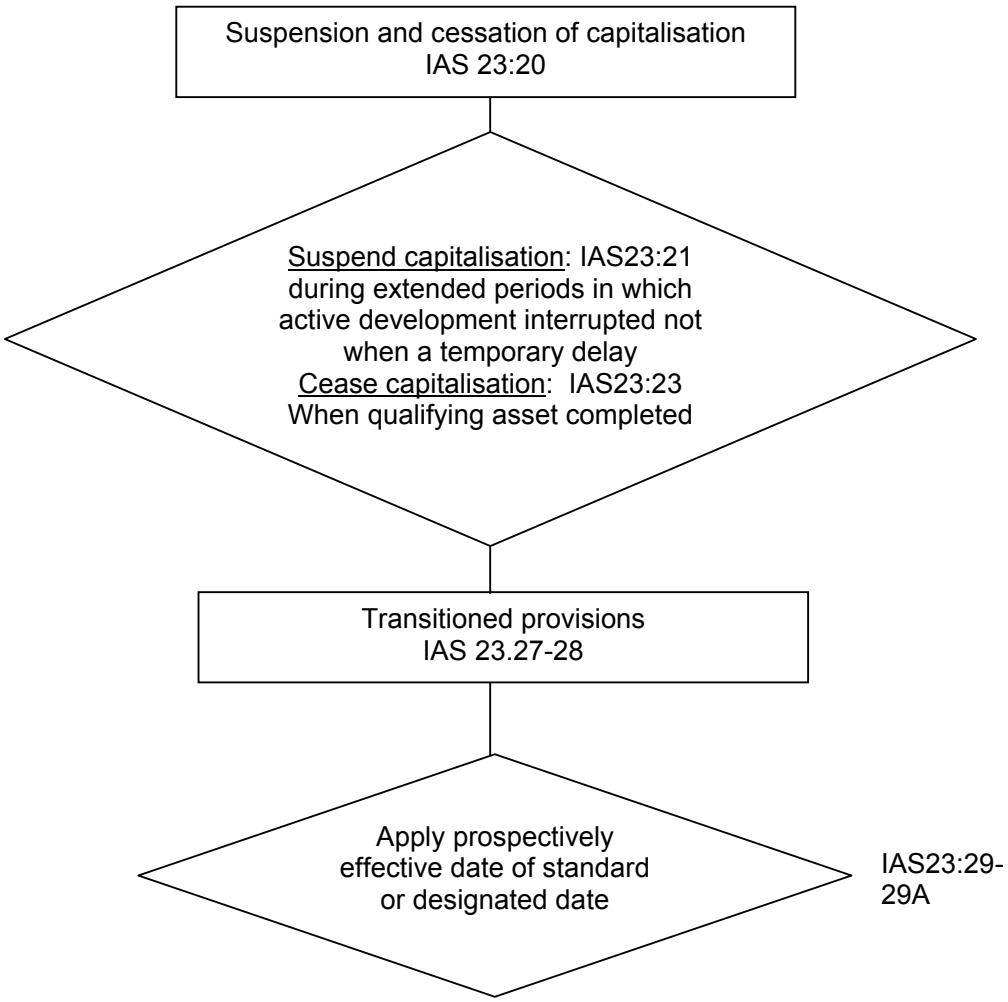
Later in the study unit you will be required to study the undermentioned attentively, you need not do it immediately:

1. IAS 23 (AC 114). Borrowing costs.

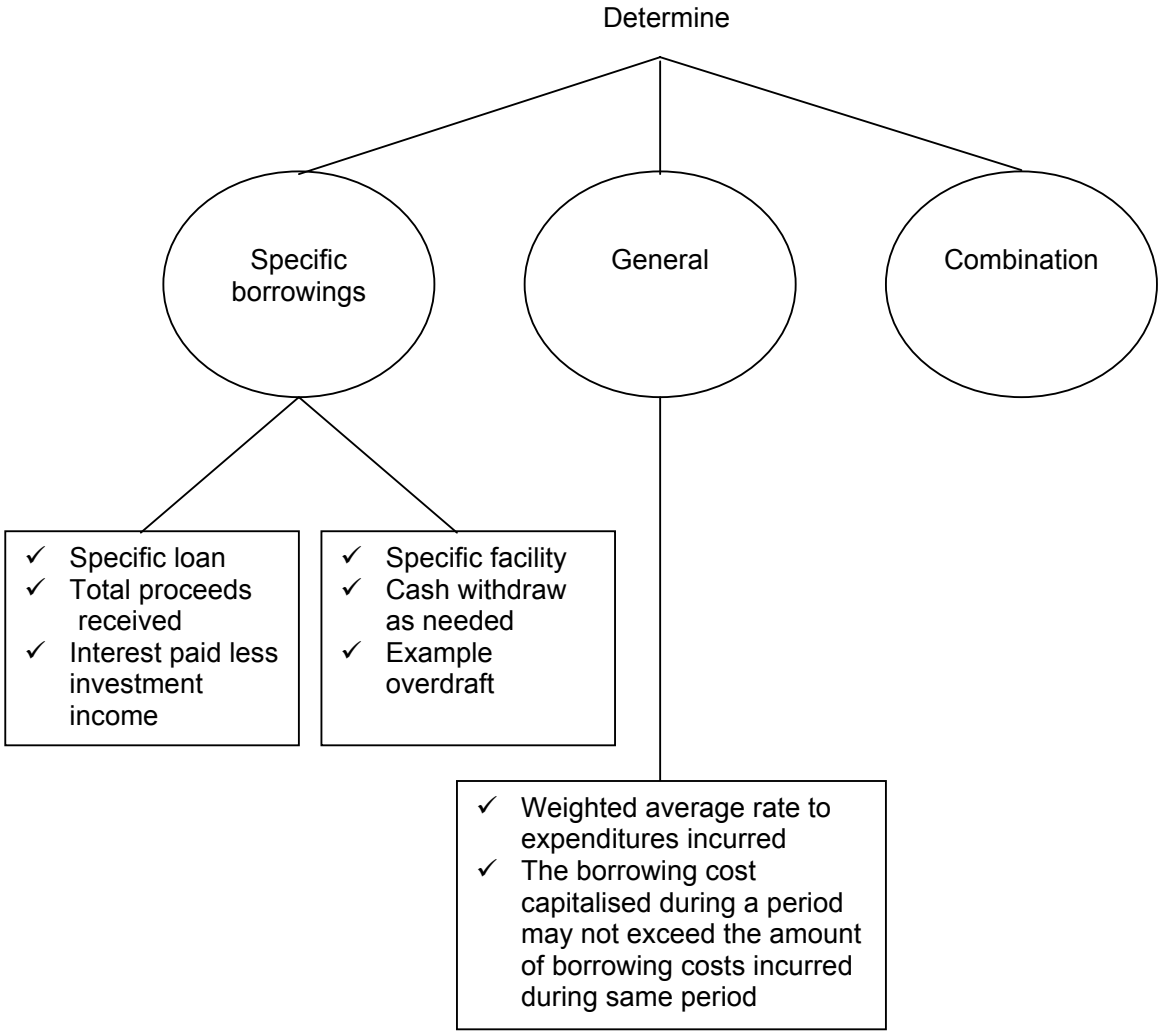
NOTE: THE REST OF STUDY UNIT 15 IS BASED ON THE ASSUMPTION THAT YOU HAVE ALREADY STUDIED THE RELEVANT CHAPTER IN YOUR PRESCRIBED TEXTBOOK.

SECTION A - SUMMARY OF IAS 23 (AC 114) - BORROWING COSTS




Suspension and cessation of capitalisation
IAS 23:20
Suspend capitalisation: IAS23:21
during extended periods in which
active development interrupted not
when a temporary delay
Cease capitalisation: IAS23:23
When qualifying asset completed
Transitioned provisions
IAS 23.27-28
Apply prospectively
effective date of standard
or designated date
IAS23:29-
29A

Determine the amount of borrowing cost that should be capitalised, determine the means of finance.



SECTION B - ADDITIONAL INFORMATION

EXAMPLE 1 Difference between a general loan, specific loan and a specific facility, regarding the calculation of borrowing costs to be capitalised.

On 30 September 20.1 X Ltd started with the construction of a plant which will take a considerable period of time to complete. The expenses on the project were paid as follows:

	R
30 September 20.1	50 000
31 October 20.1	20 000
30 November 20.1	60 000
31 December 20.1	80 000

The year-end of X Ltd is 31 December of each year.

REQUIRED

Calculate the borrowing costs that can be capitalised for 20.1 in each of the following cases:

(a) A loan of R300 000 was acquired on 30 September 20.1 specifically for purposes of erection of the plant. The loan carries interest at 16% per annum, payable annually in arrears. The full loan was taken up on 30 September 20.1. Surplus funds that resulted from the loan were invested temporarily and earned interest income of R10 000.

(b) The erection of the plant is financed by way of a loan of R500 000 that X Ltd entered into on 1 July 20.1 for general business purposes. The loan carries interest at 18% per annum that is payable monthly.

(c) The erection of the plant is financed by way of a facility of R300 000 that was acquired on 30 September 20.1 specifically for purposes of financing the erection of the plant. The facility carries interest at 16% per annum, payable monthly in arrears.

EXAMPLE 1 - Suggested solution

Part (a)

As the loan was specifically acquired to finance the project, the amount of borrowing costs that may be capitalised is calculated as follows:

Interest paid/incurred on the specific loan	xx
Less interest received on the temporary investment of surplus funds that resulted from the loan	(xx)
	xx

The principle here is that all the interest that was incurred on the loan would have been avoided if the project was not undertaken. Therefore, all the interest that was incurred on the loan can be capitalised, irrespective of the expenses that were actually incurred on the project. This interest, however, is reduced with any interest income that was earned on surplus funds that was invested.

The calculation will be as follows:

Interest paid/accrued from 30 September to 31 December (300 000 x 16% x 3/12)	12 000
Less interest received	(10 000)
Interest capitalised	2 000

Part (b)

As a general loan is utilised it means that any funds resulting from the loan that is not utilised on the specific project, will be utilised elsewhere in the entity. Consequently the interest that may be capitalised is calculated by applying the interest rate of the general loan (or weighted average interest rate if there is more than one general loan) to the expenses that were incurred on the project. The borrowing costs that may be capitalised is therefore calculated as follows:

	R
Interest for October: 50 000 x 18% x 1/12	750
Interest for November: (50 000 + 20 000 + 750) x 18% x 1/12	1 061
Interest for December: (50 000 + 20 000 + 60 000 + 750 + 1 061) x 18% x 1/12	1 977
Interest capitalised	3 788

Part (c)

A specific facility, is financing that is acquired specifically for purposes of the project. It is similar to a specific loan in the respect that the facility would never have been acquired if the project was not undertaken. However, it differs from a specific loan in that the funds are withdrawn when it is required and that interest is only paid on funds that were actually withdrawn. The principle still stands that the total interest incurred on the facility may be capitalised (the same as with a specific loan), but as funds are withdrawn when it is needed, the interest that is incurred is calculated with reference to the payments that have already been made on the project. Also, there will be no surplus funds to invest to earn interest income. The borrowing costs that may be capitalised is therefore calculated as follows:

	R
Interest for October: 50 000 x 16% x 1/12	667
Interest for November: (50 000 + 20 000 + 667) x 16% x 1/12	942
Interest for December: (50 000 + 20 000 + 60 000 + 667 + 942) x 16% x 1/12	1 755
Interest capitalised	3 364

SECTION C - MULTIPLE CHOICE QUESTIONS AND SHORT QUESTIONS

The following multiple choice questions should be an indicator whether you have a thorough knowledge of the textbook and other prescribed study material.

15.1 Which of the following are not examples of borrowing costs?

(1) Amortisation of discounts or premiums relating to borrowings.
(2) Finance charges in respect of finance lease agreements.
(3) Dividends on preference shares that are convertible into equity.
(4) Foreign exchange differences regarded as an adjustment to interest costs.

15.2 Which one of the undermentioned statements is false?

(1) An entity shall capitalise borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset as part of the cost of the asset. An entity shall recognise other borrowing costs as an expense in the period in which it incurs them.
(2) Expenditure on a qualifying asset includes only those expenditure that have resulted in payments of cash, transfers of other assets or the assumption of interest bearing liabilities.
(3) Capitalisation of borrowing costs must be suspended when a temporary delay is a necessary part of the process of getting an asset ready for its intended use or sale.
(4) When the carrying amount or the expected ultimate cost of the qualifying asset exceeds its recoverable amount or net realisable value, capitalisation should continue.

Questions 15.3 to 15.4 relate to the following information:

PS Ltd decided to erect a plant. Construction on the plant commenced on 1 April 20.2 and will be completed on 1 June 20.4. Expenses on the project were incurred evenly over each period as follows:

			R
1 April 20.2	- 30 June 20.2	Actual	366 000
1 July 20.2	- 30 September 20.2	Actual	450 000
1 October 20.2	- 31 December 20.2	Actual	390 000
1 January 20.3	- 31 March 20.3	Budget	354 000

The total estimated expenses on the project will amount to R3 000 000. The year-end of PS Ltd is 31 December. PS Ltd follows the policy to capitalise borrowing costs incurred on qualifying assets.

15.3 Assume that on 1 April 20.2 PS Ltd acquired a loan of R1 800 000, at an interest rate of 15% per annum, payable quarterly, specifically for this project. Calculate the amount of borrowing costs that must be capitalised on 31 December 20.2.

(1) R 67 500
(2) R202 500
(3) R122 716
(4) R135 675
(5) R 22 500

15.4 Assume that PS Ltd utilises a general loan to finance expenses on the project. The loan carries interest at 15% per annum compounded quarterly. Calculate the amount of borrowing costs that must be capitalised on 31 December 20.2.

(1) R 68 294
(2) R122 716
(3) R 67 500
(4) R 22 613
(5) R 6 863

Questions 15.5 to 15.7 relate to the following information:

On 1 January 20.2 Rivaldo Ltd started with the erection of a new plant to be used in a manufacturing process. The contract for the erection of the plant was concluded with a third party for R1 800 000. The erection of the plant was completed on 30 September 20.3 and it was available for use on 1 November 20.3. Depreciation on plant is calculated at 15% p.a. on the straight line method and is allocated pro-rata for a portion of the year. The SARS grants a capital allowance of 20% p.a. in terms of S12C of the Income Tax Act.

The expenses incurred in respect of the plant are as follows:

	R'000
1 January 20.2	400
31 July 20.2	600
6 January 20.3	475
18 March 20.3	145
1 July 20.3	180
	1 800

On 1 January 20.2 Rivaldo Ltd obtained a loan with the specific purpose to finance the project of R1 800 000, the capital is repayable 1 January 20.6, an interest rate of 22% p.a. The interest is payable on 31 December of each year. Surplus funds were invested on a temporary basis and interest of R45 000 and R15 000 were earned on surplus funds during the 20.2 and 20.3 financial years respectively.

Assume a normal tax rate of 30%.

Assume a related market rate is 25%.

15.5 The amount of borrowing costs incurred during the year ended 31 December 20.3 that may be capitalised in terms of IAS 23 (AC 114) amounts to:

(1) R396 000
(2) R282 000
(3) R302 736
(4) R315 000

15.6 What effect will the above-mentioned information have on the taxable income of Rivaldo Ltd for the year ended 31 December 20.3?

(1) A net reduction in taxable income of R1 119 000.
(2) A net reduction in taxable income of R774 000.
(3) A net reduction in taxable income of R1 104 000.
(4) A net reduction in taxable income of R1 122 000.
(5) None of the above-mentioned.

15.7 The deferred tax liability at 31 December 20.3 in respect of the plant that includes capitalised borrowing costs amounts to:

(1) R420 000
(2) R292 188
(3) R180 000
(4) R270 000

15.8 Define qualifying asset.

15.9 When does capitalisation of borrowing costs commence?

15.10 When does capitalisation of borrowing costs cease?

15.11 When is an entity not required to apply the Standard to borrowing costs directly attributable to the acquisition/construction or production of an asset?

SUGGESTED SOLUTIONS TO MULTIPLE CHOICE QUESTIONS

15.1 ✓ (3) (1), (2) and (4) are regarded as borrowing costs (IAS 23 (AC 114).6). Dividends on convertible preference shares are not regarded as borrowings costs because such type of preference shares are classified as equity and not as a liability (IAS 23 (AC 114).3).

15.2 (1) True (IAS 23 (AC 114).8).
(2) True (IAS 23 (AC 114).18).
✓ (3) False as IAS 23 (AC 114).21 states that capitalisation of borrowing costs should not be suspended when a temporary delay is a necessary part of the process of getting an asset ready for its intended use or sale.
(4) True (IAS 23 (AC 114).16).

15.3 ✓ (2) 1 800 000 x 15% x 9 / 12 = 202 500

15.4 ✓ (1)

Quarter	Net accumulated expenditure at the beginning of the quarter R	Expen-diture incurred R	Average accu-mulated expenditure R	Amount capitalised R	Accu-mulated expenditure at the end of the quarter R
1	-	366 000	183 000[1]	6 863[2]	372 863[3]
2	372 863	450 000	597 863[4]	22 420[5]	845 283[6]
3	845 283	390 000	1 040 283[7]	39 011[8]	1 274 294[9]
		1 206 000		68 294	

[1] 366 000/2 (incurred evenly)
[2] 183 000 x 15% x 3/12 = 6 863
[3] 366 000 + 6 863
[4] 372 863 + (450 000/2 (incurred evenly))
[5] 597 863 x 15% x 3/12 = 22 420
[6] 372 863 + 450 000 + 22 420
[7] 845 283 + (390 000/2 (incurred evenly))
[8] 1 040 283 x 15% x 3/12 = 39 011
[9] 845 283 + 390 000 + 39 011

15.5 ✓ (3)

	R
Interest incurred 1 January 20.3 - 30 September 20.3 (1 694 592 x 25%) x 9/12) (2)	317 736
Less: Interest received	(15 000)
	302 736

(a)

FV	=	1 800 000	
PMT	=	396 000	(1 800 000 x 22%)
n	=	4	
i	=	25%	
COMP PV	=	-1 672 474	

(b)

FV	=	1 800 000	
i	=	25%	
n	=	3	
PMT	=	396 000	(1 800 000 x 22%)
PV	=	- 1 694 592	

15.6 ✓ (4)

	R
Effect on taxable income for the year ended 31 December 20.3	
Gross income - interest received	15 000
Less: Deductions	(1 107 000)
S11 (bA) Pre-production interest	(648 000)
20.2 [(1 800 000 x 22% - 45 000*)]	(351 000)
20.3 (1 800 000 x 22% x 9/12)	(297 000)
S11 (bB) Finance charges (1 800 000 x 22% x 3/12)	(99 000)
S12C Allowance (1 800 000 x 20%)	(360 000)
Net reduction in taxable income	(1 122 000)

* *The interest relating to this project is considered to be pre-production interest and is allowed as a deduction when the asset is brought into use. SARS, however, will allow R45 000 of the interest paid in 20.2 to be claimed as a deduction, as it relates directly to the interest received of R45 000 which was generated during the period.*

15.7 ✓ (2)

	R
Carrying amount at 31 December 20.3	
Cost	1 800 000
Add: Capitalised borrowing costs	675 855
20.2 (1 672 474 x 25%) - 45 000	373 119
20.3 (1 694 592 x 25%) x 9/12 – 15 000	302 736
Less: Depreciation (1 800 000 + 675 855) x 15% x 2/12	(61 896)
	2 413 959
Tax base at 31 December 20.3	
Cost	1 800 000
S12C Allowance (1 800 000 x 20%)	(360 000)
	1 440 000
Taxable temporary difference (2 413 959 - 1 440 000)	973 959
Deferred tax liability (973 959 x 30%)	292 188

15.8 IAS 23 (AC 114).5 states that a qualifying asset is an asset that necessarily takes a substantial period of time to get ready for its intended use or sale.

15.9 IAS 23 (AC 114).17 states that capitalisation of borrowing costs as part of a qualifying asset will commence when:

- expenses for the asset are being incurred;
- borrowing costs are being incurred; and
- activities that are necessary to prepare the asset for its intended use or sale are in progress.

15.10 According to IAS 23 (AC 114).22 capitalisation of borrowing costs ceases when substantially all the activities necessary to prepare the qualifying asset for its intended use or sale are complete.

15.11 IAS 23 (AC 114).4 states that an entity is not required to apply the Standard if a qualifying asset is measured at fair value, or inventories that are manufactured, or otherwise produced in large quantities on a repetitive basis.

SECTION D - QUESTION ON CAPITALISATION OF BORROWING COSTS

The following question has been included to guide you through the basic principles of a borrowing costs question.

QUESTION 15.1

On 1 January 20.5 Diamond Ltd commenced with the construction of a new plant at a contract price of R3 000 000. The estimated period of construction is fourteen months. Initially the activities were financed by way of a bank overdraft of R1 000 000 at an interest rate of 23% per annum. On 30 June 20.5 the company obtained a loan of R500 000 at an interest rate of 20% to finance the construction of the plant. All interest is payable quarterly in arrears. When the loan was received the bank overdraft was repaid out of the loan to the extent that the contract expenses were financed out of the bank overdraft. On 1 October 20.5 the company increased the loan with R500 000, while the bank overdraft was increased to R2 000 000.

Expenses incurred for the year ended 31 December 20.5 were as follows:

Quarter	R
1	150 000
2	350 000
3	750 000
4	1 000 000

Assume that the company does not have other interest-bearing debt and that the overdraft facility is fully utilised throughout the year for the general activities of the enterprise.

Assume that the expenses have been incurred evenly through the quarter.

REQUIRED

Disclose borrowing costs in the notes of Diamond Ltd for the year ended 31 December 20.5.

HOW SHOULD I APPROACH THIS QUESTION ?

1. Ensure that you answer the "required" part correctly. This question only required the disclosure of borrowing costs in the notes.

2. Ensure that the asset meets the criteria of a qualifying asset.

3. From the question you will determine that the company makes use of two different forms of finance, ie. the overdraft facility which represents a general loan and the loan specifically taken out for financing the project.

4. Calculate the actual interest that is paid on the two loans.

5. Determine at what stage which loan will be utilised for financing the project. Now, determine at what stage expenses are incurred (beginning, end, or evenly over the period), as well as when interest will be capitalised. Remember that the total interest incurred on a specific loan must be capitalised (after deducting interest received on the investment of surplus funds), while with a general loan the interest charge that relates to the expenses incurred on the project must be calculated.

6. Finally the amount that was calculated in point 5 above is capitalised against the underlying asset and is disclosed as part of that asset. Furthermore interest capitalised must be disclosed correctly in the appropriate statement of comprehensive income note.

WHAT THEORY DO I NEED?

1. Refer to prescribed study material at the beginning of this study unit (chapter on borrowing costs) and section A - additional information.

2. IAS 16 (AC 123), Property, plant and equipment, regarding the disclosure of borrowing costs capitalised to an asset.

QUESTION 15.1 - Suggested solution

DIAMOND LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.5

1. Accounting policy

1.1 Borrowing costs

Borrowing costs are recognised as an expense in the period in which they are incurred, except to the extent in which it meets the criteria for capitalisation against a qualifying asset, in which case it should be capitalised as part of the cost of that asset.

2. Finance charges

	R
Finance cost capitalised [W2]	168 363

Interest is capitalised at 20% per annum to the extent that expenses are financed by a specific loan and the balance at 23%.

4. Property, plant and equipment

Plant under construction:

	R
Additions	2 250 000
Borrowing costs capitalised	168 363
Carrying amount at the end of the year	2 418 363
Gross carrying amount	2 418 363
Accumulated depreciation	-

(Depreciation on the plant is calculated from the date it is available for use)

WORKINGS

W1. Actual interest paid

	Quarter				
	1	**2**	**3**	**4**	**Total**
	R	**R**	**R**	**R**	**R**
Bank overdraft					
(R1 000 000 x 23% x 3/12)	57 500	57 500	57 500	-	172 500
(R2 000 000 x 23% x 3/12)	-	-	-	115 000	115 000
Loan	-	-			
(R500 000 x 20% x 3/12)	-	-	25 000	-	25 000
(R1 000 000 x 20% x 3/12)			-	50 000	50 000
	57 500	57 500	82 500	165 000	362 500

W2. Amount that may be capitalised

Quarter	Net accumulated expenditure at the beginning of the quarter R	Expenditure incurred R	Average accumulated expenditure R	Amount capitalised R	Accumulated expenditure at the end of the quarter R
1	-	150 000	75 000[1]	4 313[2]	154 313
2	154 313	350 000	329 313[3]	18 935[4]	523 248
3	523 248	750 000	898 248[5]	47 899[6]	1 321 147
4	1 321 147	1 000 000	1 821 147[7]	97 216[8]	2 418 363
		2 250 000		168 363	

[1] 150 000 (evenly incurred)/2 = 75 000
[2] 75 000 x 23% x 3/12 = 4 313
[3] 350 000 (evenly incurred)/2 = 175 000 + 154 313 = 329 313
[4] 329 313 x 23% x 3/12 = 18 935
[5] 750 000 (evenly incurred)/2 = 375 000 + 523 248 = 898 248
[6] 500 000 x 20% x 3/12 = 25 000
398 248 x 23% x 3/12 = 22 899
47 899
[7] 1 000 000 (evenly incurred)/2 = 500 000 + 1 321 147 = 1 821 147
[8] 1 000 000 x 20% x 3/12 = 50 000
821 147 x 23% x 3/12 = 47 216
97 216

*If the question states that the expenses were incurred at the **beginning** of each quarter, the calculation of the amount that may be capitalised will change as follows:*

Quarter	Expenses R	Overdraft R	Loan R
1	150 000	8 625[1]	-
2	350 000	29 246[2]	
3	750 000	45 302[3]	25 000[3]
4	1 000 000	78 095[4]	50 000
		236 268	

[1] 150 000 x 23% x 3/12 = 8 625

[2] (150 000 + 350 000 + 8 625) x 23% x 3/12 = 29 246

[3] (150 000 + 350 000 + 750 000 + 8 625 + 29 246) = 1 287 871
500 000 x 20% x 3/12 = 25 000
787 871 x 23% x 3/12 = 45 302

[4] (150 000 + 350 000 + 750 000 + 1 000 000 + 8 625 + 29 246 + 45 302 + 25 000) = 2 358 173
1 000 000 x 20% x 3/12 = 50 000
1 358 173 x 23% x 3/12 = 78 095

*If the question states that the expenses were incurred at the **end** of each quarter, the calculation of the amount that may be capitalised, will change as follows:*

Quarter	Expenses	Overdraft	Loan
	R	R	R
1	150 000	-	-
2	350 000	8 625[1]	-
3	750 000	496[2]	25 000[2]
4	1 000 000	16 337[3]	50 000[3]
		100 458	

[1] 150 000 x 23% x 3/12 = 8 625

[2] 500 000 x 20% x 3/12 = 25 000
8 625 x 23% x 3/12 = 496
In calculation (2) the specific loan is utilised up to R500 000, therefore the surplus of R8 625 must be paid out of the bank overdraft.

[3] 150 000 + 350 000 + 750 000 + 8 625 + 25 000 + 496 = 1 284 121
1 000 000 x 20% x 3/12 = 50 000
284 121 x 23% x 3/12 = 16 337

COMMENTS

Always note when the borrowing costs are payable. As soon as it is payable, it should be added to the expenses incurred. In the abovementioned example interest is payable quarterly and therefore interest is added to the total expenses incurred on the project at the end of each quarter.

SECTION E - ADDITIONAL QUESTIONS

With a thorough knowledge of borrowing costs and after working through various multiple choice questions, as well as the aforementioned longer question you should be able to answer the following questions:

QUESTION 15.2

On 1 January 20.5 A Ltd commenced with the construction of a new plant at a contract price of R3 000 000. The estimated period of construction is two years. The expenses incurred for the year ended 31 December 20.5 were as follows:

	R
1 January 20.5	500 000
1 March 20.5	250 000
1 July 20.5	100 000
30 October 20.5	800 000

On 1 January 20.5 the company raised a two-year foreign loan of $375 000 at a cost of 12% per annum specifically to finance this project. Interest on this loan is payable on 31 December of each year.

The company took a three-months forward exchange contract in respect of the capital amount as well as the interest on 1 October 20.5 at a cover rate of $1 = R8,60.

The relevant exchange spot rates were as follows:

	$1 = R
1 January 20.5	8,00
1 October 20.5	8,50
31 December 20.5	8,65

All exchange differences in the question must be dealt with in terms of IAS 23 (AC114).6(e).

Surplus funds were temporarily invested and R50 000 interest was earned thereon.

REQUIRED

Calculate the amount of borrowing cost that can be capitalised for the financial year ended 31 December 20.5.

QUESTION 15.2 - Suggested solution

	R
Foreign exchange difference [W1]	225 000
Finance costs [W2]	387 000
	612 000
Less: Interest received (given)	(50 000)
Capitalised	562 000

WORKINGS

W1.	Loan:	$375 000 x (8,00 - 8,65)	=	R243 750
	FEC:	$375 000 x (8,60 - 8,65)	=	R(18 750)
				R225 000
W2.	Interest:	($375 000 x 12%) x 8,6	=	R387 000

QUESTION 15.3

Over the past few years Ravor Ltd reported good profits and the positive cash flow resulted in the repayment of all interest bearing debt by the end of 20.5.

During 20.5 it was decided to undertake a substantial expansion programme. This expansion programme commenced in 20.6 and details thereof are as follows:

Description	Amount R	Financing
Land	500 000	80% mortgage loan at 18% pa at Saambank Ltd
Buildings	1 500 000	80% mortgage loan at 18% pa at Saambank Ltd
Plant	2 000 000	100% loan at 20% pa repayable over 5 years commencing 1 January 20.8
Factory equipment	500 000	Finance lease of R200 000 pa, payable in arrears over 4 years

The assets were acquired as follows:

- *Land:* Payment on transfer on 1 February 20.6.
- *Buildings:* Commencement of construction activities on 1 February 20.6.

	R
Progress payments:	
30 April 20.6	500 000
31 July 20.6	250 000
31 October 20.6	250 000
31 January 20.7	250 000
30 April 20.7	250 000

Completion of building - 1 May 20.7.

Cash on hand was used to make 20% of each payment in respect of land and buildings.

1. *Plant*: The plant will be brought into use on 1 May 20.7 but payment to the foreign supplier will be made on shipment of the plant on 31 January 20.7. Funds from the R2 000 000 loan are available from this date in order to finance the purchase.

2. *Factory equipment*: The supplier of the equipment undertook to deliver the equipment on 1 April 20.7. The finance lease agreement will be concluded on the same date. This equipment will also be brought into use on 1 May 20.7.

REQUIRED

(a) Briefly explain which portion of the borrowing costs from the different sources of financing may be capitalised in terms of the requirements of IAS 23 (AC 114).

(b) Calculate the borrowing costs which may be capitalised for the financial years ended 31 December 20.6 and 31 December 20.7 in accordance with the Statements of Generally Accepted Accounting Practice. Assume that Saambank Ltd compounds interest annually, on 31 December.

QUESTION 15.3 - Suggested solution

RAVOR LTD

(a) Borrowing costs which may be capitalised

Land and buildings comply with the definition of a qualifying asset (IAS 23 (AC 114).7). Borrowing costs incurred during the period of 1 February 20.6 to 30 April 20.7, in respect of land and buildings, may be capitalised in terms of IAS 23 (AC 114).17. The amount that may be capitalised is those borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset. Put in other words it is those borrowing costs that would have been avoided if the expenditure on the qualifying asset had not been incurred.

The borrowing costs relating to plant and equipment may not be capitalised. Plant and equipment are finished goods and do not comply with the requirements of a qualifying asset. Assets that are ready for their intended use or sale when acquired, or assets which would take only a short period to be ready for their intended use or sale, are not qualifying assets.

COMMENTS

Please note that a mortgage loan is similar to a facility and that interest is paid only on the outstanding balance.

(b) Calculation of borrowing costs which may be capitalised

20.6	**R**
Land (1)	66 000
Buildings (2)	69 000
Borrowing costs - capitalised	135 000
20.7	
Land and buildings - payments 20.6 (3) + (4)	72 000
Interest 20.6 (5)	8 100
Payments 20.7 (6)	9 000
Borrowing costs - capitalised	89 100

(1) 500 000 x 80% x 18% x 11/12 = 66 000

(2) (500 000 x 80% x 18% x 8/12) + (250 000 x 80% x 18% x 5/12) + (250 000 x 80% x 18% x 2/12) = 69 000

(3) 1 000 000 (buildings) x 80% x 18% x 4/12 = 48 000

(4) 500 000 (land) x 80% x 18% x 4/12 = 24 000

(5) 135 000 (interest 20.6) x 18% x 4/12 = 8 100

(6) 250 000 x 80% x 18% x 3/12 = 9 000

SECTION F - SPECIFIC OUTCOMES

After you have studied this study unit, you should be able to do the following:

1. Define borrowing costs and identify qualifying assets.
2. Determine when capitalisation of borrowing costs should commence, be suspended or should cease.
3. Determine the amount of borrowing costs that should be capitalised.
4. Identify the taxation implications with regard to capitalised borrowing costs.
5. Presentation and disclosure of borrowing costs in the financial statements.

YOU SHOULD NOW STUDY IAS 23 (AC114).

STUDY-UNIT 16

EMPLOYEE BENEFITS

KEY ISSUE

In terms of IAS 19 (AC 116) employee benefits are recognised as an expense when the enterprise consumes the economic benefits arising from service provided by an employee in exchange for employee benefits (in cash or otherwise). A liability arises when an employee has provided service in exchange for employee benefits to be paid in the future (ie. pension and post-employment benefits). In terms of IAS 19 (AC 116) employee benefits are divided into four major categories, viz: short-term employee benefits, post-employment benefits, other long-term employee benefits and termination benefits. This statement prescribes the correct accounting treatment and disclosure of the relevant categories of employee benefits.

KEY CONCEPTS

The following key concepts form the basis for this study unit:

1. Distinguish between the four major categories of employee benefits.
2. Distinguish between defined contribution plans and defined benefit plans.
3. Defined benefit plans:
   - 3.1 Calculate and account for the transitional liability, if applicable.
   - 3.2 Distinguish between the immediate recognition of actuarial gains and losses and the deferred recognition of actuarial gains and losses, depending on the accounting policy of the entity.
   - 3.3 Understand, calculate and account for actuarial gains/losses.
   - 3.4 Determine, calculate and apply the corridor effect with deferred recognition.
   - 3.5 Accounting treatment of debit balances and the restrictions there on.
4. Calculate and account for current and deferred taxation on employee benefits.
5. The presentation and disclosure of employee benefits in financial statements.

PRESCRIBED STUDY MATERIAL

You ***must*** study the following before you attempt the questions in this study unit:

1. The relevant chapter on employee benefits in either:

   Descriptive Accounting (13th edition)

   or

   GAAP Handbook 2009.

Later in the study unit you will be required to study the under-mentioned attentively, you need not do it now:

1. IAS 19 (AC 116). Employee benefits.

NOTE: THE REST OF STUDY UNIT 16 IS BASED ON THE ASSUMPTION THAT YOU HAVE ALREADY STUDIED THE RELEVANT CHAPTER IN THE PRESCRIBED TEXTBOOK

SECTION A - ADDITIONAL INFORMATION

Take note that the parts that deal with the limitation on the defined benefit plan asset do not form part of the syllabus.

For study purposes you can therefore ignore paragraphs IAS 19 (AC 116).58 to .60, as well as IFRIC 14 that deals with the limitation on defined benefit plan asset.

SECTION B - MULTIPLE CHOICE QUESTIONS

The following multiple choice questions should be an indicator whether you have a thorough knowledge of the textbook and other prescribed study material.

16.1 K Ltd employed five employees. These employees are each entitled to 15 working days vacation leave per annum, of which five days may be carried over to the next financial year. Any leave carried over is paid out to an employee on retirement or resignation. The employees each receive a salary of R100 000 per annum. According to the leave register, employees took the following number of days leave during the year

Employee A	-	12
Employee B	-	11
Employee C	-	3
Employee D	-	8
Employee E	-	14

Assume that there are 260 working days per annum. Calculate how much the leave provision should amount to at the end of the year if it is assumed that it is the company's first financial year.

(1) R10 385
(2) R 9 615
(3) R 6 923
(4) R 8 846
(5) None of the above-mentioned.

16.2 Use the same information as in question 16.1, but assume that employees are not entitled to a leave payment when they resign or retire. Due to a heavy work load, it is not expected that employees will be able to use any of the leave carried over. Calculate how much the leave provision should amount to at the end of the year if it is the company's's first financial year.

(1) R10 385
(2) R 9 615
(3) R 6 923
(4) R 8 846
(5) None of the above-mentioned.

16.3 All the employees of Toi-Toi Ltd belong to the XYZ provident fund (a defined contribution plan). During the year current contributions amounting to R210 000 were paid over to the fund. Apart from that, the company also decided to pay over additional contributions of R500 000 during the current year, in order to improve the future benefits of current and retired employees. Forty percent of this additional contribution relates to retired employees. The remaining average working life of the current employees is ten years. What will the defined contribution plan expense for the year amount to?

(1) R710 000
(2) R260 000
(3) R440 000
(4) R210 000
(5) None of the above-mentioned.

16.4 All the employees of Dutsan Ltd belong to the XYZ pension fund (a defined benefit plan). On 31 December 20.2 the present value of the fund's obligation amounted to R2 000 000, while the fair value of the plan assets amounted to R1 800 000. The unrecognised actuarial loss at that date was R320 000. Calculate how much of this loss should be recognised by Dutsan Ltd on 31 December 20.3, assuming that the average remaining working life of the company's employees is eight years at that date and that it is the company's policy to recognise the minimum actuarial gain or loss.

(1) R15 000
(2) R120 000
(3) R40 000
(4) R320 000
(5) None of the above-mentioned.

16.5 Use the information in question 16.4. Assume that the defined benefit obligation resulted in an actuarial gain of R50 000 during 20.3, while the plan assets indicated an actuarial loss of R45 000. Calculate what the unrecognised actuarial gains/losses will amount to on 31 December 20.3.

(1) R315 000
(2) R300 000
(3) R305 000
(4) R325 000
(5) None of the above-mentioned.

16.6 The Oldies-fund is a defined benefit plan. The following method should be used to determine the present value of the defined benefit obligation and related service costs:

(1) The projected credit unit method.
(2) The unfunded vested benefit method.
(3) The unfunded accumulated benefit method.
(4) The projected return method.
(5) None of the above-mentioned.

16.7 The XYZ fund is a defined benefit plan. At the beginning of the current financial year, it was decided to increase certain benefits of the plan. The cost of the increased benefits amounted to R876 000, of which 35% vested immediately. The remaining benefits will vest after five years only. How much will the unrecognised past service costs amount to at year-end?

(1) R700 800
(2) R420 480
(3) R455 520
(4) R569 400
(5) None of the above-mentioned.

16.8 The accounting treatment required for other long-term employee benefits differs from post employment benefits in the following respect:

(1) Past service cost is recognised immediately.
(2) Actuarial gains and losses are recognised immediately.
(3) No actuarial valuations are required.
(4) (1) and (2).
(5) All of the above-mentioned.

16.9 Mr Abel earns a basic salary of R300 000 per annum. He is entitled to leave of 20 working days per annum. During the year 20.3 Mr Abel took 13 days leave. For this example you may assume that the basic salary is equals to the cost to company and that the number of working days in a year is 250.

REQUIRED

Calculate the salary cost (employee benefit cost) that will be recognised in the statement of comprehensive income for the year 20.3, if the leave is considered to be:

(a) non-accumulating;
(b) accumulating and vesting;
(c) accumulating and non-vesting. (The company estimates that employees will utilise only 60% of outstanding leave.)

SUGGESTED SOLUTIONS TO MULTIPLE CHOICE QUESTIONS

16.1 As the leave may be carried over, it is classified as accumulating leave (IAS 19 (AC 116).11), and because it is paid out when the employee resigns, it is vesting leave (IAS 19 (AC 116).13).

✓ (3) A maximum of five days may be carried over per employee. Employees who therefore use less than ten days, may carry over five days only, while employees who use more than ten days, may only carry over the actual number of unused days.

A	15 - 12 = 3 : 3/260 x 100 000	1 154
B	15 - 11 = 4 : 4/260 x 100 000	1 538
C	15 - 3 = 12 but maximum 5: 5/260 x 100 000	1 923
D	15 - 8 = 7 but maximum 5: 5/260 x 100 000	1 923
E	15 - 14 = 1: 1/260 x 100 000	385
		6 923

16.2 ✓ (5) As the leave may be carried over, it is regarded as accumulating compensation (IAS 19 (AC 116).11). The leave is however non-vesting (not paid out) and therefore. the probability that the leave will be used, should be taken into account when raising the provision (IAS 19 (AC 116).13). According to the information in the question, it is unlikely that any of the leave carried over, will be used, and therefore no provision is required.

16.3 ✓ (1) According to IAS 19 (AC 116).44, the total contribution payable to a defined contribution plan in exchange for services, should be recognised as an expense. No distinction is made between current and additional contributions, or between current and retired employees.

16.4 ✓ (1) According to IAS 19 (AC 116).92, the first step would be to determine the corridor. This is the higher of 10% of the present value of the obligation or 10% of the fair value of the plan assets at the end of the previous year. In this case it would be 10% of R2 000 000, in other words R200 000. Thereafter the excess of the unrecognised actuarial gains/losses, as at the end of the previous financial year, over and above the corridor should be calculated (IAS 19 (AC 116).93). In this case it would be R320 000 - R200 000 = R120 000. The loss to be recognised at 31 December 20.3, will be this excess divided by the average remaining working life of the employees participating in the plan, thus R120 000/8 years = R15 000.

16.5 ✓ (2)

Unrecognised loss on 31 December 20.2	320 000
Gain on obligation	(50 000)
Loss on assets	45 000
Amount recognised in 20.3	(15 000)
	300 000

16.6 ✓ (1) Refer to IAS 19 (AC 116).64.

16.7 ✓ (3) According to IAS 19 (AC 116).96 an enterprise should recognise past service cost as an expense on a straight-line basis over the average period until the benefits become vested. To the extent that the benefits are already vested immediately following the introduction of the changes, the past service cost should be recognised immediately.

Cost of increased benefits	876 000
Portion vesting immediately (876 000 x 35%)	(306 600)
Portion of non-vested benefits recognised annually (876 000 x 65%)/5 years	(113 880)
Unrecognised past service cost	455 520

16.8 ✓ (4) The measurement of other long-term employee benefits is not subject to the same degree of uncertainty as the measurement of post-employment benefits. It is however still based on actuarial assumptions and therefore actuarial valuations are still required. Actuarial gains and losses and all past service cost are however recognised immediately (IAS 19 (AC 116).127).

16.9 (a) Non-accumulating

(Leave not taken is forfeited.)

	R
Salary cost per day (R300 000/250 days = R1 200 per day)	
Days worked (237 x R1 200)	284 400
Days leave taken (13 x R1 200)	15 600
Statement of comprehensive income	300 000

(b) Accumulating and vesting

(Leave not used is carried forward and paid in cash or utilised later.)

Days worked (237 x R1 200)	284 400
Days leave taken (13 x R1 200)	15 600
Vesting leave (carried forward) (7 x R1 200)	8 400
Statement of comprehensive income	308 400

(c) Accumulating and non-vesting

(Leave is never paid in cash, but is carried forward.)

Days worked (237 x R1 200)	284 400
Days leave taken (13 x R1 200)	15 600
Non-vesting leave (7 x R1 200 x 60%)	5 040
Statement of comprehensive income	305 040

Since this leave is never paid in cash, the company estimates how much of the leave carried forward, is utilised by staff in the future.

SECTION C - QUESTION ON EMPLOYEE BENEFITS

The following questions is included to guide you through a longer question that deals with various employee benefits, including the taxation effect thereof.

QUESTION 16.1 (50 marks - 75 minutes)

Yster Ltd is a company listed on the JSE Securities Exchange. The following information relates to the financial years ended 30 September 20.2 and 30 September 20.3.

For the year ended 30 September 20.3 the monthly salaries and wages of Yster Ltd amounted to R210 000. (For 20.2 it was R200 000 and for 20.1 it was R180 000). On 30 November of every year Yster Ltd pays a bonus equal to one month's salary/wage. It is the policy of Yster Ltd to pay this bonus pro rate if an employee should resign or terminate his employment. The SARS allows the bonus as a deduction only when it is paid.

The employees of Yster Ltd are entitled to an average of 24 working days leave per calendar year. Employees are obliged to take 8 working days leave during April or June each year. Yster Ltd closes over December and the remaining 16 days are utilised over this period. No leave is carried over or paid out. You can assume that there are 252 working days in a calendar year.

All the employees of Yster Ltd belong to the Ouhout Pension Fund, which is a defined benefit plan. Yster Ltd provides you with the following information relating to the Ouhout Pension Fund:

On 30 September 20.1 the present value of the obligation was R4 110 000 and the fair value of the plan assets was R3 970 000. The net cumulative unrecognised actuarial gains were R456 000 at that date.

	20.3	**20.2**
	R'000	**R '000**
Fair value of plan assets on 30 September	5 010	4 590
Present value of obligation on 30 September	5 540	4 990
Contributions paid	387	372
Current service cost	341	316
Expected rate of return on plan assets at beginning of the year	8,0%	10,0%
Discount rate at beginning of the year	10,7%	11,0%
Expected average remaining working lives of employees (years)	11	10

During 20.3 benefits amounting to R319 700 (20.2 - R300 670) were paid. You may assume that all transactions occurred at year-end.

COMMENT

If it is assumed that all transactions occurred at year-end, then it means that the balances of the plan assets and obligation remains unchanged until year-end and that the interest cost and expected return can be based only on the opening balances of the obligation and assets. If it happens that the contributions are paid over or if benefits are paid out, during the year, then the calculations will accordingly have to be adjusted to reflect the movements. Please refer to the example in IAS 19 (AC 116).106.

During October 20.1 certain benefits were increased and the necessary amendments were made to the Ouhout Pension Fund. The amendments resulted in past service costs amounting to R360 000. Of this amount 30% of the rights have already vested and 70% of the rights will vest over the following four years.

Salary increases for both 20.3 and 20.2 were projected at 7% and pension increases for both years were projected at 5%. Actuarial valuations of the Ouhout Pension Fund are made annually, using the projected unit credit method. The most recent valuation was made on 30 September 20.3. The actuary is of the opinion that the plan is in a sound financial position. Plan assets include property leased by Yster Ltd with a fair value of R1 120 000 (20.2 - R950 000).

Yster Ltd's profit before taxation for the year ended 30 September 20.3, after taking into account all the above-mentioned expenses, amounts to R10 300 000 (20.2 - R8 550 000). Assume a taxation rate of 30%. Assume that adequate future taxable income will be available to provide for a deferred taxation asset.

Yster Ltd recognises the minimum actuarial gains/losses in accordance with the statement on Employee benefits. IAS 19 (AC 116).92 and .93.

Actuarial gains/losses are recognised in the "profit or loss"-part of the statement of comprehensive income.

REQUIRED

Disclose the above information in the statement of financial position and notes to the financial statements of Yster Ltd for the year ended 30 September 20.3, in accordance with the statement on Employee benefits, IAS 19 (AC 116) (revised). Give only the deferred tax balance per statement of financial position. The deferred taxation note and the reconciliation of the taxation rate is not required. Comparative figures are required.

HOW SHOULD I APPROACH THIS QUESTION ?

1. Ensure that you understand and answer correctly the required part. This question requires the statement of financial position and notes to the financial statements, however, it excludes certain notes or parts thereof. Therefore, make your own note as to which information must be disclosed.

2. Now identify the different aspects which are dealt with in the question, viz:
   Short-term employee benefits and post-employment benefits.

3. Short-term employee benefits:

   - identify and calculate salaries and bonuses and any amounts that must be deferred and/or provided for;
   - identify and calculate provision for leave.

4. Post-employment benefits:

   - identify the information supplied;
   - identify (or calculate) opening balances as a starting point;
   - calculate (using the steps as set out) the actuarial gains/losses on plan assets and on the plan obligation;
   - utilising the corridor effect now determine the minimum amount of actuarial gains/losses to be recognised in the statement of comprehensive income as well as the unrecognised part at the end of each period;
   - identify and calculate the past service costs and determine the amount to be recognised in the statement of comprehensive income; and the amount to be deferred for later recognition;
   - identify that information which was given purely for disclosure purposes.

5. Determine the carrying amounts and tax base of the different items calculated above. Calculate the deferred taxation asset as well as the current taxation expense.

6. Give the disclosure as required - (IAS 19 (AC 116).23 and .120 and .120A).

WHAT THEORY DO I NEED?

1. Refer to the prescribed study material at the beginning of this study unit and the additional information in section A.

2. IAS 12 (AC 102). Taxation.

3. Fourth Schedule requirements of the Companies Act.

QUESTION 16.1 - Suggested solution

YSTER LTD

STATEMENT OF FINANCIAL POSITION AT 30 SEPTEMBER 20.3

	Note	20.3 R'000	20.2 R'000	
ASSETS				
Non-current assets				
Deferred taxation		334,69	278,48	(2)
EQUITY AND LIABILITIES				
Non-current liabilities				
Post-employment benefit liability	5	940,64	761,60	(1)
Current liabilities				
Provision for bonus and leave		275,00	261,91	(2)

YSTER LTD

NOTES FOR THE YEAR ENDED 30 SEPTEMBER 20.3

1. Compliance with statements

The financial statements have been prepared in accordance with the Statements of Generally Accepted Accounting Practice. (1)

2. Accounting policy

2.1 *Post-employment benefit costs*

Pension fund

The defined benefit obligation, the related current service cost, and where applicable, past service cost are determined by using the projected unit credit method. (1)

A portion of actuarial gains and losses is recognised as income or expense if the net cumulative unrecognised actuarial gains and losses at the end of the previous reporting period exceeded the greater of:

- 10% of the present value of the defined benefit obligation at that date before deducting plan assets; and
- 10% of the fair value of any plan assets at that date. (2)

The portion of actuarial gains and losses to be recognised is the excess referred to above, divided by the expected average remaining working lives of the employees participating in the plan. (1)

3. Profit before taxation

	20.3 R'000	20.2 R'000	
Included in profit before taxation are:			
Staff costs:			
Short-term employee benefits [W7]	2 743,09	2 626,20	(7)
Defined benefit plan expense	566,04	537,60	(1)
- Current service cost	341,00	316,00	(1)
- Interest cost	533,93	452,10	(1)
- Expected return on plan assets	(367,20)	(397,00)	(1)
- Net actuarial gain recognised in year [W1]	(4,69)	(4,50)	(3)
- Past service cost - vested benefits [W2]	-	108,00	(1)
- non-vested benefits [W2]	63,00	63,00	(1)

4. Taxation

SA normal taxation			
- Current	3 147,64	2 622,54	(1)
- Deferred	(56,21)	(54,68)	(1)
	3 091,43	2 567,86	

5. Post-employment benefits

5.1 Post-employment benefit liability

Present value of the obligation [5.2]	5 540,00	4 990,00	(1)
Fair value of plan assets [5.3]	(5 010,00)	(4 590,00)	(1)
	530,00	400,00	
Unrecognised actuarial gains [W1]	536,64	550,60	(3)
Unrecognised past service cost - non-vested benefits [W2]	(126,00)	(189,00)	(1)
Liability recognised in statement of financial position	940,64	761,60	

5.2 Changes in the present value of the defined benefit obligation

	20.3 R'000	20.2 R'000	
Present value of obligation at beginning of the year	4 990,00	4 110,00	(½)
Interest cost (10,7% x 4 990; 11% x 4 110)	533,93	452,10	(1)
Current service cost	341,00	316,00	(1)
Past service cost - increased benefits	-	360,00	(1)
Benefits paid	(319,70)	(300,67)	(1)
Actuarial (gain)/loss on obligation (balancing figure)	(5,23)	52,57	(1)
Present value of obligation on 30 September	5 540,00	4 990,00	

5.3 Changes in the fair value of the defined benefit plan assets

	20.3 R'000	**20.2 R'000**	
Fair value of plan assets at beginning of the year	4 590,00	3 970,00	(½)
Expected return on plan assets (8% x 4 590; 10% x 3 970)	367,20 387,00	397,00 372,00	(1) (1)
Contributions paid	(319,70)	(300,67)	(1)
Benefits paid	(14,50)	151,67	(1)
Actuarial gain/(loss) on plan assets (balancing figure)	5 010,00	4 590,00	
Fair value of plan assets on 30 September			

Plan assets include property leased by Yster Ltd with a fair value of R1 120 000 (20.2 - R950 000). (1)

5.4 The actual return on plan assets are:

	20.3 R'000	**20.2 R'000**	
Expected return on plan assets*	367,20	397,00	
Actuarial gain/(loss) on plan assets*	(14,50)	151,67	
Actual return on plan assets	352,70	548,67	(1)

* *Not required disclosure*

5.5 Pension fund

The Ouhout Pension Fund, which is governed by the Pension Funds Act of 1956, is a defined benefit plan for employees. All the employees are members of the pension fund. (2)

Actuarial valuations are made annually. The most recent actuarial valuation was performed on 30 September 20.3. The actuary is of the opinion that the plan is in a sound financial position. (2)

COMMENT
Note that the two paragraphs above, mainly contain information as required by the Fourth Schedule of the Companies Act.

5.6 The major categories of plan assets as a percentage of the fair value of total plan assets are as follows:#

	20.3 %	***20.2 %***
Share investments on Securities exchange	*43,7*	*40,7*
Property	*10,0*	*10,0*
Debentures and bonds	*30,3*	*31,3*
Government bonds	*11,0*	*12,0*
Cash	*5,0*	*6,0*

- Required by IAS19(AC116).120A(j) [amended December 2004] - if information was given in the question.

5.7 The principal actuarial assumptions at yearend date (expressed as weighted averages):

	20.3 %	20.2 %	
Discount rate	10,7	11,0	(½)
Expected return on plan assets	8,0	10,0	(½)
Future salary increases	7,0	7,0	(½)
Future pension increases	5,0	5,0	(½)

COMMENT

Par .120A(p) requires that information regarding the present value of the plan obligation, fair value of plan assets and the surplus/deficit for the current, as well as the previous four annual periods, be disclosed, together with experience adjustments thereon. Be aware of this requirement and disclose when adequate information is supplied.

Par .120A(q) requires the disclosure of the contributions that the entity expects to pay to the plan in the new financial year. You can disclose it as per 5.8 below, based on information given. If the information is not supplied, you may use the current contributions adjusted with the expected increase in salaries for the new financial year, 7% in this case.

5.8 It is expected that the contributions towards the Ouhout Pension Fund will amount to R414 090 in the 20.4 financial year.

52

Maximum 50

WORKINGS

W1. Actuarial gain/(loss) recognised

Step 1

Determine the amount of the actuarial gains and losses for the period as follows:

Step 1.1

Summarise the changes in the present value of the obligation - refer to note [5.2].

Step 1.2

Summarise the changes in the fair value of the plan assets - refer to note [5.3].

COMMENT

The information that was calculated in step 1.1 and 1.2 is now required in a note (5.2 & 5.3). It is therefore not necessary (and time consuming) to repeat it again. The information is however still needed to continue with step 2 and you need only refer to the applicable note.

Step 2

Determine limits of the "corridor" and then compare this with the cumulative unrecognised actuarial gains and losses in order to determine the net actuarial gain or loss to be recognised.

	20.3 R'000	**20.2 R'000**	
Net cumulative unrecognised actuarial gains at beginning of the year	550,60[a]	456,00	[1]
#Limits of "corridor" at the beginning of the year	(499,00)	(411,00)	[1]
Excess	51,60	45,00	

#Greater of: (1) 10% of the present value of the obligation before deducting plan assets; and 10% of the fair value of any plan assets.

Average expected remaining working lives (years)	11	10	
Actuarial gain recognised [excess (51,6/11); (45/10)]	4,69	4,5	[1] [3]

Step 3

Unrecognised actuarial gains at beginning of the year	550,60[a]	456,00	[1]
Actuarial gains/(losses) for the year			
- obligation	5,23	(52,57)	[½]
- plan assets	(14,50)	151,67	[½]
	541,33	555,10	
Actuarial gain recognised	(4,69)	(4,50)	[1]
Unrecognised actuarial gains on 30 September	536,64	550,60[a]	[3]

W2. Past-service cost

Present value of increased benefits on October 20.1		360
Past-service cost - vested on October 20.1 - to statement of comprehensive income		(108)
Past-service cost - non-vested - deferred	189[b]	252
Recognise as an expense on a straight-line basis over four years until the benefits become vested (252/4)	63	63
Unrecognised past service cost (189 - 63); (252 - 63)	126	189[b]

W3. Taxation

Profit before taxation	10 300,00	8 550,00
Non-deductible difference [W8]	4,77	9,52
Temporary differences [W4]	187,37	182,27
Taxable income	10 492,14	8 741,79
Current taxation @ 30%	3 147,64	2 622,54
Deferred taxation	(56,21)	(54,68)

COMMENT
The temporary differences consist of the following:

Post-employment benefit cost	566,04	537,60
Contributions paid	(387,00)	(372,00)
Bonus cost (210 + 175 - 166,67) (200 + 166,67 - 150)	218,33	216,67
Bonus paid	(210,00)	(200,00)
	187,37	182,27

W4. Deferred taxation

	Carrying amount R'000	Tax base R'000	Temporary difference R'000	Deferred taxation R'000
20.1	(831,71)	(85,71)	(746,00)	(223,80)
Post-employment benefit liability	(596,00)[a]	-	(596,00)	(178,80)
Provision for bonus	(150,00)	-	(150,00)	(45,00)
Provision for leave	(85,71)	(85,71)	-	-
Statement of comprehensive income 20.2			(182,27)	(54,68)
20.2	(1 023,51)	(95,24)	(928,27)	(278,48)
Post-employment benefit liability	(761,60)	-	(761,60)	(228,48)
Provision for bonus	(166,67)	-	(166,67)	(50,00)
Provision for leave	(95,24)	(95,24)	-	-
Statement of comprehensive income 20.3			(187,37)	(56,21)
20.3	(1 215,64)	(100,00)	(1 115,64)	(334,69)
Post-employment benefit liability	(940,64)	-	(940,64)	(282,19)
Provision for bonus	(175,00)	-	(175,00)	(52,50)
Provision for leave	(100,00)	(100,00)	-	-

[a] 4 110 – 3 970 + 456

COMMENT

As the bonuses will be allowed as a tax deduction when paid in the future, the tax base of the provision for bonuses is RNil. On the other hand the leave will not be paid out and will consequently not be allowed as a tax deduction at any stage. Accordingly the tax base of the provision for leave pay equals the carrying amount thereof.

W5. Bonus outstanding at year-end

		R
20.3 R210 000 x 10 months/12	=	175 000
20.2 R200 000 x 10 months/12	=	166 667
20.1 R180 000 x 10 months/12	=	150 000

W6. Leave not taken on 30 September

24 working days x 9 months/12	=	18 days
18 days - 8 days already taken	=	10 days
20.3 210 000 x 12 x 10/252	=	100 000
20.2 200 000 x 12 x 10/252	=	95 238
20.1 180 000 x 12 x 10/252	=	85 714

W7. Short-term employee benefits for the year

	20.3 R'000	**20.2 R'000**	
Salaries/wages for the year	2 520,00	2 400,00	[1]
Bonus paid 30 November	210,00	200,00	[1]
Bonus provision current year	175,00	166,67	[1]
Bonus provision previous year	(166,67)	(150,00)	[1]
Leave provision current year	100,00	95,24	[2]
Leave provision previous year	(95,24)	(85,71)	[1]
Total short-term employee benefits	2 743,09	2 626,20	[7]

W8. Non-deductible items (leave)

20.3 100 000 - 95 234
20.2 95 234 - 85 714

COMMENT

As the leave is not paid, SARS wil not allow it as a tax deduction. It is therefore added back as a non allowable deduction, when calculating taxable income and current tax.

QUESTION 16.2

Use the information of question 16.1 relating to the Ouhout Pension Fund with the following amendment:

Assume that included in retained earnings up to 30 September 20.1 is cumulative actuarial gains amounting to R491 000.

It is the policy of Yster Ltd to recognise all actuarial gains and losses as they occur, as part of other comprehensive income. *(Therefore there was no unrecognised actuarial gains or losses).*

Assume that the correct profit before tax figure still amounts to R10 300 000 (20.2 – R8 550 000), after taking into account only those defined benefit plan expenses that need to be recognised in the statement of comprehensive income.

REQUIRED

Disclose the information relating to the Ouhout Pension Fund in the notes to the statement of financial position and statement of comprehensive income of Yster Ltd, for the year ended 30 September 20.3, in accordance with the Statement on Employee benefits, IAS 19 (AC 116) (revised). Accounting policy notes are not required.

QUESTION 16.2 - Suggested solution

YSTER LTD

NOTES FOR THE YEAR ENDED 30 SEPTEMBER 20.3

3. Profit before taxation

	20.3 R'000	**20.2 R'000**
Included in profit before taxation are:		
Staff costs:		
Defined benefit plan expense	570,73	542,10
- Current service cost	341,00	316,00
- Interest cost	533,93	452,10
- Expected return on plan assets	(367,20)	(397,00)
- Past service cost - vested benefits [W2]	-	108,00
- non-vested benefits [W2]	63,00	63,00

4. Taxation

SA normal taxation		
- Current	3 149,05	2 623,89
- Deferred	(57,62)	(56,03)
	3 091,43	2 567,86

5. Post-employment benefits

5.1 Post-employment benefit liability

Present value of the obligation [5.2]	5 540,00	4 990,00
Fair value of plan assets [5.3]	(5 010,00)	(4 590,00)
	530,00	400,00
Unrecognised past service cost - non-vested benefits [W2]	(126,00)	(189,00)
Liability recognised in statement of financial position	404,00	211,00

Notes 5.2 to 5.7 in the solution to question 16.1 stay unchanged and are therefore not repeated. However, remember that in a comprehensive question you must disclose the notes comprehensively when required.

YSTER LTD

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 SEPTEMBER 20.3

	20.3 R'000	20.2 R'000
Profit for the period (10 300 – 3 091,43); (8 550 – 2 567,86)	7 208,57	5 982,14
Other comprehensive income	6,49	69,37
Actuarial gains/(losses) on defined benefit plan (5,23 – 14,50); (151,67 – 52,57)	(9,27)	99,10
Tax on actuarial gains/losses (9,27 x 30%); (99,10 x 30%)	2,78	(29,73)
Total comprehensive income for the year	7 208,08	6 051,51

The cumulative actuarial gains included in retained earnings at 30 September 20.3 is R580 830 (20.02 is R590 100).

WORKINGS

W1. Actuarial gain/(loss) recognised

Refer to [W1] of question 16.1 - *Steps 2 and 3 are not necessary here*

W2. Past-service cost

Refer to [W2] of question 16.1 - *Unchanged .*

W3. Taxation

Profit before taxation	10 300,00	8 550,00
Non-taxable/(Deductible) difference [W8]	4,77	9,52
Temporary differences [W4]	192,06	186,77
Taxable income	10 496,83	8 746,29
Current taxation @ 30%	3 149,05	2 623,89
Deferred taxation	(57,62)	(56,03)

COMMENT
The temporary differences consist of the following:

Post-employment benefit cost	570,73	542,10
Contributions paid	(387,00)	(372,00)
Bonus cost (210 + 175 - 166,67) (200 + 166,67 - 150)	218,33	216,67
Bonus paid	(210,00)	(200,00)
	192,06	186,77

W4. Deferred taxation

	Carrying amount R'000	Tax base R'000	Temporary difference R'000	Deferred taxation R'000
20.1	(378,71)	(85,71)	(290,00)	(87,00)
Post-employment benefit liability	(140,00)[a]	-	(140,00)	(42,00)
Provision for bonus	(150,00)	-	(150,00)	(45,00)
Provision for leave	(85,71)	(85,71)	-	-
Movement: 20.2			(87,67)	(26,30)
To equity 20.2			99,10	29,73
Statement of comprehensive income 20.2			(186,77)	(56,03)
20.2	(472,91)	(95,24)	(377,67)	(113,30)
Post-employment benefit liability	(211,00)	-	(211,00)	(63,30)
Provision for bonus	(166,67)	-	(166,67)	(50,00)
Provision for leave	(95,24)	(95,24)	-	-
Movement: 20.3			(201,33)	(60,40)
To equity 20.3			(9,27)	(2,78)
Statement of comprehensive income 20.3			(192,06)	(57,62)
20.3	(679,00)	(100,00)	(579,00)	(173,70)
Post-employment benefit liability	(404,00)	-	(404,00)	(121,20)
Provision for bonus	(175,00)	-	(175,00)	(52,50)
Provision for leave	(100,00)	(100,00)	-	-

[a] 4 110 – 3 970

SECTION D - ADDITIONAL QUESTIONS

With a thorough theoretical knowledge of employee benefits and after working through the multiple choice questions, as well as question 16.1, you should be able to do the following questions:

QUESTION 16.3 (14 marks - 21 minutes)

All the employees of Concern Ltd belong to the Peoples Provident Fund (a defined contribution plan). The following information appears in the financial records for the year ended 31 December 20.5:

			R
Current service costs	-	paid during the year	80 000
Additional contributions	-	retired employees	40 000
	-	current employees	160 000
Prepaid expenses 31 December 20.4	-	provident fund	20 000

This is the first year that additional contributions are made to the fund and this trend should not continue in future years. During the year no prepayments were made.

Concern Ltd pays medical fund contributions on behalf of all its employees in terms of a defined benefit plan. These payments continue after retirement. On 31 December 20.5 management decided to provide for post-employment benefits from the 20.5 year-end. It was also decided not to recognise the transitional liability immediately, but over a five year period. The following summary was provided by the actuary on 31 December 20.5, after completing her valuation:

Present value of obligation on 31 December 20.4	R200 000
Fair value of plan assets on 31 December 20.4	R80 000
Present value of obligation on 31 December 20.5	R228 000
Fair value of plan assets on 31 December 20.5	R100 000
Discount rate	12%
Future medical fund increases	8%

The actuary is of the opinion that the plan is in a sound financial position. Actuarial valuations are made annually, using the projected unit credit method.

REQUIRED

Disclose the above-mentioned information in the statement of financial position and notes to the financial statements of Concern Ltd for the year ended 31 December 20.5 in accordance with IAS 19 (AC 116). Ignore taxation, comparative figures and notes on the compliance with statements.

QUESTION 16.3 - Suggested solution

CONCERN LTD

STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER 20.5

	Note	20.5 R'000	
EQUITY AND LIABILITIES			
Non-current liabilities			
Post-employment benefit liability	3	26	(1)

CONCERN LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.5

1. Accounting policy

1.1 *Post-employment benefit cost*

Medical fund

On 31 December 20.5 the company has decided to provide for post employment benefits as from the 20.5 year end. The defined benefit obligation is determined by using the projected unit credit method. The transitional liability is recognised over a five year period. (2)

Provident fund

Contributions to the defined contribution plan in respect of services in a particular period are recognised as an expense in that period. (1)

2. Profit before taxation

	20.5 R'000	
Included in profit before taxation is:		
Staff costs		
- Defined contribution plan expense (80 + 40 + 160 + 20)	300	(1)
- Defined benefit plan expense ((228 – 100)/5) - transitional liability	26	(1)
	326	

3. Post-employment benefits

Post-employment benefit liability

	20.5 R'000	
Present value of obligation	228	(1)
Fair value of plan assets	(100)	(1)
	128	
Unrecognised transitional liability (128 x 4/5)	(102)	(1)
	26	

COMMENT

Please note that the disclosure that follows, excluding the actuarial assumptions, is required by the Fourth Schedule of the Companies Act.

Medical fund

Medical fund contributions, that continue after retirement, are paid on behalf of all employees in terms of a defined benefit plan. (1)

Actuarial valuations are made annually. The most recent actuarial valuation was performed on 31 December 20.5. The actuary is of the opinion that the plan is in a sound financial position. (2)

The principal actuarial assumptions at the date of the statement of financial position (expressed as weighted averages):

	20.5	
Discount rate	12%	(½)
Future medical fund increases	8%	(½)

Provident fund

The Peoples Provident Fund, which is governed by the Pension Funds Act of 1956, is a defined contribution plan for employees. All the employees are members of the provident fund. (1)
14

COMMENT

1. The Peoples Provident Fund is a defined contribution plan. For this reason only prepaid or accrued contributions are recognised in the statement of financial position, while the contributions for the year are recognised and disclosed in the statement of comprehensive income. The accounting policy is also disclosed in the financial statements.

2. Additional contributions to the Peoples Provident Fund do not cause an unlimited obligation that changes the nature of the fund to a defined benefit fund. The additional contributions are once-off and it is not an informal practice that gives rise to a constructive obligation.

3. No actuarial gains or losses on the defined benefit plan are determined, as the decision to provide for post-employment benefits was made only at year-end. The method according to which actuarial gains and losses are going to be recognised will have to be disclosed in the 20.6 financial statements' accounting policy note.

4. In accordance with IAS 19 (AC 116).120A(o), the effect of an increase of one percentage point and a decrease of one percentage point in the assumed medical cost trend for current service costs and interest costs, must be disclosed, as well as the effect on the accumulated post-employment benefit obligation.

QUESTION 16.4 (36 marks - 54 minutes)

All the employees of Easy Ltd qualify for long-service leave in terms of the current personnel policy. Every employee is therefore entitled to long-term compensated absences, that relate to the number of years in service. Assume all transactions occur at year-end.

(a) The following information relates to long-service leave.

The present value of the obligation was R1 800 000 and the fair value of the plan assets was R1 500 000 on 1 June 20.0.

	20.2	**20.1**
Discount rate at beginning of the year	10,0%	11,0%
Expected rate of return on plan assets at beginning of the year	10,9%	11,7%
Future salary increases	6,0%	3,0%
Proportion of employees opting for early retirement	25,0%	25,0%
	R'000	**R'000**
Current service cost	270	260
Benefits paid	373	280
Contributions paid	190	170
Present value of obligation on 31 May	1 840	1 730
Fair value of plan assets on 31 May	1 680	1 590
Present value of increased benefits on 1 June 20.1 (non-vested)	60	-
Present value of reduced benefits on 1 June 20.1 (non-vested)	20	-

Actuarial valuations of the Easy Leave Fund are made annually. The most recent valuation was made on 31 May 20.2. The actuary is of the opinion that the fund is in a sound financial position.

Actuarial gains/losses are recognised in the "profit or loss"-part of the statement of comprehensive income.

(b) Other long-term employee benefits include disability leave. All employees are entitled to this benefit, irrespective of the years of service. The benefit is split between permanent disability and temporary disability. Permanent disability benefits are paid from the date of disability to the date of retirement and are based on 102% of the annual final salaries. Temporary disability benefits are paid from the date of temporary disability to the date when the service is resumed and are based on 104% of the annual final salaries. It is expected that salaries will increase each year with 5% (compound) on 1 June. Normal salary payments are discontinued for the period of disability. The assumption is made that disability starts at the beginning of the year.

The following information relates to disability benefits:

	20.2	**20.1**	**20.0**
Discount rate	10%	11%	10,5%
Final annual salaries 31 May			
- permanently disabled employees (@ 100%)	R110 250	R105 000	R100 000
- temporarily disabled employees (@ 100%)	R80 000	R60 000	R50 000
Expected number of years' disability benefits outstanding on 31 May			
- permanently disabled employees	2 years	3 years	4 years
- temporarily disabled employees	1 year	2 years	3 years

Easy Ltd's profit before taxation, before taking into account the above-mentioned expenses, amounts to R1 385 655 for the year ended 31 May 20.2 (20.1 - R1 139 500). Assume a taxation rate of 30%.

REQUIRED

Disclose the above information in the statement of financial position and notes to the financial statements of Easy Ltd for the year ended 31 May 20.2 in accordance with IAS 19 (AC 116).

The following notes are not required: Compliance with statements, deferred taxation and the reconciliation of the taxation rate.

QUESTION 16.4 - Suggested solution

EASY LTD

STATEMENT OF FINANCIAL POSITION AS AT 31 MAY 20.2

	20.2 R'000	20.1 R'000	
ASSETS			
Non-current assets			
Deferred tax [W6]	135	163	(1)
EQUITY AND LIABILITIES			
Non-current liabilities			
Long-term employee benefit liability [W4]	449	543	(1)

EASY LTD

NOTES FOR THE YEAR ENDED 31 MAY 20.2

1. Accounting policy

1.1 ***Long-term employee benefit costs***

Long-service leave fund

Provision for benefits are made during the course of the employees' services. Actuarial gains and losses are recognised immediately.

Disability benefits

Provision for benefits are made once employees are declared disabled. (1)

2. Profit before taxation

	20.2 R.000	20.1 R'000	
Included in profit before taxation is:			
Staff costs			
- Long-service leave compensation [W3]	210	10	(13)
- Disability compensation [W2]	82	71	(14)
	292	81	

3. Taxation

SA normal taxation			
Current [W5]	300	240	(2)
Deferred [W6]	28	77	(4)
	328	317	
			36

WORKINGS

W1. Actuarial gain/(loss) recognised

Calculate the amount of the actuarial gains and losses for the period

Step 1

Summarise the changes in the present value of the obligation

	20.2 R'000	20.1 R'000	
Present value of obligation at beginning of the year	1 730	1 800	[½]
Interest cost (1 730 000 x 10%) and (1 800 000 x 11%)	173	198	[1]
Current service cost	270	260	[1]
Past service cost - increased benefits	60	-	[½]
- reduced benefits	(20)	-	[½]
Benefits paid	(373)	(280)	[1]
Actuarial gain on obligation (balancing figure)	-	(248)	
Present value of obligation on 31 May	1 840	1 730	[½]

Step 2

Summarise the changes in the fair value of plan assets			
Fair value of plan assets at beginning of the year	1 590,00	1 500,00	[½]
Expected return on plan assets (1 590 000 x 10,9%)/ (1 500 000 x 11,7%)	173,31	175,50	[1]
Contributions paid	190,00	170,00	[1]
Benefits paid	(373,00)	(280,00)	[1]
Actuarial gains on plan assets (balancing figure)	99,69	24,50	
Fair value of plan assets on 31 May	1 680,00	1 590,00	[½]
			[9]

W2. Disability compensation - 20.0

	20.1	20.2	20.3	20.4
Permanent disability	107 100[a]	112 455[b]	118 078[c]	123 982[d]
Temporary disability	54 600[e]	57 330[f]	60 197[g]	-
	161 700	169 785	178 275	123 982
	[1]	[1]	[1]	[½]

[a] 100 000 x 1,05 x 1,02
[b] 100 000 x 1,05 x 1,05 x 1,02
[c] 100 000 x 1,05 x 1,05 x 1,05 x 1,02
[d] 100 000 x 1,05 x 1,05 x 1,05 x 1,05 x 1,02
[e] 50 000 x 1,05 x 1,04
[f] 50 000 x 1,05 x 1,05 x 1,04
[g] 50 000 x 1,05 x 1,05 x 1,05 x 1,04

Present value @ 10,5% R500 675 [1]
(161 700 for one year, 169 785 for two years, etc. discounted)

COMMENT

Therefore at 31 May 20.0 a liability of R500 675 will appear in the statement of financial position, which is the present value of all future disability benefits, that will be paid to employees who are declared disabled up to and including 31 May 20.0.

20.1

	20.2	**20.3**	**20.4**	
Permanent disability	112 455	118 078	123 982	
Temporary disability	65 520[h]	68 796[i]	-	
	177 975	186 874	123 982	
	[1]	[1]	[½]	

[h] 60 000 x 1,05 x 1,04
[i] 60 000 x 1,05 x 1,05 x 1,04

Present value @ 11%	R402 664	[1]
Opening balance of obligation	500 675	[½]
Benefits paid [(105 000 x 1,02) + (60 000 x 1,04)]	(169 500)	[1]
Closing balance of obligation	(402 664)	[½]
Movement in statement of comprehensive income	(71 489)	

COMMENT

Note that this movement through the statement of comprehensive income consists mainly of interest cost, as well as the present value of all future benefits that will be paid to employees who only became disabled during the current year.

20.2

	20.3	**20.4**	
Permanent disability	118 078	123 982	
Temporary disability	87 360[j]	-	
	205 438	123 982	
	[1]	[½]	

[j] 80 000 x 1,05 x 1,04

Present value @ 10%	R289 226	[1]
Opening balance of obligation	402 664	[½]
Benefits paid [(110 250 x 1,02) + (80 000 x 1,04)]	(195 655)	[1]
Closing balance of obligation	(289 226)	[½]
Movement in statement of comprehensive income	(82 217)	
		[14]

W3. Long-service leave compensation

	20.2 R'000	20.1 R'000	
Current service cost	270,00	260,00	[1]
Interest cost [W1]	173,00	198,00	[1]
Expected return on plan assets	(173,31)	(175,5)	[1]
Net actuarial gain recognised in year (248 + 24,5) (See W1)	(99,69)	(272,5)	[9]
Past service cost - non-vested benefits (60 - 20)	40,00	-	[1]
	210,00	10,00	[13]

W4. Long-term liability

Present value of the obligation	1 840	1 730
Less: Fair value of plan assets	(1 680)	(1 590)
	160	140
Disability leave obligation [W2]	289	403
	449	543

W5. Taxation

	R	R	
Profit	1 385 655	1 139 500	
Long-service leave compensation	(210 000)	(10 000)	[1]
Disability compensation	(82 217)	(71 489)	[1]
Profit before taxation	1 093 438	1 058 011	
Temporary differences	(93 438)	(258 011)	
- Long-service leave compensation recognised in P/L [W3]	210 000	10 000	[1]
- Contributions paid	(190 000)	(170 000)	[1]
- Disability compensation recognised in P/L [W2]	82 217	71 489	[1]
- Disability compensation paid [W2]	(195 655)	(169 500)	[1]
Taxable income	1 000 000	800 000	
Current taxation @ 30%	300 000	240 000	
Deferred taxation	28 031	77 403	

W6. Deferred tax liability (year-end approach)

	Carrying amount	Tax base	Temporary difference	Deferred tax
20.0				
Disability compensation obligation	(500 675)	-	(500 675)	(150 203)
Long-service leave liability	(300 000)	-	(300 000)	(90 000)
				(240 203)
20.1				
Disability compensation obligation	(402 664)	-	(402 664)	(120 799)
Long-service leave liability	(140 000)	-	(140 000)	(42 000)
				(162 799)

	Carrying amount	Tax base	Temporary difference	Deferred tax
20.2				
Disability compensation obligation	(289 226)	-	(289 226)	(86 768)
Long-service leave liability	(160 000)	-	(160 000)	(48 000)
				(134 768)
Movement in P/L 20.1 (162 799 - 240 203)				77 404
Movement in P/L 20.2 (134 768 - 162 799)				28 031

COMMENT

The tax base of an obligation is the carrying amount less any amount deductible in future. The disability leave and long-service leave liabilities are both provisions that will be deductible as they are being paid in future.

COMMENT

1. No "corridor" is being applied in the calculation of other long-term employee benefits. Actuarial gains and losses, and where applicable, past service cost, are recognised immediately. This is contradictory to post-employment benefits, for example pensions.

2. IAS 19 (AC 116) prescribes no specific disclosure requirements for long-term employee benefits.

3. Disability benefits do not relate to the number of years service and therefore no actuarial valuations are necessary. The benefits should however take into account the time value of money, for it relates to a period longer than one year. The future value of the obligation is calculated, but then it is discounted to determine the present value thereof. The present value is disclosed in the financial statements.

QUESTION 16.5 (30 marks - 45 minutes)

Janu Ltd prepares a variety of food in a central kitchen, whereupon it is distributed daily to franchise coffee shops across the country. This pre-prepared food is ordered by customers from an existing menu.

The following employee benefits are applicable:

1. All the employees are members of the Coffee Shop Franchise Pension Fund, a defined benefit plan. Janu Ltd and its employees contribute to the pension fund in the proportion 80:20, based on a fixed amount per type of employee. The following categories of employees were in service during 20.2 and 20.3.

Category	**Number of employees**	**Fixed amount per month per employee**
Chefs	10	R400
Assistant-chefs	50	R280
Cleaners	20	R200
Vehicle drivers	20	R320
	100	

2. Janu Ltd's employees all belong to the Final Home Fund, a funeral fund, which is a defined contribution plan. Contributions made during the year are for a 13 month period to 31 January 20.4. Janu Ltd has no further obligation to contribute to the fund.

3. The coffee shop franchises sold so rapidly that Janu Ltd was compelled to expand the central kitchen premises and to automate the kitchen. The result of this was that personnel became redundant and that service termination packages will be offered to them. The first phase of the formal plan (authorised and announced at 31 December 20.3) will come into effect from 1 May 20.4 when R1 200 000 will be paid.

4. During 20.1 Janu Ltd adjusted the pension fund plan to increase certain benefits. These benefits will only be vested after five years and will be written off (straight-line) over this period.

The following information is also applicable to employee benefits:

				R'000
Net cumulative unrecognised actuarial profits at 31 December 20.1				56
Current service cost	-	pension fund	20.2	250
			20.3	365
Interest cost			20.2	160
			20.3	175
Contributions paid	-	funeral fund	20.2	140
			20.3	150
Benefits paid	-	pension fund	20.2	290
			20.3	240
Present value of pension obligation at			31 December 20.1	1 000
			31 December 20.2	1 200
Fair value of pension plan assets at			31 December 20.1	600
			31 December 20.2	900
			31 December 20.3	1 100
Actuarial (profit)/loss on obligation			20.2	80
			20.3	(100)
Actuarial profit/(loss) on plan assets			20.2	159
			20.3	(32)
Past service cost - increased benefits 1 January 20.1				500
Expected return on plan assets at beginning of the year			20.2	15%
			20.3	14,5%
Average expected remaining working lives (years)			20.2	5
Working days per year				365

All payments and transactions occur at year-end. Actuarial valuations are made annually by making use of the projected unit credit method. The most recent actuarial valuation was made at 31 December 20.3. The actuary is of the opinion that the plan is in a sound financial position. Janu Ltd recognises the minimum actuarial profits annually by applying the 10% corridor criteria.

Actuarial gains/losses are recognised in the "profit or loss"-part of the statement of comprehensive income.

REQUIRED

Disclose the above-mentioned information in the financial statements and notes to the financial statements of Janu Ltd for the year ended 31 December 20.3. Taxation should be ignored.

Accounting policy notes, the principal actuarial assumptions at yearend, major categories of plan assets as percentages of total plan assets and notes on the compliance with statements are not required.

Note: Comparative figures are required. Calculations should be rounded to the nearest R'000.

QUESTION 16.5 - Suggested solution

JANU LTD

STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER 20.3

	Note	20.3 R'000	20.2 R'000	
ASSETS				
Current assets				
Prepaid expenses [W6]		12	-	(1)
EQUITY AND LIABILITIES				
Non-current liabilities				
Post-employment benefit liability	3	299	135	(1)
Current liabilities				
Provision for service termination costs		1 200	-	(1)

JANU LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.3

2. Profit before tax	20.3 R'000	20.2 R'000	
Included in profit before tax are:			
Staff costs			
Defined benefit plan expense	505	420	
- Current service cost	365	250	(1)
- Interest cost	175	160	(1)
- Expected return on plan assets [W2]	(131)	(90)	(2)
- Net actuarial gain recognised in year [W1]	(4)	-	(2)
- Past service cost - non-vested benefits [W4]	100	100	(2)
Defined contribution plan expense [W5]	138	140	(2)
Service termination cost	1 200	-	(1)
Salaries paid	xx	xx	
	1 843	560	

3. Post-employment benefits

	20.3 R'000	20.2 R'000	
3.1 Post-employment benefit liability			
Present value of the obligation [W1[a]]	1 400	1 200	(1)
Fair value of plan assets [W1[a]]	(1 100)	(900)	(1)
	300	300	
Unrecognised actuarial gains [W1[b]]	199	135	(4)
Unrecognised past service cost - non-vested benefits [W4]	(200)	(300)	(1)
Liability recognised in statement of financial position	299	135	

3.2 Summarise the changes in the present value of the obligation

	20.3 R'000	20.2 R'000	
Present value of obligation at beginning of the year	1 200	1 000	
Interest cost	175	160	
Current service cost	365	250	
Benefits paid	(240)	(290)	
Actuarial (gain)/loss on obligation	(100)	80	
Present value of obligation at 31 December	1 400	1 200	(2)

3.3 Summarise the changes in the fair value of plan assets

Fair value of plan assets at beginning of the year	900	600	
Expected return on plan assets ([W2] or balancing amount)	131	90	
Contributions paid [W3]	341	341	
Benefits paid	(240)	(290)	
Actuarial gain/(loss) on plan assets	(32)	159	
Fair value of plan assets at 31 December	1 100	900	(2)

3.4 The actual return on plan assets are:

Expected return on plan assets*	131	90	
Actuarial gain/(loss) on plan assets*	(32)	159	
Actual return on plan assets	99	249	(2)

* *Not required disclosure*

3.5 Pension fund

The Coffee Shop Franchise Pension Fund, which is governed by the Pension Funds Act of 1956, is a defined benefit plan for employees. All the employees are members of the pension fund. (1)

Actuarial valuations are made annually. The most recent actuarial valuation was made at 31 December 20.3. The actuary is of the opinion that the plan is in a sound financial position. (1)

3.6 Funeral fund

The Final Home Fund is a defined contribution plan for employees. All the employees are members of the funeral fund. (1)

30

WORKINGS

W1[a]. Actuarial gain/(loss) recognised

Summarise the changes in the present value of the obligation: Note 3.2

Summarise the changes in the fair value of plan assets: Note 3.3

	20.3 R'000	**20.2 R'000**	
W1[b]. Net cumulative unrecognised actuarial gains at beginning of the year	135[#]	56	
**Limits of "corridor" at the beginning of the year (1 200 x 10%); (1 000 x 10%)	120	100	
Excess	15	n.a.	[2]

** Greater of: (a) 10% of the present value of the obligation before deducting plan assets; and (b) 10% of the fair value of any plan assets.

	20.3 R'000	**20.2 R'000**	
Average expected remaining working lives (years)	4	5	
Unrecognised actuarial gains at beginning of the year	135[#]	56	
Actuarial gains/(losses) for the year			
- obligation	100	(80)	
- plan assets	(32)	159	
	203	135	
Actuarial gain recognised [excess (15/4)]	(4)	-	
Unrecognised actuarial gains at 31 December	199	135[#]	[2]
			[4]

W2. Expected return on plan assets

20.2 (600 000 x 15%) = 90 000 [1]
20.3 (900 000 x 14,5%) = 130 500 [1]

W3. Contributions paid

(400 x 12 x 10) + (280 x 12 x 50) + (200 x 12 x 20) + (320 x 12 x 20)] = 340 800 [2]

W4. Past-service cost – non-vested benefits

Present value of increased benefits at 1 January 20.1	500 000	
Present value of benefits changed 1 January 20.1	500 000	
Recognise as an expense on a straight-line basis over 5 years until the benefits become vested (500/5)	100 000	
	100 000	[½]
	100 000	[½]
Unrecognised past service cost	300 000	[½]
	200 000	[½]
		[2]

W5. Defined contribution plan expense

20.2 140 000 given [1]
20.3 (150 000 x 12/13) = 138 462 [1]

W6. Prepaid expenses

Defined contribution plan expense (150 000/13 = 11 538)	12	-	[½]

QUESTION 16.6 (15 Marks - 23 minutes)

Smallco Ltd is a small listed company. Smallco has 35 employees and they all belong to the Unity Pension Fund, a defined benefit plan. The Unity Pension Fund is a multi-employer plan. Smallco does not have access to enough information about the plan to use defined benefit accounting. Smallco Ltd is also exposed to possible actuarial risks associated with the employees (past & present) of other participating entities to the Unity Pension Fund. Smallco therefore accounts for it's share of the multi-employer plan in terms of IAS 19(AC 116).30.

The basic salary account for the 35 employees was R2 400 000 in 20.4 and R2 100 000 in 20.3. Smallco contributes 9% and each employee 7,5% towards the Unity Pension Fund to provide for retirement benefits.

An actuarial deficit of R17 000 000 arose in the Unity Pension Fund and Smallco's portion of the deficit amounts to R3 400 000. In terms of an agreement with the Unity Pension Fund and the various employers, Smallco paid an amount of R850 000 on 5 January 20.4, and must thereafter pay another R850 000 on 2 January of each year for the next three years.

Smallco Ltd uses a rate of 9% as an acceptable discount rate.

REQUIRED

Disclose the abovementioned information in the notes to the financial statements of Smallco Ltd, for the year ended 31 December 20.4, in accordance with the Statement on Employee Benefits, IAS 19 (AC 116). Accounting policy notes are not required, ignore taxation, but comparative figures are required.

QUESTION 16.6 - Suggested solution

SMALLCO LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.4

3. Profit before taxation

Included in profit before taxation is:

	20.4 **R**	**20.3** **R**	
Contribution to defined benefit multi-employer plan [W1]	396 000	346 500	(2)
Supplementing of deficit on multi-employer plan [W2]	3 001 600	-	(3)
Interest [W3]	193 644*	-	(1)

* To be disclosed on the face of the statement of comprehensive income.

4. Multi-employer benefit plan (IAS 19 (AC 116).30)

All the employees of Smallco Ltd belong to the Unity Pension Fund, a multi-employer plan which is a defined benefit plan.

However, Smallco Ltd does not have access to enough information about the plan to use defined benefit accounting. Furthermore, Smallco Ltd is exposed to possible actuarial risks associated with the employees of other participating entities and therefore there is no consistent and reliable basis for allocating the obligation or plan assets. Consequently the plan is accounted for as a defined contribution plan. (1) (1)

The Unity Pension Fund currently experiences an actuarial deficit. Smallco Ltd raised a liability to make good it's share of the deficit. The liability as at 31 December 20.4 amounted to R2 345 244 [W3]. (1) (3)

In terms of an agreement between Unity Pension Fund and the relevant participants to the fund, Smallco Ltd must pay four annual instalments of R850 000 each, starting on 5 January 20.4, to make good it's portion of the deficit. (1)

5. Contingent liability (IAS 19 (AC 116).32B)

Smallco Ltd is exposed to possible actuarial risks associated with the current and past employees of the other participating entities to the Unity Pension Fund. Accordingly Smallco Ltd has a possible liability of R10 200 000 [W4] which relates to the other participating entitities' share in the deficit of the Unity Pension Fund. (2)

16

Maximum 15

COMMENT

This possible liability relating to the other participants to the Unity Pension Fund, is based on the amount that these participants still owe the Unity Pension Fund at the end of the financial year. It could also be given as a discounted amount outstanding.

WORKINGS

W1. 2 400 000 x (9% + 7,5%) = 396 000
2 100 000 x 16,5% = 346 500

W2. Present value of contributions on deficit

HP 10 B II
Clear all — Begin mode
1 Period per annum — n = 4
i = 9 — PMT = 850 000
Calculate PV = 3 001 600

W3. Interest for the year

Provision [W2]	3 001 600	
Payment 5/1/20.4	(850 000)	[1]
	2 151 600	
Interest @ 9%	193 644	[1]
Balance 31/12/20.4	2 345 244	[1]
		[3]

W4. Contingent liability

17 000 000 – 3 400 000 = 13 600 000
13 600 000 – (13 600 000/4) = 10 200 000

QUESTION 16.7 (15 marks - 23minutes)

Pirlo Ltd is a manufacturing company with a 30 September year-end. It decided to cease operating a defined benefit plan in providing pension benefits to its employees. The company plans to replace the defined benefit plan with a defined contribution plan. A lump sum will be paid out to employees on cessation of the defined benefit plan and the company will have no further legal or constructive obligation for all the benefits that were provided under the defined benefit plan.

The features of the agreement made with employees with regard to the above change are as follows:

- The effective date for cessation of the defined benefit plan is 31 March 2008 and the effective date for implementation of the defined contribution plan is 1 April 2008.

- Employees not willing to accept the change will be offered a voluntary retirement package equal to three month salary.

It is confirmed that 80% of the employees accepted the new scheme and the remaining 20% will accept the voluntary retirement package. It is Pirlo Ltd's policy to pay leave outstanding on termination of service. The company also provides employees with a 13th cheque which is apportioned for a part of a year on termination of service.

REQUIRED

(1) Discuss the accounting implications of the above matters in the annual financial statements of Pirlo Ltd for the year ended 30 September 2008 in accordance with IAS 19 (AC 116) – Employee Benefits. (13)

(2) Advise Pirlo Ltd as to instances in which they may have to present an asset and/or a liability relating to post employment benefit after cessation of the defined benefit plan. (2)

QUESTION 16.7 - Suggested solution

(1) The above matters have the following accounting implications for Pirlo Ltd.

Short-term benefits

On termination of the 20% of the employees accepting voluntary retirement packages the following has to be accounted for:

- Payment of outstanding leave days. (1)
- Payment of a pro rata bonus relating to first six months with regards to the 13th cheque. (1)

Termination benefits

- The voluntary retirement package payment should be treated as termination benefits. (1)
- If the amount is material, disclosure if the nature and amount of the termination benefits is required. (1)
- If the employees accepting the voluntary retirement package includes key management personnel, then disclosure in terms of IAS 24 Related Party Disclosures as to the amount of termination benefits paid to key management personnel. (1)

Post employment benefits

Defined benefit plan

The cessation of the defined benefit plans amounts to a settlement as:

- A lump sum will be paid out to employee by the pension fund; and (1)
- the company will have no further legal or constructive obligation to provide benefits under the defined benefit plan. (1)

The company therefore has to perform an actuarial valuation on 31 March 2008 in order to determine the net liability (shortage) which will have to be paid into the pension fund on 31 March 2008. However if the net position is an asset, the pension fund may have to pay over the excess to the company. (2)

In doing so, the company should apply the current actuarial assumption applicable to the defined benefit plan. (1)

The company also has to recognise a gain/loss on settlement which includes the following: (1)

- Any resulting changes in the present value of the defined benefit obligation. (1)
- Any resulting changes in the fair value of the plan assets. (1)
- Any related actuarial gains and losses and past service cost that had previously not been recognised. (1)

Defined contribution plan

- Recognise the contribution to the new pension fund scheme as an expense from 1 April 2008 to 30 September 2008. (1)

15

Maximum 13

(2)
- The company must present an asset in respect of the defined contribution plan in cases where contributions have been paid in advance. (1)
- The company will present a liability in cases where contributions have been deducted from employees and not yet paid over to the pension fund. (1)

2

SECTION E: SPECIFIC OUTCOMES

After you have studied this study unit, you should be able to do the following:

1. Define and distinguish between the four major categories of employee benefits.
2. Account for short term benefits.
3. Define and distinguish between a defined contribution plan and a defined benefit plan.
4. Calculate and account for actuarial gains/losses iro post-employment benefits and other long-term benefits.
5. Calculate and apply the corridor effect for post-employment benefits.
6. Account for past service costs with post-employment benefits.
7. Account for debit balances.
8. Account for termination benefits.
9. Account for the transitional provisions for all types of employee benefits.
10. Account for current and deferred taxation applicable on employee benefits.
11. Disclose employee benefits in financial statements, in terms of IAS 19 (AC 116), as well as the Fourth Schedule of the Companies Act.

YOU SHOULD NOW STUDY IAS 19 (AC 116).

STUDY UNIT 17

DISCONTINUED OPERATIONS AND NON-CURRENT ASSETS HELD FOR SALE

KEY ISSUE

IFRS 5 (AC 142) deals with the accounting treatment, measurement and disclosure of non-current assets and directly associated liabilities to be disposed of in the near future and thus classified as held for sale. Furthermore, the standard provides guidance on when the classification to held for sale should be done. Since discontinued operations would by definition comprise largely of assets (and associated liabilities) held for sale, disclosures on discontinued operations are also dealt with in this standard.

KEY CONCEPTS

The following key concepts are fundamental to this study unit:

1. The following definitions: component of an entity, a discontinued operation, costs to sell and a disposal group.

2. The classification of non-current assets and disposal groups as held for sale – how and when.

3. Assets and disposal groups classified as held for sale shall be carried at the lower of carrying amount and fair value less costs to sell (measurement requirements). There are some exceptions to these measurement requirements.

4. Assets and disposal groups classified as held for sale shall not be depreciated once classified as such.

5. Assets classified as held for sale and assets and liabilities included in a disposal group are presented separately as current items on the face of the statement of financial position with associated note disclosure.

6. Requirements that must be met before classifying an operation as discontinued.

7. The disclosure requirements associated with discontinued operations and their results on the face of the statement of comprehensive income and associated note disclosure.

PRESCRIBED STUDY MATERIAL

You must study the following before you attempt the questions in this study unit:

1. Descriptive Accounting, 13th edition.

   or

   GAAP Handbook 2009.

2. IFRS 5 (AC 142). Non-current assets held for sale and discontinued operations.

SECTION A - ADDITIONAL INFORMATION

None.

SECTION B - MULTIPLE CHOICE QUESTIONS

None.

SECTION C - QUESTIONS ON CLASSIFICATION, PRESENTATION AND MEASUREMENT OF A DISPOSAL GROUP ITO IFRS 5 (AC 142) AND DISCONTINUED OPERATIONS

The following questions have been included to guide you on the approach to be followed in answering a question on held for sale non-current assets and discontinued operations.

QUESTION 17.1

Selly Helly Ltd (year-end 31 December) decided on 26 August 20.2 to sell a number of assets and associated liabilities as a unit within the next year. The board of directors' had, after long deliberation, decided to dispose of these assets and associated liabilities, as these items were not part of the core business activities of the company. The disposal group is available to be sold immediately in its present condition under conditions that are usual and customary for this type of sale. To facilitate the sale of the assets as a group and to ensure that they will meet their self-imposed deadline of 30 April 20.3 for finalisation of the disposal, advertisements in respect of the disposal group at a fair sales price were placed intermittently in the main newspapers serving the area from 31 August 20.2 onwards.

The directors have agreed unanimously that the assets and liabilities in the disposal group must be disposed of as a unit and there is virtually no chance that their decision will be rescinded. All the PPE-items in the disposal group were acquired and became available for use on the same day.

Other relevant information:

1. ACCOUNTING POLICY

1.1 *Property, plant and equipment*

Property, plant and equipment is carried at historical cost, except for plant that is revalued to net replacement cost at the beginning of every third year. Revaluation surpluses are only realised on disposal and not through use.

Land is not depreciated, but the depreciation rates and methods applied in respect of the other assets are as follows:

Plant: straight-line method over 5 years.
Machinery: reducing balance method of depreciation at 26,25% per annum.
Delivery vehicles: straight-line over 4 years.

1.2 *Financial instruments*

No share investments are acquired for speculative purposes and consequently all share investments are classified as available for sale.

These investments are carried in the statement of financial position at fair value. Fair value adjustments are taken directly to equity through the mark-to-market reserve.

Financial liabilities are carried at amortised cost, unless they are held for trading in which case they will be carried at fair value.

1.3 Inventory

Inventory is carried at the lower of cost, determined on a first-in-first-out basis, and net realisable value.

2. In terms of the decision of the directors the following items will be disposed of:

	Carrying amounts at 1 Jan 20.2 R	**Tax bases at 1 Jan 20.2 R**
Plant (remaining useful life 3 years and no residual value) *	540 000	360 000
Machinery (useful life unchanged and no residual value)	600 000	661 879
Inventories (net realisable value exceeds cost at FIFO)	145 000	145 000
Payables related to inventories	(62 000)	(62 000)
Share investment in supplier no longer to be used after disposal#	100 000	60 000
Total carrying amount	1 323 000	Not relevant

* The original cost of plant was R900 000 and the plant has not yet been revalued as it is only 2 years old.
\# The original cost of the investment was R60 000 (see tax base)

3. By 31 August 20.2 inventories to the amount of R85 000 have already been sold and the remaining inventories had a net realisable value of R50 000 that was also accepted by SARS. Creditors have been paid an amount of R40 000 up to 31 August 20.2, while the fair value of the share investment increased to R120 000 on that date.

4. At 31 August 20.2 it was estimated that if all the assets and associated liabilities were to be sold in a single group the fair value of the group of assets and liabilities will amount to R1 086 000, while costs to effect the sale would amount to R50 000.

5. Deferred tax is calculated on the liability method and the current tax rate is 30%, while capital gains tax is raised at 15%.

6. The tax bases of plant and machinery are determined as follows:

Plant: wear and tear written off 40:20:20:20, no time-apportionment
Machinery: wear and tear written off 20% per annum straight-line no time-apportionment.

7. Apply the latest International Financial Reporting Standards, including IFRS 5 (AC 142) in your answer.

REQUIRED

(a) Discuss whether the assets and associated liabilities could be classified as a disposal group.

(b) Discuss whether the disposal group should be classified as held for sale.

(c) Assuming that the disposal group in (b) does qualify for classification as held for sale, calculate the impairment loss (if any) and the carrying amounts of the assets in the disposal group after applying the measurement requirements of IFRS 5 (AC 142).

(d) Calculate the deferred tax liability in respect of the disposal group after initial classification as held for sale on 31 August 20.2.

(e) Discuss how the classification of the disposal group would be reflected in the PPE-note as well as the note on assets held for sale for the year ending 31 December 20.2.

HOW SHOULD I APPROACH THIS QUESTION?

1. Establish exactly what the question requires of you, being the calculation of certain amounts after identifying whether applying IFRS 5 (AC 142) would be applicable.

2. Now identify if and when the disposal group can initially be classified as held for sale.

3. Assuming the disposal group can be classified as held for sale, determine the carrying amounts of the items in the disposal group by applying the IFRSs applicable to the specific type of asset immediately before classification as held for sale.

4. Now set off all accumulated depreciation and impairment losses against the cost of the assets and transfer the net carrying amounts to assets held for sale.

5. Compare the total carrying amount of the disposal group identified with the fair value less costs to sell of the disposal group to determine whether an impairment loss can be identified.

6. Identify the assets that fall within and outside the scope of the measurement requirements of IFRS 5 (AC 142)

7. Allocate the impairment loss (if any) to only the non-current assets falling within the scope of the measurement requirements based pro rata on their carrying amounts and determine the carrying amounts after initial classification as held for sale.

8. Calculate the balance of the deferred tax liability at 31 December 20.2.

9. Consider and discuss disclosure only in respect of the PPE-items.

WHAT THEORY DO I NEED?

1. All the information in Part I of the study unit.

2. IFRS 5 (AC 142). Non-current assets held for sale and discontinued operations.

QUESTION 17.1 - Suggested solution

(a) Is this a disposal group?

The definition of a disposal group is contained in IFRS 5 (AC 142), Appendix B. An application of the definition to the scenario at hand would reflect the following:

A disposal group is a group of assets to be disposed of, by sale or otherwise, together as a group in a single transaction, as well as liabilities directly associated with those assets that will be transferred in the transaction. In the case of Selly Helly Ltd the assets and associated liabilities to be disposed of, will be sold and transferred in a single transaction. In can therefore be concluded that these items represent a disposal group.

(b) Can the disposal group be classified as held for sale?

For a disposal group to be classified as held for sale, the disposal group must meet all the criteria necessary to be classified as held for sale. The criteria are set out in IFRS 5 (AC 142).6 to .11 and an application of the principles would entail the following:

1. An entity shall classify a non-current asset (or disposal group) as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use. In the case of Selly Helly Ltd it has been decided to dispose of the items in the disposal group by way of a sale. The items are available for sale immediately in their present condition under usual and customary conditions. Therefore this criterion has been met.

2. The sale is highly probable, as the directors of Selly Helly Ltd has taken the decision to sell and an active programme to effect the sale has been implemented by immediately placing advertisements in local newspapers.

3. The disposal group should be actively marketed for sale by way of the advertisements asking a fair selling price that is reasonable in relation to its current fair value. The adverts will start appearing on 31 August 20.2, so this criterion has been met.

4. For classification as held for sale, the sale should be completed within one year from the date of classification, except if there are acceptable grounds for extension of the sales period beyond 1 year as permitted by IFRS 5 (AC 142).9. No extension is necessary here, as the disposal group will be sold by 30 April 20.3, that is within one year from 31 August 20.2, the date of classification as held for sale.

5. Actions required to complete the plan should indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn. This is the case here as the directors decided unanimously to sell the disposal group and it is therefore unlikely that they will withdraw from the transaction.

Although the initial decision to sell was taken on a board meeting on 26 August 20.2, the adverts to actively market the disposal group was only published for the first time on 31 August 20.2. Consequently the date of classification as held for sale will be 31 August 20.2 and not 26 August.

(c) Impairment loss and carrying amounts after classification as held for sale

	Carrying amounts at 31 August 20.2 just before classifi-cation R	**Impairment loss allocated R**	**Carrying amounts at 31 August 20.2 after classifi-cation R**
Plant (1) (7)	420 000	(12 393)	407 607
Machinery (2) (8)	495 000	(14 607)	480 393
Inventories (3)	50 000	*	50 000
Payables related to inventories (4)	(22 000)	*	(22 000)
Share investment in supplier no longer to be used after disposal (5)	120 000	*	120 000
Total carrying amount	1 063 000	-	1 036 000
Fair value less costs to sell (6)	1 036 000	-	
Impairment loss to be allocated	27 000	(27 000)	

(1) R540 000 (1/1/.2) – 540 000/3 x 8/12 = 420 000
(2) R600 000 (1/1/.2) – 600 000 x 26,25% x 8/12 = 495 000
(3) R145 000 (1/1/.2) – 85 000 (sold till 31/8/.2) – 10 000 (NRV adjustment) = 50 000
(4) R62 000 (1/1/.2) – 40 000 = 22 000
(5) R100 000 (1/1/.2) + 20 000 = 120 000
(6) R1 086 000 – 50 000 = 1 036 000
(7) R27 000 x 420 000/(420 000 + 495 000) = 12 393
(8) R27 000 x 495 000/915 000 = 14 607
* Nothing allocated since items either outside scope of measurement requirements or IFRS 5 (AC 142) not applicable (current assets and liabilities)

(d) Deferred tax liability at 31 August 20.2

	Carrying amount R	Tax base R	Temporary difference R	Deferred tax R
Tax rate at 30%	(1)			**30%**
Plant (2)	407 607	180 000	227 607	68 282
Machinery (3)	480 393	441 253	39 140	11 742
Inventories (4)	50 000	50 000	Nil	Nil
Payables (5)	(22 000)	(22 000)	Nil	Nil
Tax rate at 15%				**15%**
Share investment (6)	120 000	60 000	60 000	9 000
Total balance at 31/8/.2				89 024 cr

(1) The amounts in this column were directly transferred from the column containing the carrying amounts of the items in the disposal group after classification as held for sale (see c.).
(2) 360 000 - 180 000 (900 000 x 20%) = 180 000. Although the item is carried at revaluation and it was decided to sell it now, no CGT will arise as the selling price is bound to be below the original cost of the item and the recoupment to cost will be taxed at the income tax rate of 30%.
(3) 661 879 - [(600 000/0,7375/0,7375) x 20%] or 661 879 x 2/3
(4) Same for tax and accounting
(5) Carrying amount of payables and tax base the same
(6) The tax base of the share investment is equal to cost, while its carrying amount has increased to R120 000. Since this is not a speculative investment, deferred tax is raised using the CGT rate

(e) Discuss disclosure of disposal group in PPE-note and note on assets held for sale

The only two items in the disposal group relating to PPE would be the plant and machinery to be disposed of. These items would normally form part of non-current assets in the PPE-note, but since these items are up for sale in the next 8 months and meet the criteria to be classified as held for sale, they will be transferred out of the PPE-note to current assets on the face of the statement of financial position. Note that the depreciation up to initial classification as held for sale (31 August 20.2) will be included with other depreciation in the PPE note.

The PPE-items to be disposed of will be disclosed under current assets together with the available for sale share investments. A breakdown of the carrying amounts of the major classes of assets (including PPE and share investments) held for sale will be disclosed in the note on assets held for sale.

QUESTION 17.2

Aqua Ltd manufactures and sells water sport equipment and has branches in Cape Town, Port Elizabeth and East London. The East London branch whose results were previously reported in the Eastern Cape geographical segment incurred losses over the past two years. On 31 March 20.4 the board of directors approved a detail formal plan for the discontinuance of the branch and on the same date made a public announcement. The piecemeal sale of assets and redemption of liabilities, was at a stage of completion on 30 September 20.4, that no realistic possibility of withdrawal existed and all necessary criteria for classification as held for sale are met. Sale agreements regarding all assets were concluded. It is expected that the plan for the discontinuance of the East London branch will finally be completed on 28 February 20.5.

Aqua Ltd's year-end is on 31 December.

1. The following information is presented to you on 31 December 20.4 (before taking into account any adjustments due to the discontinuance):

	East London	Cape Town & Port Elizabeth
	R	R
Property, plant and equipment	200 000	1 000 000
Current assets	40 000	200 000
Long-term liabilities	90 000	300 000
Current liabilities	60 000	150 000

Actual results

	Cape Town 1/1/.4 to 31/12/.4	Port Elizabeth 1/1/.4 to 31/12/.4	1/1/.4 to 31/3/.4	East London 1/4/.4 to 30/9/.4	1/10/.4 to 31/12/.4	Cape Town & Port Elizabeth 1/1/.3 to 31/12/.3	East London 1/1/.3 to 31/12/.3
	R	R	R	R	R	R	R
Income	800 000	770 000	75 000	100 000	60 000	1 250 000	250 000
Cost of sales	350 000	355 000	60 000	70 000	45 000	500 000	200 000
Operating expenses	325 000	297 000	20 000	30 000	20 000	515 000	60 000

	20.4	20.3
	R	R
Finance cost (continuing operations)	15 000	15 000
Taxation (continuing and discontinued operation)	76 150	72 500
Current	69 900	67 500
Secondary taxation on companies	6 250	5 000
Dividends paid	50 000	40 000

Taxation was calculated before taking into account the finance cost paid, the direct costs to close the East London branch as well as the estimated gross loss in 20.5.

East London branch:

	1/1/20.5 to 28/02/20.5 Estimated R	31/03/20.4 to 31/12/20.4 Actual R
Direct cost of discontinuance	3 000	4 500
Severance pay payable to employees	20 000	
Fines (discontinuance of contracts)	3 000	
Income	30 000	
Cost of sales	25 000	
Operating expenses	10 000	

2. The direct cost of discontinuance is tax deductible, while the severance pay and fines are not deductible for tax purposes.

3. On 30 September 20.4, information regarding the sale of assets and liabilities relating to the discontinued operation were as follows:

	Tax base R	Carrying amount R	Contract price R	Contract settlement date
Fixed property - land	120 000	120 000	105 000	28 Feb 20.5
Plant	80 000	80 000	80 000	28 Feb 20.5
	200 000	200 000	185 000	

Current assets, long-term liabilities and current liabilities will be taken over at their carrying amounts.

4. Assume a normal taxation rate of 30%. There are no non-deductible expenses or temporary differences other than those evident from the question. Assume there are not other potential capital gains.

REQUIRED

(a) Prepare the statement of comprehensive income of Aqua Ltd for the year ending 31 December 20.4.

(b) Prepare the following notes for the year ending 31 December 20.4:
- Discontinued operation;
- Non-current assets held for sale; and
- Taxation.

QUESTION 17.2 - Suggested solution

AQUA LTD

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 20.4

	Notes	20.4 R	20.3 R
Continuing operations			
Income [W1]		1 570 000	1 250 000
Cost of sales [W2]		(705 000)	(500 000)
Gross profit		865 000	750 000
Other expenses [W3]		(622 000)	(515 000)
Finance cost		(15 000)	(15 000)
Profit before tax		228 000	220 000
Income tax expense	4	(74 650)	(71 000)
Profit for the period from continuing operations		153 350	149 000
Discontinued operation			
Loss for the period from discontinued operation	2	(50 250)	(7 000)
Total comprehensive income for the period		103 100	142 000

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.4

2. Discontinued operation

	Gross R	Tax R	Net R
20.4			
Income [W4]	235 000		
Cost of sales [W5]	(175 000)		
Gross profit	60 000		
Other expenses [W6]	(70 000)		
Loss from discontinued operation	(10 000)	3 000	(7 000)
Direct costs [W9]	(7 500)	2 250	(5 250)
Severance pay	(20 000)	-	(20 000)
Fines	(3 000)	-	(3 000)
Impairment loss [W7]	(15 000)	-	(15 000)
	(55 500)	5 250	50 250
20.3			
Income	250 000		
Cost of sales	(200 000)		
Gross profit	50 000		
Other expenses	(60 000)		
Loss from discontinued operation	(10 000)	3 000	(7 000)

3. Non-current assets held for sale

On 30 September 20.4 Aqua Ltd discontinued the operations of the East London branch and concluded a piecemeal sale agreements to sell all the assets, because the branch incurred losses. The discontinuance will be completed at 28 February 20.5. The results of the branch had previously been reported in the Eastern Cape geographical segment. The assets will be settled in cash on 28 February 20.5. Re-measurement to selling price resulted in an impairment loss of R15 000. The assets and liabilities to be disposed of are as follows:

	R
Assets:	
Property	105 000
Plant	80 000
	185 000

4. Tax

	20.4 R	20.3 R
SA normal taxation	63 150	63 000
• Current (68 400 – 4 350)/(66 000 – 3 000) [W9/W10]	64 050	63 000
• Deferred	(900)	-
Secondary tax on companies	6 250	5 000
Total tax	69 400	68 000
Less: Tax for discontinued operation	5 250	3 000
Tax per statement of comprehensive income for continuing operations	74 650	71 000
Tax rate reconciliation		
Accounting profit		
20.4 (228 000 - 55 500)		
20.3 (220 000 - 10 000)	172 500	210 000
Tax on profit at 30%	51 750	63 000
Non-deductible expenses		
- Loss on discontinued operation [W8]	11 400	-
Secondary taxation on companies	6 250	5 000
Tax expense	69 400	68 000

COMMENTS

With a piecemeal disposal of assets and liabilities it is necessary to determine whether the sale of assets and liabilities meet the held for sale criteria at the same point, if so, it can be considered that a single coordinated plan for disposal exists and can therefore be treated as a disposal group.

If assets and liabilities meet the held for sale criteria at different points, it is usually evidence that there is not a single coordinated plan for disposal, and this it is not a disposal group and should be treated as a piecemeal sale.

WORKINGS

W1. 800 000 + 770 000 = 1 570 000

W2. 350 000 + 355 000 = 705 000

W3. 325 000 + 297 000 = 622 000

W4. 75 000 + 100 000 + 60 000 = 235 000

W5. 60 000 + 70 000 + 45 000 = 175 000

W6. 20 000 + 30 000 + 20 000 = 70 000

W7. Impairment loss on property

	R
• Carrying amount	120 000
• Contract price	(105 000)
	15 000

W8. (15 000 + 20 000 + 3 000) x 30% =11 400

W9. Tax effect of loss of discontinuance

		Tax saving @ 30%	
	Accounting R	**Current R**	**Deferred R**
Estimated direct costs of discontinuance (temporary difference)	(3 000)	-	900
Severance pay (not deductible expenses)	(20 000)	-	-
Fines (not deductible)	(3 000)	-	-
	(26 000)		900
Actual direct cost of discontinuance	(4 500)	1 350	-
Impairment loss on assets (not deductible)	(15 000)	-	-
	(45 500)	1 350	900
Tax effect on operating loss (10 000 x 30%)		3 000	
		4 350	

W10. Tax on continuing operations

	20.4	**20.3**
	R	**R**
Profit before tax	228 000	220 000
Temporary differences	-	-
Non-taxable/non-deductible differences	-	-
	228 000	220 000
Tax @ 30%	68 400	66 000
STC	6 250	5 000
	74 650	71 000
OR		
Given	69 900	67 500
Tax on interest	(4 500)	(4 500)
Saving on operating loss of discontinuing operations (10 000 x 30%)	3 000	3 000
	68 400	66 000
STC	6 250	5 000
Total tax	74 650	71 000

SECTION D - ADDITIONAL QUESTIONS

QUESTION 17.3 (45 marks - 68 minutes)

Microhard Ltd owns an 80% interest in Packard Ball Ltd, a company that manufactures and sells computer equipment. Packard Ball Ltd has two branches, which are situated in Bloemfontein and George respectively. The following extract was taken from the two companies' trial balances at 30 September 20.9:

	Microhard Ltd	**Packard Ball Ltd**
	R	**R**
Income	1 000 200	950 000
Cost of sales	521 000	323 000
- Including depreciation on plant	120 000	67 000
Operating costs	333 000	236 000

Additional information

1. The SARS allows the following section 12C allowances on plant for the year ended 30 September 20.9:

Microhard Ltd	-	R135 000
Packard Ball Ltd	-	R72 000

2. Packard Ball Ltd's Bloemfontein branch has been generating operating losses for a considerable period of time. On 30 June 20.9 the company's directors approved a detailed formal plan for the discontinuance of this branch. It is expected that the discontinuance will be completed by 30 November 20.9. The Bloemfontein branch was previously reported in the Free State geographical segment.

3. The following information, which is included in the given trial balance figures, relates to the Bloemfontein branch:

	1/7/20.9-30/9/20.9	**1/10/20.8-30/6/20.9**
	R	**R**
Income	105 000	240 000
Cost of sales	43 000	102 000
Operating costs	77 000	121 000
- Including direct costs of discontinuance paid (not tax deductible)	28 000	-

4. The closing of the Bloemfontein branch necessitates the dismissal of five employees. The termination benefits of these employees are estimated at R230 000 and will be paid on 15 October 20.9.

5. The Bloemfontein branch leases certain manufacturing machinery. Due to the closure of the branch it is necessary to end the lease agreement prematurely, and consequently an estimated fine of R89 000 has to be paid on 15 October 20.9.

6. On 31 August 20.9 a sale agreement for an once off sale, was entered into in respect of all the assets of the Bloemfontein branch. All necessary criteria for classification as held for sale are met on this date. The proceeds of all the assets is receivable on 15 October 20.9, and is as follows:

	Selling price R			
Land	80 000	(Fair value 1/10/20.8	-	R100 000)
Factory building	280 000	(Fair value 1/10/20.8	-	R180 000)
Office building	250 000	(Carrying amount 31/8/20.9	-	R220 000)
Plant	190 000	(Cost 1/10/20.7)	-	R240 000)
Inventory	45 000	(Cost 15/6/20.9)	-	R 60 000)

On 31 August 20.9 the current liabilities amount to R60 000, current liabilities and the provisions for the discontinued operation will be taken over at their carrying amounts.

7. The land and factory buildings are classified as investment properties, and are accounted for by means of the fair value model. The fair value of the land and buildings on 30 September 20.8 was R100 000 and R280 000 respectively. The fair value on 30 September 20.9 was R80 000 and R280 000 respectively. The fair value adjustment in respect of land has not yet been accounted for. The decline in the value of the land is due to the closure of the branch. The SARS however allows a building allowance of 5% per annum on the factory building which cost R180 000 on 1/10/20.0. Plant is depreciated at 10% per annum on the straight-line basis, while a section 12C allowance is granted at 20% per annum.

8. The SARS does not regard fines and termination benefits to be incurred in the production of income. However, expected losses on the sale of inventory are regarded as a write-down to net realisable value for tax purposes.

9. Microhard Ltd received a dividend of R30 000 during the year on a listed investment, while a dividend of R80 000 was declared by the company on 30 September 20.9.

10. There are no temporary or non-taxable/non-deductible differences other than those evident from the question.

11. Taxation is charged at 30% and secondary tax on companies at 12,5%. Fifty percent of Capital gains (losses) must be included in the taxation calculation. Both companies expect to realise capital gains in the foreseeable future.

REQUIRED

Prepare the consolidated statement of comprehensive income of Microhard Ltd and its subsidiary for the year ended 30 September 20.9 and prepare the following notes:

1. Discontinued operation;
2. Non-current assets held for sale:
3. Taxation (the tax rate reconciliation is not required).

Comparatives are not required.

(University of Pretoria - adapted)

QUESTION 17.3 - Suggested solution

MICROHARD LTD AND ITS SUBSIDIARY

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 SEPTEMBER 20.9

	R	
Continuing operations		
Revenue [W1]	1 605 200	(2)
Cost of sales [W2]	(699 000)	(2)
Gross profit	906 200	
Other income *(Dividends received)*	30 000	(½)
Other expenses [W3]	(371 000)	(1)
Profit before taxation	565 200	
Income tax expense	(166 810)	(½)
Profit for the period from continuing operations	398 390	
Discontinued operations		
Loss for the period from discontinued operation	(356 300)	(1)
Total comprehensive income for the period	42 090	
Attributable to:		
Equity holders of the parent	58 890	
Minority interest [W8]	(16 800)	(5)
	42 090	
		13

NOTES FOR THE YEAR ENDED 30 SEPTEMBER 20.9

1. Discontinued operation

	Gross R	Tax R	Net R	
Income (105 000 + 240 000)	345 000			(1)
Cost of sales (43 000 + 102 000)	(145 000)			(1)
Gross profit	200 000			
Other expenses (77 000 + 121 000 – 28 000)	(170 000)			(1)
Profit from discontinued operation	30 000	(9 000)	21 000	(1)
Direct costs	(28 000)	-	(28 000)	(1)
Termination benefits	(230 000)	-	(230 000)	(1)
Fines	(89 000)	-	(89 000)	(1)
Impairment losses:				
- Land	(20 000)	3 000	(17 000)	(1)
- Plant [W4]	(4 000)	1 200	(2 800)	(2)
Write-down of inventory	(15 000)	4 500	(10 500)	(1)
Loss for the period	(356 000)	(300)	(356 300)	
				11

2. Non-current assets classified as held for sale

On 31 August 20.9 Microhard Ltd entered into an once off sale agreements to sell all the assets of the Bloemfontein branch on 30 November 20.9. This decision was taken since the branch has been generating losses for a considerable period of time. The results of the branch had previously been reported in the Free State geographical segment. The disposal group will be settled in cash on 15 October 20.9. Remeasurement to selling price resulted in an impairment loss of R24 000. The assets and liabilities to be disposed of are as follows:

		(5½)
	R	
Assets	80 000	(½)
Land	280 000	(½)
Factory building	220 000	(½)
Office building	190 000	(½)
Plant	45 000	(½)
Inventory	815 000	
Liabilities		
Current liabilities (given	60 000	
Provision for discontinuance cost (230 000 + 89 000)	319 000	
	379 000	
		8

3. Taxation

	R	
SA normal taxation	160 860	(12)
Current (162 360 – 6 000) [W5/W6]	156 360	
Deferred (6 300 – 1 800) [W5/W6]	4 500	
Secondary tax on companies [W7]	6 250	(1)
Total tax	167 110	
Less: Tax for discontinued operation (6 300 – 6 000)	(300)	
Tax per statement of comprehensive income for continuing operations	166 810	
		13
		45

WORKINGS

W1. 1 000 200 + 950 000 - (105 000 + 240 000) = 1 605 200

W2. 521 000 + 323 000 - (43 000 + 102 000) = 699 000

W3. Operating costs

Microhard Ltd	333 000
Packard Ball Ltd	236 000
Bloemfontein (77 000 + 121 000)	(198 000)
	371 000

W4. Impairment loss - plant

Cost		240 000	
Depreciation	20.8 (240 000 x 10%)	(24 000)	
	20.9 (240 000 x 10% x 11/12)	(22 000)	
		194 000	
Selling price		190 000	
		4 000	

W5. Taxation - continuing operations

Profit before taxation	565 200	
Non-taxable/non-deductible differences		
Dividends received	(30 000)	[1]
Temporary differences	6 000	
Depreciation - plant (120 000 + 67 000 - 22 000[W4])	165 000	[1]
Sec 12C - plant [135 000 + 72 000 - (240 000 x 20%)]	(159 000)	[1]
Taxable income	541 200	
Current tax (541 200 x 30%)	162 360 dr	[½]
Deferred tax (6 000 x 30%)	1 800 cr	[½]
		[4]

W6. Taxation - discontinued operation

Loss before taxation	(356 000)	
Non-taxable/non-deductible differences		
Direct costs	28 000	[½]
Termination benefits	230 000	[½]
Fines	89 000	[½]
Impairment loss - land	20 000	[½]
Temporary differences	(31 000)	
Depreciation - plant [W4]	22 000	[1]
Sec 12C - plant (240 000 x 20%)	(48 000)	[1]
Impairment loss - plant [W4]	4 000	[1]
Building allowance (180 000 x 5%)	(9 000)	[1]
Loss	(20 000)	
Current tax benefit (20 000 x 30%)	(6 000)	[½]
Deferred tax (31 000 x 30%)	9 300	[½]
Deferred tax on loss on sale of land (20 000 x 50% x 30%)	3 000	[1]
Total for deferred tax	6 300	
		[8]

W7. (80 000 - 30 000) x 12,5% = 6 250

W8. Minority interest

	R	
Packard Ball Ltd		
Revenue	950 000	[½]
Cost of sales	(323 000)	[½]
Operating costs	(236 000)	[½]
	391 000	[½]
Taxation (391 000 + 28 000*) x 30%	(125 700)	
Profit after taxation	265 300	[1]
Direct cost and impairment loss not yet accounted for in the above		[½]
(230 000 + 89 000 + 17 000 + 2 800 + 10 500) (note 1)	(349 300)	[1]
Loss	(84 000)	
Minority interest (84 600 x 20%)	16 800	[½]
		[5]

* The amount of R28 000 (not for deductible) is directly included in the operating cost of R236 000.

QUESTION 17.4 (35 marks - 53 minutes)

Alpha Ltd acquired a 70% interest in the equity shares of Omega Ltd at incorporation at par. Omega Ltd manufactures and distributes men's clothing.

The following abridged trial balances of the two companies are submitted to you on 31 December 20.7:

	Alpha Ltd R	Omega Ltd R
DEBITS		
Fixed property at cost	-	62 000
Plant and equipment at carrying amount	-	100 000
Investment in Omega Ltd	136 500	-
Debtors	-	57 000
Inventory	-	92 000
Bank	88 000	117 000
Operating expenses	-	288 000
	224 500	716 000
CREDITS		
Share capital	84 500	195 000
Retained earnings (1/1/20.7)	140 000	25 300
Deferred taxation @ 30%	-	9 000
Creditors	-	15 900
Gross profit	-	470 800
	224 500	716 000
Income		785 000

Additional information

1. The board of directors of Omega Ltd decided on 15 March 20.7 to check the accounting information of one of its distribution branches in the Eastern Cape on a fortnightly basis due to the weak results generated by the branch. The branch had previously been reported in the Eastern Cape geographical segment.

2. The discontinuance of the operations of the branch was approved and announced on a directors' meeting on 1 October 20.7. The disposal date is 31 March 20.8 and all necessary criteria for classification as held for sale are met.

3. Information relating to the branch:

	Actual information for 20.7		Budget for 20.8
	1/1 – 30/9 R	1/10 - 31/12 R	1/1 - 30/3 R
Income	91 500	29 000	-
Gross profit	31 000	9 100	-
Operating expenses	25 700	15 700	-
Other expenses related to closure (tax deductible)			7 500

Depreciation on plant and equipment is included in operating expenses up to and including 31 December 20.7.

4. Details of plant and equipment of Omega Ltd are as follows:

	Continuing Operations		Branch	
	Carrying amount	**Taxation base**	**Carrying amount**	**Taxation base**
	R	**R**	**R**	**R**
Balance 1 January 20.7	108 000	81 000	12 000	9 000
Depreciation for year	(18 000)	(16 200)	(2 000)	(1 800)
1 January to 30 September			1 500	
1 October to 31 December			500	
Balance 31 December 20.7	90 000	64 800	10 000	7 200

5. Per sales agreements concluded the assets of the branch set out below will be taken over in cash on 31 March 20.8 at the following values:

	Carrying amount 31 Dec 20.7	**Selling price**
	R	**R**
Fixed property (Cost R30 000)	16 000	25 000
Inventory	23 000	21 500
Plant and equipment (Cost R20 000)	(see point 4)	8 000
Creditors	4 000	4 000

6. An agreement was entered into with a factoring house to take over debtors of the branch at R15 000. The total debtors of the branch (included in debtors on the statement of financial position) amount to R18 300, but R3 300 was not acceptable to the factoring house as recoverability was doubtful. The doubt relating to the recoverability is a direct result of the decision to discontinue. The R3 300 will not be allowed for taxation purposes. Payment for the factored debtors will presumably take place in February 20.8.

7. Taxation at 30% should still be provided for both companies. Ignore secondary tax on companies.

8. Severance pay to personnel paid as a result of closure is estimated at R25 000, while the fines relating to cancelling lease agreements are estimated to amount to an additional R3 000.

   There is no tax benefit on the Severance pay and fines. The reason is that the South African Revenue Service will not allow the provision as a deduction.

9. A dividend of R40 000 should still be provided in the books of Omega Ltd.

REQUIRED

Prepare the consolidated statement of comprehensive income of Alpha Ltd and its subsidiary for the year ended 31 December 20.7. Only notes relating to the discontinued operation and taxation (excluding tax rate reconciliation) in the statement of comprehensive income are required.

Ignore comparative figures. Show calculations to the nearest RAND.

(University of Pretoria - adapted)

QUESTION 17.4 - Suggested solution

ALPHA LTD AND SUBSIDIARIES

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 20.7

	Note	R	
Continuing operations			
Revenue (785 000 – 91 500 – 29 000)		664 500	(1)
Cost of sales		(233 800)	
Gross profit (470 800 – 31 000 – 9 100)		430 700	(1)
Other expenses (288 000 – 25 700 – 15 700)		(246 600)	(1)
Profit before tax		184 100	
Income tax expense	3	(55 230)	(½)
Profit for the period from continuing operations		128 870	
Discontinued operation			
Loss for the period from discontinued operation		(39 910)	(1)
Total comprehensive income for the period		88 960	
Attributable to:			
Equity holders of the parent		62 272	
Minority interest [W4]		26 688	(2)
		88 900	

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.7

1. Discontinued operation

	Gross R	Tax R	Net R	
Revenue (91 500 + 29 000)	120 500			(1)
Cost of sales (balancing)	(80 400)			(1)
Gross profit (31 000 + 9 100)	40 100			
Other expenses (25 700 + 15 700 – 500[a])	(40 900)			(2)
Loss from discontinued operation	(800)	240	(560)	(1)
Doubtful debts	(3 300)	-	(3 300)	(1)
Direct expenses	(7 500)	2 250	(5 250)	(1)
Severance pay	(25 000)	-	(25 000)	(1)
Fines	(3 000)	-	(3 000)	(1)
Impairment loss				
- Plant (12 000 – 1 500 – 8 000)[W3]	(2 500)	750	(1 750)	(2)
Write-down of inventory	(1 500)	450	(1 050)	(1)
	(43 600)	3 690	(39 910)	

[a] Add back depreciation for 1 October – 31 December. When assets are classified as Held for sale in terms of IFRS 5 there is no depreciation charge.

2. Non-current assets classified as held for sale

On 1 October 20.7 Omega Ltd, a subsidiary of Alpha Ltd, discontinued the operations of a distribution branch and entered into sale agreements to sell all the assets. The decision was taken as a result of the weak results generated by the branch. The disposal date is 31 March 20.8. The results of the branch had previously been reported in the Eastern Cape geographical segment. The assets will be settled in cash on 31 March 20.8. Remeasurement to selling price resulted in an impairment loss of R2 500. The assets and liabilities to be disposed of are as follows: (5½)

	R	
Assets		
Fixed property	16 000	(½)
Plant and equipment	8 000	(1)
Inventory	21 500	(½)
Debtors	15 000	(½)
Liabilities		
Creditors	4 000	(½)
Provisions (25 000 + 3 000)	28 000	(1)

3. Taxation

	R	
SA normal		
• Current (55 770 – 330 – 450) [W1] [W2]	54 990	(5)
• Deferred (90 – 540 – 3 000) [W1] [W2]	(3 450)	(3)
Total tax	51 540	
Less Tax for discontinued operation (3 000 [W2] + 450 [W2] + 240 [W1])	3 690	(1)
Tax per statement of comprehensive income for continuing operations	55 230	
	Maximum	35

WORKINGS

W1. Tax calculation on operating profit

	Discon-tinued	Continu-ing
Profit/(loss)	(800)	184 100
Temporary differences	300	1 800
Wear and tear	(1 800)	(16 200)
Depreciation	1 500	18 000
Taxable income	(1 100)	185 900
Current tax @ 30%	330cr	55 770dr
Deferred taxation (P/L)		
(300 x 30%)	90dr	
(1 800 x 30%)		540cr
	240cr	55 230dr

W2. Loss on discontinuance - accounting and taxation

	R
Inventory write-down to net realisable value	(1 500)
Impairment loss on plant [W3]	(2 500)
Doubtful debts	(3 300)
Provisions (see note)	
• Other expenses - 20.8	(7 500)
• Severance pay	(25 000)
• Fines	(3 000)
Accounting loss	(42 800)
Non-deductible items	
• Doubtful debts	3 300
• Severance pay	25 000
• Fines	3 000
Loss after the above	(11 500)
Temporary differences	10 000
• Loss on plant	2 500
• Other expenses	7 500
Tax loss	(1 500)
SA normal taxation	
- Current tax benefit (1 500 x 30%)	450cr
- Deferred (10 000 x 30%)	3 000cr

Note: No provision made for probable profit of R14 000 (R74 500 - R60 500) according to IAS 37 (AC 130).52.

W3. Plant and equipment-branch

	Accounting loss	Taxation loss
Balance 1/10/20.7 (12 000 – 1 500)	10 500	7 200
Selling price 31/3/20.8	8 000	8 000
Impairment loss	2 500	(800)

W4. Minority interest

Omega Ltd	
Gross profit	470 800
Operating expenses	(287 500)
	183 300
Taxation (182 800 x 30%)	(54 990)
Discontinued operation (39 910 – 560) (note. 2)	(39 350)
	88 960
88 960 x 30%	26 688

QUESTION 17.5 (50 marks – 75 minutes)

ASU Ltd is incorporated in South Africa and listed on the JSE Securities Exchange, South Africa. ASU Ltd is in the manufacturing and selling industries of plastic products and containers and has branches in Gauteng, Cape Town and Durban. The company's head office is situated in Midrand and the year-end of the company is 31 December.

During October 20.4, a new manufacturing process was introduced by one of ASU Ltd's subsidiaries MAC Ltd. MAC Ltd has the patent right on a new manufacturing process. The new process will enhance the quality of their product and the cost to manufacture these products will be reduced by 20%. MAC Ltd will pass the patent right on to ASU Ltd.

On 28 November 20.4 a directors' meeting was held, where the board of directors of ASU Ltd decided to implement a formal plan to start the new manufacturing process, order the new machinery and moulds, and to sell the old manufacturing machines and moulds during 20.5.

A task team was appointed on 31 March 20.5 to begin with an active marketing program to sell the old machines and moulds. On 31 March 20.5 an advertisement in respect of the piecemeal sales were placed in the newspaper (the respective prices of the assets advertised are reasonable in relation to its current fair values). The minutes of the meeting clearly indicated that the two old machines and moulds must be sold before 15 January 20.6. The minutes also indicated that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn.

On 15 December 20.5 the task team identified a possible purchaser who was interested in buying both machines and the moulds at the following prices:

- Cape Town branch machine R1 125 000
- Gauteng branch machine R800 000
- All moulds R10 000 (in total)
- The cost to sell was Rnil

Negotiations with the purchaser commenced on that date and the contract was finalised on 23 December 20.5 after it was agreed that it would be signed by both parties on 1 February 20.6.

The following information is applicable to the machines and the moulds:

Property, plant and equipment is carried at historical cost, except for machinery that is revalued to net replacement value at the beginning of every third year. Revaluation surpluses are realised when the underlying asset is sold or withdrawn from use. Upon revaluation accumulated depreciation is netted off against the gross carrying amount of the asset.

The following information regarding the machinery and moulds is available:

	Machinery	**Moulds**
Depreciation rate	10% per annum, straight-line	20% per annum, straight-line
Wear and tear allowance	40:20:20:20 not reduced on a pro rata basis for part of the year	25% per annum, straight-line

The financial manager checked and extracted the following information from the asset register on 31 December 20.5.

Machine – Cape Town branch:	**R**
Cost (1 January 20.1)	1 000 000
Base cost valued by a qualified valuator, approved by SARS (1 October 20.1)	1 100 000
Tax base (1 January 20.5)	Nil
Revalued carrying amount on the net replacement cost (1 January 20.4)	1 400 000
Accumulated depreciation (1 January 20.5)	200 000
Fair value (1 January 20.5)	1 200 000
Fair value (31 March 20.5)	1 100 000
Moulds – Cape Town and Gauteng branches:	
Cost (1 January 20.1)	50 000
Tax base (1 January 20.5)	Nil
Fair value (1 January 20.5)	10 000
Fair value (31 March 20.5)	8 000
Machine – Gauteng branch:	
Cost (1 January 20.2)	1 000 000
Tax base (1 January 20.5)	200 000
Devaluation (impairment) (1 January 20.4)	90 000
Fair value (1 January 20.5)	621 250
Fair value (31 March 20.5)	510 000
Machine – Durban branch:	
Carrying amount: machinery (remaining useful life 6 years, no residual value) (1 January 20.5)	900 000
Carrying amount: moulds (remaining useful life 1 year, no residual value) (1 January 20.5)	10 000
Other information regarding Durban branch (excluding additional information):	
Inventories (30 April 20.5)	170 000
Account receivables (30 April 20.5)	440 000
Account payables (30 April 20.5)	130 000

From 31 December 20.4 to date, there was no change in residual values, for both the Cape Town and Gauteng branch machinery and moulds.

During November 20.4, the lease agreement regarding the manufacturing building of the Durban branch expired and the agreement cannot be renewed. A task team was appointed to investigate the feasibility of moving the plant to a new building. Due to the complexity of moving and installing the machinery , the result of the investigation indicated that it will not be feasible to move the assets of the Durban branch. The directors decided to expand the manufacturing operation of the Cape Town and Gauteng branches instead. On 30 April 20.5 the board of directors approved a detail formal plan for the discontinuance of the Durban branch, and on the same date made a public announcement.

A task team was appointed on 1 May 20.5 to begin with an active marketing plan to find a purchaser for the assets and liabilities of the branch. The selling price is reasonable in relation to the current fair value of the branch. On 1 May 20.5 the assets and liabilities of the Durban branch met all the criteria to be classified as a disposal group as required by IFRS 5 (AC 142).

On 15 May 20.5 the task team indicated that there is a guaranteed buyer who is interested in buying the disposal group at a total purchase price of R920 000. Cost to conclude the sale will amount to R10 000. On 15 May 20.5 an agreement was entered into according to which the buyer agreed to take over all assets and outstanding liabilities and it was agreed that it would be signed by all parties on or before 15 January 20.6.

The following information regarding the Durban branch is presented to you for the year ended 31 December 20.5:

The actual results of the Durban branch for the year ended 31 December 20.5 were as follows:

	1/1/20.5-31/4/20.5	**1/5/20.5-31/12/20.5**
	R	**R**
Revenue	300 000	150 000
Cost of sales	210 000	118 000
Operating expenses (including depreciation on machinery and moulds up to 30 April 20.5)	110 000	95 500
Finance cost	35 000	30 000

On 30 April 20.5, the financial manager of the Durban branch indicated that one of the debtors is in liquidation. An amount of R120 000 is outstanding and the liquidators indicated that the debt will be settled 50c in the rand.

On 30 April 20.5 the inventories sold amounted to R40 000 and the remaining inventories had a net realisable value of R90 000 that was also accepted by the South African Revenue Services. On 30 April 20.5 creditors have been paid an amount of R20 000. The purchaser will take over all creditors and outstanding provisions.

Additional information not included in the above results:

The actual direct cost of discontinuance for the year ended 31 December 20.5 amounts to R5 000, and the estimated direct cost of discontinuance for January 20.6, R3 000. The South African Revenue Service will allow the direct cost of discontinuance as a tax deduction.

The closing of the Durban branch necessitates the dismissal of three employees. The termination benefits of these employees are estimated at R180 000 and will be paid on 31 March 20.6.

The South African Revenue Services does not regard termination benefits to be incurred in the production of income and therefore does not allow the expense as a tax deduction. The inventory written-down will be allowed as a tax deduction.

Assume a normal taxation rate of 29%. Capital gains are taxed at 50% of the normal rate. There are no non-deductible expenses or any temporary differences other than those evident from the given information. You may assume that there will be sufficient taxable profit in the future to realise any normal tax and capital gains tax benefits.

It is ASU Ltd's accounting policy to present the analysis of the discontinued operation in the notes to the financial statements (IFRS 5 (AC 142).33(b)).

REQUIRED

		Marks
(a)	Discuss the classification of the disposal of the machines and moulds of the Cape Town and Gauteng branches. (Limit your answer to the change, if any, in the classification of the assets.)	9
(b)	Prepare all the relevant journal entries to account for the machines and moulds in respect of the Cape Town and Gauteng branches for the year ended 31 December 20.5, including deferred tax journals. Present the journal entries separately per asset. Narrations are not required.	21
(c)	Prepare the following notes to the financial statements :	
	• Non-current assets held for sale (only for discontinued operation);	10
	• Discontinued operation	10

NOTE:

Comparative amounts are not required.
Round all calculated amounts off to the nearest Rand.

QUESTION 17.5 - Suggested solution

(a) Can the piecemeal sale of machines be classified held for sale

1. ASU Ltd decided to dispose of the machines and moulds by way of a sale rather than through continued use. (½)

2. The assets is available for immediately sale and the sale is highly probable, as the board of directors of ASU Ltd has taken the decision to sell and a task team was appointed on 31 March 20.5 to begin an active program to sell the machines and moulds and an advertisement was placed in the newspaper immediately. (2)

3. The machine and mould must be actively marketed at a selling price that is reasonable in relation to its current fair value. On 31 March 20.5 advertisements were placed asking fair selling prices. (1½)

4. The sale should be completed within one year from the date of reclassification. On 15 December 20.5 the task team identified a possible purchaser and the contract was finalised on 23 December 20.5 that is within one year from 31 March 20.5, the date of reclassification as held for sale. (1)

5. Action required to complete the plan should indicate that it is unlikely that significant changes to the plan will be made or withdrawn. The directors indicated in their minutes of their meeting on 30 November 20.4 that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn. (1)

Conclusion

Although the decision was taken in November 20.4 that the machine and mould will be sold, all the criteria were only met on 31 March 20.5 and that should be the date of reclassification of the assets held for sale. (2)

Depreciation should only be provided for up to the date of reclassification on 31 March 20.5. (1)
9

(b) Journal entries

Machine Cape Town

	Dr R	Cr R	
31 March 20.5			
Depreciation	50 000		
Accumulated depreciation		50 000	(1½)
Provision for depreciation [W1]			
Asset held for sale [W1]	1 150 000		
Accumulated depreciation (200 + 50)	250 000		
PPE machine Cape Town		1 400 000	(1½)
Reclassification to held for sale			
Impairment [W1]	50 000		
Asset held for sale		50 000	(1)
Impairment provision with reclassification			

	Dr R	Cr R	
Deferred tax F/P [W1]	36 250		
Revaluation surplus		36 250	(2)
Correction of deferred tax after reclassification			
31 December 20.5			
Asset held for sale [W3]	25 000		
Impairment reversal		25 000	
Reversal of impairment Cape Town machine			
Deferred tax F/P [W3]	18 125		
Income tax expense (Deferred tax P/L) (14 500 + 7 250 - 3 625)		18 125	
Correction of deferred tax			

Machine Gauteng

	Dr R	Cr R	
Depreciation [W2]	22 188		
Accumulated depreciation		22 188	(2)
Provision for depreciation			
Asset held for sale [W2]	599 062		
Accumulated depreciation & impairment (290 000 + 88 750 + 22 188)	400 938		(2)
PPE machine		1 000 000	
Reclassification of asset			
Impairment P/L [W2]	89 062		
Asset held for sale		89 062	(1½)
Impairment provision on reclassification			
Deferred tax F/P	25 828		
Income tax expense (Deferred tax P/L) [W2]		25 828	(2)
Correction of deferred tax			
31 December 20.5			
Asset held for sale [W2]	179 062		
Impairment reversal		179 062	(1)
Reversal of impairment of Gauteng Machine			
Income tax expense (Deferred tax P/L) [W2]	51 928		
Deferred tax F/P		51 928	(1)
Reversal impairment correction (179 062 x 29%)			

Moulds

	Dr R	Cr R	
Depreciation [W3]	2 500		
Accumulated depreciation		2 500	(1)
Provision for depreciation			
Asset held for sale [W3]	7 500		
Accumulated depreciation (40 000 + 2 500)	42 500		
Asset moulds		50 000	(1½)
Reclassification of asset			
Deferred tax F/P [W3]	725		
Deferred tax P/L		725	(1)
Correction of deferred tax			
			21

(c) Note on discontinued operation

2. Discontinued operation

20.5	**Gross**	**Tax**	**Net**	
Revenue (300 + 150)	450 000			(1)
Cost of sales (210 + 118)	(328 000)			(1)
Gross profit	122 000			
Other expenses (110 000 + 95 500)	(205 500)			(1)
Finance cost (35 000 + 30 000)	(65 000)			(½)
Loss from discontinued operation	(148 500)	43 065[1]	(105 435)	(2)
Direct cost (5 000 + 3 000)	(8 000)	2 320[2]	(5 680)	(1½)
Severance pay	(180 000)	-	(180 000)	(1)
Loss on measurement of the disposal group to fair value [W2]	(126 667)	36 733[3]	(89 934)	(3)
	(463 167)	82 118	(381 049)	
				11
			Maximum	10

[1] 148 500 x 29% = 43 065
[2] 8 000 x 29% = 2 320
[3] 126 667 x 29% = 36 733

3. Non-current asset as held for sale (disposal group)

On 1 May 20.5 ASU Ltd discontinued the operation of the Durban branch and entered into a sale agreement on 15 May 20.5 to sell all assets and liabilities of the disposal group. The decision was taken as a result of the leasing contract of the premises of the Durban branch that expired. The assets will be sold on or before 15 January 20.6. Re-measurement to selling price resulted in an impairment loss of R126 667. (2½)

The asset and liabilities to be disposed of are as follows:

Current assets		
Machine [W4]	724 319	(2)
Mould [W4]	5 681	(2)
Account receivable [W4]	380 000	(1)
Inventories [W4]	90 000	(½)
	1 200 000	
Current liabilities		
Creditors and provision	290 000	(2½)
		10½
	Maximum	10

WORKINGS

W1. Machine - Cape Town

	Total	Reval.	Cost	Tax base	Temp	Deferred tax
Cost 1 January 20.1	1 000 000		1 000 000	1 000 000		
Depreciation	(100 000)		(100 000)	(400 000)		
CA 31/12/20.1	900 000		900 000	600 000	300 000	87 000
Depreciation/Wear & Tear	(100 000)		(100 000)	(200 000)	100 000	29 006
CA 31/12/20.2	800 000		800 000	400 000	400 000	116 000
Depreciation/Wear & Tear	(100 000)		(100 000)	(200 000)	100 000	29 000
CA 31/12/20.3	700 000		700 000	200 000	500 000	145 000
Revaluation	700 000	700 000	-	-	700 000	203 000
NRV 1 January 20.4	1 400 000	700 000	700 000	200 000	1 200 000	348 000
Depreciation / Wear & Tear	(200 000)	(100 000)	(100 000)	(200 000)	-	-
CA 31/12/20.4	1 200 000	600 000	600 000	0	1 200 000	348 000
Depreciation 31/3/20.5	(50 000)	(25 000)	(25 000)	-	(50 000)	(14 500)
Reclassification	1 150 000	575 000	575 000	0	1 150 000	333 500
Correction of deferred tax %				-	-	(36 250)
	1 150 000	575 000	575 000	0	1 150 000	297 250
Up to cost @ 29%	1 000 000					290 000
Up to base cost @ 0%	100 000					-
Above base cost @ 14,5%	50 000					7 250
Impairment 31/3/20.5	(50 000)	(50 000)	-	-	(50 000)	(7 250)
RA 31/3/20.5	1 100 000	525 000	575 000	0	1 100 000	290 000
Reversal-impairment (1 125 000 – 1 100 000)	25 000	25 000	-	-	-	3 625
RA 31/12/20.5	1 125 000	550 000	575 000	0	1 125 000	293 625

W2. Machine - Gauteng

		CA	TB	TD	DTL	
1 Jan 20.2	Cost	1 000 000	1 000 000			
Dec 20.2	Depreciation/wear and tear	(100 000)[1]	(400 000)[2]			
Dec 20.3		(100 000)[1]	(200 000)[3]			
1 Jan 20.4	Impairment	(90 000)[1]				
1 Jan 20.4		710 000	400 000	310 000	89 900[1]	
Depreciation 20.4 (710 000/8)						
Wear & tear 20.4		(88 750)	(200 000)	111 250	32 263	
31 December 20.4		621 250	200 000	421 250	122 163	[1½]
Depreciation 20.5 (621 250/7 x3/12) / Wear & tear		(22 188)	(200 000)	177 812	51 565	[½]
31 March 20.5		599 062	-	599 062	173 728	[1]
Impairment (599 062 – 510 000)		(89 062)		(89 062)	(25 828)	
Recoverable amount 31 March		510 000		510 000	147 900	
Impairment reversal (90 000 + 89 062)		179 062[5]		179 062	51 928	[1]
31 December 20.5		689 062		689 062	199 828	
						[1½]

[1] 1 000/10 = 100
[2] 1 000 x 40%
[3] 1 000 x 20%
[4] 1 000 x 20%
[5] 800 000 – 510 000 = 290 000 (but limited to 179 062 (90 000 + 89 062)

W3. Moulds

		CA	TB	TD	DTL	
Jan 20.1	Cost	50 000	50 000			
Depreciation (50/5 x 4)		(40 000)				
Wear & tear (50/4 x 4)			(50 000)			
Dec 20.4		10 000	-	10 000	2 900	
Depreciation (10 x 3/12)		(2 500)		(2 500)	(725)	[½] + [½]
		7 500		7 500	2 175	[½]

W4. Durban branch

	CA	Impair	CA after measure-ment	
Machine	900 000			
Depreciation (900/6 x 4/12)	(50 000)			
	850 000	(125 681)*	724 319	[1]
Mould	10 000			
(10 x 4/12)	(3 333)			
	6 667	(986)#	5 681	[1]
Account receivable (440 – 60)	380 000		380 000	[1]
Creditors (130 – 20 + 180)	(290 000)		(290 000)	[2½]
Inventories	90 000		90 000	[½]
	1 036 667			
Impairment (1 036 667 – 910 000)	126 667			[1]
Fair value (920 – 10)	910 000		910 000	[1]

* 850/856 667 x 126 667 = 125 681 [1]
\# 6 667/856 667 x 126 667 = 986 [1]

SECTION E - SPECIFIC OUTCOMES

After you have studied this study unit, you should be able to do the following:

1. Identify the purpose and scope of IFRS 5 (AC 142).

2. Define the definitions.

3. Apply the criteria to identify a non-current asset or disposal group as held for sale.

4. Apply the first rule on measurement of IFRS 5 (AC 142) to individual non-current assets and disposal groups to determine the carrying amounts of individual non-current assets or disposal groups immediately after being classified as held for sale.

5. Apply the measurement requirements of IFRS 5 (AC 142) to individual non-current assets and disposal groups to determine the fair value less costs to sell of individual non-current assets or disposal groups classified as held for sale.

6. Calculate the impairment loss arising on initial classification as held for sale of an individual non-current asset or disposal group and allocate the impairment loss according to the rules contained in IFRS 5 (AC 142).

7. Remeasure an individual asset or disposal group subsequently and account for the additional impairment loss or reversal of impairment loss according to the rules contained in IFRS 5 (AC 142).

8. Present and disclose non-current assets held for sale and disposal groups as well as associated statement of comprehensive income items according to IFRS 5 (AC 142).

9. Disclose discontinued operations on the face of the statement of comprehensive income and in the notes according to IRFS 5 (AC 142).

STUDY UNIT 18

LEASES

KEY ISSUE

This statement deals with the accounting treatment of both operating leases and finance leases in financial statements. Both leases should be accounted for in the financial statements of lessees and lessors. The applicable taxation implications should also be considered since it will influence the current as well as the deferred tax calculations.

KEY CONCEPTS

The following key concepts are fundamental to this study unit:

1. The classification of leases.
2. The recognition and measurement of operating leases.
3. The recognition and measurement of finance leases.
4. Accounting for sale and leaseback transactions.
5. The presentation and disclosure of leases in financial statements.

STUDY MATERIAL

You must study the following **before** you attempt the questions in this study unit:

1. The applicable chapter on leases in:

   Descriptive Accounting, 13th edition

   or

   GAAP Handbook 2009.

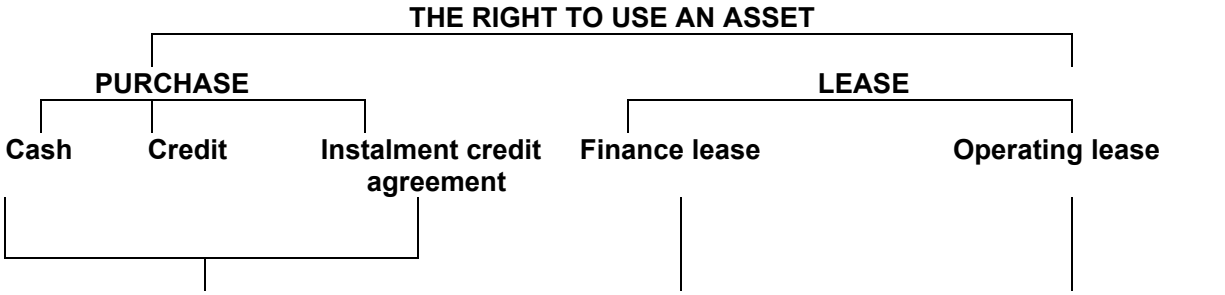
You are also required to study the following:

1. IAS 17 (AC 105). Leases. Revised 2004.
2. IFRIC 4 (AC 437). Determining whether an arrangement contains a lease.
3. SIC 15 (AC 415). Operating leases – Incentives.
4. SIC 27 (AC 427). Evaluating the substance of transactions involving the legal form of a lease.
5. Circular 12/2006. Operating leases.

SECTION A - ADDITIONAL INFORMATION

1. CLASSIFICATION OF LEASES

The classification of leases can be summarised as follows:



- Ownership transferred
- Risks and rewards transferred

- No ownership
- Risks and rewards transferred

Lessee
- Capitalise asset
- Create long-term obligation
- Write off finance cost and depreciation
- Initial direct cost forms part of capitalised asset's cost

Sale and leaseback
- Not a sales transaction in sub-stance. (Lessee gives asset as security to obtain funds)
- Carrying amount of asset adjusted to selling price
- Create long-term liability
- Write off depreciation and finance cost
- Amortise deferred income

Lessor
- Remove asset
- Investment in lease debtors
- Recognise finance income
- Recognise profit/loss on dis-posal if asset was previously owned
- Include initial direct costs in initial measurement of finance lease receivable and reduce income recognised over the lease term. Interest rate should reflect this.

- No ownership
- Risks and rewards not transferred

Lessee
- Recognise lease expense
- Create asset/liability to accomplish matching of lease expense and related income
- No asset

Sale and leaseback
- Recognise sale and remove asset
- Sales price is market related, recognise profit or loss imme-diately
- Sale price is *not* market related, recognise profit or loss and defer irrelevant profit or loss
- Recognise lease expense

Lessor
- Recognise lease income
- Cost to earn income = expense
- Add initial direct costs to the carrying amount of the leased asset and recognise as an expense over the lease term on the same basis as lease income.
- Keep asset

Please study the applicable chapter on leases in GAAP Handbook 2009 OR Descriptive Accounting 13th edition before you attempt the questions in this study unit.

2. VAT AND TAXATION IMPLICATION

Accounting for value added taxation (VAT)

Please refer to your textbooks for detail examples:

GAAP Handbook 2009 (Volume 1)

Chapter 10
Pages 222-224

Descriptive Accounting 13th Edition

Chapter 12
Pages 249-251 and 270-273

Summary of taxation:

	PURCHASE	LEASE	
	(Instalment credit agreement)	**Finance lease**	**Operating lease**
Lessee:			
Accounting deductions	- Depreciation - Finance costs	- Depreciation - Finance costs	- Lease payment (possibly adjusted for matching purposes)
Tax deductions	- Wear and tear - Finance costs	- Instalment (note VAT influence)	- Actual lease payment
		Sale and leaseback	**Sale and leaseback**
Accounting deductions		- Depreciation - Finance costs - At times an accounting profit/loss on disposal	- Lease payment (possibly adjusted for matching purposes) - Accounting profit/loss with sale - Actual lease payment
Tax deductions		- Instalment (note VAT influence) - Tax profit/loss with sale	- Actual lease payment - Tax profit/loss with Sale
Lessor:			
Accounting deductions		- Finance income - Manufacturer profit - Profit/loss if the asset was previously owned	- Lease income (possibly adjusted for matching purposes) - Depreciation
Tax deductions	- 100% profit - Finance income according to Sec 24	- Instalment (note VAT influence) - Wear and tear	- Actual lease receipts - Wear and tear

Refer to tutorial letter 102 on pages 126-131 for examples on the taxation of leases.

Please refer to your textbook for detail examples on taxation of leases:

GAAP Handbook 2009 (Volume 1)

Chapter 10
Pages 225-237

Descriptive Accounting 13th Edition

Chapter 12
Pages 248-253; 267-276; 279-283; 287-291

3. IFRIC 4 (AC 437) – DETERMINING WHETHER AN ARRANGEMENT CONTAINS A LEASE

Please refer to your textbooks:

GAAP Handbook 2009 (Volume 1)	**Descriptive Accounting 13th Edition**
Chapter 10 Pages 218-221	Chapter 12 Pages 302-305

4. SIC 27 (AC 427) – EVALUATING THE SUBSTANCE OF TRANSACTIONS INVOLVING THE LEGAL FORM OF A LEASE

Please refer to your textbooks:

GAAP Handbook 2009 (Volume 1)	**Descriptive Accounting 13th Edition**
Chapter 10 Pages 214-218	Chapter 12 Pages 299-302

5. FIXED RENTAL INCREASES – OPERATING LEASE (CIRCULAR 12/2006)

Please refer to your textbooks:

GAAP Handbook 2009 (Volume 1)	**Descriptive Accounting 13th Edition**
Chapter 10 Pages 190 and 193	Chapter 12 Pages 276-279

SECTION B - MULTIPLE CHOICE QUESTIONS AND SHORT QUESTIONS

18.1 Which one of the following statements relating to a finance lease is correct?

(1) Classification of a lease as a finance lease depends on the legal form of the transaction, rather than the substance of the contract.
(2) The guaranteed residual value is merely a deferred lease payment which is payable with the final payment, thus the accounting treatment is the same as for a lease payment.
(3) The lease payments are charged against income as they are incurred.

18.2 Which of the following statements are correct?

(1) A finance lease resulting from a sale and leaseback does not give rise to the recognition of a profit or loss on the sale of the asset.
(2) An operating lease resulting from a sale and leaseback does not give rise to the immediate recognition of a profit or a loss on the sale of the asset.
(3) The effective interest rate method is the only acceptable method to separate between the capital and interest components of finance lease payments.

18.3 Correct or not correct? Leases are accounted for as finance leases if:

(1) The lease term is for a period more than half of the economic life of the asset even if title is not transferred.
(2) The lease agreement transfer ownership of the asset to the lessee at the end of the lease term.
(3) The lease agreement contains an option to purchase the leased asset at a price which is sufficiently lower than the expected open market value at the date the purchase option becomes exercisable and the exercise of the option is reasonably assured.

18.4 Which one of the following statements relating to a finance lease by manufacturers or dealer lessors is correct?

(1) Three parties are involved namely; lessee, lessor and long-term creditor.
(2) Selling profit or loss is included in income in accordance with the policy normally followed by the enterprise for outright sales.
(3) Costs, including depreciation, incurred in earning the rental income are charged to income.

Questions 18.5 to 18.8 relate to the following information:

H Ltd manufactures machine Z. In order to rectify a decreasing sales volume, it was decided to sell machine Z in terms of finance lease agreements in future. An aggressive campaign was launched and it was decided that finance lease financing will take place at an interest rate of 14,594% per annum. The normal rate at which similar transactions is currently financed is 16% per annum.

The following information relates to a lease agreement entered into on 1 January 20.2:

Normal selling price	=	R22 000 (including VAT)
Cost	=	R17 000 (excluding VAT)
Finance lease instalment	=	R6 500 payable annually in arrears commencing 31 December 20.3
Finance lease period	=	5 years

At the end of the lease period the lessee may buy the asset for R1.

The South African Revenue Services grants a wear and tear allowance of 20% per annum on the straight-line basis.

Assume a tax rate of 30%.

The financial year-end of H Ltd is 31 December.

18.5 The profit on the sales transaction for the year ended 31 December 20.3 that is recognised by H Ltd is:

(1) R5 000
(2) R2 298
(3) R1 581
(4) R4 283

18.6 The finance income recognised by H Ltd for the year ended 31 December 20.3 is:

(1) R3 405
(2) R3 106
(3) R2 828
(4) R3 210

18.7 The wear and tear granted by the South African Revenue Services for 20.3 is:

(1) R3 400
(2) R3 876
(3) R3 940
(4) R4 400

18.8 The balance of the deferred tax account on 31 December 20.3 amounts to:

(1) R728 dr
(2) R728 cr
(3) R1 656 cr
(4) R1 533 cr

Questions 18.9 to 18.12 relate to the following information:

AK Ltd purchased a vehicle for its managing director as part of his benefits on 1 January 20.2 at a value of R798 000 (VAT included).

This purchase was financed by way of an instalment sale agreement on the following conditions:

- Deposit R124 233,00.
- Three equal payments are payable on 31 December of each year, beginning on 31 December 20.2.
- The effective interest rate is 16% per annum.
  Tax rate is 30%.
  Wear and tear allowance is 20% per annum on the diminishing balance method.
  Depreciation is 20% per annum on the diminishing balance method.

18.9 The annual payment amounts to:

(1) R355 316
(2) R300 000
(3) R256 365
(4) R311 680

18.10 The wear and tear allowance for the year ended 31 December 20.3 amounts to:

(1) R127 680
(2) R112 000
(3) R107 803
(4) R159 600

18.11 The finance charges for the year ended 31 December 20.4 amounts to:

(1) R77 051
(2) Nil
(3) R41 379
(4) R127 680

18.12 The long-term portion of this installment sale agreement balance as at 31 December 20.2 amounts to:

(1) R673 767
(2) R222 949
(3) R481 570
(4) R258 621

Questions 18.13 to 18.16 relate to the following information:

A company decides to dispose of its manufacturing machine at R800 000 on 31 October 20.2 and lease it back immediately for a minimum period of six years. The open market value of the machine is R650 000 and the carrying amount R600 000. The leaseback is considered to be an operating lease. Lease payments amount to R150 000 annually, payable in arrears. The deferred profit is amortised on a time basis and the financial year-end is 31 December.

18.13 The amount to be recognised immediately as a profit in the statement of comprehensive income is:

(1) R200 000
(2) R150 000
(3) R50 000
(4) None, the full amount should be deferred.

18.14 The amount credited as deferred profit on date of sale is:

(1) R500 000
(2) R250 000
(3) R150 000
(4) R200 000

18.15 The part of the deferred profit to be recognised in the statement of comprehensive income for the year ended 31 December 20.2 is:

(1) R8 333
(2) R25 000
(3) R37 500
(4) R4 167

18.16 The amount to be shown as operating lease payment in the statement of comprehensive income for the year ended 31 December 20.2 is:

(1) R150 000
(2) R25 000
(3) R145 833
(4) R20 833

Questions 18.17 and 18.18 relate to the following information:

A company lease an asset under a finance lease agreement as follows:

Cash price R44 868,52

Three lease payments of R18 000 are payable annually in arrears, with an unguaranteed residual value at the end of the three years of R10 000.

18.17 The effective interest rate per annum is:

(1) 25,52%
(2) 9,87%
(3) 18,46%
(4) 17,45%

18.18 The amount credited to unearned finance charges originally is:

(1) R9 131,48
(2) R19 131,48
(3) R34 868,52
(4) R8 282,73

18.19 What should be considered when classifying a lease of land and buildings?

18.20 How should initial direct costs be accounted for in the case of a finance lease?

18.21 Distinguish between the inception date and the commencement date of a lease.

SUGGESTED SOLUTIONS TO MULTIPLE CHOICE QUESTIONS AND SHORT QUESTIONS

18.1 (1) The accountancy treatment of finance leases should be in agreement with the accounting concept of substance over form, i.e. treated as if the asset were acquired at the signing of the finance lease agreement. The legal form would be irrelevant in this decision.
✓ (2) Correct.
(3) Finance lease payments compromise a capital redemption portion and a portion relating to finance charges.

18.2 ✓ (1) Correct.
(2) Refer IAS 17 (AC 105).55.
(3) Any systematic basis can be used. IAS 17 (AC 105).26 and IAS 17 (AC 105).39.

18.3 (1) The lease term should be for the major part of the economic life of the asset. IAS 17 (AC 105).10. More than half of the economic life is not seen as the major part.
✓ (2) Correct. IAS 17 (AC 105).10(a).
(3) Refer IAS 17 (AC 105).10(b).

18.4 (1) Not correct.
✓ (2) Correct. Refer IAS 17 (AC 105).42.
(3) Costs can be recognised as an expense against the income, but doesn't include depreciation. Refer IAS 17 (AC 105).38.

18.5 ✓ (3) R1 581. If artificially low rates of interest are quoted, selling profit is restricted to that which would apply if a commercial rate of interest were charged. The present value should be adjusted with the VAT on the normal selling price.

	R
Present value (n =5; i = 16; PMT = 6 500; Comp PV)	21 283
VAT normal (22 000 x 14/114)	(2 702)
	18 581
Cost	17 000
Profit with sale	1 581

18.6 ✓ (1) R3 405

	R
Present value of future minimum payments	21 283
Interest @ commercial rate (R21 283 x 16%)	3 405

18.7 ✓ (3) R3 940

It is practice of SARS to include the full lease instalment (VAT included) in the lessor's taxable income. On the other hand the VAT charged in the lease agreement is added to the cost of the asset for purposes of calculating the wear and tear allowances.

	R
Cost	17 000
VAT charged	2 702
	19 702
Wear and tear @ 20%	3 940

18.8 ✓ (2) R728 (cr)

	R
Net investment end of year	18 188
Tax base (19 702 - 3 940)	15 762
Temporary difference	2 426
Deferred taxation @ 30%	728cr

OR

	R	R
Accounting movements for the year:		
• Profit on sale	1 581	
• Finance charges	3 405	4 986
Taxation movements for the year:		
• Lease income	6 500	
• Wear and tear	(3 940)	2 560
Temporary difference		2 426
Deferred taxation movement @ 30%		728cr

18.9 ✓ (2) R300 000

PV	=	673 767 (798 000 - 124 233)
i	=	16%
n	=	3 years
PMT	=	?

18.10 ✓ (1) R127 680

	R
Base amount (VAT not claimed)	798 000
Wear and tear 20.2 (798 000 x 20%)	159 600
	638 400
Wear and tear 20.3 (638 400 x 20%)	127 680
	510 720

18.11 ✓ (3) R41 379

Amortisation table

Date	Instal-ment	Interest	Capital	Balance
				798 000
1 January 20.2	-	-	124 233	673 767
31 December 20.2	300 000	107 803	192 197	481 570
31 December 20.3	300 000	77 051	222 949	258 621
31 December 20.4	300 000	41 379	258 621	-
	900 000	226 233	798 000	

18.12 ✓ (4) R258 621

	R
Outstanding balance 31 December 20.2 (see amortisation table above)	481 570
Payable in 20.3	222 949
Long-term portion	258 621

18.13 ✓ (3) R50 000, amount to open market.

18.14 ✓ (3) R150 000, amount above open market.

18.15 ✓ (4) R4 167

150 000/ 6 years x 2/12 = R4 167

18.16 ✓ (4) R150 000 x $\frac{2}{12}$ = R25 000 - R4 167 = R20 833

18.17 ✓ (3) 18,46%

PV	=	R44 868,52
n	=	3 years
PMT	=	(R18 000,00)
FV	=	(R10 000,00)
i	=	18,46%

18.18 ✓ (2) R19 131,48

	R
Total payments: (18 000 x 3) + 10 000	64 000,00
Cash price	44 868,52
	19 131,48

18.19 Classification of leases

When classifying a lease of land and buildings, an entity normally considers the land and buildings elements separately. The minimum lease payments are allocated between the land and buildings elements in proportion to the relative fair values of the leasehold interests in the land and buildings elements of the lease. The land element is normally classified as an operation lease unless title passes to the lessee at the end of the lease term. The buildings element is classified as an operating or finance lease by applying the classification criteria in the Standard.

18.20 Initial Direct Costs – IAS 17 (AC 105).38 and .52

Lessors include in the initial measurement of finance lease receivables the initial direct costs incurred in negotiating a lease. This treatment does not apply to manufacturer or dealer lessors. Manufacturer or dealer lessors recognise costs of this type as an expense when the selling profit is recognised.

Initial direct costs incurred by lessors in negotiating an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as the lease income.

The standard does not permit initial direct costs of lessors to be charged as expenses as incurred.

18.21 The inception of the lease is the earlier of the date of the lease agreement and the date of commitment by the parties to the principal provisions of the lease. As at this date –

- a lease is classified as either an operating or a finance lease; and
- in the case of a finance lease, the amounts to be recognised at the commencement of the lease term are determined.

The commencement of the lease term is the date from which the lessee is entitled to exercise its right to use the leased asset. It is also the date of initial recognition of the lease (IAS 17 (AC 105).4).

SECTION C - QUESTION ON LEASES

The following question has been included to provide guidance on the approach to be followed when answering a comprehensive question on leases.

QUESTION 18.1 - Operating lease and finance lease (50 marks - 75 minutes)

On 1 July 20.4 Breakers Ltd concluded an agreement with a financier whereby office equipment would be leased to the company for a period of four years. On expiry of the agreement the assets will be returned to the lessor. The lease rentals are payable as follows:

	R
30 June 20.5	8 000 (Excl. VAT)
30 June 20.6	15 000 (Excl. VAT)
30 June 20.7	20 000 (Excl. VAT)
30 June 20.8	25 000 (Excl. VAT)

On 31 December 20.3 Breakers Ltd obtained plant and machinery in terms of a finance lease agreement, the details of which are as follows:

• Cost	R627 000 (Incl. VAT)
• Period of lease	5 years
• Instalments payable six-monthly in advance, commencing 31 December 20.3	R93 783
• Nominal interest rate, compounded six-monthly	21% per annum
• Residual value	R10 000

On 1 January 20.6 the interest rate increased to 22,5%.

Additional information

1. Breakers Ltd depreciates property, plant and equipment as follows:

Office equipment	10% per annum straight-line basis
Plant and machinery	20% per annum straight-line basis

2. Profit before taxation before taking the above lease transactions into account for the year ended 30 June 20.6 amounted to R785 000. There are no non-deductible/non-taxable or temporary differences other than those evident from the information given.

3. The tax rate is 30%.

4. Assume that it is beyond reasonable doubt that any debit balance on the deferred taxation account will be recovered.

5. Assume that the VAT input claimable in terms of the above transactions was fully recovered prior to year-end. Breakers Ltd is registered with the Revenue Authorities for VAT purposes.

REQUIRED

Disclose the above information in the statement of financial position and statement of comprehensive income of Breakers Ltd, together with all the relevant notes thereto, for the year ended 30 June 20.6. No accounting policies and comparative figures are required. Your answer should comply with Statements of Generally Accepted Accounting Practice.

HOW SHOULD I APPROACH THIS QUESTION?

1. According to the 'REQUIRED" part, the statement of financial position, statement of comprehensive income and all relevant notes are required. The taxation effect of the various lease transactions should thus also be calculated and disclosed. Please note that accounting policy notes and comparative amounts are NOT required.

2. The various lease transactions should first be classified as either an operating lease transaction or a finance lease transaction.

3. After classifying the lease transactions, calculate the carrying amounts of all assets and liabilities evident from the information, as well as related income and expense items.

   Operating lease: deferred lease payments/operating lease expenses
   Finance lease: property, plant and equipment capitalised and finance lease liability/ depreciation and finance charges.

4. Disclose the above-mentioned information in the statement of financial position, statement of comprehensive income and applicable notes.

5. Calculate the tax base of the above-mentioned assets and liabilities, temporary differences and deferred taxation. Calculate the current tax liability.

6. Disclose the current and deferred taxation in the statement of financial position, statement of comprehensive income and applicable notes.

WHAT THEORY DO I NEED?

1. Refer to the prescribed study material at the beginning of this study unit.

QUESTION 18.1 - Suggested solution

BREAKERS LTD

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 JUNE 20.6

	Notes	R	
Profit from operations [W2]		658 000	(3)
Finance costs (42 788 + 40 108) [W1]		(82 896)	(4)
Profit before tax	2	575 104	
Income tax expense	3	(172 531)	(1)
Profit for the year		402 573	
Other comprehensive income		0	
Total comprehensive income for the year		402 573	

BREAKERS LTD

STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 20.6

ASSETS			
Non-current assets			
Property, plant and equipment	5	275 000	(1)
Deferred tax	6	1 682	(1)
EQUITY AND LIABILITIES			
Non-current liabilities			
Interest-bearing borrowings	4	170 496	(1)
Deferred operating lease rentals [W6]		8 000	(2)
Current liabilities			
Current portion of interest-bearing borrowings	4	130 493	(1)
Accruals [W6]		3 000	(1)

BREAKERS LTD

NOTES FOR THE YEAR ENDED 30 JUNE 20.6

2. Profit before taxation

Profit before taxation is shown after taking the following items into account:

Operating lease rentals - office equipment [W2]	17 000	(1)
Minimum lease payments	15 000	(1)
Accruals	2 000	
Depreciation [W2]	110 000	(1)

3. Income tax expense

SA normal taxation		
Current [W4]	178 718	(3)
Deferred [W5]	(6 187)	(2)
	172 531	

4. Interest-bearing borrowings – finance lease

Secured by plant and machinery (refer to note 5). The interest rate was 21% per annum and increased to 22,5% per annum on 1 January 20.6. Breakers Ltd leased plant and machinery on 31 December 20.3 for a five year period. The lease agreement provides for instalments payable six-monthly in advance of R93 783 which increased to R95 633 on 1 January 20.6 as well as a guaranteed residual value of R10 000. The agreement does not provide for contingent rental payments. Ownership of the plant and machinery will pass to Breakers Ltd upon payment of the guaranteed residual value on 31 December 20.8. (5)

Reconciliation between the total minimum lease payments and their present value:

	Up to 1 year	**1-5 years**	**More than 5 years**	**Total**	
Minimum lease payments	191 266[1]	201 266[3]	-	392 532	
Finance costs	(60 773)[2]	(30 770)[4]	-	(91 543)	
Present value	130 493	170 496	-	300 989	(6)

(Refer to [W1] for amounts)

[1] 95 633 x 2 = 191 266
[2] 33 861 + 26 912 = 60 773
[3] (95 633 x 2) + 10 000 = 201 266
[4] 19 181 + 10 578 + 1 011 = 30 770

5. Property, plant and equipment

Plant and machinery (Capitalised leased asset)	**R**	
Carrying amount at beginning of year	385 000	(1)
Cost (627 000 x 100/114)	550 000	
Accumulated depreciation (550 000 x 20% x 1½)	(165 000)	
Depreciation [W2]	(110 000)	(1)
Carrying amount at end of year	275 000	(1)
Cost	550 000	
Accumulated depreciation	(275 000)	

The plant and machinery are held in terms of a finance lease agreement (refer to note 4). (1)

6. Deferred taxation

Finance lease (5 392 x 30%) [W5]	(1 618)	(6)
Operating lease (11 000 x 30%) [W5]	3 300	(2)
	1 682	

7. Operating leases

Breakers Ltd leases office equipment over a period of four years in terms of an operating lease agreement starting on 1 July 20.4. The lease agreement is not renewable at the end of the lease term and Breakers Ltd does not have the option to purchase these assets. The lease agreement does not impose any restrictions. (3)

Future minimum lease payments

The total future minimum lease payments are payable over the following periods:

	R	
Up to one year	20 000	(1)
1 to 5 years	25 000	(1)
More than 5 years	-	(1)
	45 000	
		52
	Maximum	50

WORKINGS

W1. Amortisation table

	Balance	Interest	Capital	Lease rental
31 December 20.3	627 000	-	93 783	93 783[b]
30 June 20.4	533 217	55 988[a]	37 795	93 783
31 December 20.4	495 422	52 019	41 764	93 783
30 June 20.5	453 658	47 634	46 149	93 783
31 December 20.5	407 509	42 788	50 995	93 783
30 June 20.6	356 514	40 108[d]	55 525	95 633[c]
31 December 20.6	300 989	33 861	61 772	95 633
30 June 20.7	239 217	26 912	68 721	95 633
31 December 20.7	170 496	19 181	76 452	95 633
30 June 20.8	94 044	10 578	85 055	95 633
31 December 20.8	8 989	1 011	8 989	10 000
		330 080	627 000	957 080

[a] 533 217 x 21% x 6/12 = 55 988

[b] Calculate the payment by using a SHARP EL-733A calculator.
Begin mode
PV = 627 000
n = 10
i = 21/2 = 10,5
FV = -10 000
∴ PMT = R93 783

[c] Calculation of payment with the change in the interest rate by using a SHARP EL-733A calculator.

Balance just before the interest rate changed on 31 December 20.5 = R356 514.

Change begin mode to end mode
Calculate the PV of R10 000 for 6 months @ 22,5%
- FV = -10 000
- i = 22,5%/2 = 11,25
- n = 1
∴ PV = R8 989

Then calculate the payment:
PV = 356 514
i = 22,5/2 = 11,25
n = 5
FV = -8 989
∴ PMT = R95 633

[d] 356 514 x 22,5% x 6/12 = 40 108

W2. Profit before taxation

Given	785 000	
Less: Operating lease rentals [(8 000 + 15 000 + 20 000 + 25 000)/4]	(17 000)	[2]
Depreciation on plant and machinery (627 000 x 100/114 x 20%)	(110 000)	[1]
	658 000	[3]

W3. Lease payments deductible for taxation purposes

	R
Finance lease	
Total VAT input (627 000 x 14/114)	77 000
20.4 [(93 783 x 2) - (93 783 x 2) / (77 000 x ((93 783 x 10) + 10 000))]	172 328
20.5 [(93 783 x 2) - (93 783 x 2) / (77 000 x 947 830)]	172 328
20.6 [(93 783 + 95 633) - (93 783 + 95 633) / (77 000 - 30 475[1]) x [(93 783 + (95 633 x 5) + 10 000)]]	174 273
20.7 [(95 633 x 2) - (95 633 x 2) / (46 525 x 581 948)]	175 975
20.8 [(95 633 x 2) - (95 633 x 2) / (46 525 x 581 948)]	175 975
20.9 [10 000 - 10 000 / (46 525 x 581 948)]	9 201
	880 080

Proof

Lease rentals [W1]	957 080
VAT	(77 000)
	880 080

[1] VAT input attributable to lease payments made to 30 June 20.5

$$\frac{(93\,783 \times 4)}{[(93\,783 \times 10) + 10\,000]} \times 77\,000 = 30\,475$$

W4. Taxation payable

Profit before taxation	575 104	
Temporary differences	20 623	
Operating lease rentals	2 000	[1]
Accounting [W2]	17 000	
Taxation	(15 000)	
Finance lease	18 623	[2]
Depreciation [W2]	110 000	
Finance costs [W1]	82 896	
Lease instalment [W3]	(174 273)	
Taxable income	595 727	
Current taxation @ 30%	178 718	
Deferred taxation (20 623 x 30%) - P/L	6 187	
		[3]

W5. Deferred taxation

	Carrying amount		Tax base	Temporary difference	
20.5					
Finance lease liability	407 509	[W1]	46 525[a]	360 984	[1]
Leased plant and machinery	(385 000)		-	(385 000)	[1]
Deferred operating lease rentals	9 000		-	9 000	[1]
				(15 016)Cr	
Deferred tax liability @ 30%				(4 505)Cr	[1]
20.6					
Finance lease liability	300 989		31 381[a]	269 608	[1]
Leased plant and machinery	(275 000)		-	(275 000)	[1]
Deferred operating lease rentals	11 000		-	11 000	[1]
				5 608 Dr	
Deferred tax asset @ 30%				1 682 Dr	[1]
Movement of statement of comprehensive income (4 505 + 1 682)				6 187 Cr	
					[8]

[a] Outstanding VAT input

20.5

$$\frac{[(93\,783 \times 6) + 10\,000]}{[(93\,783 \times 10) + 10\,000]} \times 77\,000 = 46\,525$$

20.6

$$\frac{[(95\,633 \times 4) + 10\,000]}{[93\,783 + (95\,633 \times 5) + 10\,000]} \times 46\,525 = 31\,381$$

W6. Deferred operation lease rentals

Lease payments charged to income (17 000 x 2) [W2]	34 000
Less: Lease payments made (8 000 + 15 000)	23 000
Total deferred operating lease rentals	11 000
Due within one year (20 000 - 17 000) - included with accruals	(3 000)
	8 000

COMMENT

1. This question illustrates a change in interest rate after the commencement date of the lease period. In this case the interest rate increased and therefore the lease rentals increased accordingly. When a change in interest rate occurs the total finance charges to be allocated to subsequent periods will change, but no adjustments are made to previously recorded amounts.

2. It is important to use the nominal interest rate (rate per agreement) when calculating interest which is not being paid/capitalised annually. Where interest is being paid/capitalised annually the effective and nominal interest rates are the same.

3. The application of VAT gives rise to further complications. Operating lease rentals include VAT on the whole rental. It is, however, claimed back by the vendor. The VAT paid is therefore not an expense for accounting or taxation purposes and should thus be eliminated when the real rental is calculated.

4. With a finance lease agreement the VAT is only levied on the capital amount of the asset acquired and not on the finance costs. The VAT calculated on the contract may be claimed back immediately and thus also represents no real expense for accounting or taxation purposes. The value of the asset capitalised in the books of the company, as well as the rental which is taken into account for taxation purposes, excludes VAT. The VAT component of the rental is calculated by multiplying the ratio of each lease payment to the sum of all the lease payments with the VAT that is claimed as an input credit. (Refer Section 23C(1) of the Income Tax Act).

   Note that if an entity is not registered as a vendor for VAT purposes, you just ignore the VAT and treat the finance lease as you would normally do. In other words, the asset is recorded at cost plus VAT and the full rental (VAT inclusive) is deducted as an expense for taxation purposes.

SECTION D - ADDITIONAL QUESTIONS

With a thorough theoretical knowledge of leases, and after working through several multiple choice questions as well as question 18.1, you should be able to do the following questions:

QUESTION 18.2 - Classification of leases

1. Mpho Ltd leases a plant, with a total economic life of twelve years from Plant Hire ltd for a period of six years. The lease contract stipulates that Mpho Ltd has an option to continue the lease for another four years, without any payment during this four year period. The directors of Mpho Ltd are of the opinion that they will definitely exercise this option.

2. Mpho Ltd leases a machine from Extreme Machines Ltd for a period of five years. The lease details are as follows:

Fair value of machine at inception of lease	R400 000
Unguaranteed residual value	R199 999
Period	5 years
Monthly lease payments in arrears	R8 000

3. Mpho Ltd leases a machine from Amor Ltd for a period of four years. The lease details are as follows:

Fair value of machine at inception of lease	R80 000
Annual payment in arrears	R20 000
Guaranteed residual value*	R25 000

* A party unrelated to Mpho Ltd and Amor Ltd has guaranteed payment of residual value.

REQUIRED

(a) Discuss each lease agreement separately and explain whether Mpho Ltd should classify the agreement as an operating lease or a finance lease. Show detail calculations. Ignore VAT. (28)

(b) Discuss whether Amor Ltd will classify the lease as an operating or finance lease. (3)

QUESTION 18.2 - Suggested solutions

(a) Plant Hire Ltd lease agreement

Mpho Ltd has the ability to continue the lease for another four years at a rent which is substantially lower than market rent. (2)

The total lease term is ten years, consisting of the initial period of six years as well as the renewal period of four years. The renewal period is included in the lease term as it is reasonably certain that Mpho Ltd will exercise the option to renew. (2)

The total lease term of ten years is 83% of the total economic life of the plant, which may be considered as a major part. (1)

There are two indicators stipulated in IAS 17 that this lease should be classified as a finance lease. If the lessee has the ability to continue the lease for a secondary period at a rent which is substantially lower than market rent and the lease term is for the major part of the asset's economic life. The lease of the plant will be classified as a finance lease. (2)

Extreme Machines Ltd lease:

One of the indicators according to IAS 17 to determine whether a lease is a finance lease is that at the inception of the lease the present value of the minimum lease payments amounts to at least substantially all of the fair value of the leased asset. (2)

Mpho Ltd will have to calculate the implicit interest rate that discounts the monthly instalment and the unguaranteed residual value back to a present value of R400 000, over a period of 5 years.

Calculation:

SHARP			**HP**		
n	=	60	n	=	60
PMT	=	8 000	PMT	=	8 000
FV	=	199 999	FV	=	199 999
PV	=	-400 000	PV	=	-400 000
			P/YR	=	12
i	=	?	i	=	?

The implicit interest rate is 17,71%. (3)

To determine whether this lease is a finance lease. Mpho Ltd should discount the minimum lease payments back to a present value using 17,71% per annum. (1)

The minimum lease payments only include the monthly instalments and not the unguaranteed residual value. (1)

Calculation:

SHARP			**HP**		
n	=	60	n	=	60
PMT	=	8 000	PMT	=	8 000
i	=	17,71%/12	i	=	17,71%
			P/YR	=	12
PV	=	?	PV	=	?

The present value of the minimum lease payments amounts to R317 008, which is equal to 79,25% of the machines fair value of R400 000. (3)

This is not regarded as "substantially all" of the fair value and therefore Mpho Ltd will classify this as an operating lease. (2)

Amor Ltd lease:

Mpho Ltd will calculate the implicit interest rate.

Calculation:

SHARP			**HP**		
n	=	4	n	=	4
PMT	=	20 000	PMT	=	20 000
FV	=	25 000	FV	=	25 000
PV	=	-80 000	PV	=	-80 000
			P/YR	=	1
i	=	?	i	=	?

The implicit interest rate is 10,24%. (3)

Mpho Ltd should discount the minimum lease payments back to the present value using the implicit interest rate of 10,24%. (1)

The minimum lease payments only include the R20 000 annual payments, the residual value is not guaranteed from the lessee's perspective and does not form part of the minimum lease payments. (1)

Calculation:

SHARP			**HP**		
n	=	4	n	=	4
PMT	=	20 000	PMT	=	20 000
i	=	10,24/1	i	=	10,24
			P/YR	=	1
PV	=	?	PV	=	?

The present value of the minimum lease payments amounts to R63 069, which is equal to 78,84% of the machines fair value of R80 000. (3)

This is not regarded as “substantially all” of the fair value and therefore Mpho Ltd will classify this as an operating lease. (1)

(b) Amor Ltd

The implicit interest rate as calculated above is 10,24%. From the perspective of Amor Ltd the lease is a finance lease, as the annual instalments of R20 000 and the guaranteed residual value of R25 000 all form part of the minimum lease payments. (3)

QUESTION 18.3 - Lessee and lessor (50 marks - 75 minutes)

H Ltd leased a new machine from V Ltd from 1 January 20.1. H Ltd has incurred direct negotiation costs of R5 000 to secure the lease arrangement and has paid this amount in cash. Details of the lease agreement are as follows:

- Lease payments: R75 000, each, payable annually in arrears, beginning 31 December 20.1
- Lease period: five years
- Interest rate implicit in the lease: 16,056%
- Guaranteed residual value: R10 000
- Ownership of the asset will pass to H Ltd upon payment of the guaranteed residual.

The machine has a fair value of R250 000. The machine has a scrap value of R7 000 at the end of its five year economic life. Depreciation is provided for on the straight-line basis. The SARS allow a wear-and-tear allowance on the machine of 20% per annum on the straight-line method. Ignore VAT and practise note 15.

REQUIRED

Disclose the above-mentioned in the financial statements for the year ended 31 December 20.2 of:

(a) H Ltd.

(b) V Ltd.

Comparative figures are required.

QUESTION 18.3 - Suggested solution

(a) H Ltd - Lessee

H LTD

STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 20.2

	Note	20.2 R	20.1 R	
ASSETS				
Non-current assets				
Property, plant and equipment	4	155 800	205 400	(2)
Deferred tax	5	5 665	2 922	(2)
EQUITY AND LIABILITIES				
Non-current liabilities				
Interest-bearing borrowings	6	127 732	174 684	(2)
Current liabilities				
Current portion of interest-bearing borrowings	6	46 952	40 457	(1)

H LTD

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 20.2

Profit from operations		XXX	XXX	
Finance cost [W1]	7	(34 543)	(40 141)	(2)
Profit before tax		XXX	XXX	
Income tax expense		(XXX)	(XXX)	
Profit for the year		XX	XX	
Other comprehensive income		0	0	
Total comprehensive income for the year		XX	XX	

H LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.2

4. Property, plant and equipment	**R**	**R**	
Capitalised leased machine			
Carrying amount at beginning of year	205 400	-	(1)
Cost	255 000	-	
Accumulated depreciation	(49 600)	-	
Acquisitions [W2]	-	255 000	(1)
Depreciation [W2]	(49 600)	(49 600)	(1)
Carrying amount at end of the year	155 800	205 400	(1)
Cost	255 000	255 000	
Accumulated depreciation	(99 200)	(49 600)	

The machine is held in terms of a finance lease agreement (refer to note 6).

5. Deferred taxation	**R**	**R**	
Finance lease [W3]	5 665	2 992	(4)

6. Interest-bearing borrowings – finance lease

The finance lease liability is secured by machinery (note 4). Annual instalments of R75 000 each are payable on 31 December. Interest is payable at 16,056% per annum. The final instalment together with a guaranteed residual of R10 000 is payable on 31 December 20.5. The agreement does not provide for contingent rental payments. Ownership of the machine will pass to H Ltd upon payment of the guaranteed residual.

(5)

Reconciliation between the total minimum lease payments and their present value

	Up to 1 year R	**1-5 years R**	**More than 5 years R**	**Total R**	
20.2					
Minimum lease payments	75 000	160 000[a]	-	235 000	(2)
Finance cost	(28 048)	(32 269)	-	(60 317)	(1)
Present value	46 952	127 731	-	174 683	(1)

[a] (75 000 x 2) + 10 000

20.1					
Minimum lease payments	75 000	235 000[b]	-	310 000	(2)
Finance cost	(34 543)	(60 317)	-	(94 860)	(1)
Present value	40 457	174 683	-	215 140	

[b] (75 000 x 3) + 10 000

7. Profit before taxation			
Included in profit before taxation is the following item:			
Depreciation [W2]	49 600	49 600	(1)
			30

WORKINGS

W1. Amortisation table

Date	Payment	Capital	Interest	Balance
31/12/20.1	(75 000)	34 859	40 141	215 141
31/12/20.2	(75 000)	40 457	34 543	174 684
31/12/20.3	(75 000)	46 952	28 048	127 732
31/12/20.4	(75 000)	54 491	20 509	73 240
31/12/20.5	(75 000)	63 240	11 760	10 000

W2. Machinery

Carrying amount 250 000 + 5 000 = 255 000
Depreciation 255 000 - 7 000 = 248 000/5 years = 49 600 per year

COMMENT

The R5 000 direct negotiating costs incurred to secure the lease arrangement is capitalised to the cost of the asset and written off/depreciated over the term of the lease.

W3. Deferred taxation

	Carrying amount	Tax base	Temporary difference	Deferred tax @ 30%
20.2				
Machinery	155 800	-	155 800	46 740
Loan	(174 684)	-	(174 684)	(52 405)
Finance lease				5 665 (dr)
20.1				
Machinery	205 400	-	205 400	61 620
Loan	(215 141)	-	(215 141)	(64 542)
Finance lease				2 922 (dr)
Note: If VAT is not ignored				
20.1				
Machinery	173 838[b]	-	173 838	52 151
Loan [c]	(215 141)	24 560[d]	(190 581)	(57 174)
Finance lease				5 023 (dr)

[a] Machinery's VAT component will not be part of the cost.
[b] 250 000 - 30 702 (VAT) + 5 000 - 7 000 = 217 298
217 198 ÷ 5 x 4 = 173 838
[c] Since machinery's VAT is excluded, the VAT component of future instalments should also be removed and as follows:
[d] [30 702/ (75 000 x 5)] x 75 000 = 6 140 x 4 remaining years

(b) V Ltd - Lessor

V LTD

STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER 20.2

	Note	20.2 R	20.1 R	
ASSETS				
Non-current assets				
Investment in finance lease	5	127 732	174 684	(1)
Current assets				
Investment in finance lease	5	46 952	40 457	(1)
EQUITY AND LIABILITIES				
Non-current liabilities				
Deferred taxation		7 405	4 542	(4)

V LTD

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 20.2

	20.2	20.1	
Profit from operations	XXX	XXX	
Finance income [W1]	34 543	40 141	(2)
Profit before tax	XXX	XXX	
Income tax expense	(XX)	(XX)	
Profit for the year	XX	XX	
Other comprehensive income	0	0	
Total comprehensive income for the year	XX	XX	

V LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.2

5. Investment in finance lease

V Ltd is leasing a machine to H Ltd from 1 January 20.1 for a five-year period. The lease agreement provides for five annual payments of R75 000 in arrears and a guaranteed residual value of R10 000. The agreement does not provide for any contingent rental payments. Ownership of the machine will pass to H Ltd upon payment of the guaranteed residual. (2)

Reconciliation between the total gross investment in the lease and the present value of the minimum lease payments

	Up to 1 year R	1-5 years R	More than 5 years R	Total R	
20.2					
Gross investment	75 000	160 000	-	235 000	(1)
Unearned finance income	(28 048)	(32 269)	-	(60 317)	(1)
Present value	46 952	127 731	-	174 683	
20.1					
Gross investment	75 000	235 000	-	310 000	(1)
Unearned finance income	(34 543)	(60 317)	-	(94 860)	(1)
Present value	40 457	174 683	-	215 140	
					20 50

WORKINGS

W4. Deferred taxation	**Carrying amount**	**Tax base**	**Temporary difference**	**Deferred tax @ 30%**
20.2				
Finance lease debtor	174 684	-	174 684	52 405
Machinery	-	150 000[a]	150 000	(45 000)
				7 405(cr)
20.1				
Finance lease debtor	215 141	-	215 141	64 542
Machinery	-	200 000[b]	200 000	(60 000)
				4 542(cr)

[a] 250 000/5 x 3 = 150 000

[b] 250 000/5 x 4 = 200 000

Note: If VAT is not ignored

20.1				
Finance lease debtor	215 141[c]	-	215 141	64 542
Machinery	-	200 000[d]	200 000	(60 000)
				4 542(cr)

[c] Includes VAT

[d] Excludes VAT: (250 000 - 30 702 VAT) ÷ 5 x 4 = 175 438 carrying amount, but because the finance lease debtor excludes VAT, put the VAT component of machinery back: 219 298 cost x 1,14/ 5 x 4 = 200 000.

QUESTION 18.4 - Manufacturer (45 marks - 68 minutes)

Abel Ltd, a manufacturing company, sells and leases equipment to customers. The following information is available in respect of equipment manufactured and leased in accordance with a finance lease agreement to a customer of Abel Ltd who will use the equipment in a process of manufacture.

Cost of manufacture (excluding VAT)	R1 200 000
Selling price (excluding VAT)	R1 500 000
Lease period	5 years
Estimated useful life of asset	5 years
Guaranteed residual value payable 31/12/20.6	R50 000
Unguaranteed residual value payable 31/12/20.6	R60 000
Instalments (including VAT) payable six monthly in advance, commencing 31 December 20.1	R251 187
Nominal interest rate for the lessor, compounded six monthly	21% per annum
Commencement date of agreement	31 December 20.1
Commissions and legal fees in negotiating and arranging the lease	R15 000

Additional information

1. SARS grants a wear-and-tear allowance of 20% per annum according to the straight-line method. Only the guaranteed residual value is regarded by the SARS as the asset's residual value for purposes of the wear-and-tear allowance.

2. Assume a normal tax rate of 30% and that Abel Ltd is registered as a vendor for VAT purposes.

3. The agreement does not provide for contingent rent payments.

4. Round amounts off to the nearest rand.

REQUIRED

(a) Prepare the statement of comprehensive income of Abel Ltd for the year ended 30 June 20.3. Your answer should comply with Statements of Generally Accepted Accounting Practice. Please note: comparatives are required.

(b) Prepare the following notes in respect of the finance lease to the financial statements of Abel Ltd for the year ended 30 Junie 20.3:

- Revenue;
- Taxation and deferred taxation; and
- Investment in finance lease debtor.

Comparatives must be disclosed.

QUESTION 18.4 - Suggested solution

ABEL LTD

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 JUNE 20.3

	Notes	20.3 R	20.2 R	
Revenue	2	274 397	1 631 068	(1)
Cost of sales [W3]		-	(1 177 893)	(2)
Other operating costs		-	(15 000)	(1)
Profit before tax		274 397	438 175	
Income tax expense		(82 319)	(131 452)	(1)
Profit for the period		192 078	306 723	
Other comprehensive income		0	0	
Total comprehensive income for the year		192 078	306 723	

ABEL LTD

NOTES FOR THE YEAR ENDED 30 JUNE 20.3

2. Revenue

Revenue recognised during the year arises from:

Sale of goods [W2]	-	1 477 893	(3)
Interest	274 397[a]	153 175	(3)
	274 397	1 631 068	

[a] 142 884 [W1] + 131 513 [W1]

3. Taxation

SA normal taxation			
Current	69 112	64 612	(6)
Deferred	13 207	66 840	(8)
	82 319	131 452	

4. Deferred taxation

Investment in finance lease	80 047	66 840	(2)

5. Investment in finance lease

Abel Ltd leased equipment to a customer on 31 December 20.1 for five years in terms of a finance lease agreement. Lease instalments of R251 187 each are payable six-monthly in advance commencing on 31 December 20.1. The guaranteed residual value amounts to R50 000 and the unguaranteed residual value amounts to R60 000, both receivable on 31 December 20.6. The agreement does not provide for contingent rent payments. (4)

Reconciliation between the total gross investment in the lease and the present value of the minimum lease payments

	Up to 1 year R	1 to 5 years R	More than 5 years R	Total R	
20.3					
Gross investment	502 374	1 114 748	-	1 617 122	(3)
Unearned finance income	(224 007)	(260 291)	-	(484 298)	(3)
Present value	278 367	854 457	-	1 132 824	(1)
20.2					
Gross investment	502 374	1 617 122		2 119 496	(3)
Unearned finance income	(274 397)	(484 298)		(758 695)	(3)
Present value	227 977	1 132 824		1 360 801	(1)
					45

WORKINGS

W1. Amortisation table

Date	Lease payments	Capital	10,5% Interest	Balance
31/12/20.1	-	-	-	1 710 000
31/12/20.1	251 187	251 187	-	1 458 813
30/06/20.2	251 187	98 012	153 175	1 360 801
31/12/20.2	251 187	108 303	142 884	1 252 498
30/06/20.3	251 187	119 674	131 513	1 132 824
31/12/20.3	251 187	132 241	118 946	1 000 583
30/06/20.4	251 187	146 126	105 061	854 457
31/12/20.4	251 187	161 469	89 718	692 988
30/06/20.5	251 187	178 423	72 764	514 565
31/12/20.5	251 187	197 158	54 029	317 407
30/06/20.6	251 187	217 859	33 328	99 548
31/12/20.6	110 000	99 548	10 452	-
	2 621 870	1 710 000	911 870	

W2. Revenue from sale of goods

Normal selling price	1 500 000	[1]
Less: Present value of unguaranteed residual value on 31/12/20.1	(22 107)	[2]
FV = 60 000; i = 10,5%; n = 10; COMP PV = 22 107		
(IAS 17 (AC 105).44))	1 477 893	
		[3]

W3. Cost of sales

Cost of manufacture	1 200 000	[1]
Less: Present value of unguaranteed residual value on 31/12/20.1 [W2]		
IAS 17 (AC 105).44	(22 107)	[1]
	1 177 893	
		[2]

W4. Gross investment

20.2: 2 621 870 - (251 187 x 2) = 2 119 496
20.3: 2 621 870 - (251 187 x 4) = 1 617 122

W5. Unearned finance income

20.2: 911 870 - 153 175 = 758 695
20.3: 911 870 - (153 175 + 142 884 + 131 513) = 484 298

W6. Current taxation

Lease payments received (including VAT) (251 187 x 2)	502 374	502 374	[2]
Wear and tear[a]	(272 000)	(272 000)	[3]
Legal fees and commissions	-	(15 000)	[½]
Taxable income	230 374	215 374	
Current tax @ 30%	69 112	64 612	[½]
			[6]

[a]

Cost (excluding VAT input)	1 200 000
Add: VAT output on selling price (1 500 000 x 14%)	210 000
Less: Guaranteed residual value	(50 000)
	1 360 000
Wear and tear @ 20% p.a.	272 000

W7. Deferred taxation

	Carrying amount	Tax base	Temporary Difference	
30/6/20.2				
Investment in finance lease debtor [W1]	1 360 801	-	1 360 801	[1]
Tax base		1 138 000	(1 138 000)	[3]
Cost (excluding VAT)		1 200 000		
VAT output on sale (1 500 000 x 14%)		210 000		
Less: Wear and tear (1 360 000[W6] x 20%)		(272 000)		
Taxable temporary difference	1 360 801	1 138 000	222 801	[½]
Deferred tax liability @ 30%			66 840 Cr	[½]
30/6/20.3				
Investment in finance lease debtor	1 132 824	-	1 132 824	[1]
Tax base	-	866 000	(866 000)	[1]
Balance at 30/6/20.2		1 138 000		
Less: Wear and tear		(272 000)		
Taxable temporary difference	1 132 824	866 000	266 824	[½]
Deferred tax liability @ 30%			80 047 Cr	[½]
Movement (P/L) (80 047 - 66 840)			13 207 Dr	
				[8]

COMMENT

1. Note that lease rentals received by the lessor are fully included in taxable income (including VAT), while wear and tear is calculated on the full cost including VAT charges on the *selling price*. This approach is in accordance with paragraph 2 of practice note 15 from the SARS.

2. If the leasing of assets forms part of the lessor's normal business activities, the finance income is part of income and should be disclosed as such in terms of IAS 18 (AC 111).35(b). If the lease transaction does not form part of the normal business activities (e.g. it is once-off or in exceptional cases) the finance income should be included in investment income and disclosed in terms of Schedule 4.

3. In questions dealing with a manufacturer or dealer lessor, the selling price of the asset being leased is included in income and the cost of the asset is included in cost of sales. However, if the lessor is not a manufacturer or dealer, but only provides financing, the cost of the asset should not be included in income or cost of sales. Even if this lessor makes a profit on the lease transaction, the profit will be shown as "other income" and not as income.

4. Commissions, legal fees and other initial direct costs incurred by a lessor on a finance lease are included in the initial measurement of the finance lease receivable and reduce the amount of income recognised over the lease term. However, costs incurred by a manufacturer or dealer lessor in connection with negotiating and arranging a lease agreement are recognised as an expense at the commencement of the lease term.

QUESTION 18.5 (89 marks - 134 minutes)

COMMENT

This is not a typical exam question as the marks allocated are considerably higher than those of a regular lease question. This is a good question to work through as it deals with various issues relating to leases.

Alm Ltd, manufactures specialised equipment, the company registered for VAT purposes, has been experiencing significant cash flow problems. In order to relieve pressure on its cash flow, the company entered into two sale and leaseback agreements, the details of which are as follows:

	Machinery	**Buildings**
Effective date of agreement	1 January 20.3	1 July 20.3
Period of lease	5 years	10 years
Selling price (including VAT)	R1 926 600	R1 197 000
Market value (including VAT)	R1 750 400	R798 000
Lease instalments (including VAT), payable annually In arrears	R616 084	R119 700
Nominal interest rate	18% p.a.	21% p.a.

The following details were available in respect of the above two assets which were utilised in the company's manufacturing operations:

	Machinery	**Buildings**
Date of acquisition	1 January 20.2	1 January 20.2
Cost of acquisition (including VAT) (Base cost)	R1 461 882	R912 000
Depreciation rate	15%	2,5%

The machinery were sold and leased back in terms of a finance lease agreement whereas the buildings were sold and leased back in terms of an operating lease agreement. The difference between the market value and selling price of the buildings will be compensated for in future operating lease payments.

The above assets were originally brought into use on the dates of their respective acquisitions. It is the company's policy to provide for depreciation on the straight-line method.

The SARS grants the following tax allowances:

Machinery special deduction	20% per annum per Sec 12C
Building annual allowance	5% per annum per Sec 13(1)

Alm Ltd developed, a new equipment that requires a special part, which Alm Ltd cannot manufacture. Alm Ltd entered into a long-term agreement with ZAZ Ltd for the supply of the part for a period of 10 years. The effective date of this agreement is 1 January 20.3.

In terms of the agreement ZAZ Ltd will erect and install a new plant, specifically designed to manufacture the parts to Alm Ltd specifications, on the premises of Alm Ltd. Alm Ltd will have the right to use the full output of the plant for 10 years which is for the full useful life of the plant.

Alm ltd needs to pay ZAZ Ltd a monthly payment of R105 000, irrespective of the actual output used. This payments is not link to the market price per unit. ZAZ Ltd owns other plants but due to special nature of this parts, other plants can not be used to manufacture this special part in agreement with Alm Ltd specifications. There is no other plant that have the ability to meet Alm Ltd requirement.

Profit before taxation, before taking the above information into account, amounted to R3 000 000 (fully taxable) for the year ended 31 December 20.3.

The only temporary differences which existed on 31 December 20.2 were those relating to the above information.

Assume a normal tax rate of 30%. Debit balances on the deferred tax account will be utilised in future.

The market-related interest rate is 12% per annum.

REQUIRED

(a) Discuss the appropriate classification of the long-term agreement (effective from 1 January 20.3) between Alm Ltd and ZAZ Ltd, in the annual financial statements of Alm Ltd for the year ended 31 December 20.3. (9)

(b) Prepare the accounting policy note in the financial statements of Alm Ltd for the year ended 31 December 20.3. (6)

(c) Prepare the statement of comprehensive income of Alm Ltd for the year ended 31 December 20.3. (14)

(d) Disclose the information in the applicable notes to the financial statements of Alm Ltd for the year ended 31 December 20.3. (60)

Ignore comparative figures, the directors' report and cash flow statement. Your answer should comply with Statements of Generally Accepted Accounting Practice.

QUESTION 18.5 - Suggested solution

PART A

It should be determined whether the agreement (arrangement) contains a lease, as envisaged by IAS 17 (AC 105). In doing this the substance of the transaction should be analysed. The factors listed in IFRIC 4 (AC 437) should be used for this assessment. (1)

IFRIC 4 (AC 437) identifies two criteria to determine whether an arrangement is, or contains a lease:

- fulfilment of the arrangement is dependent on the use of a specific asset or assets; and (½)

- the arrangement conveys a right to use the asset. (½)

The arrangement is dependent on the use of the specific asset:

- The asset (plant) has been explicitly identified and the plant was specifically designed to manufacture the parts. (1)

- The plant has "no other use" and the agreement is for the full term of the asset useful life time. The plant also forms the basis of the supply agreement. (1)

- The plant is one of a kind and ZAZ Ltd cannot produce the part anywhere else. (1)

- The fulfillment of the arrangement is therefore dependant on the use of a specific asset. (1)

The arrangement should convey the *right to use* the plant *to ALM Ltd only.*

- ALM Ltd controls more than an *insignificant amount of the output* of the plant, because the *parts are unique* and ALM Ltd is the *only user* thereof. (1)

- ALM Ltd has the *ability to control* the *manufacturing and supply* of units, as units are manufactured for the exclusive use of ALM Ltd. (1)

- The monthly payment of *R105 000, irrespective of the actual output of the parts, it* is not linked to the market price per unit nor to a fixed price per unit in terms of the contract. (1)

- The arrangement for the *right of use* of the plant is for a period of *10 years*, which is for the full part of the asset's economic life. (1)

- Therefore the arrangement conveys the right to use the asset. (1)

Conclusion: Even if the arrangement does *not* take the *legal form* of a lease, the terms of the arrangement, confers the right of use and control over the plant to ALM Ltd, therefore the long-term arrangement, should be *classified as a finance lease.* ZAZ Ltd transfers to ALM Ltd the right to use the plant for an agreed period of time in return for a payment or series of payments. (1)

12

Maximum 9

PART B

ALM LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.3

1. Accounting policies

1.1 *Property, plant and equipment*

Buildings are stated at historical cost less accumulated depreciation. (1)

1.2 *Leased assets*

Leases of property, plant and equipment, where the group assumes all the benefits and risks and rewards of ownership, are classified as finance leases. Assets leased in terms of finance lease agreements, are capitalised at amounts equal to the fair value of the asset at the inception of the lease, or if lower, at the present value of the minimum lease payments and are depreciated in accordance with the policy applicable to equivalent items of property plant and equipment. The corresponding rental obligations, net of finance charges, are included in other long-term liabilities. Lease finance charges are amortised over the duration of the leases, by using a constant period rate of interest on the remaining balance of the liability for each period.

Leases under which risks and benefits of ownership are effectively retained by the lessor are classified as operating leases. Expenditure incurred under operating leases are charged to the statement of comprehensive income in equal instalments over the period of the lease except when an alternative method is more representative of the time pattern from which benefits are derived. (4)

1.3 *Deferred taxation*

Deferred taxation is provided for using the statement of financial position liability method. (1)
6

PART C

ALM LTD

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 20.3

	Notes	R	
Profit from operations [W8]		1 974 909	(12)
Finance costs (346 788 + 856 513) [W2]		(1 203 301)	(1)
Profit before taxation	2	771 608	
Taxation expense	3	(578 368)	(1)
Profit for the year		193 240	
Other comprehensive income		0	
Total comprehensive income for the year		193 240	
			14

PART D

ALM LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.3

2. Profit before taxation

Profit before taxation is stated after the following items have been taken into account:

Income		
Profit on sale of machinery [W3]	120 000	(1)
Expenses		
Depreciation (298 235 [W4(a)] + 10 000 [W6] + 731 856 [W4(b)])	1 040 091	(2)
Loss on sale of buildings [W6]	70 000	(1)
Operating lease rentals – buildings	35 000	
Minimum lease payments [W8]	52 500	(1)
Less: Short-term portion of deferred profit recognised [W6]	(17 500)	(1)

3. Taxation

	R	
SA normal taxation		
Current [W9]	884 200	(5½)
Deferred [W10]	(305 831)	(6)
	578 368	
Tax rate reconciliation		
Accounting profit before taxation [W8]	1 974 909	
Taxation @ 30%	592 473	(1)
Taxation effect of		
- Profit on sale and leaseback		
• Finance lease of machinery	(12 230)	(1)
• Operating lease of buildings	(1 875)	(1)
Taxation expense	578 368	

4. Interest bearing borrowings – finance lease

4.1 Finance lease liability

Secured by machinery (refer to note 5). The lease is repayable in five equal annual instalments of R616 084 each. The payments fall due on 31 December of each year and include finance charges at 18% per annum. The final instalment is payable on 31 December 20.7. (3)

Reconciliation of total minimum lease payments and their present values

	Up to 1 year R	1 to 5 years R	More than 5 years R	Total R	
Minimum lease payments [W2]	616 084	1 848 252 [a]	-	2 464 336	(3)
Finance costs [W2]	(298 315)	(508 717)[b]	-	(807 032)	(3)
Present value	317 769	1 339 535	-	1 657 304	(1)

[a] 616 084 x 3 = 1 848 252
[b] (241 116 + 173 622 + 93 979)[W2] = 508 717

4.2 Finance lease liability (IFRIC 4)

Secured by plant (refer to notes). The lease is repayable in monthly equal instalments of R105 000 each. The payment fall due on the end of each month and include finance charge at 12% per annum. The final instalment is payable on 31 December 20.12. (3)

Reconciliation of total minimum lease payments and their present values

	Up to 1 year R	1 to 5 years R	More than 5 years R	Total R	
Minimum lease payments [W2(b)]	1 260 000	6 300 000	3 780 000	11 340 000	(5)
Finance costs [W2(b)]	(805 341)	(3 000 879)	(618 712)	(4 424 932)	(5)
Present value	454 659	3 299 121	3 161 288	6 915 068	(1)

5. Property, plant and equipment

	Machinery (Leased assets) R	Buildings R	
Carrying amount at the beginning of the year	1 090 000	780 000	
Cost	1 282 353	800 000	(1)
Accumulated depreciation	(192 353)	(20 000)	(1)
Deferred profit on sale and leaseback	600 000	-	(1)
Depreciation (298 235 + 731 856)	1 030 091	(10 000)	(1)
Disposal	-	(770 000)	(½)
Addition (IFRIC 4) [W2(b)]	7 318 555	-	(2)
Carrying amount at the end of the year	7 978 464	-	
Gross carrying amount	9 200 908	-	(½)
Accumulated depreciation	(1 222 444)	-	(½)
Less: Deferred profit [W3]	(480 000)	-	(1)
	7 498 464	-	

The machinery was sold and leased back in terms of a finance lease agreement (refer to note 4).

6. Deferred taxation

	R	
Finance lease [(556 259 - 163 059) x 30% + (328 369 x 30%)] [W10]	216 471	(1)
Operating lease - deferred profit [(332 500 - 118 750) x 30%] [W10]	64 125	(1)
	280 596	

7. Operating lease

Alm Ltd leases buildings over a ten year period from 1 July 20.3. The lease agreement provides for 10 annual lease payments of R119 700 each, payable in arrears. The average lease payment per annum amounts to R70 000[a]. (2)

[a] (119 700 x 100/114) - (350 000[W6] ÷ 10)

Future minimum lease payments

	Up to 1 year R	1 to 5 years R	More than 5 years R	Total R	
20.3	105 000[a]	525 000[b]	367 500[c]	997 500	(3)

[a] 119 700 x 100/114 = 105 000
[b] 105 000 x 5 = 525 000
[c] 105 000 x 3,5 = 367 500

60

WORKINGS

W1. Amounts excluding VAT

	Machinery	Buildings
Selling price		
1 926 600 x 100/114	1 690 000	
1 197 000 x 100/114		1 050 000
Market value		
1 750 400 x 100/114	1 535 439	
798 000 x 100/114		700 000
Cost		
1 461 882 x 100/114	1 282 353	
912 000 x 100/114		800 000

W2. (a) Finance lease in respect of machinery

	Lease rental	Capital	Interest (18%)	Balance
01/01/20.3				1 926 600
31/12/20.3	616 084	269 296	346 788	1 657 304
31/12/20.4	616 084	317 769	298 315	1 339 535
31/12/20.5	616 084	374 968	241 116	964 567
31/12/20.6	616 084	442 462	173 622	522 105
31/12/20.7	616 084	522 105	93 979	-
	3 080 420	1 926 600	1 153 820	

(b) Cost price of plant (IFRIC 4)

FV = 0
PMT = -105 000
n = 10 x 12 = 120
i = 12 2nd i
COMP PV = 7 318 555

Amortisation table (Lease IFRIC 4)

	Minimum lease rental	Interest 12%	Capital	Balance
01/01/20.3				7 318 555
31/01/20.3	105 000	73 186	31 814	7 286 741
28/02/20.3	105 000	72 867	32 133	7 254 608
31/03/20.3	105 000	72 546	32 454	7 222 154
30/04/20.3	105 000	72 222	32 778	7 189 376
31/05/20.3	105 000	71 894	33 106	7 156 269
30/06/20.3	105 000	71 563	33 437	7 122 832
31/07/20.3	105 000	71 228	33 772	7 089 060
31/08/20.3	105 000	70 891	34 109	7 054 951
30/09/20.3	105 000	70 550	34 450	7 020 500
31/10/20.3	105 000	70 205	34 795	6 985 705
30/11/20.3	105 000	69 857	35 143	6 950 563
31/12/20.3	105 000	69 506	35 494	6 915 068
	1 260 000	856 513	403 487	6 915 068

PV = 7 318 555
PMT = 105 000
N = 12 x 10 = 120
I = 12 2nd F ÷ 12(i) = 1

1P1/P2	12 P1/P2 Acc	Principal	=	403 487
		Interest	=	856 513
13 P1/P2	24 P1/P1 Acc	Principal	=	454 659
		Interest	=	805 341
25 P1/P2	84 P1/P2 Acc	Principal	=	3 299 121
		Interest	=	3 000 879
85 P1/P2	120 P1/P2 Acc	Principal	=	3 161 288
		Interest	=	618 712

W3. Profit on sale and leaseback of machinery - finance lease

Selling price [W1]		1 690 000
Cost [W1]		1 282 353
Deferred profit above cost		407 647
Selling price up to cost	1 282 353	
Less: Carrying amount [W4]	(1 090 000)	
Deferred profit up to cost	192 353	192 353
Total deferred profit		600 000
Deferred profit amortised for 20.3 (600 000/5)		(120 000)
- Above cost (50% non-taxable difference) (407 647/5)		(81 529)
- Up to cost (taxable temporary difference) (192 353/5)		(38 471)
Deferred profit unamortised at 31/12/20.3 (set-off against related asset - leased machinery)		480 000
- Above cost (407 647 x 4/5)		326 118
Subject to capital gains tax (50%)		163 059
Not subject to capital gains tax (50%)		163 059
- Up to cost (192 353 x 4/5)		153 882

Taxation effect of deferred profit recognised in 20.3

Deferred profit recognised in 20.3 (as above)	120 000
Less: Non-taxable capital gain (81 529 x 50%)	(40 765)
	79 235
Taxation @ 30%	23 771

W4. (a) Depreciation on leased machinery (finance lease)

Cost - 1/1/20.2 [W1]	1 282 353
Depreciation - 20.2 (1 282 353 x 15%)	(192 353)
Carrying amount on 31/12/20.2	1 090 000
Deferred profit (balancing figure)	600 000
Restated carrying amount (ie selling price)	1 690 000

Original useful life	=	100/15
	=	6,666 667
Remaining useful life	=	6,666 667 - 1
	=	5,666 667
Depreciation for 20.3 year	=	1 690 000/5,666 667
	=	298 235

(b) Depreciation on plant (IFRIC 4)

Carrying amount 1/1/20.3 [W2(b)]	7 318 555
Depreciation (7 318 555/10)	(731 854)
Carrying amount 31/12/20.3	6 586 699

W5. Capital gain and recoupment on sale of machinery in respect of finance lease

Proceeds (excluding VAT) [W1]	1 690 000
Less: Base cost [W1]	1 282 353
Capital gain	407 647
- Subject to capital gains tax - (50%)	203 824
- Not subject to capital gains tax - (50%) (non-taxable difference - refer to tax rate reconciliation)	203 823
Recoupment	
Proceeds up to cost [W1]	1 282 353
Less: Tax base on 1/1/20.3	(1 025 882)
Cost	1 282 353
Sec 12C Allowance - 20.2 (1 282 353 x 20%)	(256 471)
	256 471

W6. Operating lease in respect of building

Accounting loss on sale		
Cost at 1/1/20.2 [W1]		800 000
Depreciation - 20.2 (800 000 x 2,5%)		(20 000)
Carrying amount at 31/12/20.2		780 000
Depreciation to 30/6/20.3 (800 000 x 2,5% x 6/12)		(10 000)
		770 000
Fair value at 1/7/20.3 [W1]		(700 000)
Accounting loss recognised – IAS 17 (AC 105).61		70 000
Taxation effect (70 000 x 30%)		21 000
Deferred profit on sale of building		
Selling price [W1]		1 050 000
Cost [W1]		(800 000)
Deferred profit above cost		250 000
Selling price up to cost	800 000	
Less: Carrying amount/fair value [W1]	(700 000)	
Deferred profit up to cost	100 000	100 000
Total deferred profit (1 050 000 - 700 000)		350 000
Less: Deferred profit recognised for 20.3		
(350 000 ÷ 10 x 6/12)		(17 500)
- Above cost (50% non-taxable difference)		
(250 000 ÷ 10 x 6/12)		(12 500)
- Up to cost (taxable temporary difference)		
(100 000 ÷ 10 x 6/12)		(5 000)
Unamortised deferred profit at 31/12/20.3		332 500
- Above cost (250 000 - 12 500)		237 500
Subject to capital gains tax (50%)		118 750
Not subject to capital gains tax (50%)		118 750
- Up to cost (100 000 - 5 000)		95 000
Tax effect of deferred profit recognised in 20.3		
Deferred profit recognised (as above)		17 500
Less: Non-taxable capital gain (12 500 x 50%)		(6 250)
		11 250
Taxation @ 30%		3 375

Carrying amount (CA)	770	]	(70) Loss (P/L)
Fair value (FV)	700		
Selling price (SP)	1 050	]	350 Deferred profit
- above cost (1 050 – 800)			250
- up to cost (800 – 700)			100

W7. Operating lease in respect of building - tax implications

Capital gain on sale		
Proceeds on sale [W1]	1 050 000	
Less: Base cost [W1]	(800 000)	
Capital gain	250 000	
- Subject to capital gains tax (50%)	125 000	
- Not subject to capital gains tax (non-taxable difference)	125 000	
Recoupment		
Cost at 1/1/20.2 [W1]	800 000	
Sec 13(1) Building annual allowance 20.2 (800 000 x 5%)	(40 000)	
Tax base at 31/12/20.2	760 000	
Sec 13(1) Building annual allowance 20.3	(40 000)	
Tax base on 1/7/20.3	720 000	
Sec 8(4)(a) Recoupment (40 000 x 2)	80 000	

W8. Profit from operations

Given	3 000 000	[½]
Add: Profit on sale of machinery	120 000	[2]
Less: Depreciation - leased machinery	(1 030 091)	[4]
Depreciation - owned buildings	(10 000)	[1½]
Loss on sale of buildings [W6]	(70 000)	[2½]
Operating lease rentals	(35 000)	
- Buildings (199 700 x 100/114 x 6/12)	(52 500)	[1½]
- Deferred profit amortised	17 500	[2]
Interest (IFRIC 4)	0	
	1 974 909	
		[14]

W9. Taxation

Profit before taxation		1 974 909	[½]
Non-taxable/non-deductible differences			
- Profit on sale of machinery		(40 765)	[1½]
- Profit on sale of buildings		(6 250)	[2]
		1 927 894	
Temporary differences		1 019 438	[1]
Taxable income		2 947 332	
SA normal tax	- current @ 30%	884 200	[½]
	- deferred (1 019 438 x 30%)	(305 831)	
			[5½]

W10. Deferred tax

	Carrying amount	Tax base	Temporary difference
20.2			
Machinery	1 090 000	1 025 882	64 118
Buildings	780 000	760 000	20 000
			84 118
Deferred tax liability @ 30%			Cr 25 235
20.3			
Finance lease	(745 539)	(189 280)	(556 259)
- Lease liability	(1 657 304)	(189 280)[1]	(1 468 024)
- Machinery	1 391 765	-	1 391 765
- Deferred profit	(480 000)	-	(480 000)
Operating lease			
- Deferred profit	(332 500)	-	(332 500)
			(888 759)
Less: Deductible temporary differences taxed at NIL tax rate			281 809
- Unamortised deferred profit above cost excluded from CGT			
Finance lease - machinery [W3]			163 059
Operating lease - buildings [W6]			118 750
Finance lease (IFRIC 4)			(328 369)
Plant			7 318 555
Depreciation [W4(b)]			(731 854)
			6 586 699
Lease liability			
Plant (IFRIC 4)			(6 915 068)
Deductible temporary difference taxed at 30% tax rate			(935 319)
Deferred tax asset @ 30%			Dr 280 596
Movement(P/L) (25 235 + 280 596)			Cr 305 831

VAT input attributable to future lease payments

$$1\,926\,600 \times 14/114 \times \frac{(616\,084 \times 4)}{(616\,084 \times 5)} = 189\,280$$

Proof of temporary differences for the year

Temporary differences [W10]	1 019 438
Capital gains	281 810
- Machinery	163 060
Taxation - capital gain [W5]	203 824
Accounting - deferred profit amortised above cost (81 529[W3] x 50%)	(40 764)
- Buildings	118 750
Taxation - capital gain (250 000 x 50%)	125 000
Accounting - deferred profit amortised above cost (12 500[W6] x 50%)	(6 250)
Recoupment of tax allowances	363 000
- Machinery	218 000
Taxation - Sec 12C allowances recouped [W5]	256 471
Accounting - deferred profit amortised up to cost [W3]	(38 471)
- Buildings	145 000
Taxation - Sec 13(1) allowances recouped	80 000
Accounting - deferred profit amortised up to cost [W6]	(5 000)
- loss on sale of buildings [W6]	70 000
Accelerated tax allowances – Buildings	(30 000)
Taxation - Sec 12C allowance [W7]	(40 000)
Accounting - depreciation [W6]	10 000
Finance lease	76 259
Finance cost [W2]	346 788
Depreciation	298 235
Lease payments [616 084 - (1 926 600 x 14/114 x 1/5)]	(568 764)
Finance lease (IFRIC 4)	328 369
Depreciation	731 856
Finance cost	856 513
Lease payments (105 000 x 12)	(1 260 000)

SECTION E - SPECIFIC OUTCOMES

After you have studied this study unit, you should be able to do the following:

1. Define the definitions.
2. Classify leases between finance leases and operating leases.
3. Identify and account for finance leases in the financial statements of lessees.
4. Identify and account for operating leases in the financial statements of lessees.
5. Identify and account for finance leases in the financial statements of lessors.
6. Identify and account for operating leases in the financial statements of lessors.
7. Account for the sale of an asset that is leased back as a finance lease.
8. Account for the sale of an asset that is leased back as an operating lease.
9. Identify and account for instalment credit agreements.
10. Account for leases in case of manufacturers and dealer lessors.
11. Identify and account for operating lease incentives.
12. Account for VAT and taxation implications.

YOU SHOULD NOW STUDY IAS 17 (AC 105), SIC 15 (AC 415), SIC 27 (AC 427), IFRIC 4 (AC 437) AND CIRCULAR 12/2006.

STUDY UNIT 19

EVENTS AFTER THE REPORTING PERIOD

KEY ISSUE

Events after the reporting period are those events, both favourable and unfavourable, that occur after the date of the statement of financial position (the reporting date) and the date when the financial statements are authorised for issue. The most important aspect is to determine when an entity should adjust its financial statements for events after the reporting date as well as the disclosure requirements.

KEY CONCEPTS

The following key concepts are fundamental to this study unit:

1. The identification and recognition of adjusting events after the reporting date.

2. The identification and disclosure of non-adjusting events after the reporting date.

PRESCRIBED STUDY MATERIAL

The following ***must*** be studied before you attempt the questions in this study unit:

1. The applicable chapter on events after the reporting date in:

   Descriptive Accounting, 13th edition.

   or

   GAAP Handbook 2009.

Later in the study unit you will be requested to study the following carefully - you need not do it immediately:

1. IAS 10 (AC 107). Events after the reporting period.

NOTE: THE REST OF STUDY UNIT 19 IS BASED ON THE ASSUMPTION THAT YOU HAVE ALREADY STUDIED THE RELEVANT CHAPTER IN THE PRESCRIBED TEXTBOOK.

SECTION A - ADDITIONAL INFORMATION

None.

SECTION B - MULTIPLE CHOICE QUESTIONS AND SHORT QUESTIONS

The following multiple choice questions should be an indicator whether you have a thorough knowledge of the topic:

19.1 Which one of the following statements is correct?

(1) Events after the reporting date include events that occurred between the reporting date and the date of the annual general meeting of members.
(2) If dividends to shareholders are proposed or declared after the reporting date, an enterprise should recognise these dividends as a liability at the reporting date.
(3) A significant debtor was placed under provisional liquidation on 28 December 20.1 and finally liquidated on 15 January 20.2. On 31 December 20.1, the financial year-end, the trade debtors have to be adjusted with the probable loss.
(4) Three days after the reporting date a company sold their inventories at a discount of 70% because of an improved product brought on the market by a competitor shortly before year-end. This is seen as a non-adjusting event after the reporting date, thus no adjustment or disclosure is required.

19.2 On 31 December 20.1 A Ltd has an investment of R5 million in a listed company. On 31 January 20.2 the market value of the investment dropped to R2 million. According to the explanations this decline was a result of the weakening in the foreign exchange rate on 30 January 20.2.

The tax rate is 30%.

The following adjustment has to be made on 31 December 20.1, the company's year-end:

(1) R3 million
(2) R2,1 million
(3) No adjustment should be made, only a note disclosing the event after the reporting date.

Questions 19.3 to 19.5 relate to the following information:

B Ltd's year-end is 31 December 20.2. The financial director has to submit the financial statements to the board of directors at 1 March 20.3 to be approved for publication. Because of limited time he approached you to advise him on the disclosure requirements regarding the following matters:

19.3 On 30 January 20.3, B Ltd issued R10 000 000 bonds at a premium of R500 000.

(1) Non-adjusting event with no disclosure.
(2) Adjustment of R10 500 000 is required.
(3) Adjustment of R10 000 000 is required.
(4) No adjustment is required, but disclosure of the event as part of the notes is required.

19.4 The company neglected to charge VAT on sales during 20.2 and on 4 February 20.3 they received an assessment of R300 000.

(1) Non-adjusting event with no disclosure.
(2) Adjustment of R300 000 - Debit sales and credit short-term liability.
(3) Adjustment of R300 000 - Credit purchases and debit debtors.
(4) No adjustment is required, but disclosure of the event as part of the notes is required.

19.5 Because of the drop in the company's sales, BOA Bank registered a third bond over the property of the company on 31 January 20.3. The bond amounted to R500 000.

(1) Non-adjusting event with no disclosure.
(2) Adjustment of R500 000 to long-term liabilities.
(3) Adjustment of R500 000 to property, plant and equipment.
(4) No adjustment is required, but disclosure of the event as part of the notes is required.

SUGGESTED SOLUTIONS TO MULTIPLE CHOICE QUESTIONS

19.1
(1) Refer IAS 10 (AC 107).3 to .5. Events are included up to the date statements are "approved for publication".
(2) Refer IAS 10 (AC 107).12 to .13. The dividend may only be recognised as a liability on the date declared.
✓ (3) Correct - refer IAS 10 (AC 107).9. The debtor has experienced financial difficulties at year-end already, and should thus be adjusted.
(4) Inventories is valued at the lower of cost or net realisable value. The 70% discount is enough evidence of circumstances that already existed at the reporting date due to the competitor's product brought on the market before year-end. An adjustment to the value of inventories should thus be made at the reporting date. IAS 10 (AC 107).9(b).

19.2 ✓ (3) As the event does not refer to circumstances that existed at the reporting date and therefore it is a non-adjusting event. (The value of the investment declined only after year-end.) The loss of R3 million is material and should therefore be disclosed in the notes to the financial statements. IAS 10 (AC 107).22(g).

19.3 ✓ (4) Refer IAS 10 (AC 107).21. The debentures were issued only after year-end (thus no adjustment necessary), but the matter is material enough to justify disclosure.

19.4 ✓ (2) Refer IAS 10 (AC 107).8 and .9. The VAT liability originate at occurrence of the sales (in this example during 20.2) and consequently the statements should be adjusted.

19.5 ✓ (4) Refer IAS 10 (AC 107).21 and .22. The mortgage was registered after year-end and the liability thus originates only after year-end. Consequently the statements are not adjusted, but the matter is material enough to justify disclosure.

SECTION C - QUESTION ON EVENTS AFTER THE REPORTING PERIOD

The following question has been included to provide guidance on the approach to be followed when answering a comprehensive question on events after the reporting period.

QUESTION 19.1 (41 marks - 62 minutes)

The financial statements of Global Ltd for the year ended 31 December 20.4 were presented to the board of directors on 30 March 20.5 to approve it for publication. You are the accountant of the company. The following events have taken place after the reporting date:

1. During January 20.5 a bomb exploded at one of the branches of Global Ltd. Damage amounted to R200 000, R80 000 of which was for damage to inventory. The company's insurance policy does not cover this contingency and the claim was repudiated by the insurance company. A contract was concluded with Regmaak Ltd on 1 March to repair the damage to the building at a cost of R120 000. This will be financed by means of surplus cash funds. (6)

2. Jolo Ltd, a customer of the company, was placed in liquidation by its creditors on 15 January 20.5 after having experienced financial difficulties for a period of three months. Jolo Ltd owes Global Ltd an amount of R40 000, which was included in debtors at the reporting date. Jolo Ltd's liquidator notified all creditors on 15 March 20.5 that the estimated liquidation dividend would be 20c in the rand. (8)

3. A rights issue was made on 1 February 20.5 to finance the acquisition and furnishing of office buildings. The full issue of R1 200 000 at R12 per share, was taken up. The directors concluded an "option to purchase an office building" during October 20.4. The issue was approved by the directors on 15 November 20.4. (9)

4. An invoice dated 27 December 20.4 for R60 000 was received from XYZ and included in creditors at the reporting date. This goods were dispatched on 27 December 20.4 and risks and rewards transfer to the buyer on dispatch according to the sale agreement. Goods were delivered on 4 January 20.5 and are included in the inventory figure at R60 000 at the reporting date. A positive creditors' circulation was carried out and XYZ confirmed the amount outstanding at 31 December 20.4. However, the invoice from XYZ contained a calculation error and the correct amount for the goods amounted to R80 000. (5)

5. On 15 January 20.5 a competitor sued Global Ltd for an infringement of a patent during 20.4. Global Ltd appointed attorneys to defend the action. At 30 March 20.5 legal costs had already amounted to R10 000. It is not possible to determine the cost of the case or its outcome. (6)

6. On 28 February 20.5 the board of directors of Global Ltd decided to declare a dividends of 10 cents per share, to all ordinary shareholders registered on the 31 December 20.4. These dividends declared will be paid on the 1 April 20.5 (4)

7. On 31 December 20.4 the board of directors of Global Ltd decided to declare a dividends of 10 cents per share, to all ordinary shareholders registered on the 30 December 20.4. These dividends will be paid on 5 January 20.5. (3)

Additional information:

Authorised share capital	**R**
1 000 000 ordinary shares of R1 each	1 000 000
Issued share capital	
600 000 ordinary shares of R1 each	600 000

The purchase price and the furnishing costs of office buildings (see 3) are estimated by the board of directors at R1 200 000.

Assume a tax rate of 30%.

REQUIRED

(a) Identify each situation and briefly discuss the effect of each situation on the financial statements at 31 December 20.4.

(b) Provide for each of above-mentioned cases an extract from the financial statements of Global Ltd at 31 December 20.4, disclosing the results of the discussion in (a) so as to comply with the requirements of Statements of Generally Accepted Accounting Practice.

Assume that all amounts are material and that the company is a going concern.

(Accounting Standards - adapted)

HOW SHOULD I ATTEMPT THIS QUESTION?

1. Read the "REQUIRED" section carefully. You will note that section (a) is a theoretical question. In this type of question it is important to ensure that you understand which aspects should be addressed. Remember the question states that you should "discuss" the cases. You should thus determine if it is adjusting or non-adjusting events after the reporting date.

2. Take into account the number of marks that are allocated to each section. It serves no purpose to write a whole page on a section that counts only five marks. The opposite is also true.

3. In section (b) you are required to disclose your findings in section (a).

WHAT THEORY DO I NEED?

Refer to the prescribed study material at the beginning of the study unit.

QUESTION 19.1 - Suggested solution

1. (a) Discussion - Non-adjusting event

Although Global Ltd did not have insurance cover at the reporting date, the loss should not be taken into account for the period ended 31 December 20.4 as no loss had been incurred by that date. Both the loss of inventory and damage to buildings should be disclosed by way of a note to the financial statements, because the event is material and as non-disclosure thereof will affect the ability of users to make proper evaluations and decisions. (2)

(b) Disclosure

GLOBAL LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.4

14. Events after the reporting period

During January 20.5 a bomb exploded at one of the branches of the company. Inventory amounting to R80 000 was destroyed. Damage to buildings amounted to R120 000. (2)

15. Contracts for capital expenditure

A contract was concluded with Regmaak Ltd to repair the damage (see note 14) to the buildings for R120 000. Surplus cash funds will be employed to finance the project. (2)
6

2. (a) Discussion - Adjusting event

The event indicates that an asset was impaired at the reporting date because the debtor has already experienced financial difficulties before year-end (see IAS 10 (AC 107).9). Adjustments to assets are required if events which take place after the reporting date, provide additional information of conditions that existed at the reporting date. Financial statements are adjusted and normal disclosure requirements apply. (2)

The applicable loss is calculated taking into account the estimated liquidation dividend [thus R40 000 - (20% x R40 000)]. (1)

Debtors are reduced by R32 000 (80% x R40 000) and credit losses increased by R28 070 (without VAT). This will result in a R28 070 reduction in profit before tax, a R8 421 reduction in tax and a decrease in the tax liability of R8 421. (2)

(b) Disclosure

GLOBAL LTD

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 20.4

	R	
Profit before tax (xx xxx - 28 070)	xx xxx	(½)
Income tax expense (xx xxx - 8 421)	xx xxx	(½)
Profit after tax (xx xxx - 19 649)	xx xxx	

GLOBAL LTD

STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 20.4

	R	
ASSETS		
Current assets		
Debtors (xx xxx - 32 000)	xx xxx	(½)
EQUITY AND LIABILITIES		
Equity attirubtable to owners of the parent		
Retained earnings (xx xxx - 19 649)	xx xxx	(½)
Current liabilities		
Taxation (xx xxx - 8 421)	xx xxx	(½)
Creditors [xx xxx - 3 930 (Input VAT)]	xx xxx	(½)
		8

3. (a) Discussion - Non-adjusting event

Although the directors of Global Ltd approved the rights issue on 15 November 20.4, the transaction only took place on 1 February 20.5. Assets and liabilities should therefore not be adjusted as the event does not relate to conditions existing at the reporting date.(2)

The price paid for the option, if any, would have been capitalised as part of the purchase price of the office buildings and, therefore, has no effect on the financial statements after year-end. (1)

However, in view of the materiality of the matter (rights issue), a note should be included in the financial statements in which the matter is explained, to enable users to evaluate the financial statements properly and to enable them to make informed decisions. (2)

The total amount or estimated amount of capital expenditure for contracts should be explained in the financial statements by way of a note. The source from which the expenditure will be financed should also be disclosed. (1)

(b) Disclosure

GLOBAL LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.4

10. Events after the reporting period

A rights issue of 100 000 shares at R12 per share was made on 1 February 20.5. The issue was fully subscribed. (1)

11. Contracts for capital expenditure

The directors concluded an "option to purchase an office building" during October 20.4 for the acquisition of office buildings. The proceeds of the rights issue will be used to finance the purchase (see note 10). The directors estimate that the purchase and furnishing of the office building will amount to R1 200 000. (2)

9

4. (a) Discussion - Adjusting event

The error made by XYZ will not be to Global Ltd's advantage from a legal point of view. XYZ will accordingly invoice Global Ltd for the difference as soon as they discover the error. Consequently the full amount of R20 000 should be provided for in the financial statements. (2)

As assets and liabilities should be adjusted for events occurring after the reporting date which provide additional information for the determination of amounts relating to circumstances existing at the reporting date, the financial statements will be adjusted. Thus both creditors and inventory will increase by R20 000. The net effect on profit before tax in the statement of comprehensive income is nil as both purchases and closing inventory increase. (2)

(b) Disclosure

GLOBAL LTD

STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 20.4

	R	
ASSETS		
Current assets		
Inventory (xx xxx + 20 000)	xx xxx	(½)
EQUITY AND LIABILITIES		
Current liabilities		
Trade and other payables (xx xxx + 20 000)	xx xxx	(½)

5

5. (a) Discussion – Non adjusting event

Although Global Ltd was sued after year end, the alleged infringement of the patent occurred during 20.4 and therefore this could constitute as an event after the reporting date. Further evidence of the alleged infringement is the fact that legal costs of R10 000 has been incurred. The fact that Global Ltd was only sued after year end is additional evidence of a possible liability that has accrued during the year.

The available information indicated that this is a possible liability at the reporting date due to a possible infringement of the patent. As the available information is vague and the outcome and cost of the case cannot be determined, the existence and nature of the event shall be disclosed as a contingent liability.

The nature of the contingent liability, namely possible infringement of the patent, and the fact that the outcome and cost of the case cannot be determine, shall be disclosed in the financial statements by way of a note. No specific mention of the R10 000 is necessary.(4)

(b) Disclosure

GLOBAL LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.4

Contingent liability

Global Ltd is the defendant in a lawsuit with a competitor, the attorneys of Global Ltd at present cannot determine the outcome and cost of the infringement of the patent held by the competitor. (2)
6

6. (a) Discussion – Non adjusting event

In terms of IAS 1 (AC101).25 dividends declare or proposed after the financial year end, but before the financial statements were authorised for issue, are not recognised as a liability. It must be disclosed by way of a note dealing with dividends declared or proposed, and must also disclose the related dividend per share. The potential STC liability must also be disclosed (4)

(b) Disclosure

GLOBAL LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.4

Ordinary dividends of R60 000 (1) were declared on 28 February 20.5 and will be paid on 1 April 20.5. The potential STC liability arising from this dividend is R 7 500. (2) 6

(1) 600 000 x .10c = 60 000
(2) 60 000 x 12, 5% = 7 500

7. (a) Discussion – adjusting event

Dividends declared or approved for payment at an annual general meeting during the year shall be recognised in the financial statements of the current year. (1)

(b) Disclosure

GLOBAL LTD

STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 20.4

	20.4	
Equity and liabilities		
Current Liabilities		
Other current liabilities (dividends declared)	60 000	
Current tax payable (STC)	7 500	(2)
		3
		41

SECTION D - ADDITIONAL QUESTION

With the necessary theoretical background and after you have worked through the multiple choice questions as well as question 19.1 you should be able to do the following question:

QUESTION 19.2 (18 marks - 27 minutes)

The following information pertaining to two companies, unrelated to one another, is available:

1. Fly Construction Ltd is a Durban based company involved in a construction project in a foreign country. The multi-million rand project involves a hotel and convention centre for an international group of hoteliers.

   After the reporting date but prior to the authorisation of the financial statements for publication, the company received the news that as a result of a bloodless coup d'etat all construction work has ceased. As a precautionary measure the American Embassy in that country advised foreigners to leave. Fly Construction Ltd's technical and supervisory staff were all evacuated.

   Total construction costs incurred up to the date of the evacuation amounted to R11,0 million of which R9,5 million was incurred up to reporting date. A R2 million progress payment due at year-end is still outstanding.

2. During the financial year under review Play Galore Ltd completed a housing development project consisting of 2 000 units for Blacksburgh Inc, an American company engaged in a mining venture in Iceland.

   Shortly afterwards a hurricane caused extensive damage to these houses, which resulted in considerable loss to Blacksburgh Inc. The company contended that Play Galore Ltd had not taken into account the adverse weather conditions normally experienced in the region, in the design and construction of the houses.

   Blacksburgh Inc indicated shortly after year-end that they will take civil action in both the American and South African courts claiming R20 million.

   Play Galore Ltd's legal advisors are of the opinion that any case against the company to be heard in the South African courts will fail, but are not able to express an opinion on the outcome of the case if heard in America as they lack sufficient information on the plaintiff's case.

   At the date the directors authorised the financial statements for publication, no case had been filed nor had legal proceedings commenced in either country.

REQUIRED

Discuss how Fly Construction Ltd and Play Galore Ltd should deal with the above matters in their financial statements so as to comply with Statements of Generally Accepted Accounting Practice. Commence your answer with a brief analysis of all the facts and issues involved.

(Natal Centre for Professional Accounting Education CC
- in Accounting Standards - adapted)

QUESTION 19.2 - Suggested solution

1. Fly Construction Ltd

- The cessation of construction activities as a result of a military coup, represents an event after the reporting date. (1)

- Could possibly result in the company suffering the following losses:

  - non-recovery of outstanding debt of R2 million; (1)

  - non-recovery of any costs incurred subsequent to last progress certificate. (1)

- The fact that the customer is an international group of hoteliers may perhaps minimise the risk of non-payment. (1)

- Evacuation was only a precautionary measure and the possibility of the new regime approving the project must also be investigated. A development project of this nature is normally beneficial to the local population. (1)

- As this is not the type of post reporting date event that provides additional evidence of conditions existing at the reporting date, no adjustment to the financial statements is required. (1)

- Specific disclosure of this event, in terms of its nature and the financial effect must be made in the financial statements in a note referred to as "Events after the reporting period", because of the materiality of the matter. Alternatively, a statement that an estimate of the amount cannot be made, must be disclosed. Attention should be drawn to it in the Directors' Report. (2)

- The date should be disclosed when the financial statements were authorised for Issue and who gave that authorisation. If any party has the power to amend the financial statements after publication, that fact should be disclosed. (1) (1)

2. Play Galore Ltd

- Although the alleged negligence occurred before year-end, no claim has been lodged against Play Galore Ltd at year-end. Consequently no probable liability and thus no contingent liability exists at year-end. (2)

- The fact that Blacksburgh Inc has indicated after year-end, but before the statements have been authorised for publication, that a civil action will be taken, constitutes an event after the reporting period. (1)

- It however, points to circumstances that originate after the reporting date (no probable liability at the reporting date). Consequently it is not necessary to adjust the statements (non-adjusting event). (1)

- However, the materiality of the matter necessitates disclosure thereof. Consequently it is necessary to disclose the nature of the event and that it is not possible to estimate the financial effect thereof. (2)

- The date should be disclosed when the financial statements were authorised for Issue and who gave that authorisation. If any party has the power to amend the financial statements after publication, that fact should be disclosed. (1)
(1)
18

SECTION E - SPECIFIC OUTCOMES

After you have studied this study unit, you should be able to do the following:

1. Identify the purpose of IAS 10 (AC 107).
2. Define events after the reporting period.
3. Differentiate between adjusting and non-adjusting events after the reporting date.
4. Recognise and measure adjusting events after the reporting date.
5. Disclose material non-adjusting events after the reporting date.

YOU SHOULD NOW STUDY IAS 10 (AC 107).

STUDY UNIT 20

PROVISIONS, CONTINGENT LIABILITIES AND ASSETS

KEY ISSUE

The most important aspect in this study unit is to determine whether an item is a provision or a contingent liability. A provision complies with the definition of a liability (a current obligation), except that the *timing or amount* is uncertain. A contingent liability is a *possible* obligation whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events.

KEY CONCEPTS

The following key concepts are fundamental to this study unit:

1. The difference between provisions and contingent liabilities.
2. The identification of a contingent asset.
3. The difference between legal and constructive obligations.
4. The recognition of provisions.
5. The disclosure of contingent liabilities and assets.
6. The recognition and disclosure of onerous contracts.
7. The recognition and disclosure of restructurings.

PRESCRIBED STUDY MATERIAL

The following ***mus***t be studied before you attempt the questions in this study unit:

1. The applicable chapter on provisions, contingent liabilities and assets in:

   Descriptive Accounting, 13th edition

   or

   GAAP Handbook 2009.

Later in the study unit you will be requested to study the following carefully - you need not do it immediately:

1. IAS 37. Provisions, contingent liabilities and contingent assets.
2. IFRIC 1. Change in Existing Decommissioning, Restoration and Similar Liabilities. (Refer to chapter 27 in Descriptive Accounting and chapter 9 in GAAP Handbook 2009 for a discussion and examples.)
3. IFRIC 5. Rights to Interest arising from Decommissioning, Restoration and Environmental Rehabilitation Funds. (Refer to chapter 25 in Descriptive Accounting and chapter 28 in GAAP Handbook 2009.)

NOTE: THE REST OF STUDY UNIT 20 IS BASED ON THE ASSUMPTION THAT YOU HAVE ALREADY STUDIED THE RELEVANT CHAPTER IN THE PRESCRIBED TEXTBOOK.

SECTION A - MULTIPLE CHOICE QUESTIONS AND SHORT QUESTIONS

The following multiple choice questions and short questions should be an indicator whether you have a thorough knowledge of the textbook:

20.1 Tel Ltd manufacture and sells telephones and gives warranties at the time of sale to purchasers of its telephones. Under the terms of the warranty, Tel Ltd undertakes to repair or replace items that fail to perform satisfactory for three years from the date of sale.

Because of past experience Tel Ltd expects to receive claims.

Which one of the following statements is correct?

(1) No provision is recognised, just disclose as a note to the financial statements.
(2) Recognise a contingent liability.
(3) A provision is recognised for the best estimate of the costs of making good, under the warranty, of products sold before the reporting date.

20.2 Which one of the following statements is incorrect?

(1) There is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources. No provision is recognised, only disclosure for the contingent liability, is required.
(2) There is an asset of which the inflow of economic benefits is probable, but not virtually certain. No asset is recognised, only disclosure for the contingent asset is required.
(3) There is an asset of which the inflow of economic benefits is virtually certain. No asset is recognised, only disclosure of the contingent asset is required.
(4) There is a present obligation that probably requires an outflow of resources. A provision is recognised and disclosure is required.

20.3 Which one of the following statements is incorrect? A provision should only be recognised when:

(1) The enterprise has a present legal or constructive obligation to forfeit economic benefits as a result of past events.
(2) It is not likely that an outflow of resources will be required to settle the obligation.
(3) A reliable estimate of the obligation can be made.
(4) There is uncertainty about the timing or amount of a liability.

20.4 The following claims have been laid against VN Ltd at the court during the year ended 31 December 20.6:

1. R500 000 for infringement on a patent (capital nature).
2. R800 000 for damages caused by products sold by VN Ltd.

It is probable that VN Ltd will have to pay the claimants for the damage incurred.

The tax rate is 29%.

The deferred taxation balance on 31 December 20.6 should be:

(1) R304 500
(2) Nil
(3) R145 000
(4) R232 000

20.5 Which one of the following statements is incorrect?

(1) A provision is a liability of uncertain timing or amount.
(2) An obligating event is an event that creates a legal or constructive obligation that results in an enterprise having no realistic alternative to settling that obligation.
(3) A constructive obligation is an obligation that derives from a contract, legislation or other operation of law.
(4) An onerous contract is a contract in which the unavoidable costs of meeting the obligation under the contact exceed the economic benefits expected to be received from it.

20.6 Black Ltd requires advance payments when special orders are placed. These advances are non-refundable.

The following information relates to the year ended 31 December 20.6:

Advances received during the year	-	R200 000
Advances applied to deliveries during the year	-	R150 000
Advances applicable to orders cancelled	-	R50 000

The balance of the advance liability on 31 December 20.6 amounted to:

(1) R nil
(2) R50 000
(3) R250 000
(4) R200 000

20.7 A company incorporated during the year, supply a two-year warranty on its products. The estimated warranty cost based on sales is 2% for the first year and 4% for the second year.

The following information is available:

	Sales	**Actual warranty expenditure**
	R	**R**
20.5	150 000	2 250
20.6	250 000	7 500

At the end of 20.6 the balance of the warranty provision amounted to:

(1) R2 500
(2) R24 000
(3) R11 250
(4) R14 250

20.8 Discuss the accounting treatment where some or all of the expenditure required to settle a provision is expected to be reimbursed by another party.

20.9 What should be disclosed in the reconciliation in respect of each class of provision?

20.10 What should be identified in a plan to be recognised as a detailed formal plan for the restructuring?

SUGGESTED SOLUTIONS TO MULTIPLE CHOICE QUESTIONS AND SHORT QUESTIONS

20.1 ✓ (3) Refer IAS 37 (AC 130).14.
- The obligating event is the sale of the product with a warranty, which gives rise to a legal obligation.
- The outflow of economic benefits is probable.
- A reliable estimate can be made.

20.2 (1) Refer IAS 37 (AC 130).27 and .86.
(2) Refer IAS 37 (AC 130).31 and .89.
✓ (3) Not correct, refer IAS 37 (AC 130).33. The asset should be recognised.
(4) Refer IAS 37 (AC 130).14 and .84 to .85.

20.3 ✓ (2) IAS 37 (AC 130).14. An outflow of resources should be *probable* to be recognised as a provision.

20.4 ✓ (4) A provision should be raised on the R800 000 on 31 December 20.6 - IAS 37 (AC 130).14.

The claim of R500 000 for infringement on a patent is of a capital nature and will not be deductible for tax purposes. It will be deductable in the future against capital gains.

Deferred taxation will be calculated on the R800 000 (R800 000 x 29% = R232 000).

20.5 ✓ (3) Refer IAS 37 (AC 130).10. A *legal* (not a constructive) obligation originate from a contract, legislation or other legal action.

20.6 ✓ (1) R nil

Because provisions are **not repayable**, the R50 000 should be transferred to the statement of comprehensive income when the order is cancelled.

20.7 ✓ (4) R14 250

	R
Estimated warranty cost [(150 000 + 250 000) x 6%]	24 000
Less: Actual cost incurred	(9 750)
	14 250

20.8 The reimbursement shall be recognised when it is virtually certain that reimbursement will be received if the entity settles the obligation.

The reimbursement shall be treated as a separate asset.

The amount recognised for the reimbursement shall not exceed the amount of the provision.

In the statement of comprehensive income, the expense relating to a provision may be presented net of the amount recognized for a reimbursement.

20.9 The carrying amount at the beginning and end of the period.

Additional provisions made in the period, including increases to existing provisions.

Amounts used during the period.

Unused amounts reversed during the period.

The increase during the period in the discounted amount arising from the passage of time and the effect of any change in the discount rate.

Comparative information is not required.

20.10 A detailed formal plan for restructuring shall at least identify the following:

- The business or part of a business concerned.
- The principal locations affected.
- The location, function, and approximate number of employees who will be compensated for terminating their services.
- The expenditures that will be undertaken.
- When the plan will be implemented.

SECTION B - QUESTION ON PROVISIONS, CONTINGENT LIABILITIES AND ASSETS

The following question has been included to provide guidance on the approach to be followed when answering a comprehensive question on provisions, contingent liabilities and contingent assets.

QUESTION 20.1 (14 marks - 21 minutes)

The Mighty Mouse Trap Company Ltd has just started with the export of mouse traps to the USA. The advertising slogan for the mouse traps is: "A girl's best friend". The following claims have been instituted against the company during the year:

(a) Mr G Washington lost his thumb while he was handling a mouse trap with an extraordinarily strong spring. He is claiming R5 000 in respect of medical and other costs. According to the company's legal representatives there is a good chance that the claim will succeed.

(b) The Californian Women's Liberation Movement is claiming R10 000 from the company because the advertising slogan allegedly compromises women's dignity. The company's legal representatives are of the opinion that the success of the claim will depend on the judge which presides over the case. They however estimate that there is a 70% probability that the claim will be thrown out and a 30% probability that it will succeed.

(c) Mr A Lincoln claims R100 000 on the basis that his fear of mice is widely known and that the company's advertising slogan makes him appear feminine in the eyes of the general public. The company's legal representatives are of the opinion that the chance of the claim succeeding, is remote.

REQUIRED

Discuss how these matters should be accounted for and how it should be disclosed.

(UP - adapted)

HOW SHOULD I ATTEMPT THIS QUESTION?

1. Read the "REQUIRED" section carefully. The question indicates that you should "discuss" how the different claims should be accounted for. In addition the question requires you to disclose all the matters.

2. Note that the question counts only 14 marks. You cannot write pages on each claim. Only provide relevant information.

3. Remember to come to a conclusion in each case. You should determine whether the amount should be provided for or not. An amount should only be provided for if it complies with the definition of a liability as well as the recognition criteria. Your answer should cover the following aspects:

    - Is there a present obligation as a result of past events?
    - Will there be a probable outflow of economic benefits?
    - Can the amount be estimated reliably?
    - Come to a conclusion.
    - Discuss the disclosure if applicable.

WHAT THEORY DO I NEED?

Refer to the prescribed study material at the beginning of the study unit.

QUESTION 20.1 - Suggested solution

(a) *Present obligation as a result of a past event*

Mr G Washington has lodged an indemnity claim against the company. A legal present obligation exists due to operation of law. The obligation has arised due to a past event that occurred during the financial year - Mr Washington (either a client or an employee) lost a finger during the financial year after operating a mouse trap. (1)

Probable outflow of economic benefits

The legal representatives are of the opinion that the claim will succeed, so it is very probable that there would be an outflow of economic benefits (in the form of cash). (1)

Reliable estimate

A reliable estimate can be made. The amount of the claim is known and it is probable that the full amount will be paid to the claimant. (1)

Conclusion

The R5 000 claim by Mr Washington should be recognised as a provision in the annual financial statements of Mighty Mouse Trap Company Ltd. (1)

Disclosure

For every class of provisions disclose:

- A reconciliation of the carrying amount at the beginning and the end of the year. (½)
- A brief description of the nature of the obligation and timing of the outflow of the benefits. (½)
- An indication of the uncertainties about the amount and timing of that ouflow. (½)
- The amount of any reimbursements (e.g. insurance claims) that will cover the expected outflow, stating the amount of any asset recognised. (½)

(b) *Present obligation as a result of a past event*

The Californian Women's Liberation Movement has lodged an indemnity claim against Mighty Mouse Trap Company Ltd. A legal present obligation exists due to the working of law. This claim resulted from an advertising campaign that was launched during the year. Consequently the claim resulted from a past event. (1)

COMMENT

Note that it can also be argued that a probable obligation exists, whose existence will be confirmed only by the occurrence or non-occurrence of uncertain future events (namely the result of the court case). However, the conclusion remains the same.

Probable outflow of economic benefits

An outflow of economic benefits is improbable but not remote. (1)

Conclusion

The claim by the Californian Women's Liberation Movement should be disclosed as a contingent liability because a present obligation exists, but an outflow of economic resources is improbable. (1)

Disclosure

For every class of contingent liability disclose:

- A description of the nature. (½)
- An estimate of the financial effect should be made. (½)
- Uncertainties relating to the amount and timing of any outflow should be disclosed. (½)
- Possibilities of reimbursement should be noted if they exist. (½)

(c) *Present obligation as a result of a past event*

Mr Lincoln has an indemnity claim against the company. A present legal obligation exists due to the operation of law. The obligation has arisen due to a past event namely an advertisement placed by Mighty Mouse Trap Company Ltd. (1)

COMMENT

Note that it can also be argued that a probable obligation exists, whose existence will be confirmed only by the occurrence or non-occurrence of uncertain future events (namely the result of the court case). However, the conclusion remains the same.

Probable outflow of economic benefits

The probability of an outflow of economic benefits is remote according to the lawyers of the company. (1)

Conclusion

Because the likelihood of an outflow of economic benefits is remote, nothing regarding this matter should be disclosed or recognised in the financial statements. (1)

Total 14

SECTION C - ADDITIONAL QUESTIONS

With the necessary theoretical background and after you have worked through the multiple choice questions as well as question 20.1 you should be able to do the following questions:

QUESTION 20.2 (25 marks - 38 minutes)

Jefco Ltd is a company listed on the JSE Securities Exchange. Jefco Ltd is involved in retailing, manufacturing as well as construction.

The following information relates to Jefco Ltd for the financial year ended 31 December 20.6:

1. For a number of years Jefco Ltd has had its flagship retail outlet in the CBD (central business district) of Pretoria. Due to business and consumers relocating to the eastern suburbs the turnover and profitability has declined over the past two years.

   For the year ended 31 December 20.6 the gross profit of the retail outlet amounted to R2 952 000, considerably lower than budgeted. For the same year the monthly rental of the premises was R247 500. The lease contract escalates at 7% per annum on 1 January each year and expires on 30 June 20.9. Due to penalty clauses in the lease contract, management decided at 31 December 20.6 to continue with the business, rather to cancel the contract.

   The gross profit is earned evenly throughout the year and at 31 December 20.6 it was established that the same level of gross profit will be maintained for the foreseeable future. All receipts and payments are received/paid monthly in arrears.

2. On 1 February 20.6 the government awarded Jefco Ltd a contract to rebuild two bridges that was destroyed in recent floods in the Limpopo Province.

   The project will be completed at 31 July 20.8. The work involves the diverting of the road at both bridges, by building temporary bypass roads, as well as the damming and diverting of a river at one of the bridges. At 30 May 20.6 the bypass roads and damming of the river was completed and construction on the bridges commenced.

   The contract stipulates that the damming and diverting of the river must be restored at completion of the contract. Nothing is required or stipulated in the contract regarding the temporary roads. However, Jefco Ltd has a policy to restore the environment at each site where they have completed a project. This policy that is generally known, builds their image and promotes public relations.

   The estimated cost to restore the river and dam is R2 200 000 and to restore the bypass roads is R1 850 000.

3. The audit firm started with the audit of Jefco Ltd on 2 February 20.7. The firm estimated that the audit fee for the 20.6 year will amount to R80 000. No provision has been made yet.

Additional information

- Jefco Ltd considers a pre-tax discount rate of 9% p.a. (capitalised monthly) to be the current rate applicable in the market.

- The current normal tax rate is 29%. Ignore any other tax, unless specified in the information given.

REQUIRED

(a) For the information in notes 1 to 3 above, journalise the accounting entries necessary for the year ended 31 December 20.6, giving brief reasons for your answers. (19)

(b) Disclose all notes for the year ended 31 December 20.6, relating to profit before taxation, as well as provisions in accordance with the requirements of the Statements of Generally Accepted Accounting Practice. (6)

Round off all amounts to the nearest rand.

QUESTION 20.2 - Suggested solution

(a) JEFCO LTD

1. Onerous contract

		Dr R	Cr R	
31/12/20.6	Expected losses on onerous contract (P/L) [W1]	885 329		(4)
	Provisions (F/P) [W1]		885 329	(½)
	(Provision for future loss on onerous contract)			

Reason:

The obligating event is the signed lease contract, which gives rise to a legal obligation. (½)

A lease contract becomes onerous when the unavoidable costs of meeting the obligations exceed the economic benefits. (½)

A provision must be recognised for the best estimate of the net unavoidable costs of meeting the obligations. (AC 130.69/IAS 37.68). (½)

2. Environmental restoration costs

		Dr R	Cr R	
30/05/20.6	Environmental restoration costs (P/L) [W2]	3 334 906		(2)
	Provision for environmental restoration costs		3 334 906	(½)
	(Provision for environmental restoration costs)			
31/12/20.6	Interest paid (P/L) [W2]	179 072		(2)
	Provision for environmental restoration costs		179 072	(½)
	(Interest need to be provided on the outstanding liability)			

At the end of the period the full liability would have been provided for and payment must be debited against the liability.

Reason:

The restoration of the damming and diverting of the river is a legal obligation in terms of the contract. (½)

Jefco Ltd has a constructive obligation to restore the bypass roads. Jefco Ltd has indicated to other parties through its policy and promotions that it accepts the responsibility to clean up and restore the environment. (½)

The obligating event is the contract, the building of the dam and roads and expectations created by the company to restore the environment. (½)

The outflow of resources is probable and a reliable estimate can be made. (½)

3. Audit fees

No Journal entries. (1)

"A provision like all liabilities, should only be recognised when it relates to an event that has already occurred at the reporting date. A contentious issue is the treatment of an audit fee provision. Audit fees should be recognised in the financial year in which audit services are provided, as that is when the obligation to pay the audit firm arises. An audit provision should only relate to work already completed at the reporting date - it should not include a provision for audit work done after the reporting date. (2)

It is sometimes argued that because there is a legal obligation for an audit to be performed for each financial year, provision should be made for the audit fee in the year concerned. We do not believe this argument holds water. There is no obligation for the audit to be performed during the financial year concerned, and the auditor certainly has no claim for fees until the audit work has been done. This is simply another case of a correct interpretation of the recognition criteria overturning a past practice which resulted from prudence and established convention." (3)

Reference: Everingham & Watson, GAAP Newsletter Volume 3 No 1: April 2001.

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(b) JEFCO LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.6

2. Profit before taxation

Profit before taxation is shown after the following items have been taken into account:

	R	
Expected losses on onerous contract[#] [W1]	885 329	(½)
Environment restoration costs[#] [W2]	3 334 906	(½)
Finance charges[*] [W2]	179 072	(½)

[*] Disclosed on face of statement of comprehensive income in terms of IAS 1 (AC 101).

[#] Because of the materiality of these items, it is regarded as separately disclosable items.

3. Provisions

3.1 *Provision for onerous contract*

Carrying amount at beginning of year	-	
Provision current year	885 329	(½)
Carrying amount at end of year	885 329	

Jefco Ltd made provision for an onerous lease contract relating to a retail premises. The lease expires in 30 months on 30 June 20.9. The net unavoidable lease payments are recognised monthly against the provision. (1)

3.2 *Provision for environmental restoration costs*

Carrying amount at beginning of year	-	
Provision current year	3 334 906	(½)
Interest	179 072	(½)
Carrying amount at end of year	3 513 978	

Jefco Ltd has a legal as well as a constructive obligation to restore the environment after completion of a construction contract to rebuild bridges in the Limpopo Province. It is estimated that the contract will be completed by 31 July 20.8 where upon the environment will be restored at an estimated cost of R4 050 000. (2)
6
25

WORKINGS

W1. Onerous contract

Gross profit per month 2 952 000/12	246 000 p.m.	[½]
Remaining period of lease	30 months	[½]
Discount rate is	9% p.a.	[½]

Cash flow per month

		Lease payments	**Gross profit**	**Net cash flow**	
Month	1 - 12	(264 825)	246 000	(18 825)	[½]
Month	12 - 24	(283 363)	246 000	(37 363)	[½]
Month	25 - 30	(303 198)	246 000	(57 198)	[½]
Use financial calculator with cash flow functions.					
Calculate NPV = Net cash outflow				(885 329)	[1]
					[4]

W2. Construction

Number of months to completion of contract (1 June 20.6 - 31 Jul 20.8)	26	[½]
Estimated restoration costs (2 200 000 + 1 850 000)	4 050 000	[½]
Present value of restoration costs discounted at 9% per annum, compounded monthly at 1 June 20.6	3 334 906	[½]
Interest charge on outstanding liability from 1 June 20.6 to 31 December 20.6	179 072*	[½]
		[2]

* Present value of restoration costs at 31 December 20.6 discounted at 9% p.a., compounded monthly n = 19 (26 - 7), FV = 4 050 000, i = 0,75 (9/12), COMP PV = 3 513 978
∴ Interest from 1 June 20.6 to 31 December 20.6
= 3 513 978 - 3 334 906
= 179 072 [2]

QUESTION 20.3 - Rehabilitation funds

A Ltd a manufacturer operates in an environment for which a fund has been established for environmental rehabilitation purposes. It is compulsory for all businesses who operate in this specific environment to contribute. The fund are managed by independent trustees. The company's interest in the fund is estimated at 10%. A Ltd provided a provision of R100 000 (10% of total costs) for the rehabilitation cost on 1 January 20.7 (the date on which the fund was established).

The R100 000 provision is the present value of the cost discounted at 10% over 10 years.

During 2007 and 2008 the information relating to the fund is as follows for the years ended 31 December:

	2008	**2007**
	R	**R**
Funds contributed by A Ltd	12 000	10 000
Fair value of fund's assets	300 000	110 000

It is not possible to allocate any portion of the rehabilitation expenses to any asset.

REQUIRED

Provide the journal entries in respect of the rehabilitation fund in the books of A Ltd for the years ended 31 December 2007 and 2008.

QUESTION 20.3 - Suggested solution

JOURNAL ENTRIES

		Dr R	Cr R
2007			
1/1	Operating costs (SCI)	100 000	
	Provision for rehabilitation costs		100 000
	Provide for rehabilitation costs		
31/12	Asset – interest in fund	10 000	
	Bank		10 000
	Contribution to fund		
31/12	Interest paid	10 000	
	Provision for rehabilitation costs		10 000
	10% x 100 000		
31/12	Asset – interest in fund	1 000	
	Fair value adjustment		1 000
	Fair value = 10% x 11 000 = 11 000		
	Carrying amount = 10 000		
	1 000		
2008	Asset – interest in fund	12 000	
	Bank		12 000
	Contributions 2008		
	Interest paid	11 000	
	Provision for rehabilitation costs		11 000
	10% x (100 000 + 10 000)		
	Asset – interest in fund	7 000	
	Fair value adjustment		7 000
	Fair value = 10% x 300 000 = 30 000		
	Carrying amount (10 000 + 1 000 + 12 000) = 23 000		
	7 000		

Note that if the fair value of the rehabilitation fund was for example R1 250 000 at the end of 2008 as a result of very good investments the fair value adjustment will be:

	Dr R	Cr R
Asset – interest in fund	88 000	
Fair value adjustment		88 000
Fair value = 10% x 1 250 000 = 125 000		
Limited to carrying amount of		
provision (100 000 + 10 000 + 11 000) = 121 000		
Carrying amount of asset (10 000 + 1 000 + 12 000) = 23 000		
Fair value adjustment 88 000		

QUESTION 20.4 - IFRIC 1 (AC 434) - Change in existing decommissioning, restoration and similar liabilities

A Ltd acquired a machine on 1 January 20.1 at a cost of R500 000. This machine was immediately installed in a leased factory and in terms of the lease agreement, the machine should be dismantled after ten years (at the end of its useful life). The expected dismantling costs amount to R100 000 and a fair discount rate is 8% per annum.

It is A Ltd's policy to revalue machinery every three years. Consequently the machine was revalued on 1 January 20.4, on which date the net replacement value of the machine amounted to R400 000. On 1 January 20.4 the provision for dismantling cost have increased to R58 349. The R400 000 net replacement value is calculated without taking into account any provision for dismantling costs.

On 1 January 20.5 new technology was introduced which will speed up the process to dismantle the machine and consequently the expected future dismantling costs will decrease to R60 000.

A Ltd's financial year ends on 31 December. The effect of taxation should be ignored. Assume that revaluation surpluses are regarded as realised only when the underlying asset is disposed of.

REQUIRED

(a) Provide journal entries for the year ended 31 December 20.4 and 20.5 to account for the above.

(b) Disclose the components of other comprehensive income in the notes to the financial statements (revaluation surplus only) for the year ended 31 December 20.5. Comparative amounts should be provided.

(c) Assume for the purposes of this section only, that the provision for dismantling cost must be increased with R80 000 on 1 January 20.5. Provide the journal entries to account for this adjustment. The machine is still accounted for in terms of the revaluation model.

(d) Assume that the machine is accounted for in terms of the cost model. Provide journal entries for the year ended 31 December 20.4 and 20.5.

(e) Assume that the machine is accounted for in terms of the cost model, and provide the following two notes for the year ended 31 December 20.5, without comparative amounts:

- property, plant and equipment
- profit before tax.

EXAMPLE - Suggested solution

Part (a)

	Dr R	Cr R
1/1/20.4:		
Accumulated depreciation on machinery [W1]	163 896	
Machinery at revaluation [W2]	458 349	
Machinery at cost [W1]		546 319
Revaluation surplus		75 926
Revaluation of machine		
31/12/20.4:		
Depreciation [W1]	65 479	
Accumulated depreciation on machinery		65 479
Depreciation for 20.4		
Finance costs [W3]	4 668	
Provision for dismantling costs		4 668
Annual interest in respect of liability		
1/1/20.5:		
Provision for dismantling costs [W3]	25 207	
Revaluation surplus		25 207
Revision of expected dismantling costs		
31/12/20.5:		
Depreciation [W1]	65 479	
Accumulated depreciation on machinery		62 479
Depreciation for 20.5		
Finance costs [W3]	3 025	
Provision for dismantling costs		3 025
Annual interest in respect of liability		

COMMENTS

1 In this example there was a reduction in the expected costs, but the discount rate remained unchanged. If the expected costs did not change but instead the discount rate increased to, for example, 15%, the present value of the provision would have amounted to R43 233 on 1 January 20.5 (FV = 100 000; n = 6; i = 15%). The adjustment would then have amounted to only R19 784 (63 017 – 43 233), but would have been accounted for in the same manner as in the example (Dr Provision, Cr Revaluation surplus). The interest in respect of 20.5 would, however, then be calculated at a rate of 15% (43 233 x 15% = 6 485).

2. Note that the annual increase in the provision due to the accrual of interest should be accounted for by crediting the provision and debiting finance costs in the statement of comprehensive income. This does not result in any adjustment against the revaluation surplus or the asset. Even if it is the company's policy to capitalise borrowing costs, this finance charges may not be capitalised.

3. If a decrease in the provision (debited) exceeds the carrying amount of the asset that would have been recognised had the asset been recognised at cost model, the excess should be taken to the statement of comprehensive income.

   A change in the provision could be an indication that the asset should be revalued to ensure that the revised carrying amount does not differ from fair value of the asset.

4. If the assets are accounted for in terms of the revaluation model, a decrease in the provision should be treated as a revaluation surplus. If the decrease in the provision exceeds what the carrying amount of the asset would have been if the asset was accounted for in terms of the cost model, the excess above this carrying amount should be recognised immediately in the statement of comprehensive income.

5. If a material adjustment is made to the provision for dismantling costs, it might be an indication that the asset should again be revalued, which means that all the assets in that class should, at the same time, be revalued. In this example it is assumed that this is not the case.

Part (b)

A LTD

NOTES YEAR ENDED 31 DECEMBER 20.5

DISCLOSURE OF COMPONENTS OF OTHER COMPREHENSIVE INCOME

Other comprehensive income	**20.5 R**	**20.4 R**
Gains/surplus on property revaluation	25 207	75 926
Other comprehensive income	25 207	75 926
Income tax relating to components of other comprehensive income	(XX)	(XX)
Other comprehensive income for the year	25 207	75 926

Part (c)

If the machine was accounted for in terms of the cost model, the increase of R80 000 will be debited to the asset and credited to the provision.

	Dr R	**Cr R**
Revaluation surplus	75 924	
Dismantling costs (P/L)	4 076	
Provision		80 000

Part (d)

	Dr R	**Cr R**
31/12/20.4:		
Depreciation [W4]	54 632	
Accumulated depreciation on machinery		54 632
Depreciation for 20.4		
Finance costs [W3]	4 668	
Provision for dismantling costs		4 668
Annual interest in respect of liability		
1/1/20.5:		
Provision for dismantling costs [W3]	25 207	
Machinery		25 207
Revision of expected dismantling costs		

	Dr R	Cr R
31/12/20.5:		
Depreciation [W4]	50 431	
Accumulated depreciation on machinery		50 431
Depreciation for 20.5		
Finance costs [W3]	3 025	
Provision for dismantling costs		3 025
Annual interest in respect of liability		

COMMENTS

1. Note that an increase in the dismantling costs is accounted for by crediting the provision and debiting the asset. However, thereafter it is necessary to determine whether there are any indications of impairment of the asset, to ensure that the asset is not overstated.

Part (e)

A LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.5

2. Profit before tax

Included is the following:	**R**
Depreciaton	50 431

Included in depreciation is a change in estimate amounting to R4 201 (54 632 – 50 431). This change is the result of a decrease in the expected costs to dismantle a machine at the end of its useful life. The cumulative future effect of the change is a decrease in depreciation of R21 006 (25 207 – 4 201).

8. Property, plant and equipment

	Machinery R
Carrying amount at beginning of year	327 791
Cost	546 319
Accumulated depreciation	(218 528)
Revision of dismantling costs	(25 207)
Depreciation	(50 431)
Carrying amount at end of year	252 153
Cost (546 319 – 25 207)	521 112
Accumulated depreciation (218 528 + 50 431)	(268 959)

WORKINGS

W1. Carrying amount of machine (revaluation)

Cost 1/1/20.1	500 000
Dismantling costs (FV = 100 000; n = 10; i = 8%)	46 319
	546 319
Depreciation 20.1 to 20.3 (546 319/10 x 3)	(163 896)
Carrying amount 31/12/20.3	382 423
Revaluation	75 926
Net replacement value [W2]	458 349
Depreciation 20.4 (458 349/7)	(65 479)
Depreciation 20.5	(65 479)
	327 391

W2. Net replacement value

(Net) obtain for the asset – (given)	400 000
Dismantling component (after allowing for the unwinding of the discount rate for 3 years) - given	58 349
	458 349

W3. Provision for dismantling costs

Initial provision [W1]	46 319
Interest 20.1 to 20.3 (3 years @ 8%)	12 030
Provision at 1/1/20.4 (FV = 100 000; i = 8%; n = 7)	58 349
Interest 20.4 (58 349 x 8%)	4 668
Carrying amount 31/12/20.4 (FV = 100 000; i = 8%; n = 6)	63 017
Adjustment	(25 207)
Revised carrying amount 1/1/20.5 (FV = 60 000; i = 8%; n = 6)	37 810
Interest 20.5 (37 810 x 8%)	3 025
	40 835

W4. Carrying amount of machine (cost)

Carrying amount 31/12/20.3 [W1]	382 423
Depreciation 20.4 (546 319/10)	(54 632)
	327 791
Adjustment of provision [W3]	(25 207)
	302 584
Depreciation 20.5 (302 584/6)	(50 431)
	252 153

SECTION E - SPECIFIC OUTCOMES

After you have worked through this study unit, you should be able to do the following:

1. Identify the purpose of IAS 37 (AC 130).
2. Define the definitions.
3. Differentiate between provisions and contingent liabilities.
4. Recognise and measure provisions.
5. Identify contingent liabilities and contingent assets.
6. Disclose provisions, contingent liabilities and contingent assets in the financial statements.

YOU SHOULD NOW STUDY IAS 37 (AC 130).

ASSIGNMENT 73

Question	Topic	Marks	Minutes
1	Lessor	50	75
2	Classification of leases	20	30
3	Provisions	32	48
4	Provisions and events after the reporting period	27	41
5	Multi-employer funds	20	30
6	Post-employment benefits	60	90
7	Borrowing costs	22	33
8	Discontinued operations	85	128
9	Lease agreement – Land & buildings	30	45
10	IFRIC 4	21	32
		365	545
	Additional questions		
11	Integrated question	40	60
12	Integrated question	65	98
		470	703
	Typical test questions		
1	Test 2/2006	50	75
2	Test 2/2007	50	75

We included two additional integrated questions in this tutorial letter. These questions may include topics that will only be discussed in future tutorial letters.

For those students who can find the time to do these questions, we suggest that you do them now, otherwise you can work through these questions at the end of the year when you do revision for exam purposes.

QUESTION 1 (50 marks - 75 minutes)

Daly Lease Ltd, a manufacturing company, sells and leases machinery to customers.

The following information is available in respect of a machine manufactured and leased in accordance with a finance lease to a customer of Daly Lease Ltd:

Cost of manufacturing	R600 000
Normal selling price (excluding VAT)	R1 000 000
Lease period	5 years
Expected economical life of asset	5 years
Guaranteed residual value	R50 000
Minimum lease payments (including VAT) payable annually in arrears beginning on 31 December 20.2	R374 474
Interest rate	20% per annum
Commencement date of agreement	1 January 20.2

Additional information

1. The SARS grants a wear and tear allowance of 20% per annum according to the straight-line method. Assume that any guaranteed residual value is regarded by the SARS as the asset's residual value for purpose of the wear and tear allowance.

2. On 1 January 20.3 the interest rate was decreased to 19% per annum. It resulted in the remaining annual instalments being decreased to R367 088.

3. The normal tax rates were as follows:

   20.3: 30%
   20.2: 35%

   Assume a VAT rate of 14%.

4. Ownership of the machine will pass to the lessee upon payment of the guaranteed residual value. The agreement does not provide for contingent rent payments.

5. Round amounts off to the nearest rand.

REQUIRED

(a) Prepare the statement of comprehensive income and the following notes in respect of the finance lease to the financial statements of Daly Lease Ltd for the year ended 31 December 20.3:

- Revenue;
- Taxation;
- Deferred taxation; and
- Investment in finance lease debtor.

Your answer should comply with Statements of Generally Accepted Accounting Practice. (44)

(b) Briefly discuss how your answer would differ should the residual value of R50 000 be *unguaranteed*. (6)

QUESTION 1 - Suggested solution

(a) DALY LEASE LTD

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 20.3

	Notes	20.3 R	20.2 R	
Revenue (1 000 000 + 228 000)	2	188 770	1 228 000	(1)
Cost of sales		-	(600 000)	(1)
Profit before tax		188 770	628 000	
Income tax expense	3	(37 055)	(219 800)	(1)
Profit after tax		151 715	488 200	
Other comprehensive income		0	0	
Total comprehensive income for the year		151 715	408 200	

DALY LEASE LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.3

2. Revenue

Revenue recognised during the year arises from:

Sale of goods	-	1 000 000	(1)
Interest	188 770[b]	228 000[a]	(2)
	188 770	1 228 000	

[a] [W1] - Table A
[b] [W1] - Table B

3. Taxation

SA normal taxation	37 055	219 800	
Current [W4]	68 727	82 766	(4)
Deferred	(31 672)	137 034	
- Current year [W4]	(12 096)	137 034	(8)
- Rate adjustment [W4]	(19 576)	-	(1)

Tax rate reconciliation

Accounting profit	188 770	628 000	(1)
Tax on profit @ 30% (20.2 - 35%)	56 631	219 800	(1)
Tax effect of:			
- Rate adjustment [W4]	(19 576)	-	(1)
	37 055	219 800	

4. Deferred taxation

Investment in finance lease debtors	105 362	137 034	(1)

5. Investment in finance lease

Daly Lease Ltd leased a machine to ... on 1 January 20.2 for five years. Lease instalments of R367 088 (20.2: R374 474) each are receivable annually in arrears. ... has guaranteed a residual value of R50 000. Ownership of the machine will pass to ... upon payment of the guaranteed residual. The agreement does not provide for contingent rent payments. (3)

Reconciliation between the total gross investment in the lease and the present value of the minimum lease payments

	Up to 1 year	1 to 5 years	More than 5 years	Total	
	R	R	R	R	
20.3					
Gross investment [W2]	367 088	784 176	-	1 151 264	(3)
Unearned finance income [W3]	(154 890)	(181 166)	-	(336 056)	(3)
Present value	212 198	603 010	-	815 208	(3)
20.2					
Gross investment [W2]	374 474	1 173 422	-	1 547 896	(3)
Unearned finance income [W3]	(198 705)	(355 665)	-	(554 370)	(3)
Present value	175 769	817 757	-	993 526	(3)
					44

WORKINGS

W1. Amortisation tables

Table A on 1 January 20.2

Date	Minimum lease payments	Interest (20%)	Capital	Balance
01/01/20.2	-	-	-	1 140 000
31/12/20.2	374 474[b]	228 000	146 474	993 526
31/12/20.3	374 474	198 705	175 769	817 757
31/12/20.4	374 474	163 552	210 922	606 835
31/12/20.5	374 474	121 367	253 107	353 728
31/12/20.6	424 474[a]	70 746	353 728	NIL
	1 922 370	782 370	1 140 000	

Table B on 1 January 20.3

Date	Minimum lease payments	Interest	Capital	Balance
01/01/20.2	-	-	-	1 140 000
31/12/20.2	374 474	228 000 (20%)	146 474	993 526
31/12/20.3	367 088[c]	188 770 (19%)	178 318	815 208
31/12/20.4	367 088	154 890 (19%)	212 198	603 010
31/12/20.5	367 088	114 572 (19%)	252 516	350 494
31/12/20.6	417 088[a]	66 594 (19%)	350 494	NIL
	1 892 826	752 826	1 140 000	

[a] The guaranteed residual value of R50 000 is paid together with the final instalment on 31 December 20.6.

[b] Financial calculator: PV = -1 140 000
n = 5; i = 20; FV = 50 000; PMT = 374 474

[c] Financial calculator: PV = -993 526
n = 4; i = 19; FV = 50 000; PMT = 367 088

W2. 20.2: (Table A) - Gross investment

(374 474 x 3) + 424 474 = 1 547 896 OR (374 474 x 4) + 50 000 [2]

20.3: (Table B) - Gross investment

(367 088 x 2) + 417 088 = 1 151 264 OR (367 088 x 3) + 50 000 [2]

W3. 20.2: (Table A) - Unearned finance income

198 705 + 163 552 + 121 367 + 70 746 = 554 370 OR 782 370 - 228 000 = 554 370 [2]

20.3: (Table B) - Unearned finance income

154 890 + 114 572 + 66 594 = 336 056 OR 752 826 - 228 000 - 188 770 = 336 056 [2]

W4. Taxation

Deferred taxation

		Carrying amount	Tax base	Dif-ference	
20.2					
Carrying amount					
Gross investment in finance lease debtors [W2]	1 547 896				
Unearned finance income [W3]	(554 370)				
	993 526	993 526			[1]
Tax base[*]					
Cost	600 000				
VAT on selling price (1 000 000 x 14%)	140 000				
Wear and tear	(138 000)[a]				
	602 000		602 000	391 526	[3]
Taxable temporary difference				391 526	
Deferred tax liability (35% x 391 526)				137 034 Cr	

[*] See comments at end of question

20.3					
Carrying amount					
Gross investment in finance lease debtors [W2]	1 151 264				
Unearned finance income [W3]	(336 056)				
	815 208	815 208			[1]
Tax base					
Balance at 1 January 20.3	602 000				
Wear and tear	(138 000)[a]				
	464 000		464 000	351 208	[1]
Taxable temporary difference				351 208	
Deferred tax liability (30% x 351 208)				105 362 Cr	
Movement (P/L) (137 034 - 105 362)				31 672 Cr	[1]
Rate adjustment (5/35 x 137 034)				19 576	
Temporary differences (balance)				12 096	[1]
					[8]

[a] 20% x [600 000 + 14% (1 000 000) - 50 000 (residual value)] = 138 000

The wear and tear allowance is calculated on the cost of R600 000 plus VAT on the total selling price (R1 000 000 x 14% = R140 000) less guaranteed residual value.

Current tax

	20.3	**20.2**	
Minimum lease payments received [W1]	367 088	374 474	[2]
Wear and tear	(138 000)	(138 000)	[2]
Taxable income	229 088	236 474	
Rate	30%	35%	
Current tax	68 727	82 766	
			[4]

(b) The answer is unchanged except for the following:

- Note 5 - Investment in finance lease debtors: Should refer to an unguaranteed residual value of R50 000 and not to a guaranteed residual value. (1)

- In terms of IAS 17 (AC 105).38, the cost of sale recognised at the commencement of the lease term is the cost, or carrying amount if different, of the leased property less the present value of the unguaranteed residual value. In part (a), the present value of the guaranteed residual value was included in sales revenue for the year ended 20.2, and therefore the following journal entry would be required:

	Dr	**Cr**
20.2	**R**	**R**
Sales revenue (20 094[a] x 100/114)	17 626	
Cost of sales		17 626

[a] Financial calculator FV = 50 000
n = 5
i = 20%
Comp PV = 20 094 (3)

- The wear and tear allowance will be based on the cost of R600 000 plus VAT on the total sales price (1 000 000 x 14% = 140 000), in stead of R690 000 (600 000 + 140 000 - 50 000). The *unguaranteed* residual value of R50 000 is not taken into account when calculating wear and tear. (2)

6
50

COMMENT

1. Note that lease rentals received by the lessor are fully included in taxable income (including VAT), while wear and tear is calculated on the full cost including VAT charges on the *selling price*. This approach is in accordance with paragraph 2 of practice note 15.

2. If the leasing of assets forms part of the lessor's normal business activities, the finance income is part of revenue and should be disclosed as such in terms of IAS 18 (AC 111).39(b). If the lease transaction does not form part of the normal business activities (eg it is once-off or in exceptional cases) the finance income should be included in other income and disclosed in terms of Schedule 4.

3. In a question dealing with a manufacturer or dealer lessor, the selling price of the asset being leased is included in income and the cost of the asset is included in cost of sales. However, if the lessor is not a manufacturer or dealer, but only provides financing, the cost of the asset should not be included in income or cost of sales. Even if this lessor makes a profit on the lease transaction, the profit will be shown as "other income" and not as income.

QUESTION 2 - Classification/Journal entries (20 marks – 30 minutes)

You are a chartered accountant and the newly appointed financial director of B Ltd, a listed holding company with significant investments in companies trading in various industry sectors. As a result of good cash flow management in the past, the company was able to acquire its properties on a cash basis. For the first time, B Ltd has now entered into a lease agreement on a property. Your accountant approached you for advice on the accounting treatment of the lease transaction. He supplied you with the following information:

1. On 1 October 2003, B Ltd entered into a 25-year lease agreement with Bank Ltd in terms of which it would lease a vacant plot of land.

2. Bank Ltd was prepared to sell the property for R3 000 000 at inception of the lease, but B Ltd did not have the necessary financing available and they decided to lease the property. The selling price quoted represented a fair market value for full title ownership of the property at the time.

3. Fixed monthly rentals of R25 000 are payable monthly in advance to Bank Ltd. There is no escalation clause in the lease agreement. On expiry of the lease agreement B Ltd has no option to continue the lease at substantially lower than market-related rentals.

4. B Ltd does not guarantee any residual value. Gains and losses from the fluctuation in the fair value of the residual accrue to Bank Ltd.

5. Legal title does not vest in B Ltd upon the termination of the lease term. The lease agreement does not offer any bargain purchase option at the end of the lease term.

6. Bank Ltd is responsible for carrying any losses associated with any cancellation of the agreement by B Ltd.

7. Bank Ltd pays the municipal rates and costs of refuse removal associated with the property. The risks and rewards associated with possible fluctuations in the value of the property rests with Bank Ltd.

8. B Ltd sublet the vacant land from 1 October 2003 as a parking lot to an adjacent shopping centre for a monthly rental of R25 000, payable on the last day of the month. The rental is renegotiated annually.

9. During the last six months of the financial year, the shopping centre expanded to another adjacent plot. Parking space now comes at a premium and B Ltd was able to negotiate a 15% increase in monthly rentals effective from 1 October 2004.

10. On 30 September 2004, B Ltd's financial year-end, the fair value of B Ltd's interest in the property lease was determined as R267 319 net, after accounting for the lease commitments to Bank Ltd.

From prior financial statements you found that B Ltd applies the following accounting policies to its properties:

- B Ltd adopts the fair value model for accounting for investment property per IAS 40 (AC 135), *Investment Property.*

- The historical cost model is used to account for owner occupied property in terms of IAS 16 (AC 123), *Property, plant and equipment.*

The Treasury Department informed you that B Ltd's incremental borrowing rate is 17,25% per annum.

Assume a normal taxation rate of 30%.

REQUIRED

Round off all calculations to the nearest rand.

Address a memorandum to the accountant wherein you explain:

(i) whether the lease agreement with Bank Ltd should be classified as an operating lease or a finance lease, and (16)

(ii) whether the interest in the property lease may be classified as an investment property. (4)

QUESTION 2 - Suggested solution

(a) Accounting treatment

MEMORANDUM

TO: Accountant

FROM: Financial Director

DATE: Today

Format (1)

RE: ACCOUNTING TREATMENT OF PROPERTY LEASE

(i) Operating lease or finance lease?

IAS 17 (AC 105), *Leases,* provides guidelines for deciding on the nature of a lease. IAS 17 (AC 105).8 states that a lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership. A lease is classified as an operating lease if it does not transfer substantially all risks and rewards incidental to ownership. (2)

Whether the terms of the lease agreement with Bank Ltd transfers substantially all the risks and rewards of ownership, should be tested against the requirements of IAS 17 (AC 105).10 and .11:

- IAS 17 (AC 105).10(a): The lease does not transfer ownership to B Ltd at the end of the term. (1)
- IAS 17 (AC 105).10(b): B Ltd does not have a bargain purchase option at the end of the lease term. (1)
- IAS 17 (AC 105).10 (c): The lease is only for 25 years. IAS 17 (AC 105).14 states that a characteristic of land is that it normally has an indefinite economic life and, if title is not expected to pass to the lessee by the end of the lease term, the lessee normally does not receive substantially all of the risks and rewards incidental to ownership, in which case the lease of land will be an operating lease. The lease term is therefore not for the major part of the economic life of the asset. (2)
- The contract stipulates that the risks and rewards relating to changes in the value of the property lies with Bank Ltd and not with B Ltd. (1)
- Bank Ltd still incurs costs associated with ownership, like the municipal taxes and the cost of refuse removal. (1)
- IAS 17 (AC 105).10(d): At inception of the lease, the present value of the minimum lease payments only amounts to R1 739 754 [see Working], (2)
  whilst the fair value is R3 000 000. The present value of the minimum lease payments do not therefore constitute substantially all of the fair value of the leased property. (2)
- IAS 17 (AC 105).10(e): The vacant land is not of a specialised nature and anybody can use it. (1)
- IAS 17 (AC 105).11(a): The lease stipulates that B Ltd is not responsible for making good any losses to Bank Ltd in the event that B Ltd cancels the agreement. (1)

- IAS 17 (AC 105).11(b): The lease stipulates no residual value to be guaranteed by B Ltd and any change in the fair value of the residual value accrues to Bank Ltd. (2)
- IAS 17 (AC 105).11(c): B Ltd does not have the option to continue the lease for a secondary period at a rent which is substantially lower than a market-related rental. (1)

None of the indicators that risks and rewards of ownership have passed to B Ltd was satisfied. Therefore the lease agreement with Bank Ltd should be classified as an operating lease. (2)

20

Maximum 16

(ii) Investment property?

In terms of IAS 17 (AC 105) *Leases*, (see (a) above) the lease is an operating lease and therefore B Ltd should recognise the operating lease payments as expenditure (IAS 17 (AC 105).33). (1)

However, IAS 40 (AC 135).6 *Investment property,* allows for a property *interest* under an operating lease to be capitalised as an investment property if the following criteria are met:

- The property otherwise meets the definition of an investment property: This requirement is satisfied because B Ltd sublets the vacant land for *rental purposes* (IAS 40 (AC 135).5). (1)
- The lessee uses the fair value model for the investment property recognised: This requirement is also satisfied because B Ltd's accounting policy states that it applies the fair value model for its existing investment properties. (1)

Even though the lease is an operating lease, B Ltd is therefore allowed to capitalise its *interest* in the operating lease as an investment property. (1)

4

COMMENT

Please do the following examples in your textbook relating to leases and investment property:

GAAP Handbook 2009 (Volume 1)	**Descriptive Accounting 13th edition**
Chapter 24	Chapter 29
Example 24.6	Examples 293
Page 635	Page 872

QUESTION 3 (32 marks - 48 minutes)

PART A: Machinery (20 marks)

The financial director of Jacoranda Ltd has approached you for advice regarding a few matters in the financial statements for the year ended 30 June 2006.

You should take the following into account when you answer parts A:

- VAT should be ignored.
- All decimals should be rounded off to the nearest R1.
- A discount rate of 7,1% per annum (after tax), calculated annually, is regarded as appropriate.

After the completion of the new industrial building in Silverton on 1 March 2006, existing machinery was relocated from another industrial building of the company in East Lynne to the new building in Silverton. This machinery, with a cost of R2 400 000, was temporarily withdrawn from production and dismantled during March 2006 at a cost of R30 000. This relocation of the machinery should be seen as a redeployment of machinery.

During March 2006 this machinery was installed in the new industrial building in Silverton at a cost of R120 000. The installation of the machinery was completed on 31 March 2006 and it was brought into use again on 1 April 2006.

In accordance with new estimates on 1 April 2006, dismantling costs to be incurred at the end of the machinery's useful life on 30 June 2012 (unchanged) increased to R55 000. This change in estimate of the dismantling costs is not due to the redeployment to the new industrial building.

The following balances appear in the trial balance of Jacoranda Ltd at 1 July 2005:

	R
Machinery at cost (including provision for dismantling costs of R19 277)	2 400 000
Accummulated depreciation	720 000
Provision for dismantling costs	25 658

Depreciation is provided for on machinery at 10% per annum according to the straight-line method. The South African Revenue Service grants an allowance on machinery of 20% per annum according to the straight-line method (apportioned for a portion of a year). Assume a normal taxation rate of 29%, while 50% of capital gains are taxable. Deferred taxation is provided for according to the statement of financial position liability method.

REQUIRED

Prepare the journal entries (including cash transactions) for Jacoranda Ltd for the year ended 30 June 2006 in respect of the information in part A. Journal narrations are not required. Journals relating to current taxation are not required.

PART B (6 marks)

An enterprise sells goods with a warranty under which customers are covered for the cost of repairs of any manufacturing defects that become apparent within the first six months after purchase. Past experience has shown that 80% of the goods sold will have no defects, 15% will have minor defects and 5% will have major defects. If minor defects are detected in all the products sold, the repair costs will amount to R1 500 000. If major defects are detected in all the products sold, the repair costs will amount to R5 000 000.

REQUIRED

Discuss if any provision should be made for the possible cost of repairs that may arise from the sale of goods. Show all your calculations.

PART C (6 marks)

On 1 January 20.2 A (Pty) Ltd entered into a lease contract for premises in the city centre of Pretoria. The lease is to run for a period of five years (contract expires on 31 Desember 20.6). As a result of several factors, the board of directors decided on 31 December 20.3 to move the enterprise to Corporate Centre with effect from 1 January 20.4. However, the lease contract determines the following:

	R
Operating lease payments per annum (payable at the beginning of each year)	60 000
Fine payable at early cancellation of the contract (payable at evacuation)	160 000

The decision whether to stay or move will have no impact on the company's operations.

A pre-tax discount rate of 9% p.a. is considered to be the current rate applicable in the market.

Ignore VAT and any other tax.

REQUIRED

Advise the managing director on the following:

1. Whether they should cancel the contract or proceed with the annual instalments until the agreement expires on 31 December 20.6. (2)

2. Based on your advice to the managing director, discuss what the implications will be on the financial statements ending 31 December 20.3. (4)

QUESTION 3 - Suggested solution

PART A

JACORANDA LTD

GENERAL JOURNAL FOR THE YEAR ENDED 30 JUNE 20.6

	Dr R	Cr R	
March 2006			
Installation costs (P/L)	120 000		(1)
Dismantling costs (P/L)	30 000		(1)
Bank		150 000	
Machinery [W1]	2 756		(5)
Provision for dismantling costs		2 756	(1)
(For the amount of 2 756 = 4 marks)			
30 June 2006			
Financing costs [W2]	2 635		(3)
Provision for dismantling costs		2 635	(1)
(For the amount of 2 635 = 2 marks)			
Depreciation [W3]	240 110		(2½)
Accumulated depreciation		240 110	(½)
(For the amount of 240 110 = 2 marks)			
Taxation (P/L) [W4]	67 686		(4½)
Deferred taxation [F/P]		67 686	(½)
(For the amount of 67 686 = 4 marks)			
			20

PART B

Present obligation as result of a past event

A present obligation arises as a result of goods that are possibly defective. As the product is sold with a guarantee it represents a legal obligation. (1)

Probable outflow of economic benefits

Past experience has indicated that there is a 15% chance that products will have a minor defect, while there is a 5% chance that products will have a major defect. (1)

Reliable estimate

A reliable estimate can be made of the repair costs (R1 500 000 and R5 000 000). (1)

Conclusion

An amount of R475 000 [W5] should be recorded as a provision for repairs. (3)
6

PART C

1. Decision to cancel

The option to cancel the contract will be more beneficial to A (Pty) Ltd, because it leads to a saving of R5 546, based on the time value of money between paying the fine and the future lease instalments. [W6] (2)

2. Impact on the financial statements

The year-end of the company is 31 December.

The decision of the board of directors on 31 December 20.3 resulted in an onerous contract. Since the contract represents a present legal obligation, a provision needs to be raised for the *smaller* of: (1)

	R	
• Remaining operating lease payments untill 31 December 20.6 [W6]	165 546	
• Fine payable on cancellation	160 000	(1)

Consequently a provision of R160 000 (the smaller figure) is accounted for as follows:

	Dr **R**	**Cr** **R**	
Fine at cancellation of lease contract	160 000		(1)
Provision for onerous contract		160 000	(1)
			6
			12

WORKINGS

W1. Dismantling costs

Initial provision

PV = -19 277
i = 10% (7,1 ÷ (100 – 29)%)
n = 10
pmt = nil
∴ FV = 50 000

? n = (720 000 ÷ 2 400 000) x 100% = 30% depreciation already written off, that is 3 years
3 years + 7 years remaining to 2012
= 10 years

OR

25 658 is after 3 years
25 658 x 1,1 x 1,1 x 1,1 x 1,1 x 1,1 x 1,1 x 1,1 x 1,1 (from 1/7/05 to 30/6/12) = 50 000

New provision

55 000 – 50 000 already = 5 000
FV = 5 000
i = 10
n = 6,25 (6 years + 3 months)
pmt = nil
∴ PV = -2 756

W2. Financing costs

(25 658 x 10%) + (2 756 x 10% x 3/12)	2 635

W3. Depreciation

2 400 000 x 10%	240 000
2 756 x 3/75*	
* (6 x 12) + 3 = 75	110
	240 110

W4. Deferred taxation

	Carrying amount	Tax base	Tempo-rary difference	Deferred taxation @ 29%
2006				
Machinery	1 442 646[d]	476 145[e]	966 501	280 285
Provision for dismantling costs	(31 049)[f]	-	(31 049)	(9 004)
				271 281

[d] 2 400 000 – 720 000 + 2 756 – 240 110 = 1 442 646
[e] 2 380 723/5 = 476 145
[f] 25 658 + 2 756 + 2 635 = 31 049

	Carrying amount	Tax base	Tempo-rary difference	Deferred taxation @ 29%
2005				
Machinery	1 680 000[g]	952 289[h]	727 711	211 036
Provision for dismantling costs	(25 658)	-	(25 658)	(7 441)
				203 595

[g] 2 400 000 – 720 000 = 1 680 000
[h] 2 380 723 – (2 380 723 x 20% x 3) = 952 289

Movement

271 281 – 203 595 = 67 686

W5. (R1 500 000 x 15%) + (R5 000 000 x 5%) = R475 000 [2]

W6. Future lease payments (BGN; PMT = 60 000; n = 3; i = 9) 165 546
Fine payable immediately 160 000
Saving 5 546

QUESTION 4 (27 marks - 41 minutes)

Cockroach Ltd is a listed company that manufactures several types of weed killers and insecticides. You have just been appointed as the company's financial accountant, and it is your responsibility to finalise the financial statements for the year ended 28 February 20.5. The directors want to approve the statements for issue on 20 April 20.5. The following matters should still be considered, as the previous accountant was not certain how they should be accounted for:

Bugs XP

This is a very specialised insecticide which kills fruit beetles. On 25 March 20.5 a competitor however introduced an improved product to the market, with the result that the demand for Bugs XP declined. The selling price was therefore reduced immediately from R700 per five litre drum to R400 per drum, which resulted in a material loss of revenue for Cockroach Ltd. On 28 February 20.5, 1 000 drums of the insecticide were on hand. The previous accountant was not certain whether this inventory should be written down to the selling price of R400 per drum, as it is lower than the cost of R550 per drum.

REQUIRED

Explain how the matter above should be dealt with in the financial statements for the year ended 28 February 20.5. Give reasons for your answer. (6)

Snailz XP

Snailz XP is a poison used to control snails. It is sold in spray cans, and the cost per can is R8. During the 20.4 financial year a competitor however introduced a saline solution to the market, which not only controls snails very effectively, but is also completely safe for pets. This caused the demand for Snailz XP to decrease, and the 20 000 cans that were in stock on 28 February 20.4, had to be written down to the net realisable value of R5 per can. There was no demand for this product during the first ten months of the 20.5 financial year, and therefore no further production of this product took place.

On 1 January 20.5 the competitor however ceased his operations in South Africa, resulting in an increased demand for Snailz XP. During January and February 20.5 5 000 of the cans that were still in stock were sold at a price of R9 per can. Production of Snailz XP consequently resumed during the 20.6 financial year.

REQUIRED

Show at what amount Snailz XP will be carried in the statement of financial position on 28 February 20.5, as well as how the whole issue will be accounted for in the statement of comprehensive income and notes to the statement of comprehensive income for the year ended 28 February 20.5. Comparative amounts are not required. (6)

Dividends

The board of directors declared a dividend of R600 000 on 15 March 20.5 for the 20.5 financial year and immediately accrued for the dividend and the related tax in the 20.5 statement of financial position of the company. The company does not have a fixed dividend policy.

On 1 March 20.4 the issued share capital of Cockroach Ltd consisted of one million ordinary shares of R1 each. An additional 400 000 shares were issued at fair value on 1 October 20.4 and on 1 January 20.5 there was a capitalisation issue of one share for every 10 shares held.

STC is provided for at a rate of 12,5%.

REQUIRED

Consider the above information and provide all note disclosures related to the above information in the financial statements of Cockroach Ltd for the year ended 28 February 20.5 in accordance with Statements of Generally Accepted Accounting Practice and Schedule 4.

Repair costs

Cockroach Ltd sells containers specifically designed to spray insecticides. The sale of these containers is subject to a two month warranty period. The company however entered into an agreement with its supplier, in terms of which 80% of any repair costs incurred, may be recovered from the supplier. Based on prior years' experience, it is estimated that costs of R33 000 will have to be incurred to repair containers that have already been sold at year-end, but that are still under warranty.

REQUIRED

Discuss how the above issue will be accounted for in the financial statements for the year ended 28 February 20.5. (8)

QUESTION 4 - Suggested solution

Bugs XP

The improved product brought onto the market, and the resulting decrease in the selling price of Cockroach Ltd's product, represents an event after the reporting period, (1)
as it occured between the reporting date and the date on which the financial statements are authorised for issue. (1)
It is however evident of conditions that arose after the reporting date, as the net realisable value of Cockroach Ltd's own product decreased only after the reporting date. (1)
It is therefore not necessary to adjust the financial statements (non-adjusting event), but as the effect is material, the issue should be disclosed in a note. (1)
It will be necessary to disclose the nature of the event, as well as the financial effect of R150 000 [(550 - 400) x 1 000]. (2)
6

Snailz XP

	R	
Carrying amount of inventory [(20 000 - 5 000) x 8]	120 000	(1)

COCKROACH LTD

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 28 FEBRUARY 20.5

	R	
Sales (5 000 x 9)	45 000	(1)
Cost of sales [(5 000 x 5) - 45 000 reversal]	20 000	(2)

COCKROACH LTD

NOTES FOR THE YEAR ENDED 28 FEBRUARY 20.5

2. Profit before tax

Included in profit before tax are the following:

Income		
Reversal of write-down of inventory to net realisable value [(8 - 5) x 15 000]	45 000	(1)

This reversal arose due to the fact that the manufacturer of a rival product withdrew from South Africa. (1)
6

Dividends

NOTES FOR THE YEAR ENDED 28 FEBRUARY 20.5

EVENTS AFTER THE REPORTING PERIOD

Dividend proposed/declared after year-end

On 15 March 20.5 an ordinary dividend of R600 000 was declared in respect of the 20.5 financial year. This amounts to 39 [W1] cents per share. Secondary tax on companies amounting to R75 000 [W2] will be payable on this dividend in the 20.6 financial year. (1½)

WORKINGS

W1. Dividends declared after the reporting period

In terms of IAS 10(AC 107).12, a dividend declared to holders of equity instruments after the reporting date shall not be recognised as a liability at the reporting date. These dividends are not recognised as a liability at the reporting date because they do not meet the criteria of a present obligation in IAS 37(AC 130). The company has treated the matter incorrectly and should rather disclose the dividend after the reporting period but before the financial statements were authorised for issue, in the notes to the financial statements (IAS 10(AC 107).13) in accordance with IAS 1 (AC 101).125 and with related tax effects in terms of IAS 12(AC 102):

Calculation of dividend per share and STC

	R	
Total number of shares after capitalisation issue	1 000 000	[1]
In issue on 1 March 20.4	400 000	[1]
Issued at fair value 1 October 20.4	1 400 000	
	140 000	[2]
Capitalisation issue – 1 January 20.5 (1 400 000/10)	1 540 000	
Dividend per share (600 000 / 1 540 000 x 100)	39c	[1½]

W2. STC (600 000 x 12.5%) R75 000

Repair costs

A provision amounting to R33 000 should be raised on 28 February 20.5 for the expected repair costs, (1)
as the company has a legal obligation to repair the goods should customers return them. (1)
This obligation is the result of a past event, being the sale of the products. (1)

The repair work done to the products will probably result in the outflow of economic benefits from the enterprise in the form of cash, (1)
and the amount of the obligation can be estimated reliably as R33 000. (1)
A portion of the repair costs incurred can however be recovered from Cockroach Ltd's supplier. (1)
This recoupment (repayment) should be treated as a separate asset (receipt thereof is almost certain), and will amount to R26 400 (33 000 x 80%). (1)
In the statement of comprehensive income the expense and repayment may be set-off against one-another. (1)
8
20

QUESTION 5 (20 marks - 30 minutes)

Zero Ltd has a Pension Fund and a Medical Aid. All the employees have to be members of these funds.

The following information was obtained from the actuarial report for the year ended 31 December 20.5.

1. Information on the Pension Fund obligation

	20.5	**20.4**
	R	**R**
Obligation at 1 January	12 000	10 000
Current service cost	1 400	1 440
Interest on obligation	1 464	1 200
Benefits paid	(1 280)	(1 240)
Actuarial (gain) / loss	816	600
Balance at 31 December	14 400	12 000

2. Information on the Medical Aid obligation

	20.5	**20.4**
	R	**R**
Obligation at 1 January	4 000	3 400
Current service cost	440	400
Interest on obligation	510	470
Past service cost	1 200	-
Benefits paid	(200)	(190)
Actuarial (gain) / loss	50	(80)
Balance at 31 December	6 000	4 000

3. Information on the Plan Assets – Pension Fund

	20.5	**20.4**
	R	**R**
Obligation at 1 January	10 400	9 600
Payment to fund	3 440	1 400
Expected return on assets	1 480	1 360
Benefits paid	(1 280)	(1 240)
Actuarial gain/(loss)	160	(720)
Balance at 31 December	14 200	10 400

Additional information

1. The medical aid benefits have been improved on 31 December 20.2 and again on 1 January 20.5:

   1.1 The improvement on 31 December 20.2 increased the medical aid obligation with R980 of which R700 was vested. At 31 December 20.2 it was anticipated that the non-vested benefits will on average become vested within 7 years.

1.2 The improvement on 1 January 20.5 increased the medical aid obligation with R1 200 of which R850 was not vested. At 1 January 20.5 it was anticipated that the non-vested benefits will on average become vested within 5 years.

2. The medical aid is unfunded

3. The minimum amount of actuarial gains and losses should be recognised.

4. The average remaining working live of employees participating in both the pension and medical aid plans was 16 years at 31 December 20.5, 15 years in 20.4 and 16 years in 20.3.

5. There are no accumulated actuarial gains and losses at the end of 20.3.

6. Actuarial gains/losses are recognised in the "profit or loss"-part of the statement of comprehensive income.

7. Ignore any taxation implications.

REQUIRED

(a) Show the individual amounts that should be disclosed as part of the expense for post employment benefits, in the Statement of comprehensive income for the year and 31 December 20.5. (Comparative figures should also be disclosed.) (11)

(b) Show the reconciliation to the net defined benefit liability for the post-employment benefits note as it will appear in the statement of financial position as at 31 December 20.5. (Comparative figures should also be disclosed.) (9)

QUESTION 5 – Suggested solution

PART A

STATEMENT OF COMPREHENSIVE INCOME

	20.5	20.4	
EXPENSE	**R**	**R**	
Current service cost – Pension	1 400	1 440	(1)
Current service cost – Medical Aid	440	400	(1)
Interest on obligation – Pension	1 464	1 200	(1)
Interest on obligation – Medical Aid	510	470	(1)
Expected return on assets	(1 480)	(1 360)	(1)
Past service cost:			
20.2 – (980 – 700) x 1/7	40	40	(1)
20.5:			
Past service cost – Vested	350	-	(1)
Past service cost – Unvested (850 x 1/5)	170	-	(1)
Actuarial loss recognised [W1]	8	-	(3)
Total expense	2 902	2 190	
			11

PART B

Reconciliation to defined benefit liability in statement of financial position at 31 December 20.5

	20.5	20.4	
	R	**R**	
Obligation – Funded	14 400	12 000	(1)
Obligation – Unfunded	6 000	4 000	(1)
Less: Plan assets	(14 200)	(10 400)	(1)
Deficit	6 200	5 600	
Unrecognised past service cost (680 + 160)	(840)	(200)	(3)
Unrecognised actuarial losses	(1 938)	(1 240)	(3)
Net liability in statement of financial position	3 502	4 160	
			9
			20

WORKINGS

W1. Recognition of actuarial gains and losses

	20.5	20.4	
	R	**R**	
Accumulated actuarial losses (600 + 720)	1 320	-	(1)
Corridor = (10% greater of 12 000 or 10 400)	1 200	-	(1)
Excess	120	-	
Recognise over average remaining working life of 15 years (120/ 15)	8	-	(1)
			3

W2. Unrecognised actuarial (gains) / losses

	20.5	20.4	
Pension			
At beginning of year	1 320	-	
During the year (816-160) / (600 + 720)	656	1 320	(1)
Recognised during the year	(8)	-	(1)
Balance at end of year	1 968	1 320	
Medical aid			
At beginning of year	(80)	-	
During the year	50	(80)	(1)
Balance at end of year	(30)	(80)	
Total net unrecognised losses	1 938	1 240	
			3

W3. Past service cost

	Increase 1/1/20.5	Increase 31/12/20.2	
Increase in obligation	1 200	980	(½)
Vested when introduced	(350)	(700)	(½)
Non-vested portion	850	280	
Recognised when vesting:			
20.3 (280/7)		(40)	(½)
20.4 (280/7)		(40)	(½)
Unrecognised at 31/12/20.4		200	
20.5 (850/5) / (280/7)	(170)	(40)	(1)
Unrecognised at 31/12/20.5	680	160	
			3

QUESTION 6 (60 marks - 90 minutes)

All the employees of Clockworx Ltd belong to the Time-out Pension Fund, which is a defined benefit plan.

The following information relates to this fund. Assume that all transactions occur at year-end, unless specifically indicated otherwise. The financial year-end is on 30 June. Below are information and extracts from the financial information of Clockworx Ltd for the years as indicated:

	20.5	**20.4**	**20.3**
Discount rate at beginning of the year	9,0%	11,0%	10,0%
Expected rate of return on plan assets at beginning of the year	8,0%	9,5%	9,0%
Future salary increases	6,0%	7,0%	5,0%
Future pension increases	2,0%	2,5%	2,2%
Proportion of employees opting for early retirement	20,0%	25,0%	15,0%
Expected average remaining working lives of employees (years)	17	18	22

	R'000	**R'000**	**R'000**
Current service cost	470	451	400
Benefits paid	700	450	600
Contributions paid	470	580	384
Present value of obligation on 30 June	3 620	3 650	3 030
Fair value of plan assets on 30 June	3 520	3 325	2 750
Unrecognised transitional liability 30 June	?	?	675
Unrecognised actuarial gains 30 June	?	?	411

It is the policy of the pension fund to invest 40% the plan assets in listed shares, 40% in property and 20% in cash and this policy is applied strictly.

After negotiations with the union and employees, Clockworx Ltd agreed to the implementation of additional pension benefits. The present value of these increased benefits amounted to R300 000 on 4 July 20.3. These benefits commenced on that day. On 4 July 20.3 twenty five percent of the employees of Clockworx Ltd were already eligible for this additional benefit, should they retire. The average period for the non-vested benefit to become vested, is five years.

Clockworx Ltd implemented the statement on employee benefits (IAS 19 (AC 116)) for the first time on 1 July 20.1. The transitional liability was recognised at that date and a policy was accepted to recognise the liability as an expense over a period of 3,5 years.

Actuarial valuations of the Time-out Pension Fund are made annually, using the projected unit credit method. The most recent valuation was made on 30 June 20.5. The actuary is of the opinion that the plan is in a sound financial position. The pension fund's plan assets include ordinary shares issued by Clockworx Ltd with a fair value of R2 800 000 (20.4 - R2 600 000). Plan assets also include property leased by Clockworx Ltd with a fair value of R2 490 000 (20.4 - R2 260 000).

Clockworx Ltd's profit before taxation for the year ended 30 June 20.5, after taking into account all the above-mentioned expenses, amounts to R14 180 000 (20.4 - R9 919 000). Assume a taxation rate of 30%. Assume that adequate future taxable income will be available to provide for a deferred taxation asset.

Clockworx Ltd recognises the minimum actuarial gains/losses in accordance with the statement on *Employee benefits*, IAS 19 (AC 116).92 and .93 (revised).

Actuarial gains/losses are recognised in the "profit or loss"-part of the statement of comprehensive income.

REQUIRED

(a) Disclose the above information in the statement of financial position and notes to the financial statements of Clockworx Ltd for the year ended 30 June 20.5, in accordance with the Statement on *Employee benefits*, IAS 19 (AC 116) (revised). The reconciliation of the taxation rate is not required. Furthermore only the deferred tax balance per statement of financial position should be given, the note is not required. The disclosure relating to the 5 year comparatives (IAS 19 (AC 116).120A(p)) is not required. Comparative figures should be supplied. (55)

Round all amounts to the nearest R'000.

(b) How would your answer in (a) change if it is the policy of Clockworx Ltd to recognise actuarial gains/losses immediately in the period it occurred? (5)

QUESTION 6 - Suggested solution

CLOCKWORX LTD

STATEMENT OF FINANCIAL POSITION AT 30 JUNE 20.5

	Note	20.5 R'000	20.4 R'000	
ASSETS				
Non-current assets				
Deferred taxation		255	159	(2)
EQUITY AND LIABILITIES				
Non-current liabilities				
Post-employment benefit liability	5	848	529	(1)

CLOCKWORX LTD

NOTES FOR THE YEAR ENDED 30 JUNE 20.5

1. Compliance with statements

The financial statements have been prepared in accordance with the Statements of Generally Accepted Accounting Practice. (1)

2. Accounting policy

2.1 *Post-employment benefit costs*

Pension fund

The defined benefit obligation, the related current service cost, and where applicable, past service cost are determined by using the projected unit credit method. (1)

A portion of actuarial gains and losses is recognised as income or expense if the net cumulative unrecognised actuarial gains or losses at the end of the previous reporting period exceeded the greater of:

- 10% of the present value of the defined benefit obligation at that date before deducting plan assets; and
- 10% of the fair value of any plan assets at that date. (2)

The portion of actuarial gains and losses to be recognised is the excess referred to above, divided by the expected average remaining working lives of the employees participating in the plan. (1)

3. Profit before tax

	20.5 R'000	20.4 R'000	
Included in profit before tax is:			
Staff costs:			
Defined benefit plan expense	789	1 093	
- Current service cost	470	451	(1)
- Interest cost	329	333	(1)
- Expected return on plan assets	(266)	(261)	(1)
- Net actuarial gain recognised in year [W1]	(14)	-	(6)
- Past service cost - vested benefits [W2]	-	75	(1)
- non-vested benefits [W2]	45	45	(2)
- Transitional liability recognised (675 x 0,5/1,5); (675 x 1/1,5)	225	450	(2)

4. Taxation

SA normal taxation			
- Current [W3]	4 350	3 130	(1)
- Deferred [W4]	(96)	(154)	(2)
	4 254	2 976	

5. Post-employment benefits

5.1 Post-employment benefit liability

Present value of the obligation	3 620	3 650	(1)
Fair value of plan assets	(3 520)	(3 325)	(1)
	100	325	
Unrecognised actuarial gains [W1]	883	609	(4)
Unrecognised transitional liability (0,5/1,5 x 675)	-	(225)	(1)
Unrecognised past service cost - non-vested benefits [W2]	(135)	(180)	(2)
Liability recognised in statement of financial position	848	529	

5.2 Changes in the present value of the obligation:

	20.5 R'000	20.4 R'000	
Present value of obligation at beginning of the year	3 650	3 030	(½)
Interest cost (9,0% x 3 650; 11% x 3 030)	329	333	(1)
Current service cost	470	451	(1)
Past service cost - increased benefits	-	300	(1)
Benefits paid	(700)	(450)	(1)
Actuarial gain on obligation*	(129)	(14)	(1)
Present value of obligation at 30 June	3 620	3 650	

5.3 Changes in the fair value of the plan assets:

Fair value of plan assets at beginning of the year	3 325	2 750	(½)
Expected return on plan assets (8% x 3 325; 9,5% x 2 750)	266	261	(1)
Contributions paid	470	580	(1)
Benefits paid	(700)	(450)	
Actuarial gain on plan assets*	159	184	(2)
Fair value of plan assets on 30 June	3 520	3 325	

* balancing figure

5.4 The actual return on plan assets is

	20.5 R'000	**20.4 R'000**	
Expected return on plan assets*	266	261	
Actuarial gain on plan assets*	159	184	
Actual return on plan assets	425	445	(1)

* *Not required disclosure*

The pension fund's plan assets include ordinary shares issued by Clockworx Ltd with a fair value of R2 800 000 (20.4 - R2 600 000). Plan assets also include property leased by Clockworx Ltd with a fair value of R2 490 000 (20.4 - R2 260 000). (2)

5.5 Pension fund

The Time-out Pension Fund, which is governed by the Pension Funds Act of 1956, is a defined benefit plan for employees. All the employees are members of the pension fund. (2)

Actuarial valuations are made annually. The most recent actuarial valuation was performed on 30 June 20.5. The actuary is of the opinion that the plan is in a sound financial position. (2)

5.6 The major categories of plan assets as a percentage of total plan assets are as follows:

	20.5 %	**20.4** %	
Listed share investments	40	40	
Property	40	40	
Cash and cash equivalents	20	20	

(2)

5.7 The principal actuarial assumptions at yearend date (expressed as weighted averages):

	20.5 %	**20.4 %**	
Discount rate	9,0	11,0	
Expected return on plan assets	8,0	9,5	
Future salary increases	6,0	7,0	
Future pension increases	2,0	2,5	
Proportion of employees opting for early retirement	20,0	25,0	

(2)
55

WORKINGS

W1. Actuarial gain/(loss) recognised

Step 1

Determine the amount of the actuarial gains and losses for the period. Refer to notes 5.2 & 5.3.

Step 2

Determine limits of the "corridor" and then compare this with the cumulative unrecognised actuarial gains and losses in order to determine the net actuarial gain or loss to be recognised:

	20.5 **R'000**	**20.4** **R'000**	
Net cumulative unrecognised actuarial gains at beginning of the year	609**	411	[1]
#Limits of "corridor" at the beginning of the year	(365)	(303)	[1]
Excess	244	108	

#Greater of: (a) 10% of the present value of the obligation before deducting plan assets; and (b) 10% of the fair value of any plan assets.

	20.5	**20.4**	
Average expected remaining working lives (years)	17	18	
	R'000	**R'000**	
Actuarial gain recognised [excess (244/17); (108/18)]	14	6	[2]

Par 155(b)(iii) limits the gain that may be recognised: The surplus of the net cumulative actuarial gain (after the 10% limitation) above the unrecognised portion of the transitional liability:

	20.5	**20.4**	
Net cumulative actuarial gains	244	108	
Unrecognised transitional liability (beginning of year)	225[a]	675	[1]
Maximum that may be recognised	19	-	[1]
Gain to be recognised	14	-	[6]

[a] *0,5/1,5 x 675*

Step 3

	20.5 **R'000**	**20.4** **R'000**	
Unrecognised actuarial gains at beginning of the year	609**	411	[1]
Actuarial gains for the year			
- obligation	129	14	[1]
- plan assets	159	184	[1]
	897	609	
Actuarial gain recognised	(14)	-	[1]
Unrecognised actuarial gains at 30 June	883	609**	[4]

W2. Past-service cost

	20.5 R'000	20.4 R'000
Present value of increased benefits at 4 July 20.3		300
Past-service cost - vested at 4 Julie 20.3 - to statement of comprehensive income (25%)		(75)
Past-service cost - non-vested - deferred (75%)		225
Recognise as an expense on a straight-line basis over five years until the benefits become vested (225/5)	45	45
Unrecognised past service cost (180 - 45); (225 - 45)	135	180

W3. Taxation

	20.5 R'000	20.4 R'000
Profit before taxation	14 180	9 919
Temporary differences	319	513
Defined benefit plan expense (P/L)	789	1 093
Contributions paid	(470)	(580)
Taxable income	14 499	10 432
Current taxation @ 30%	4 350	3 130
Deferred taxation	(96)	(154)

W4. Deferred taxation

	Carrying amount R'000	Tax base R'000	Tempo-rary diffe-rence R'000	Deferred taxation R'000
20.3				
Post-employment benefit liability	(16)*	-	(16)	(4,80)
Statement of comprehensive income 20.4				(153,90)
20.4				
Post-employment benefit liability	(529)	-	(529)	(158,70)
Statement of comprehensive income 20.5				(95,70)
20.5				
Post-employment benefit liability	(848)	-	(848)	(254,40)

* 3 030 – 2 750 – 675 + 411

(b) In terms of IAS 19 (AC 116).93 Clockworx Ltd may recognise the full actuarial gain of R288 000 (129 000 + 159 000[W1]) (20.4: R198 000 (14 000 + 184 000[W1])) in the profit or loss part of the statement of comprehensive income. (2)

Clockworx Ltd may also choose to recognise the full actuarial gain of R288 000 (½)
(20.4: R198 000) as it occurs, as part of other comprehensive income (1)
IAS 19 (AC 116).93A and .93B. This will result in a Rnil (in respect of actuarial profit and losses) effect on the profit before taxation, with the full amount recognised directly against retained earnings. (½)

Irrespective of the above choice in recognition between profit/loss and equity, immediate recognition of the actuarial gain/loss when it occurs will result in a zero balance on the (½)
Unrecognised actuarial gains/losses account. The post-employment benefit liability (as (½)
calculated in (a)) will decrease with the amount of the unrecognised actuarial gains R883 000 (20.4: R609 000), because all of it would have been recognised against retained earnings.
(½)

Maximum 5
60

QUESTION 7 (22 marks - 33 minutes)

This question consists of two parts, which are not related:

PART A (15 marks - 22 minutes)

Superbus Ltd is a company which specialises in the building of luxurious tour busses on order.

At the beginning of the 20.3 financial year Superbus Ltd signed a contract to deliver two of these busses to Toerbus Ltd at R2 000 000 per bus. Superbus Ltd estimates that it would take approximately 20 months to complete the contract.

Due to the fact that Superbus Ltd did not require any sureties from Toerbus Ltd, Superbus Ltd could not succeed in acquiring specific financing for this project. Superbus decided to make use of their overdraft facilities.

On 1 October 20.3 Superbus Ltd succeeded in obtaining a long-term facility of R1 000 000 specifically for this project. The facility bears interest at 12% per annum and is payable quarterly in arrears.

The expenses were incurred evenly through the month and were as follows:

	R
1 July 20.3 to 30 September 20.3	95 000 per month
1 October 20.3 to 31 December 20.3	170 000 per month
1 January 20.4 to 31 March 20.4	155 000 per month

Interest on the overdraft facility is calculated and capitalised monthly. The interest rate on the overdraft facility was as follows:

1 April 20.3 - 31 July 20.3	18% per annum
1 August 20.3 - 31 January 20.4	16% per annum
1 February 20.4 - to date	15% per annum

During the periods that the specific facility was not available, or utilised to its limit, use was made of the overdraft facility.

Assume that Superbus Ltd complies with the revised IAS 23 (AC 114).

REQUIRED

Calculate the total amount of borrowing costs which may be capitalised for the year ended 31 March 20.4. Indicate how the applicable items would be disclosed in notes to the statement of comprehensive income and in the inventory note.

PART B (7 marks - 11 minutes)

Construction of plant

On 1 November 20.1 Cockroach Ltd commenced with the construction of a new plant, which will take approximately twelve months to complete. Construction expenses were paid in cash on the following dates:

	R
30 November 20.1	20 000
31 December 20.1	35 000
31 January 20.2	25 000
28 February 20.2	40 000

Cockroach Ltd has a cheque account facility with an overdraft limit of R500 000, at an interest rate of 18% per annum. Until 31 December 20.1 this cheque account reflected a positive balance, even after the construction expenses were paid during November 20.1 and December 20.1. On 1 January 20.2 a loan amounting to R1 000 000 was raised to finance the remaining construction expenses. This loan carries interest at 15% per annum, compounded annually. Surplus funds arising from the loan were invested temporarily at a rate of 8% per annum, compounded monthly. This interest was however paid into Cockroach Ltd's cheque account on a monthly basis, and was not capitalised to the investment.

Assume that Cockroach Ltd complies with the revised IAS 23 (AC 114).

REQUIRED

Calculate the amounts at which the following items will be disclosed in the financial statements at 28 February 20.2:

- Plant
- Interest received
- Finance cost

QUESTION 7 - Suggested solution

PART A

The amount of interest which may be capitalised is R54 342 [W1]. (13)

SUPERBUS LTD

NOTES FOR THE YEAR ENDED 31 MARCH 20.4

2. Finance charges

	R	
Finance cost capitalised [W1]	54 342	(½)

Interest is capitalised at 12% per annum to the extent that expenses are financed by a specific loan, and at 15% if financed by the overdraft facility. (1).

3. Inventory

Work-in-progress (*busses under construction*)	1 314 342	(½)
Finished goods	XXX	
	XXX	
		15

WORKINGS

W1. Calculation of interest to be capitalised - 20.4

Month	Balance beginning R	Expenses R	Interest Bank R	Interest Facility R	Balance end R	
July	-	95 000	713[a]		95 713	[1]
August	95 713	95 000	1 910[b]		192 623	[1]
September	192 623	95 000	3 202[c]		290 825	[1]
October-December	290 825	510 000		16 375[d]	817 200	[2]
				28 923[j]		
January	817 200	155 000		8 947[e]	972 200	[1]
February	972 200	155 000	652[g]	9 976[f]	1 127 852	[3]
March	1 127 852	155 000	2 567[i]	10 000[h]	1 285 419	[2]
Loan	1 000 000					
Bank	127 852					
					1 314 342[k]	[2]
		1 260 000	9 044	45 298		
						[13]

The amount of interest that may be capitalised (9 044 + 45 298) = 54 342.

[a] 95 000/2 x 18% x 1/12 = 713
[b] ((95 000/2) + 95 713) x 16% x 1/12 = 1 910
[c] ((95 000/2) + 192 623) x 16% x 1/12 = 3 202
[d] (510 000/2 + 290 825) x 12% x 3/12 = 16 375
[e] (155 000/2 + 817 200) x 12% x 1/12 = 8 947

f	Loan is limited: (1 000 000 - 972 200)	27 800
	Total	9 976
	972 200 x 12% x 1/12	9 722
	27 800/2 x (27 800/155 000)* x 12% x 1/12[1]	25
	27 800 x (127 200/155 000) x 12% x 1/12[2]	229

g Bank overdraft 155 000 - 27 800 = 127 200
127 200/2 x 127 200/155 000 x 15% x 1/12 = 652[3]

h Loan: 1 000 000 x 12% x 1/12 = 10 000

i Bank ((155 000/2) + (127 200 + 652)) x 15% x 1/12 = 2 567

j Interest on the loan paid at the end of the quarter
(8 947 + 9 976 + 10 000) = 28 923

k j + 1 285 419 = 1 314 342

* This ratio represents the number of days (5,38 days) during which the R27 800 was spent and therefore the number of days for which an average amount outstanding must be used.

1 This calculation relates to the first part of February during which the last remaining funds of the facility (R27 800) were withdrawn evenly.

2 This calculation relates to the last part of February during which the R27 800 now carries interest in full.

3 This calculation relates to the last part of February during which funds (R127 200) were withdrawn evenly out of the bank overdraft.

COMMENTS

1. For the purpose of calculating the interest to be capitalised, interest should be calculated from the date on which expenses are incurred. Expenses were incurred evenly throughout the month. Expenses were thus calculated at the average for the month and interest then calculated thereon.

   Note that the interest on the overdraft facility is capitalised monthly, as it is payable on a monthly basis. Interest on the long-term facility is only capitalised quarterly as it is payable on a quarterly basis.

2. It is important to note that the question deals with inventories that take a long period to complete. Accounting wise we have to capitalise borrowing costs. SARS does not regard interest on inventories as pre-production interest and will therefore allow the interest each year as a deduction, with the result that we will have deferred taxation until all inventories have been sold.

3. Note that a **facility** of R1 000 000 was specifically obtained for the project and not a loan. With a facility the enterprise utilises funds as needed while the total amount of a loan is obtained from the first day. Interest on the facility is calculated as the facility is utilised, while interest, in the case of a loan, will be calculated on the total amount of the loan from the first day.

PART B

Construction of plant

Interest received:		
January 20.2 (1 000 000 x 8% x 1/12)	6 667	(1)
February 20.2 [(1 000 000 - 25 000) x 8% x 1/12]	6 500	(1)
	13 167	
Interest paid to financier:		
1 000 000 x 15% x 2/12	25 000	(1)
Interest capitalised:		
25 000 - 13 167	11 833	
Therefore:		
Plant in statement of financial position		
(20 000 + 35 000 + 25 000 + 40 000 + 11 833)	131 833	(1)
Interest received in statement of comprehensive income	13 167	(1)
Finance cost in statement of comprehensive income (25 000 - 11 833)	13 167	(2)
		7
		22

COMMENTS

1. Note that interest received on surplus funds invested is deducted from interest paid, only in the calculation of the amount of borrowing costs to be capitalised. The interest received is not physically set-off against interest paid in the general ledger. The journals to recognise borrowing costs for the year will therefore be as follows:

Dr Bank	13 167	
Cr Interest received		13 167
Recording of interest received during the year.		
Dr Interest paid	25 000	
Cr Bank		25 000
Recording of interest paid during the year.		
Dr Asset	11 833	
Cr Interest paid		11 833
Capitalisation of interest.		

2. Also note that during November and December no borrowing costs are capitalised, as the cheque account (general loan) had a positive balance and therefore no interest was paid.

3. Schedule 4 par 42(a) requires disclosure of interest received. This disclosure can be done on the face of the statement of comprehensive income or given in the notes, if a question required such disclosure.

QUESTION 8 (85 marks – 128 minutes)

Klari Ltd is a company that trades countrywide in South Africa. The company's head office is situated in Pretoria and the year-end of the company is 31 December.

The company trades in stationery and it was decided in 20.3 to extend their activities by starting to manufacture computer printer cartridges – a very labour intensive process. It was decided to take over a very profitable (at that stage) existing manufacturer and consequently the net assets of the manufacturer were taken over.

During January 20.4, a new supplier appeared on the South African market that imports printer cartridges directly from China. Due to the fact that the Chinese labour market is largely unregulated (while the South African market is highly regulated), labour costs in China amount to only 20% of that in South Africa. As a consequence the new supplier sells printer cartridges at 40% less than what Klari Ltd can sell them for. The board of directors of Klari Ltd therefore decided and implemented formal plan on 1 June 20.4 to sell the printer cartridge manufacturing operation as soon as possible as a going concern at a fair price. A task team was appointed immediately to begin with an active market plan and find a purchaser for this business unit, the sale price is reasonable in relation to its current fair value and the board of directors gave 30 April 20.5 as a final date for conclusion for any sales transaction in this regard. The directors indicated that it is unlikely that significant changes the plan will be made or that the plan will be withdrawn.

On 31 August 20.4 the task team eventually identified a possible purchaser who was interested in buying the printer cartridge operation (a reportable segment) at a total purchase consideration of R46 million (a fair price). The purchaser would take over all assets and liabilities (except tax liabilities) of the printer cartridge manufacturing operation for cash. Negotiations with the purchaser commenced immediately and the probability of finalising the contract was very favourable. By 10 December 20.4 the contract was finalised and it was agreed that it would be signed by both parties on 31 March 20.5.

Klari Ltd's printer cartridge operation was conducted at full scale up to 31 December 20.4 and it is foreseen that it would continue in this vein up to the date of the sale (31 March 20.5). Klari Ltd's preliminary trial balance as at 31 December 20.4 is as follows:

	Stationary	Printer cartridge manufac-turing	Total
	R'000	R'000	R'000
Share capital			(100 000)
Retained earnings: 1/1/04			(35 360)
Goodwill at cost		30 000	30 000
Retail property at cost	60 000	-	60 000
Land	10 000	-	10 000
Buildings	50 000	-	50 000
Industrial property at cost	-	40 000	40 000
Land	-	4 000	4 000
Buildings	-	36 000	36 000
Accumulated depreciation:			
Retail buildings: 1/1/04	(12 500)	-	(12 500)
Factory buildings: 1/1/04	-	(3 600)	(3 600)
Furniture and equipment at cost	30 000	20 000	50 000
Accumulated depreciation:			
Furniture and equipment: 1/1/04	(24 000)	(8 000)	(32 000)
Delivery vehicles at cost	16 000	10 000	26 000
Accumulated depreciation			
Delivery vehicles: 1/1/04	(12 800)	(4 000)	(16 800)
Receivables: 31/12/04	13 000	8 600	21 600
Inventory at cost: 1/1/04	19 000	5 200	24 200
Sales	(76 000)	(24 000)	(100 000)
Purchases	31 000	18 000	49 000
Operation expenses	3 000	3 950	5 000
Payables: 31/12/04	(5 600)	(3 200)	(8 800)
Deferred tax: 1/1/04 (See 9.)			(740)
Provisional tax payments			4 000
			-

Additional information

1. Land is not depreciated. Both the retail and factory buildings are depreciated over a period of 20 years on a straight-line basis. You may assume that the residual values of the both the retail and factory buildings are RNil and that neither the residual value nor the useful life of the buildings will change over their respective lives. The South African Revenue Service allows a buildings allowance on factory buildings on the straight-line basis over 10 years.

2. Furniture and equipment are depreciated over 5 years on a straight-line basis. You may assume that the residual value is RNil. The South African Revenue Service allows wear and tear over 6 years on a straight-line basis in terms of Section 11(e). You may assume that all the furniture and equipment in the stationary department were acquired on the same date, while all the furniture and equipment of the printer cartridge business were acquired on the same date and relate to manufacturing. Neither the useful lives nor the residual values will change over the life of the assets.

3. Delivery vehicles are depreciated over 5 years on a straight-line basis. You may assume that the residual value is RNil. The South African Revenue Service allows wear and tear over 4 years on a straight-line basis in terms of Section 11(e). You also may assume that all delivery vehicles in the stationery department were acquired on the same date, while all delivery vehicles in the printer cartridge business were acquired on the same date. Neither the useful lives nor the residual values will change over the life of the assets.

4. Receivables in the printer cartridge business amounted to R7 400 000 on 31 August 20.4. The purchaser is willing to take over receivables at carrying amount.

5. The following inventory values are relevant:

	Stationery R'000	**Printer cartridges R'000**
Cost: 31 Dec 20.4	20 000	5 600
Net realisable value: 31 Dec 20.4	29 000	5 800
Cost: 31 Aug 20.4	N/A	5 200
Net realisable value: 31 Aug 20.4	N/A	5 400

All the inventories at hand on 31 August 20.4 were sold by 31 December 20.4.

6. All items of property, plant and equipment are accounted for by applying the cost model.

7. Payables in the printer cartridge business amounted to R1 700 000 at 31 August 20.4.

8. The normal company tax rate amounts to 30%, while 50% of capital gains are taxable. No taxable gains are expected to realise in the foreseeable future.

9. The deferred tax balance at 31 December 20.3 was calculated in respect of information on the assets mentioned above and you may assume that it is correct. There are no temporary or non-taxable or non-deductible differences between accounting carrying amounts and tax bases over and above those that are clear from the above.

		Carrying amount	**Tax base**
Factory property		32 400	28 800
Furniture & equipment	- Stationery	6 000	10 000
Furniture and equipment	- Pinter cartridge manufacturing	12 000	13 333
Delivery vehicles	- Stationery	3 200	Nul
Delivery vehicles	- Printer cartridge manufactuting	6 000	5 000

You may further assume that there will be sufficient taxable income in future to utilise any debit balances on the deferred tax amount.

REQUIRED

(a) Determine, providing reasons, whether and at what date the printer cartridge business should be classified as a discontinued operation. Ignore amounts in this part of the question. (18)

(b) Discuss the effect that the classification as discontinued operation will have on the measurement of the assets in the printer cartridge business in the year ended 31 December 20.4. Ignore amounts in this part of the question. (6)

(c) Prepare an extract from the statement of comprehensive income of Klari Ltd for the year ended 31 December 20.4 in which the part relating to discontinued operations is disclosed, as well as the related note. The income tax expense that relates to the discontinued operation must be disclosed, but not the income tax note. No disclosure relating to continuing operations is required. (20)

(d) Provide the note in respect of property, plant and equipment of Klari Ltd for the year ending 31 December 20.4. The total column is not required. (17)

(e) Prepare the statement of financial position of Klari Ltd as at 31 December 20.4, but ignore the equity section thereof. (14)

(f) Disclose the information in respect of assets and liabilities affected by the discontinued operation for the year ending 31 December 20.4. (10)

PLEASE NOTE

- Comparative amounts are not required.
- Round all amounts to the nearest Rand.

QUESTION 8 - Suggested solution

(a) To be classified as a discontinued operation, the activity under discussion should *firstly* comprise a component of the entity. (1)

- The printer cartridge business qualifies as a component as it is a separate major line of business of the entity. (1)

In terms of the *second* requirement for classification as a discontinued operation, the printer cartridge business will be considered a discontinued operation in terms of IFRS 5(AC 142), as soon as it can be classified as a disposal group held for sale. (1)

A disposal group is a group of assets that, by way of sale or otherwise, will be transferred as a group in a single transaction together with liabilities directly related to the assets. (1)

- The net assets of the printer cartridge business can therefore be classified as a disposal group. (1)

To be classified as held for sale, the carrying amount of the disposal group should be recovered mainly through sale rather than through continued use. (1)

For this to be the case the disposal group should be available for immediate sale and the sale should be **highly probable**. (1)

- In this case the disposal group was already available for immediate sale on 1 June 20.4. (1)

For the sale to be ***highly probable***, the following should be complied with: (1)

(i) The appropriate level of management should be commited to the plan to sell the disposal group – here the board of directors made the decission to sell the group. (1) (1)

(ii) An active programme to find a buyer should be launched and the plan should have commenced – a task team was appointed on 1 June 20.4 and they immediately started to look for a buyer. (1) (1)

(iii) The asset of the disposal group was actively marketed from 1 June 20.4 at a price that is deemed fair in comparison with the disposal group's market value. (1)

The task team identify a buyer on 31 August 20.4 who was willing to buy the disposal group (printer cartridge business) at its fair value of R46 million. (1)

(iv) The sale should be expected to be recognised as a sale within 1 year after classification as "held for sale" – the sale will be recognised as a sale within 11 months (1 June 20.4 to 30 April 20.5). (1) (1)

(v) It should be improbable that changes will be made to the selling plan. - On 1 June 20.4 it was improbable that changes would be made to the selling plan. (1)

Therefore at 1 June 20.4 all the requirements for classification as "held for sale" are met and from this date onwards the printer cartridge business should be treated as a discontinued operation. (2)

20
18

(b) IFRS 5 (AC 142). 15 determines that disposal groups that are held for sale should be measured at the lower of carrying amount or fair value less costs to sell. (1)

IFRS 5 (AC 142). 25 determines that assets held for sale should no longer be depreciated once classified as held for sale. Depreciation should therefore only be written off until 1 June 20.4 . (1)

At 1 June 20.4, the date on which the disposal group is classified as held for sale, the disposal group should be remeasured at the lower of carrying amount and fair value less costs to sell. (1)

IFRS 5 (AC 142). 23 determines that an impairment loss should be allocated to non-current assets according to the sequence of allocation determined by par 104(a) and (b) and 122 of IAS 36 (AC 128) (Impairment). This results in goodwill being written off to RNil firstly and that the remaining impairment loss is allocated to the non-current assets in the group pro rata according to their carrying amounts. Assets that do not fall under IFRS 5 (AC 142) eg. receivables and inventories, should be treated according to the statements applicable to those assets. No portion of the impairment loss is therefore allocated to receivables and inventories. (1)
(1)
(1)
(1)
6

(c) Extract from the statement of comprehensive income for the year ending 31 December 20.4

KLARI LTD

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDING 31 DECEMBER 20.4

(Format (1))

Continuing operations		**R'000**	
-			
Not required		??	
Discontinued operations			
Loss for the period from discontinued operations	8	(42 172)	(1)

8. Discontinued operation

	Gross R'000	*Tax* R'000	*Net* R'000	
Revenue	24 000			(½)
Cost of sales (1)	(17 600)			(2½)
Gross profit	6 400			
Other expenses (2)	(7 200)			(4)
Loss from discontinued operations [W4]	(800)	240	(560)	(3)
Loss on measurement of the disposal group to fair value [W2] (3)	(46 050)	4 438	(41 612)	(8)
	(46 850)	4 678	(42 172)	
			Maximum	20

(1) 5 200[1] + 18 000[½] - 5 600[1] = 17 600
(2) Depreciation according to [W1] 750[1] + 1 667[1] + 833[1] + 3 950[1] (expenses) = 7 200
(3) 2 979[1] + 973[1] + 486[1] [W3]

(d) Note on property, plant and equipment

10. Property, plant and equipment

	Retail property		Industrial property		Furniture & equipment	Delivery vehicles	
	Land	**Buildings**	**Land**	**Buildings**			
Carrying amount beginning of year	10 000	37 500	4 000	32 400	18 000	9 200	
Cost	10 000	50 000	4 000	36 000	50 000	26 000	(3)
Accumulated depreciation	-	(12 500)	-	(3 600)	(32 000)	(16 800)	(2)
Depreciation (1), [W1], (2), (3)	-	(2 500)	-	(750)	(7 667)	(4 033)	(4)
Transfer of assets to non-current asset held for sale (4), (5)	-	-	(4 000)	(31 650)	(10 333)	(5 167)	(5)
Carrying amount at end of year	10 000	35 000	Nil	Nil	Nil	Nil	
Cost	10 000	50 000	-	-	30 000	16 000	(2)
Accumulated depreciation	-	(15 000)	-	-	(30 000)	(16 000)	(1½)
							17½
						Max	17

COMMENT

Note that assets classified as held for sale, are removed from PPE and are disclosed in a separate note. In this case the factory land and buildings are removed as a whole, as it relates only to the printer cartridge operation. In respect of furniture and equipment only the items related to the printer cartridge operation are removed, while the remaining items (all in respect of the stationery section) are fully depreciated.

(1) 50 000/20 = 2 500 [1]
(2) [W1] + 30 000/5 = 7 667 [1]
(3) [W1] + 16 000/5 = 4 033 [1]
(4) 20 000 - 8 000 – 1 667 = 10 333 [1½]
(5) 10 000 – 4 000 – 833 = 5 167 [1½]

(e) Statement of financial position of Klari Ltd as at 31 December 20.4

KLARI LTD **STATEMENT OF FINANCIAL POSITION AS AT** **31 DECEMBER 20.4**	**Note**		
ASSETS			
Non-current assets		48 104	
Property, plant and equipment (See (d) 10 000 + 35 000)		45 000	(1)
Goodwill		Nil	
Deferred tax		3 104	(6)
Current assets		82 300	
Inventories		20 000	(1)
Receivables		13 000	(1)
Disposal group	11	49 300	(4)
		130 404	
EQUITY AND LIABILITIES			
Not required.		?	
-		?	
-		?	
Current liabilities		8 800	
Payables		5 600	(1)
Liabilities of disposal group		3 200	
		?	
			14

(f) Disclosure in the note in respect of disposal group classified as held for sale

KLARI LTD

NOTES FOR THE YEAR ENDING 31 DECEMBER 20.4

11. Disposal group classified as held for sale

A decision was taken in 1 June 20.4 to dispose of the printer cartridge operation of Klari Ltd. (1) This decision was taken as the profitability of Klari Ltd has come under severe pressure. (1) The disposal group will be disposed of by way of a cash sale and the sales transaction will be finalized by 31 March 20.5. (1) The results of this operation had earlier been presented under the manufacturing segment of the company. (1) The disposal group comprises the following assets and liabilities:

Non current assets	35 100	
Land	2 745	(1)
Factory buildings	21 719	(1)
Furniture and equipment	7 091	(1)
Delivery vehicles	3 545	(1)
Current assets	14 200	
Inventories	5 600	(½)
Receivables	8 600	(½)
Total assets of disposal group	49 300	
Liabilities		
Payables	3 200	(½)
	3 200	

A total impairment loss of R46 050 000 is recognised at initial classification of the disposal group as held for sale (refer note 8) (1) and it forms part of the line-item in respect of the loss from discontinuing operations. (½)

Maximum 10
85

COMMENT

The carrying amounts relating to property, plant and equipment items above, is shown at the amounts as calculated at the transfer to held for sale. Only where these assets have been impaired since their transfer to held for sale, will the carrying amounts be adjusted. The carrying amounts of debtors, creditors and inventories will however change continuously, as the printer cartridge operation will still be conducted at full scale. The determination of the value at 1 June (and 31 August) was mainly to determain the loss on discontinuance of R46 050 000.

WORKINGS

W1. Depreciation discontinued operation

	Carrying amount 1/1/04 R'000	Depreciation to 31/5/04 R'000	Carrying amount 1/6/04 R'000
Factory buildings	32 400	(750[1])	31 650
Furniture and equipment	12 000	(1 667[2])	10 333
Delivery vehicles	6 000	(833[3])	5 167

[1] 36 000/20 x $5/_{12}$ = 750 [1]
[2] 20 000/5 x $5/_{12}$ = 1 667 [1]
[3] 10 000/5 x $5/_{12}$ = 833 [1]

COMMENT

Depreciation on non-current assets classified as held for sale and falling within the scope of IFRS 5 (AC 142), ceases as soon as the assets are classified as held for sale. Ref IFRS 5.8.

W2. Impairment: Discontinued operations

	Carrying amount R'000	Impairment R'000	Carrying Amount R'000
Goodwill	30 000	[1] (30 000)	-
Land	4 000	[1] (1 255)	[1] 2 745
Buildings (W1)	31 650	[1] (9 931)[b]	[1] 21 719
Furniture and equipment	10 333	[1] (3 242)[c]	[1] 7 091
Delivery vehicles	5 167	[1] (1 622)[d]	[1] 3 545
Receivables	7 400	-	7 400
Inventories (31/8/20.4)	5 200	-	5 200
Payables	(1 700)	-	(1 700)
Net assets	92 050		46 000
Estimated selling price	46 000		
Impairment loss	46 050	(46 050)	

COMMENT
Impairment loss on disposal group

Goodwill is firstly written off to RNil in terms of IAS 36 (AC 128), while the remainder of the impairment loss will be allocated pro rate based on carrying amounts to non-current assets falling within the scope of IFRS 5(AC 142).

Carrying amount of non-current assets (excluding goodwill):
(4 000 + 31 650 + 10 333 + 5 767) = 51 150
Impairment loss allocated to non-current assets (after writing off goodwill):
(46 050 – 30 000) = 16 050

a $^{4\,000}/_{51\,150}$ x 16 050 = 1 255
b $^{31\,650}/_{51\,150}$ x 16 050 = 9 931
c $^{10\,333}/_{51\,150}$ x 16 050 = 3 242
d $^{5\,167}/_{51\,150}$ x 16 050 = 1 622

Treatment of current assets

Note that the impairment loss arising from the disposal group, will not be allocated to inventories and receivables, as these assets (as current assets), fall outside the scope of IFRS 5 (AC 142). If the measurement of the inventories to net realisable value was directly before the reclassification of the disposal group, it wouldl be dealt with according to the standard applicable on inventories (IAS 2).

W3. Calculation of deferred tax

Retail property (Land) (R'000)

	Carrying amount	Tax base	Temporary difference	Deferred Tax
31/12/20.4	10 000	Nil	10 000	Exempt .15(b)

Retail property (Buildings) (R'000)

	Carrying amount	Tax base	Temporary difference	Deferred Tax
1/1/20.4	37 500	Nil	37 500	Exempt .15(b)
Depr/W & T (50/20)	(2 500)	Nil	(2 500)	
31/12/20.4	35 000	Nil	35 000	Exempt .15(b)

Factory property (Land) (R'000)

1/1/20.4	4 000	Nil	4 000	Exempt .15(b)
Impairment [W2]	(1 255)	Nil	(1 255)	
31/12/20.4	2 745	Nil	2 745	Exempt .15(b)

Factory property (buidings) (R'000)

	Carrying amount	Tax base	Temporary difference		Deferred Tax
1/1/20.4	32 400	28 800	3 600		1 080 cr
Depr/W & T [W1] (36/10)	(750)	(3 600)	2 850	[1]	855 cr
31/8/20.4	31 650	25 200	6 450		1 935 cr
Impairment [W2]	(9 931)	-	(9 931)	[½]	(2 979)dr
31/12/20.4	21 719	25 200	(3 481)		(1 044)dr

Furniture and equipment Stationery (R'000)

1/1/20.4	6 000	10 000	(4 000)		(1 200)dr
Depr/W & T 30/5;30/6	(6 000)	(5 000)	(1 000)	[1]	(300)dr
31/12/20.4	Nil	5 000	(5 000)		(1 500)dr

Furniture and equipment – Printer cartridge operation (R'000)

1/1/20.4	12 000	13 333	(1 333)		(400)dr
Depr/W & T [W1]; 20/6	(1 667)	(3 333)	1 666	[1]	500 cr
31/8/20.4	10 333	10 000	333		(100)cr
Impairment [W2]	(3 242)	-	(3 242)	[½]	(973)dr
31/12/20.4	7 091	10 000	(2 909)		(873)dr

Delivery vehicles – Stationery (R'000)

1/1/20.4	3 200	-	3 200		960 kt
Depr/W & T 16/5	(3 200)	-	(3 200)	[1]	(960)dt
31/12/20.4	Nil	Nil	Nil		Nil

Delivery vehicles – Printer cartridge operation ((R'000)

1/1/20.4	6 000	5 000	1 000		300 cr
Depr/ W & T [W1]; 10/4	(833)	(2 500)	1 667	[1]	500 cr
31/8/20.4	5 167	2 500	2 667		800 cr
Impairment [W2]	(1 622)	-	(1 622)	[½]	(486)dr
31/12/20.4	3 545	2 500	1 045		313 cr

SUMMARY OF DEFERRED TAX BALANCE: 31/12/20.4	**R'000**
Opening balance at 1/1/20.4 (given)	(740)
Credit in statement of comprehensive income	3 844
Closing balance at 31/12/20.4 – debit and recognition allowed	3 104
Land: Stationery [W3]	-
Buildings: Stationery [W3]	-
Land: Printer cartridge operation [W3]	-
Buildings: Printer cartridge operation [W3]	1 044
Furniture and equipment [W3] (1 500 + 873)	2 373
Delivery vehicles [W3] (Nil – 313)	(313)

W4. Taxation and deferred taxation on discontinued operation

Normal loss from discontinued operation	(800)	[½]
Taxable temporary differences*	(6 183)	
Add back: Depreciation (750 + 1 667 + 833)	3 250	[½]
Deduct: Wear & tear (3 600 + 3 333 + 2 500)	(9 433)	[½]
Tax loss on discontinued operation – normal activities	(6 983)	
Savings to current tax (6 983 x 30%)	(2 095)	[1]
Deferred tax liability on taxable temporary differences 6 183* x 30%)	1 855	[½]
Net tax saving on normal loss on discontinuance	(240)	
		[3]

COMMENT

Note that the tax saving of R2 095 (6 983 x 30%) related to the normal loss of the print cartridge business, will be set off against the current tax payable on the profit earned by the stationery section of Klari Ltd (not calculated here). It is therefore not necessary to raise a deferred tax asset for the assessed loss, as Klari Ltd as a whole still pays current tax. If the computer printer cartridge business were situated in a separate entity, the normal rules for the creation of a deferred tax asset would have been applied.

QUESTION 9 (30 marks – 45 minutes)

2008 QE Exam Question – adapted

You are a trainee accountant in the first year of your training contract. You are involved in the year-end audit of Manufacta Holdings Ltd ('MHL'), a manufacturing company listed on the JSE Ltd. MHL recently appointed the auditing firm that you are training with as its external auditor. The directors of the group wish to express explicit and unreserved compliance with International Financial Reporting Standards (IFRS) in their financial statements. The company has a 31 December year end.

The senior trainee accountant on the engagement has delegated an outstanding audit issues to you and requested that you review the following audit work papers and then address these issues:

Work paper reference	Work paper description
A1	Lease agreement with Professional Properties (Pty) Ltd

Information on relevant accounting policies

It is the accounting policy of the company to depreciate items of property, plant and equipment over their expected useful lives on the straight-line basis. These items have no residual values for purposes of depreciation. These estimates are reviewed and confirmed annually.

Land and buildings are subsequently measured according to the cost model and plant according to the revaluation model in terms of IAS 16, *Property, plant and equipment.*

Manufacta Holdings Ltd Year end: 31 December 2007	Prepared by: AC Trainee	Date: 17 January 2008	WP A1 ½
Lease agreement	Reviewed by:	Date	

Executive summary of the lease agreement

MHL leases its head office building from Professional Properties (Pty) Ltd on the following terms:

- The lease agreement is for ten years;
- MHL has the option to extend the lease term for a further five years at the end of the initial ten-year period; and
- The lease agreement states explicitly that the legal title of neither the head office building nor the land on which it is situated will at any stage transfer to MHL during the initial or extended lease terms.

The head office building had an estimated economic (and useful) life of 20 years at the date of inception of the lease agreement.

The building became available for use on 1 January 2006 but was only physically occupied on 1 February 2006.

MHL is considering the construction of its own building in the near future and it is unlikely that the company will extend the lease term for the current head office building.

Details of the lease agreement

The following information relates to the lease agreement with Professional Properties (Pty) Ltd:

Date of inception and date of commencement of the lease agreement	1 January 2006	#
Asset leased	Manufacta House Erf 2201, Sandton CBD Johannesburg 2000	#
Lease term	Ten (10) years (initial lease term) Five (5) years (extension at the option of the lessee)	#
Instalment	R250 000 Payable monthly in arrears, commencing on 31 January 2006	#
Interest rate implicit in the lease Agreement	12% per annum	^ *

Legend
= Agreed to the lease agreement
^ = Recalculated and confirmed to be correct in terms of IAS 17, Leases
** = Recalculated and confirmed to be correct in terms of the lease agreement*

Manufacta Holdings Ltd Year end: 31 December 2007	Prepared by: AC Trainee	Date: 17 January 2008	WP A1 1/2
Lease agreement	Reviewed by:	Date	

The fair value of the leasehold interest in the head office building comprises 80% of the aggregate fair value of the leasehold interest in the property. The relative fair values of the leasehold interests in the head office building and in the land on which it is situated on 1 January 2006 were calculated in terms of the requirements of IAS 17, *Leases*.

In contrast the fair values of the land and the head office building were as follows on 1 January 2006:

- Land R2,5 million
- Head office building R15 million

MHL processed only the following journal entries for the years ended 31 December 2006 and 31 December 2007 in their accounting records:

		R'000	R'000
31/12/06	Operating lease expense (statement of comprehensive income) Bank *Operating lease instalments from 1 January 2006 to 31 December 2006*	3 000	3 000
31/12/06	SARS (statement of financial position) Tax (statement of comprehensive income) *Tax deduction from 1 January 2006 to 31 December 2006*	870	870
31/12/07	Operating lease expense (statement of comprehensive income) Bank *Operating lease instalments from 1 January 2007 to 31 December 2007*	3 000	3 000
31/12/07	SARS (statement of financial position) Tax (statement of comprehensive income) *Tax deduction from 1 January 2007 to 31 December 2007*	870	870

Value-added Tax (VAT) is not applicable to the lease agreement.

The normal company tax rate is 29%.

Planning materiality is R5 million.

REQUIRED

		Marks
(a)	**<Reference: Work paper A1>** Discuss, with reasons, whether you agree with Manufacta Holdings Ltd's classification of the lease agreement with Professional Properties (Pty) Ltd. Also address the accounting recognition of the current and deferred income taxes associated with the classification of the lease agreement.	30

QUESTION 9 - Suggested solution

(a) Accounting recognition and measurement of income taxes associated with the classification of the lease agreement.

	Mark
I do not agree with the classification of the entire lease agreement as an operating lease in the accounting records of MHL for the following reasons:	1
Whether a lease is a finance lease or an operating lease depends on the substance of the transaction rather than the form of the contract (IAS 17.10).	1
In terms of IAS 17.15 the land and buildings elements of a lease of land and buildings are considered separately for the purposes of lease classification.	1
A characteristic of land is that it normally has an indefinite economic life and the lessee does not receive substantially all of the risks and rewards incidental to ownership. The lease of land is therefore an operating lease unless legal title passes to the lessee at some stage during the lease term (IAS 17.14).	1
In terms of the lease agreement between MHL and Professional Properties (Proprietary) Limited legal title to the head office building and the land on which the head office building is situated will not at any stage pass to the lessee during or after the lease term. The lease of the land on which the head office building is situated has therefore been appropriately classified as an operating lease at inception of the lease agreement (1 January 2006).	1 1
The minimum lease payments should be allocated between the land and the buildings elements in proportion to the **relative fair values of the leasehold interests** in the land element and the buildings element of the lease at inception of the lease (IAS 17.16).	1
This would mean that the lease instalment should be allocated to the land and buildings elements of the lease as follows: [20% x R250 000] = R50 000 to the land element. [80% x R250 000] = R200 000 to the buildings element.	2
The present value of the minimum lease payments in respect of the head office building is therefore calculated as follows in terms of IAS 17.20: FV = Nil PMT = -R200 000 N = 120 P/Yr = 12 I/Yr = 12% (given) Thus PV = R13 940 104 (PV of minimum lease payment is lower than fair value)	1 1C 2
The lease of the head office building should have been classified as a **finance lease** because the **present value of the minimum lease payments at inception of the lease agreement (1 January 2006) is equal to at least substantially all of the fair value of the leased asset (R13 940 104 / R15 000 000 = 92.9%)** (IAS 17.10).	1 2
Income tax implications	
Current tax Irrespective of the classification of the lease agreement for accounting purposes, Manufacta Holdings will receive a deduction for tax purposes for the lease payments made (the amount actually incurred) at the normal income tax rate. The company's treatment in this regard, is therefore correct.	2

Deferred tax Land As discussed above, the lease of the land is an operating lease. As this does not give rise to an asset or liability (for accounting purposes or tax purposes) and as all lease payments due have been paid, there is no deferred tax on the land element of the lease agreement.	1
Building The lease of the building gives rise to an asset with a carrying amount of R13 940 000 on initial recognition. As the building is an asset, which will be used to generate taxable economic benefits, its tax base must be the amount that will be allowed as a deduction in future. As no capital allowances are granted on the building, its tax base is zero. From a deferred tax perspective, there is thus a taxable temporary difference of R 13 940 104 on initial recognition of the leased asset.	1 1 1
The lease of the building also gives rise to a lease liability of R13 940 104. The tax base of a liability is its carrying amount less future deductions. As the company will be allowed to deduct the lease payment inherent in the liability in the future, its tax base is zero. On initial recognition of the lease liability there is a deductible temporary difference of R13 940 104.	1 1 1
As the initial recognition of the building resulted in no impact on accounting profit and taxable income, one could argue that the initial recognition exemption in IAS 12.15 (b) applies to the taxable temporary difference arising on the leased asset and that the initial recognition exemption in IAS 12.24 applies to the deductible temporary difference arising on the lease liability. Consequently, no deferred tax is recognised on either the deductible temporary difference or the taxable temporary difference arising on initial recognition. This would also mean that as these temporary differences change, for example as the leased asset is depreciated or as the original lease liability is settled, no deferred tax is recognised. Deferred tax will however be recognised on the interest recognised on the lease liability. (Approach 1 – probably the more technically correct answer in terms of IAS12)	1 1 1
Alternatively, one could argue that since the net temporary difference (taxable temporary difference less the deductible temporary difference) arising on initial recognition is zero, the initial recognition exemptions in IAS 12.15 (b) and IAS 12.24 are not relevant. Therefore, a deferred tax liability is recognized in respect of the taxable temporary difference and a deferred tax asset is recognized in respect of the deductible temporary difference resulting in a net zero deferred tax balance of zero on initial recognition. Under this approach, as the temporary differences change, for example as the leased asset is depreciated or as the interest accrues on the lease liability or the original lease liability is settled, deferred tax is recognised in respect of these changes. (Approach 2 – consistent with current practice)	1 1 1
Maximum content marks	**27**
Presentation	**3**
Total marks	**30**

QUESTION 10 (21 marks – 32 minutes)

You are the auditor in charge of the audit for Wingro Ltd, a holding company listed on the JSE Securities Exchange. The group supplies goods in the manufacturing industry.

Sunshine Ltd

Sunshine Ltd is a manufacturing company which manufactures and sells heavy duty machinery, equipment and spare parts. Wingro Ltd acquired 600 000 shares of R1 each in Sunshine Ltd on 1 January 20.4 at a cost of R15 million; at the time the equity of Sunshine Ltd was made up as follows:

	R'000
Share capital	1 100
Share premium	5 000
Retained earnings	12 000

At the date of acquisition the assets and liabilities were all considered to be fairly valued, except for plant and equipment which was undervalued by R8 million.

On 1 January 20.6, Sunshine Ltd passed a special resolution to buy back 200 000 shares held by Wingro Ltd. (No shares from the minority shareholders.) This buyback was done with the effective date being 1 January 20.6.

Wingro Ltd manufactures specialised heavy-duty machinery that requires a control unit, which Wingro Ltd cannot manufacture. Wingro Ltd entered into a long-term agreement with Sunshine Ltd to supply the control unit on a continuous basis, for a period of 15 years. The effective date of this agreement is 1 April 20.6.

In terms of the agreement Sunshine Ltd will erect a new plant, specifically designed to manufacture the control units, on the premises of Wingro Ltd. This plant is the only one of its kind and Sunshine Ltd does not own another plant that can be used to manufacture the control units.

The plant will manufacture these control units only for Wingro Ltd, in accordance with the operational requirements of Wingro Ltd. Wingro Ltd will utilise the full output of the new plant. If Sunshine Ltd for any reason whatsoever produced more control units than Wingro Ltd needs, Sunshine Ltd must first get permission from Wingro Ltd before they may sell units to an outside party.

The plant was completed on 31 March 20.6 and was brought into use on 1 April 20.6. The plant has no other purpose and will be demolished at the end of the agreement.

The agreement stipulates that Wingro Ltd has to pay an annual amount of R5 760 000, in arrears. In terms of the agreement Sunshine Ltd must supply an average of 175 control units to Wingro Ltd per month. The fair value of each control unit amounts to R2 400, which represents cost plus 25% to Sunshine Ltd. Included in the closing inventory of Wingro Ltd on 31 December 20.6 are 25 control units supplied by Sunshine Ltd.

The market-related interest rate is 12% per annum.

REQUIRED

			Marks
(a)	(i)	Discuss the appropriate classification of the long-term agreement, (effective from 1 April 20.6) between Wingro Ltd and Sunshine Ltd, in the annual financial statements of Wingro Ltd for the year ended 31 December 20.6.	**12**
	(ii)	Prepare the journal entries in the books of Wingro Ltd to account for the long-term agreement with Sunshine Ltd, for the year ended 31 December 20.6. (Ignore any tax implications.)	**9**

QUESTION 10 - Suggested solution

(a) (i) It should be determined whether the agreement (arrangement) contains a lease, as envisaged by IAS 17 (AC 105). In doing this the substance of the transaction should be analysed. The factors listed in IFRIC 4 (AC 437) should be used for this assessment. (1)

IFRIC 4 (AC 437) identifies two criteria to determine whether an arrangement is, or contains a lease:

- fulfilment of the arrangement is dependent on the use of a specific asset or assets; and (½)

- the arrangement conveys a right to use the asset. (½)

The arrangement is dependent on the use of the specific asset:

- The asset (plant) has been explicitly identified and the plant was specifically designed to manufacture the control units. (1)

- The plant has "no other use" and it will be demolished at the end of the agreement. The plant also forms the basis of the supply agreement. (1)

- The plant is one of a kind and Sunshine Ltd cannot produce the control unit anywhere else. (1)

- The fulfilment of the arrangement is therefore dependant on the use of a specific asset. (1)

The arrangement should convey the *right to use* the plant *to Wingro Ltd only.*

- Wingro Ltd controls more than an *insignificant amount of the output* of the plant, because the *control units are unique* and Wingro Ltd is the *only user* thereof. (1)

- Wingro Ltd has the *ability to control* the *manufacturing and supply* of units, as units are manufactured for the exclusive use of Wingro Ltd. (1)

- The annual payment of *R5 760 000* is not linked to the market price per unit nor to a fixed price per unit in terms of the contract. (1)

- The arrangement for the *right of use* of the plant is for a period of *15 years*, which is for the major part of the asset's economic life. (1)

- Therefore the arrangement conveys the right to use the asset. (1)

Conclusion: Even if the arrangement does *not* take the *legal form* of a lease, the terms of the arrangement, confers the right of use and control over the plant to Wingro Ltd, therefore the long-term arrangement, should be *classified as a finance lease.* Sunshine Ltd transfers to Wingro Ltd the right to use the plant for an agreed period of time in return for a payment or series of payments. (1)
12

(ii) Journals

	Dr R	Cr R	
Lease instalment	720 000		(1)
Cost of sales – control units [W1]	5 040 000		(1)
Sunshine Ltd or accrual		5 760 000	(½)
Lease asset – plant	4 903 822		
Long-term liability [W2]		4 903 822	(3)
Interest [W3]	441 344		
Long-term liability (OR – interest payable)		441 344	(2)
Depreciation [W4]	245 191		
Accumulated depreciation on lease plant		245 191	(1½)
			9

WORKINGS

W1. 175 units x R2 400 x 12 months = R5 040 000
Lease instalments R5 760 000 – R5 040 000 = R720 000 per annum.

W2. PMT = 720 000
i = 12
n = 15
COMP PV = 4 903 822

W3. Interest
4 908 822 x 12% x 9/12 = 441 344

W4. Lease asset – depreciation
4 903 822/15 x 9/12 = 245 191

ADDITIONAL QUESTIONS

QUESTION 11 **40 marks**

The information below represents the summarised trial balance of Prospur Ltd, a listed manufacturing company, for the year ended 31 December 20.5:

	Note	R'000	R'000
Share Capital			1 000,0
Retained earnings on 31/12/04			2 465,0
Deferred tax on 31/12/04			1 590,0
Plant at net current cost on 31/12/04	1	12 800,0	
Revaluation reserve on 31/12/04	1		1 960,0
Replacement reserve on 31/12/04	1		385,0
Profit before tax			7 100,0
Provisional tax payments		1 700,0	
		14 500,0	14 500,0

Notes

1. It is the company's policy to revalue plant annually at the end of the year. Depreciation for each year should be based on the most recent current cost. Accumulated depreciation is eliminated every time the asset is revalued. Details of the company's plant were as follows on 31 December 20.4:

Total estimated life	10 years
	R'000
Historical cost on 2 January 20.3	12 500
Carrying amount based on historical cost	10 000
Tax value	7 500
Gross current cost (Cost of comparable new plant)	16 000

Transfers in respect of the realised parts of the revaluation reserve are made annually from the revaluation reserve to the replacement reserve.

On 31 December 20.3 the gross current cost of the plant amounted to R14 500 000.

On 31 December 20.5 the gross current cost of the plant amounted to R18 500 000.

On 31 December 20.5 the directors decided to sell the existing plant. A buyer has not been identified at this stage, but a task group was appointed to find a purchaser. It was decided to market the plant at R12 970 000. The plant is in excellent condition as it was maintained immaculately. Active efforts were embarked upon to market the asset. It is expected that the asset will be sold within 6 months.

The company plans to hire plant in the short term until plant that complies with the company's requirements is acquired. Plant is immediately available for rental purposes.

The asset is depreciated over the useful life of the asset on a straight-line basis. Wear and tear is allowed at 20% per annum in terms of section 12C of the Income Tax Act.

No accounting entries during the year ended 31 December 20.5 have been made in respect of plant.

2. Prospur Ltd's manufacturing process produces substantial waste. Waste is, with the permission of the municipality, dumped on a municipal property adjacent to the property on which Prospur Ltd conducts its manufacturing activities. Prospur Ltd has been dumping its waste on this property for a considerable period, but thus far there was no responsibility on them to clean up the property. On 1 January 20.5 the municipality notified Prospur Ltd that the company was, in accordance with new municipal regulation, obliged to clean up the property by the earlier of 31 December 20.9 or the date on which Prospur Ltd no longer conducts its business on the current property. The estimated cost to clear the waste dumped up to 1 January 20.5, will amount to approximately R2 500 000 on 31 December 20.9.

   It is unlikely that Prospur Ltd will stop conducting business on the current property before 31 December 20.9.

   Prospur Ltd dumped more waste on the municipal property on 31 December 20.5. The estimated cost to clear the waste dumped on 31 December 20.5, will amount to approximately R500 000 on 31 December 20.9.

   No accounting entries have been made in connection with the abovementioned costs at this stage.

3. The normal company tax rate amounts to 30%. Fifty percent of capital gains are taxable. The only differences between taxable income and accounting profit are those clearly evident from the information above.

4. Market related pre-tax interest rates amount to 10% p.a. compounded annually.

5. You may assume that Prospur Ltd complies at all times with the requirements of the most recent versions of Statements of Generally Accepted Accounting Practice, irrespective of the effective implementation dates of those statements.

REQUIRED **Marks**

(a) Discuss the accounting treatment of the plant in note 1 in accordance with IFRS 5 (AC 142) *Non-current assets held for sale and discontinued operations.* The treatment of deferred tax and disclosure requirements should not be discussed. 14

(b) Discuss the accounting treatment of the clean-up costs in note 2 in accordance with Statements of Generally Accepted Accounting Practice. The treatment of deferred tax and disclosure requirements should not be discussed. No calculations are required in your discussion. 7

(c) Disclose all notes relating to tax for the year ended 31 December 20.5. No accounting policy notes or comparative figures are required. 13

(d) Disclose the notes, if applicable, in respect of the clean-up costs on 31 December 20.5. 4

(e) Show how the plant in note 1 should be disclosed in the statement of financial position on 31 December 20.5. Your answer must comply with the requirements of Statements of Generally Accepted Accounting Practice. No notes are required. 2

(University of Stellenbosch – adapted)

QUESTION 11 – Suggested solution

(a) The accounting treatment of the plant depends on whether it is classified as "held for sale" in terms of IFRS 5 (AC 142). (1)

In terms of IFRS 5 (AC 142).6 a non-current asset is classified as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use. (½)

For this to be the case, the plant should be available for immediate sale and the sale should be highly probable (IFRS 5 (AC 142).7). The plant seems to be available for immediate sale as it is in an excellent condition. Whether the sale is highly probable, depends on the following: (1)

(i) The appropriate level of management must be committed to a plant to sell the asset. This is applicable as the directors approved the plan to dispose of the plant and furthermore appointed a task group to this effect. (½) (1)

(ii) An active program to locate a buyer and complete the plan must have been initiated. This is the case as a task group has been appointed to find a purchaser and this task group is currently busy marketing the asset. (½) (1)

(iii) The asset must be actively marketed at a price that is reasonable in relation to its current fair value. The asset is currently being marketed at a price of R12 970 000. A new asset would cost R18 500 000 on 31 December 20.5. The existing plant is already three years old and the net current cost thus amounts to R12 950 000. As the plant is in an excellent condition, a price of slightly more than R12 950 000 seems reasonable. (½) (2)

(iv) The sale should be completed within one year from date of classification. This applies as it is expected that the plant will be sold within six months. (1)

(v) It should be unlikely that significant changes will be made to the plan to sell the asset. This applies as there are not indications in the question of any changes to the plan. (1)

From the above it is clear that the plant should be classified as held for sale on 31 December 20.5. (1)

IFRS 5 (AC 142).15 states that the result of this classification is that the plant should be carried at the lower of its carrying amount and fair value less costs to sell, without any further depreciation. (1)

However, immediately before classification as held for sale, the plant should be measured in terms of IAS 16 (AC 123), as this is the statement normally applicable to property, plant and equipment. (1)

As it is Prospur Ltd's policy to annually revalue plant at the end of each year, the revaluation will thus have to be performed before classifying the plant as held for sale. (1)

14

(b) The liability for the clean-up costs qualifies as a provision in terms of IAS 37 (AC 130).A provision is a liability of uncertain timing or amount. This is relevant as there is uncertainty regarding the exact cost of the clean-up process, as well as uncertainty regarding the timing of the expense. (2)

The clean-up costs represent a present obligation arising from past events, which will probably result in an outflow of economic benefits. The company has a legal obligation to incur the clean-up costs due to new municipal regulations compelling it to restore the dumping site. This obligation is the result of a past event, being the dumping of waste. (2)

A reasonable estimate can be made of the amount of the obligation. However, as the clean-up costs will only be incurred after a reasonable period of time, the time value of money will have a material effect. Consequently, the present value of the expected clean-up costs should be determined on 1 January 20.5 and on 31 December 20.5, in respect of costs incurred up to that specific date. This present value should be determined by using a pre-tax market related interest rate. The difference between this present value and the total expected costs should be accounted for as interest. (3)
7

(c) **PROSPUR LTD**

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.5

	R	
3. Income tax expense		
Current tax [(7 100 – 2 500 [W1]) x 30%]	1 380 000	(2)
Deferred tax (195 [W1] – 614,712 [W2])	(419 712)	(4)
	960 288	
Tax rate reconciliation		
Accounting profit (7 100 – 1 850 [W1] – 2 049,040 [W2])	3 200 960	(2)
Tax at 30%	960 288	(½)
Non-taxable/non-deductible items	-	
Tax expense	960 288	
5. Deferred tax		
Revaluation [(4 200 [W1] x 30%) – 67,5 [W1]]	1 192 500	(2)
Accelerated wear and tear [(8 750 – 5 000) [W1] x 30%]	1 125 000	(2)
Provision for clean-up costs [W2]	(614 712)	(½)
	1 702 788	
		13

(d) **NOTES FOR THE YEAR ENDED 31 DECEMBER 20.5**

2. Profit before tax

Included in profit before tax is the following:		
Clean-up costs in respect of dumping site [W2]	1 893 810	(1)

6. Provisions

Balance at beginning of the year	-	
Provision raised for clean-up costs [W2]	1 893 810	(½)
Interest	155 230	(1)
Balance at end of the year	2 049 040	

The provision represents the estimated cost of cleaning up a municipal property used for the dumping of waste. The property should be cleaned up by the earlier of 31 December 20.9 and the date on which the company no longer conducts business from its current premises. (1½)

4

(e) **STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 20.5**

	R	
Current assets		
Non-current assets held for sale [W1]	12 950 000	(2)
		2
		40

WORKINGS

W1. Revaluation of plant

	Total	**Revaluation**	**Historical cost**	**Tax base**	**Temporary difference**	**Deferred tax**
Carrying amount 31/12/2004	12 800	2 800	10 000	7 500	5 300	1 590
Revaluation	2 000	2 000			2 000	600
	14 800[a]	4 800	10 000	7 500	7 300	2 190
Depreciation /12C	(1 850)[b]	(600)	(1 250)[c]	(2 500)[d]	650	195
	12 950	4 200	8 750	5 000	7 950	2 385
Adjustment						(67,5)[e]
						2 317,5

[a] 18 500 x 8/10
[b] 14 800/8 or 18 500/10
[c] 12 500/10
[d] 12 500 x 20%
[e] (12 950 – 12 500) x 50% x 30%

W2. Clean-up costs

1 January 20.5:
n = 5
i = 10%
FV = 2 500 000
∴ PV = 1 552 303

31 December 20.5:
n = 4
i = 10%
FV = 500 000
∴ PV = 341 507

	R
Total expense raised (341 507 + 1 552 303)	1 893 810
Interest (1 552 303 x 10%)	155 230
	2 049 040
Deferred tax effect (2 049 040 x 30%)	614 712

QUESTION 12 **65 Marks**

Jasmine Ltd manufactures equipment for the catering industry and is listed on the JSE Ltd.

The following amounts have been extracted from the general ledger of Jasmine Ltd at 31 December 20.7:

	R
Head office building at revaluation	4 858 560
Factory building at cost	5 000 000
Machinery at cost	30 600 000
Accumulated depreciation: 1 January 20.7	
- Office building	269 920
- Factory building	250 000
- Machinery	5 100 000

Additional information

1. On 1 January 20.7 the board of directors of Jasmine Ltd decided that, due to financial constraints, the head office building of Jasmine Ltd must be sold as soon as possible, in its current condition, at its fair value and then be leased back in terms of an operating lease.

   On 1 March 20.7 Jasmine Ltd started to implement an active programme to locate a buyer by starting to actively market the office building. A suitable buyer was found during July 2007. The risks and rewards associated with the ownership of the office building were transferred to the buyer on 31 July 20.7. The selling price amounted to R5 000 000 and was immediately settled in cash. Up to 31 July 20.7 the office building was used by Jasmine Ltd as its head office.

   The office building was originally purchased on 1 January 20.4 at a total cost of R4 520 000 and had an estimated useful life of 20 years on 1 January 20.4, with no residual value. The office building was revalued on 1 January 20.6 at a fair value of R4 858 560 with no change to the estimated useful life or residual value.

   The fair value of the office building on 1 January 20.7, 1 March 20.7 and 31 July 20.7 amounted to R4 500 000, R4 510 000 and R4 560 000, respectively. Assume costs to sell are negligible.

   The operating lease agreement is for a period of five years, commencing on 1 August 20.7 and the monthly instalment amounts to R34 000, payable in arrears, which includes R4 000 for maintenance.

   Jasmine Ltd has the following accounting policy for this office building:

   - The office building is depreciated over its estimated useful life on a straight-line basis.
   - The office building is revalued every two years at the beginning of the year.
   - On revaluation the accumulated depreciation is eliminated against the gross carrying amount of the asset.
   - The revaluation surplus is realised when the office building is derecognised.

2. All the machinery of Jasmine Ltd was purchased on 1 January 20.6, by using a loan facility with an interest rate of 12% per year. The machinery form part of the four production lines of Jasmine Ltd that is used in the manufacturing of equipment. Each production line consists of three machines and the machines do not generate cash flows independently, but only as part of the production line. The useful life of each machine is six years and it is the policy of Jasmine Ltd to depreciate each machine over the estimated useful life of the machine on a straight-line basis.

   The floor space of the factory building used by each production line is the same, and the floor space used by each production line is a reasonable indication of the portion of the factory building devoted to each production line. The factory building was purchased on 1 January 20.6 and was immediately available for use as intended by management. The useful life of the factory building is estimated as 20 years with no residual value and it is the policy of Jasmine Ltd to depreciate the factory building over its estimated useful life on a straight-line basis. At 31 December 20.7, the fair value less costs to sell off this factory building amounts to R3 800 000.

   For the year ended 31 December 20.6, no impairment losses were recognised in respect of any of the machinery, any of the production lines or the factory building.

   During December 20.7, one of the machines used in production line A was damaged, and although it is still working, it is not working as well as before it was damaged. At 31 December 20.7 management has no intention to replace this machine. The remaining useful life of this machine was not affected.

   The carrying amount of production line A comprises the following on 31 December 20.7:

	Carrying amount R	**Fair value less costs to sell R**
Machinery		
- machine 1	1 500 000	1 560 000
- machine 2	1 550 000	1 450 000
- machine 3 (damaged)	1 700 000	1 250 000
Inventory	376 000	N/A
	5 126 000	

   The inventory included in the carrying amount of production line A consists of raw material that production line A uses to manufacture components. This inventory has already been valued at the lower of cost or net realisable value in accordance with IAS 2 (AC 108).

   Management has prepared a cash flow forecast for production line A based on reasonable and supportable assumptions about the economic conditions that will exist over the remaining useful life of production line A. The cash flow forecasts for the years ending 31 December related to this production line are the following:

	20.8 R	20.9 R	20.10 R	20.11 R
Net operating cash inflows from continuing use	2 000 000	2 000 000	2 500 000	2 500 000
Disposal proceeds	-	-	-	200 000
Maintenance costs	(110 000)	(120 000)	-	(40 000)
Refurbishment costs	-	(350 000)	-	-
Interest on loan	(200 000)	(50 000)	-	-
Overhead costs	(75 000)	(95 000)	(100 000)	(100 000)
Net cash inflows	1 615 000	1 385 000	2 400 000	2 560 000

- All the components manufactured by production line A are part of the input into production line B. These components are sold to production line B at an internal transfer price of R14 000 per component. The cash value of these transfers is included in the above cash flow projections. This component can be sold in an external market at R15 000 per component.

- Production line B needs 200 components from production line A per year, but it is estimated that from 20.10 the demand will increase to 230 components. The refurbishment costs will therefore be incurred at the end of 20.9 to ensure that production line A will be able to meet the increased needs of production line B for 20.10 and 20.11. If these refurbishment costs are not incurred the net operating cash inflows from continuing use will be maintained at R2 000 000, whilst the maintenance costs that will be incurred are estimated to be R140 000 and R150 000 for the 20.10 and 20.11 years respectively.

- The overhead costs represent sundry costs that can be directly allocated on a reasonable and consistent basis to production line A.

- The maintenance costs relate to the day to day servicing of production line A.

- The proceeds on disposal at the end of 20.11 are the estimated scrap metal proceeds obtainable from a scrap metal sale before the deduction of costs to dismantle and remove production line A. These costs are estimated at R25 000.

- An acceptable after tax discount rate is 9,94% per year.

- Production line A can not be sold in its current condition on 31 December 20.7.

- Assume that all the cash flows occur at the end of each year.

3. On 31 December 20.7 Jasmine Ltd acquired one of the factories of Aladdin Ltd, consisting of a factory building and machinery, for R3 472 000. The carrying amount of the factory building and machinery in the books of Aladdin Ltd on 31 December 20.7 amounted to R2 300 000 and R1 100 000, respectively. The fair value of the factory building and machinery on 31 December 20.7 amounted to R2 464 000 and R1 120 000, respectively. The tax bases of the factory building and machinery on 31 December 20.7 are the same as the fair values at this date.

The factory can immediately be used in its current condition by Jasmine Ltd to generate revenue. The estimated useful life of the factory building and the machinery on 31 December 20.7 amounts to ten years and four years, respectively. Jasmine Ltd has not yet accounted for the above transaction.

4. Assume a tax rate of 29% and that capital gains are dealt with in terms of current tax legislation. Ignore VAT.

REQUIRED

Marks

(a) Prepare all the journal entries (cash transactions included) in the books of Jasmine Ltd, necessary to account for the information in point 1, for the year ended 31 December 20.7 in accordance with Statements of Generally Accepted Accounting Practice. Also indicate the date on which each journal entry will be processed.

Note:- Journal narrations are not required.
- Do not prepare any journals for current tax and deferred tax, but any movements in equity reserves must take the relevant tax effect into account.
- Round calculated amounts to the nearest R1.

26

(b) Prepare the property, plant and equipment note to accompany the financial statements of Jasmine Ltd for the year ended 31 December 20.7, in accordance with Statements of Generally Accepted Accounting Practice.

Note:- The total column and the narrative information that normally accompany this note are ***not required.*** The gross carrying amount and accumulated depreciation of the individual assets at the end of the year is also ***not required***.
- Comparative amounts are not required.
- Round calculated amounts to the nearest R1.

26

(c) Prepare the income tax expense note to accompany the financial statements of Jasmine Ltd, for the year ended 31 December 20.7 in accordance with Statements of Generally Accepted Accounting Practice.

Note:- Assume that the profit before tax for the year ended 31 December 20.7, after all the above has been correctly taken into account, amounts to R800 000 and that the correct current tax expense and the correct deferred tax expense for the year ended 31 December 20.7 amounts to R74 101 (dr) and R117 733 (dr), respectively.
- Comparative amounts are not required.
- Round calculated amounts to the nearest R1 and percentages to two decimal places.

13

(UP – adapted)

QUESTION 12 - Suggested solution

PART A

JASMINE LTD

JOURNALS FOR THE YEAR ENDED 31 DECEMBER 20.7

			DR R	CR R	
1 March 20.7					
1	**(½)**	Depreciation [W1]	44 987		**(2½)**
	(½)	Accumulated depreciation: office building		44 987	
		(depreciation for the period 1/1/20.7 to 1/3/20.7)			
2	**(½)**	Non-current asset held for sale (balancing figure)	4 543 653		
		Office building		4 858 560	**(½)**
		Accumulated depreciation: office building (269 920 + 44 987 (J1))	314 907		**(1)**
		(office building classified as held for sale on 1/3/20.7)			
3	**(½)**	Revaluation surplus (561 298 [W2] ***(2)***)	561 298		**(7)**
		Deferred tax (210 973 [W3] ***(5)***)	210 973		
	(½)	Equity relating to non-current asset classified as held for sale		772 271	
		(revaluation surplus relating to asset classified held for sale transferred to separate equity account)			
4	**(½)**	Impairment loss (4 510 000 – 4 543 653 (J2)) [W4]	33 653		**(1)**
	(½)	Non-current asset held for sale		33 653	
		(measure at lower of carrying amount or fair value less costs to sell on 1/3/20.7)			
31 July 20.7					
5	**(½)**	Bank	5 000 000		
		Non-current asset held for sale		4 510 000	**(½)**
	(½)	Profit on sale and lease back (4 560 000 – 4 510 000) [W4]		50 000	**(1)**
	(½)	Deferred profit (5 000 000 – 4 560 000) [W4]		440 000	**(1)**
		(sale and lease back-operating lease on 31/7/20.7)			

			DR R	CR R	
6	**(½)**	Equity relating to non-current asset held for sale (J3)	772 271		**(½)**
	(½)	Retained earnings (transfer to retained earnings when asset is derecognised)		772 271	
31 December 20.7					
7	**(½)**	Operating lease expense (30 000 x 5)	150 000		**(1)**
	(½)	Maintenance cost (4 000 x 5)	20 000		**(½)**
	(½)	Bank (allocation of payments made for the period 1/8/20.7 – 31/12/20.7)		170 000	
8	**(½)**	Deferred profit (440 000 (J5)/5 x 5/12)	36 667		**(1)**
	(½)	Deferred profit amortised (deferred profit recognised over lease term)		36 667	

Total marks part A **26**

WORKINGS (PART A)

W1. Depreciation recognised for the period 1/1/20.7 – 1/3/20.7

R4 588 640***(1)***/ 17***(1)*** x 2/12***(½)*** = 44 987 **(2½)**

W2. Revaluation surplus arising on 1 January 20.6

	R	
Carrying amount on 1/1/20.6 (4 520 000/20 x 18)	4 068 000	**(1)**
Fair value on 1/1/20.6 (given)	4 858 560	**(½)**
∴ revaluation surplus	790 560	
Revaluation surplus after tax of 29% (790 560 x 71%)	561 298	**(½)**
		(2)

W3. Office building	**Historical**	**Rev**	**Total**
Cost – 20 year	4 520 000		
Depreciation – December 2004	(226 000)		
Depreciation – December 2005	(226 000)		
(18 year)	4 068 000		4 068 000
Revaluation (4 858 560 – 4 068 000)	4 068 000	790 560	4 858 560
Revaluation surplus (790 560 x 71% = 561 298)			
Depreciation – March 2007			
(4 068 000/18 x 2/12)	(36 767)	(7 320)	(44 987)
(790 560/18 x 2/12)			
	3 804 334	739 320	4 543 654
Deferred tax written back			
Revaluation		210 972	
Deferred tax (739 320 x 29%)		214 402	
Should be: (4 543 654 – 4 520 000)		(3 430)	

W4. Asset held for sale

Transfer asset held sale	4 543 654
Impairment	33 654
1 March – FV	4 510 000
1 July – Sold	5 000 000
CA asset held sale	4 510 000
Profit	490 000
FV [4 560 – 4 510] Split profit	50 000
AMORT [440 000/5 x 5/12 = 36 667] Deferred profit	440 000

PART B

JASMINE LTD

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.7

3. Property, plant and equipment

	Office buildings R	Factory building R	Machinery R	
Gross carrying amount	4 858 560	5 000 000	30 600 000	**(1½)**
Accumulated depreciation	(269 920)	(250 000)	(5 100 000)	**(½)**
Carrying amount beginning of the year	4 588 640	4 750 000	25 500 000	
Movements for the year	(4 588 640)	2 104 508	(4 245 456)	
Depreciation (J1 part A)	(44 987)	(250 000)	(5 100 000)	**(1½)**
Classified as held for sale	(4 543 653)	-	-	**(½)**
Additions by way of a business combination	-	2 464 000	1 120 000	**(2)**
Impairment loss [W1]	-	(109 492)	(265 456)	**(20)**
Carrying amount end of year	-	6 854 508	21 254 544	
Gross carrying amount ***(for completeness only)***	-	7 464 000	31 720 000	
Accumulated depreciation ***(for completeness only)***	-	(609 492)	(10 465 456)	
			Total marks part B	**26**

WORKINGS (PART B)

W1. Impairment loss in respect of production line on 31 December 20.7

	R	
Carrying amount	6 251 000	
- given	5 126 000	**(1)**
- corporate asset allocated (5 000 000/20 x 18)/4	1 125 000	**(2)**
Recoverable amount – value in use [W1.1]	5 876 052	**(11)**
Impairment loss	374 948	
	Total marks of [W1] transferred to [W2.1]	**(14)**

W1.1 Value in use of production line on 31 December 20.7

	20.8 R		20.9 R		20.10 R		20.11 R	
Net operating cash inflows from continuing use	2 200 000[1]	**(2)**	2 200 000	**(½)**	2 200 000	**(1)**	2 200 000	**(½)**
Disposal proceeds	-		-		-		175 000[2]	**(1)**
Maintenance Costs	(110 000)	**(½)**	(120 000)	**(½)**	(140 000)	**(1)**	(150 000)	**(1)**
Overhead costs	(75 000)	**(½)**	(95 000)	**(½)**	(100 000)	**(½)**	(100 000)	**(½)**
Net cash inflows	**2 015 000**		**1 985 000**		**1 960 000**		**2 125 000**	

(1) 2 000 000***(½)*** + [200***(½)*** x (15 000***(½)*** – 14 000***(½)***)] = 2 200 000
(2) 200 000***(½)*** – 25 000***(½)*** = 175 000

OR

	20.8 R		20.9 R		20.10 R		20.11 R	
Net cash inflows (given)	1 615 000		1 385 000		2 400 000		2 560 000	
Adj to net operating cash inflows from continuing use	200 000[1]	**(1½)**	200 000	**(½)**	(300 000)[2]	**(1)**	(300 000)	**(½)**
Disposal proceeds	-		-		-		(25 000)	**(½)**
Maintenance costs	-	**(½)**	-		(140 000)	**(1)**	(110 000)[3]	**(1½)**
Refurbishment costs	-		350 000	**(½)**	-		-	
Interest on loan	200 000	**(½)**	50 000	**(½)**	-		-	
Overhead costs	-	**(½)**	-		-	**(½)**	-	**(½)**
Net cash inflows	**2 015 000**		**1 985 000**		**1 960 000**		**2 125 000**	

(1) 200**(½)** x (15 000**(½)** – 14 000**(½)**) = 200 000
(2) (2 500 000 – 2 000 000)**(½)** – 200 000**(½)** = 300 000
(3) 150 000**(1)** – 40 000**(½)** = 110 000

CFi 0	0	
CFi 1	2 015 000	**(3)**
CFi 2	1 985 000	**(1½)**
CFi 3	1 960 000	**(2½)**
CFi 4	2 125 000	**(3)**
i	14% (9,94 x 100/71)	**(1)**
∴NPV	R5 876 052	

Total marks of [W1.1] transferred to [W1] **(11)**

W2. Allocation of impairment loss to individual assets

	R	
Machine 1 (fair value less costs to sell exceeds carrying amount)	-	**(½)**
Machine 2 [W2.2]	100 000	**(1)**
Machine 3 (145 694 [W2.1] **(14½))** + 19 762 [W2.2] **(2)**)	165 456	**(16½)**
Factory building (96 415 [W2.1] **(1)** + 13 077 [W2.2] **(1)**)	109 492	**(2)**
	374 948	

Marks of [W2] transferred to note

W2.1: Allocation of impairment loss to assets in CGU

	R	
Machine 1 (fair value less costs to sell exceeds carrying amount)	-	
Machine 2 (1 550 000/ 4 375 000**(½)** x 374 948 [W1] **(½)**)	132 839	**(1)***
Machine 3 (1 700 000/ 4 375 000**(½)** x 374 948 [W1] **(14)**)	145 694	**(14½)****
Factory building (1 125 000/ 4 375 000**(½)** x 374 948 (calc 1) **(½)**)	96 415	**(1)****
	374 948	

Marks of [W2.1] transferred to [W2.2*] and [W2]**

W2.2: Re-allocation of some of the impairment loss of machine 2

	R	
In respect of machine 2 may only recognise impairment loss of R100 000 (1 450 000 **(½)** – 1 550 000 **(½)**)	100 000	**(1)**
Allocated to machine 3 [(1 700/2 825 **(½)** x (132 839 [W2.1] **(1)** – 100 000 **(½)**)]	19 762	**(2)**
Allocated to factory building [(1 125/2 825) **(½)** x 32 839 **(½)**]	13 077	**(1)**
	132 839	

Marks of [W2.2] transferred to [W2]

PART C

JASMINE LIMITED

NOTES FOR THE YEAR ENDED 31 DECEMBER 20.7

17. Income tax expense note

	R	
Main components of income tax expense:		
- current tax	74 101	**(1)**
- deferred tax	117 733	**(1)**
	191 834	

Tax rate reconciliation

	R	
Accounting profit (given)	800 000	**(½)**
Tax at standard rate of 29%	232 000	**(½)**
Non taxable items/ non deductible items:		
- impairment loss [(4 520 000 (given) **(½)** – 4 510 000 (given) **(½)**) x 29%**(½)**] + [(33 653 (J4 part A) **(½)** – 10 000) **(½)** x 14,5%**(½)**]	6 330	**(3)**
- immediate profit on sale and leaseback: operating lease [(4 520 000 (given) **(½)** – 4 510 000 (given) **(½)**) x 29%**(½)**] + [(50 000 (J5 part A) **(½)** – 10 000) **(½)** x 14,5%**(½)**]	(8 700)	**(3)**
- deferred profit amortised: operating lease [(36 667(J8)**(1)** x 14,5%**(1)**]	(5 316)	**(2)**
- excess on business combination [[3 472 000 – (2 464 000 + 1 120 000)] x 29%]	(32 480)	**(1½)**
Income tax expense	191 834	**(½)**

Total marks part C **13**

COMMENT

Please refer to section 13 quin of the Income Tax Act in relation to Commercial buildings. S.13quin deemed to have come into operation on 1 April 2007 and applicable in respect of any building or improvement that was contracted for on or after that date and the construction, erection or installation of which commenced on or after that date. The information in a question will guide on or after that date. The information in a question will guide you as to whether S.13quin is applicable.

TYPICAL TEST QUESTION

QUESTION 1 **(55 marks)**

AfriqOil Ltd, listed on the JSE, operates several oil rigs along the western coast line of South Africa. The following information relates to the financial year ended 30 June 2005:

Heavyfuel Oil Rig

The construction of this new oil rig was completed at the beginning of July 2004, at a cost of R3 500 000. Legislation requires AfriqOil Ltd to dismantle and remove the oil rig at the end of its useful life of 20 years, and to restore the seabed to its original condition. (When an oil rig is constructed and operated, damages to the seabed result not only from the construction of the oil rig, but also from the annual extraction of oil.) The estimated costs to dismantle and remove the oil rig amounts to R1 500 000, while the restoration of the seabed will cost approximately R800 000. It is estimated that 60% of the future seabed restoration costs relates to damages caused by the erection of the oil rig, while the remainder relates to damages caused by the extraction of oil (extraction of oil occurs evenly during the useful life of the rig).

Mossfuel Oil Rig

Construction of Project 1 this oil rig was completed on 1 July 2003 at a cost of R2 000 000. Legislation requires this oil rig to be dismantled and removed at the end of its useful life of 25 years, but as this rig is not situated in an eco-sensitive area, there is no requirement to restore the seabed to its original condition. On 1 July 2003 it was estimated that it will cost approximately R750 000 to dismantle and remove the oil rig at the end of its useful life. This estimate was checked on 30 June 2005 and was found to be correct. However, due to a significant increase in market interest rates during June 2005, a fair pre-tax discount factor for AfriqOil Ltd was determined to be 10% (compounded annually) on 30 June 2005, instead of 8% (compounded annually) as in the past. It is the policy of AfriqOil Ltd to depreciate its oil rigs on the straight-line basis, and to account for these oil rigs by means of the cost method.

Construction of Project 2 new oil rig commenced on 1 September 2004. The contract price was R300 000, the estimated period of construction is two years. The expense incurred for the year ended 30 June 2005 were as follows:

1 November 2004 (3 months)	R750 000
1 February 2005 (3 months)	R450 000
30 June 2005 (4 months)	R300 000

AfriqOil Ltd make use of a pool of liabilities and other funds to find these projects. The fund pool comprised of 1 500 000, 20% debentures classified as a liability. A loan of R2 200 000 at an interest rate of 15% per annum and a overdraft of R750 000 at an interest rate of 25% per annum.

Assume that the expenses have been incurred evenly through the months the expenses may allocated to.

Lubrication Pension Fund

AfriqOil Ltd's employees are all members of the Lubrication Pension Fund, which is a defined benefit plan. The following information relates to the Lubrication Pension Fund:

At 30 June 2004 the present value of the obligation was R8 317 000 and the fair value of the plan assets amounted to R7 650 000. On this date the cumulative unrecognised actuarial gains amounted to R918 500.

	2005
Fair value of plan assets 30 June	8 650 000
Present value of obligation 30 June	9 233 000
Contributions paid	798 000
Current service cost	568 081
Expected rate of return on plan assets at beginning of year	8%
Discount rate at beginning of year	10,7%
Expected average remaining working lives of employees (years)	15
Actuarial (gain)/loss on plan assets	(122 800)
Actuarial gain/(loss) on obligation	(440 800)

During 2005 benefits amounting to R532 800 were paid and you may assume that all transactions occurred at year-end.

AfriqOil Ltd provides through the Lubrication Pension Fund a pension of 2,5% of final salary for each year of service. The benefits become vested after ten years of service. However, on 1 July 2004 AfriqOil Ltd reduced the pension to 2,0% of final salary for each year of service starting from 1 July 2000. On this date the present value of the decrease in benefits for service from 1 July 2000 to 1 July 2004 is as follows:

	R
Employees with more than ten years service at 1 July 2004	200 000
Employees with less than ten years service at 1 July 2004 (average period until vesting – four years)	250 000
	450 000

AfriqOil Ltd recognises the minimum actuarial gains/losses in accordance with IAS 19 (AC 116) .92 and .93.

Lamberts Bay Operation

In addition to the extraction of oil, AfriqOil Ltd is also involved in the fishing industry. The majority of the fishing operations are situated in Lamberts Bay.

The directors of AfriqOil Ltd took a decision on 17 October 2004 to dispose of the Lamberts Bay operation, the profitability of which has come under severe pressure. Since all the classification criteria have been met, the operation should be viewed as a disposal group classified as held for sale on 31 December 2004. The disposal group will be disposed of by way of a cash sale and the sales transaction will be finalised by 30 September 2005.

The fair value less costs to sell of the disposal group amounted to:

At 31 December 2004:	R88m.
At 30 June 2005:	R112m.

The following information is applicable to the Lamberts Bay operation:

	Good-will R'000	Land* R'000	Plant and equip-ment* R'000	Invest-ment pro-perty# R'000	Invest-ments (avail-able for sale) R'000	Inven-tories R'000	Total R'000
Cost	2 000	6 000	60 000	20 000	10 000	6 000	104 000
Accumulated depreciation 31 December 2004	-	-	10 000	-	-	-	10 000
Accumulated impairment losses 31 December 2004	2 000	1 000	5 000	-	-	-	8 000
Fair value/Net realisable value 31 December 2004	-	10 000	47 000	25 000	12 000	6 000	100 000
Fair value/Net realisable value 30 June 2005	-	12 000	50 000	30 000	15 000	7 000	114 000

* Accounted for in terms of the cost model.
\# Accounted for in terms of the fair value model.

REQUIRED

		Marks
(a)	Regarding the Heavyfuel Oil Rig, discuss the correct accounting treatment of the costs to be incurred in respect of dismantling and removing the oil rig and restoring the seabed. Your discussion should be limited to issues relating to initial recognition.	9
(b)	Regarding the Mossfuel Oil Rig, disclose the following notes for the year ended 30 June 2005 (comparative amounts are not required): - Provisions - Property, plant and equipment.	15
(c)	Prepare only the following part of the post-employment benefits note to the statement of financial position of AfriqOil Ltd at 30 June 2005: The reconciliation of the company's post employment benefit liability with the fund's obligation and plan assets (i.e. only the disclosure required in IAS 19 (AC 116).120A(f)).	7
(d)	Assume it is the accounting policy of AfriqOil Ltd to recognise all actuarial gains and losses as they occur, outside profit or loss in a statement of total recognised income and expense. What effect will this alternative accounting policy have on the statement of financial position and statement of changes in equity of AfriqOil Ltd at 30 June 2005 (excluding any tax effect)?	4

Marks

(e) Regarding the Lamberts Bay Operation, prepare only the note in respect of the disposal group held for sale as it will appear in the financial statements of AfriqOil Ltd at 30 June 2005. 10

(f) Discuss the issues relating to the decision to reduce pension from 2.5% to 2% of final salary, that the auditors of AfriqOil Ltd should pay attention to during the company's statutory audit. 10

NOTE:

- Your answer must comply with Statements of Generally Accepted Accounting Practice.
- Round all calculated amounts off to the nearest R1.

QUESTION 1 - Suggested solution

Part (a)

The first issue that should be addressed is whether a provision should be raised in respect of the dismantling, removal and restoration costs. Such a provision should be raised if the following criteria are met:

(1) There should be a present obligation – as legislation compels the company to dismantle and remove the oil rig and restore the seabed, there is a legal obligation to incur these costs. (1)

(2) The present obligation should be the result of a past event – the obligating event is the erection of the oil rig and the extraction of oil, which necessitates the dismantlement and removal of the oil rig and the restoration of the seabed. In respect of the costs to dismantle and remove (1) the oil rig, the present obligation arose during July 2004 when the oil rig was erected. In respect of the restoration of the seabed, 60% of the obligation arose during July 2004 when the oil rig was erected. The remaining 40% of the obligation will only arise as and when oil (1) is extracted, of which a portion (2% (40%/20 years)) arose during the current year. (1)

(3) An outflow of resources to settle the obligation should be probable - if the company does not comply with the legislation, substantial fines will most likely be payable, thus compelling the company to rather incur the dismantling and restoration costs. (1)

(4) A reliable estimate of the obligation should be made – the estimated costs amount to R1 500 000 and R800 000 respectively. (1)

Conclusion:

A provision should be raised equal to the present value of R1 500 000, being the costs to dismantle and remove the oil rig. In addition, provision should be made for 62% of the present value of (1) R800 000, being the restoration costs in respect of which an obligation has been incurred. (1)

The second issue that should be addressed is whether or not the costs resulting from the recognition of the provision should be capitalised to the cost of the oil rig. IAS 16(AC 123).16 determines that if the obligation (in respect of costs to dismantle and remove an asset and restore the site) arises (½) when the asset is acquired, then these costs should form part of the cost of the asset. Conse- (1) quently the present value of R1 500 000 and R480 000 (800 000 x 60%) should be capitalised to the cost of the asset. However, if the obligation is the consequence of having used the asset (½) to produce inventories, then the cost should be capitalised as part of the cost of inventory. As a result, the present value of R16 000 (800 000 x 2%) should be capitalised to inventory. (1)

Maximum 9

Part (b)

AFRIQOIL LTD

NOTES FOR THE YEAR ENDED 30 JUNE 2005

15. Property, plant and equipment

	Oil rig R	
Carrying amount at 1 July 2004	2 025 132	
Cost (2 000 000 + 109 513 [W1])	2 109 513	(1½)
Accumulated depreciation (2 109 513 / 25)	(84 381)	(1)
Cost capitalised [W4] & [W5]	1 260 522	(5)
Depreciation	(84 381)	(½)
Adjustment iro dismantling and removal costs [W3]	(43 977)	(½)
Carrying amount at 30 June 2005	3 157 296	
Cost (2 109 513 – 43 977)	3 326 058	(1)
Accumulated depreciation (84 381 x 2)	(168 762)	(½)

16. Provisions

Provision in respect of dismantling and removing the Mossfuel oil rig appears here. The expected costs amount to R750 000, payable on 30 June 2028. (1)

	R	
Balance at 1 July 2004	118 274	(1)
Interest (118 274 x 8%)	9 462	(1)
Adjustment due to change in discount factor [W3]	(43 977)	(1)
Balance at 30 June 2005 [W3]	83 759	(1)
		10

WORKINGS

W1. Provision raised on 1 July 2003

FV = 750 000
N = 25
i = 8%
Therefore PV = 109 513

W2. Balance of provision at 30 June 2004 and 30 June 2005

2004: 109 513 x 1,08 = 118 274
2005: 118 274 x 1,08 = 127 736

W3. Adjustment required at 30 June 2005

FV = 750 000
N = 23
i = 10%
Therefore PV = 83 759
Adjustment = 127 736 [W2] – 83 759
= 43 977

W4.

	Amount R	Weight	Interest	Weighted average
Debentures	1 500 000	0,337	20%	6,74
Short-term loan	2 200 000	0,494	15%	7,42
Overdraft	750 000	0,169	25%	4,21
Total	4 450 000	1,000		18,37

W5. Amount that may be capitalised

Months	Net accu-mulated expenses beginning R	Expenses incurred R	Average accu-mulated expenses R	Amount capita-lisation R	Accu-mulated expenses at end of the period R
1 November 2004		750 000	375 000	17 222	767 222
1 February 2005	767 222	450 000	992 222	45 568	1 037 790
30 June 2005	1 037 790	300 000	1 187 790	72 732	1 260 522
				135 522	

1 November 2004			
Interest	375 000 x 18,37% x 3/12	=	17 222
1 February 2005	767 222 + (450 000/2)	=	992 222
	992 222 x 18,37% x 3/12	=	45 568
30 June 2005	1 037 790 + (300 000/2)	=	1 187 790
	1 187 790 x 18,37% x 4/12	=	72 732

Part (c)

NOTES

AFRIQOIL LTD

NOTES FOR THE YEAR ENDED 30 JUNE 2005

Post-employment benefit liability

	R	
Present value of obligation	9 233 000	(½)
Fair value of plan assets	(8 650 000)	(½)
	583 000	
Unrecognised actuarial gains (W1)	594 713	(4)
Past service cost (W2)	187 500	(2)
Liability recognised in statement of financial position	1 365 213	7

WORKINGS

W1. Actuarial gain/(loss) recognised

Step 1

Determine the amount of the actuarial gains or losses for the period as follows:

Actuarial loss on obligation (given)	R440 800
Actuarial gain on plan assets (given)	R122 800

Step 2

Determine the limits of the "corridor" and then compare this with the cumulative unrecognised actuarial gains and losses in order to determine the net actuarial gain or loss to be recognised:

	2005 R	
Net cumulative unrecognised actuarial gains at beginning of the year (given)	918 500	[½]
Limits[1] of the "corridor" at the beginning of the year	(831 700)	[1]
Excess	86 800	

[1] Greater of:
10% of present value of the obligation (8 317 000) before deducting plan assets; or
10% of fair value of plan assets (7 650 000)

Average expected working lives of employees	15	[½]
Actuarial gain recognised [excess 86 800/15]	5 787	[½]

Step 3

	R	
Unrecognised actuarial gain at beginning of year	918 500	
Actuarial gains/(losses) for the year		
- obligation	(440 800)	[½]
- plan assets	122 800	[½]
	600 500	
Actuarial gain recognised	(5 787)	[½]
Unrecognised actualrial gain at end of the year	594 713	

W2. Past service cost (decrease in benefits)

	R	
Present value of decreased benefits on 1 July 2004	450 000	[½]
Past service cost – vested 1 July 2004 – to P/L	(200 000)	[½]
Past service cost – non-vested – deferred	250 000	
Recognise as income over four years until the benefits become vested (250 000 / 4)	(62 500)	[1]
Unrecognised past service cost	187 500	

Part (d)

Effect of alternative accounting policy

There will be no unrecognised actuarial gains, because these will be recognised in retained earnings in the year the actuarial gain/loss occurs. The opening balance of R918 500 on unrecognised actuarial gains will thus not be applicable, because it would have been recognised in retained earnings, resulting in an increase in retained earnings of R918 500. (1)

The effect on the post-employment benefit liability:

The unrecognised actuarial gains will not be added to the liability. (1)
The post-employment benefit liability presented in the statement of financial position will therefore amount to R770 500.

[R1 365 213 (calculated above) (½) – R594 713 (calculated above) (½)]

The actuarial loss for the current year will be written off against retained earnings:

	2005 Retained earnings R	
Balance at beginning of period	?	
Actuarial loss on defined benefit plan (440 800 – 122 800)	(318 000)	(1)
		4

Part (e)

AFRIQOIL LTD

NOTES FOR THE YEAR ENDED 30 JUNE 2005

9. Disposal group classified as held for sale

A decision was taken on 17 October 2004 to dispose of the Lamberts Bay operation. [½]. The decision was taken as the profitability of the Lamberts Bay operation has come under severe pressure [½]. The disposal group will be disposed of by way of a cash sale[½] and the sales transaction will be finalised by 30 September 2005 [½]. The results of this disposal group had earlier been included under the Western Cape (assumed) segment of the entity [½]. The disposal group comprises the following assets:

	R'000	
ASSETS		
Land	6 000	(2)
Plant and equipment	50 000	(2)
Investment property	30 000	(1)
Investments	15 000	(1)
Inventories	7 000	(1)
Total assets of disposal group	108 000	

A total impairment loss of R5 000 000 was recognised at initial classification of the disposal group as held for sale. A reversal of previous impairment losses of R11 000 000 was made at year-end. (1)

Maximum 10

WORKINGS

W1.

	Carrying amount 31 Dec 2004 R'000	**Impairment loss R'000**	**Adjusted carrying amounts 31 Dec 2004 R'000**
Goodwill (2 000 – 2 000)	-	-	-
Land (6 000 – 1 000)	5 000	500[a]	4 500
Plant (60 000 – 10 000 – 5 000)	45 000	4 500[b]	40 500
Investment property	25 000	-	25 000
Investment	12 000	-	12 000
Inventory	6 000	-	6 000
Total carrying amount	93 000	5 000	88 000

[a] 5 000/(5 000 + 45 000) x 5 000 = 500
[b] 45 000/(5 000 + 45 000) x 5 000 = 4 500

W2.

	Carrying amount 30 June 2005 R'000	Reversal of impairment loss R'000	Adjusted carrying amounts 30 June 2005 R'000
Goodwill	-	-	-
Land	4 500	1 500[c]	6 000
Plant	40 500	9 500[d]	50 000
Investment property	30 000	-	30 000
Investment	15 000	-	15 000
Inventory	7 000	-	7 000
Total carrying amount	97 000	11 000	108 000
Potential gain: (112 000 – 97 000)			15 000

[c] 4 500/45 000 x 15 000 = 1 500 (limited to 1 000 + 500 = 1 500)

[d] 40 500/45 000 x 15 000 = 13 500 (limited to 4 500 + 5 000 = R9 500)

COMMENTS

1. If it is a policy of an entity to apply the fair value model, it will continue to fair value until date of disposal.

2. If it is a policy of an entity to apply the cost model, the carrying amount will only be adjusted for additional impairment thereof.

3. If there is an increase in the carrying amount, recoupment will be limited to impairment losses recognised, excluding goodwill written-off.

Part (f)

Issues relating to the decision to reduce pension from 2.5% to 2% of final salary, that the auditors of AfriqOil Ltd should pay attention to during the company's statutory audit.

1. Was the reduction in the pension benefit authorised by the directors at a directors' meeting where a quorum was present? (1)

2. AfriqOil Ltd is a listed company and thus have to comply with the recommendations for good corporate governance as contained in the King II Code (referred to as the KC) as prescribed by the listing requirements of the Johannesburg Securities Exchange. (1)

   As auditors we will specifically determine whether the directors of AfriqOil Ltd:

   - complies with the company's code of ethical conduct in the light of the reduction of employees' pension benefits (KC par 5.2). (1)

   - had discussions with all the stakeholders, eg personnel and trade unions, on the decision to reduce pension benefits. (1)

- disclosed the reduction in pension benefits, the reasons therefor and the effect thereof in the company's annual report in order to comply with the requirement for transparancy contained in the KC (par 5.1). (2)

3. Does the decision of the directors not cause a contravention of the amended Pension Funds Act or the Basic Conditions of Employment Act, especially since the decision is backdated to 1 July 2000. (1)

4. Did the employees and the trade union agree to the reduction of benefits? (1)

   How were employees compensated for the reduction in their benefits? (1)

   Was any compensation for the loss of benefit agreed on by the parties correctly calculated and disclosed as required by Statements of GAAP? (1)

5. Enquire directly from the company's legal advisors and the trade union about any legal proceedings resulting from the decision and inspect that the resulting liabilities have been correctly treated as required by Statements of GAAP? (1)

Maximum 10

QUESTION 2 **50 marks**

Riverside Ltd is a manufacturing company operating from East London. Riverside Ltd has a 31 December year-end.

1. On 1 April 20.4 Riverside Ltd commenced with the construction of a factory building on land owned by Riverside.

   The total cost to erect the building was incurred as follows:

			R
1 April 20.4	-	30 September 20.4	1 600 000
1 October 20.4	-	31 December 20.4	400 000
1 January 20.5	-	30 March 20.5	500 000
			2 500 000

   The building was completed and ready for use on 1 April 20.5.

   On 1 April 20.4 Riverside Ltd secured and received a specific loan for R2 500 000 for the construction of the factory building, from X Bank Ltd, at an interest rate of 11% per annum.

   It is the policy of Riverside Ltd to capitalise any borrowing costs relating to qualifying assets.

   Due to the nature of the building and certain municipal by-laws, the factory building must be dismantled and the land restored at the end of its useful life of 25 years.

   On 1 April 20.5 it was estimated that the future dismantling and restoration costs will amount to R450 000 at the end of 25 years. Riverside Ltd uses a pre-tax discount rate of 10,5%.

   On 1 January 20.6 Mr Specialist revised the future dismantling and restoration costs. He determined that the present value of the current provision had to be increased by R6 223 on that date.

   Depreciation is provided on the straight-line basis over the useful life of the asset.

   Assume that SARS grants a wear and tear allowance of 5% per annum on new factory buildings with no apportionment for a portion of a year.

2. Riverside Ltd concluded a lease agreement on 1 February 20.6 to lease a manufacturing machine for a period of 30 months from Lease-It Ltd. The details of the lease agreement are as follows:

   - Cost price of machine on 1 February 20.6 is R140 000 (exclusive of VAT).
   - Installments, payable monthly in arrears:
     - R3 420 per month for the first 18 months inclusive of VAT.
     - R2 280 per month for the next 12 months inclusive of VAT.

The economic useful life of the machine is 5 years. Lease-It Ltd is responsible for the first R350 of insurance and maintenance costs.

3. The following information relates to the defined benefit plan of Riverside Ltd.

3.1 Financial information

	20.4 R'000	**20.5 R'000**	**20.6 R'000**
Fair value of plan assets at year-end	1 800	2 300	3 200
Present value of defined benefit obligation at year-end	1 900	2 500	3 800
The following actuarial (gains) and losses arose during the year, as specified:			
Plan assets	(60)	160	(120)
Defined benefit obligation	80	(140)	60
The average remaining working lives at the year-end reporting date, of employees participating in the plan (in years)	22	20	24

3.2 At the beginning of 20.4 accumulated unrecognised actuarial losses amounted to R290 000, of which R10 000 was recognised in 20.4.

3.3 The entity recognises the minimum amount of actuarial gains and losses, in terms of IAS 19 (AC 116).92 and .93.

3.4 On 1 July 20.5 (after consultation with staff unions) Riverside Ltd increased certain post retirement benefits. This resulted in an adjustment of R325 000 due to past service costs, of which R150 000 had already vested and management expected the unvested portion to vest over a three and a half year period. These past service costs were already taken into account in calculating the actuarial gains and losses for each year (as given above).

4. Riverside Ltd is a registered vendor for VAT purposes. Assume a tax rate of 29%.

REQUIRED

(a) Calculate the depreciation charge that will be taken to the statement of comprehensive income for the years ended 31 December 20.5 and 20.6. (9)

(b) Prepare the journal entries arising from the abovementioned lease agreement with Lease-It Ltd for the year ended 31 December 20.6. Journal narrations are not required. (9)

(c) Calculate the accumulated unrecognised actuarial gains/losses, relating to the defined benefit plan, on 31 December 20.6. (12)

(d) Disclose the following items in the notes to the financial statements of Riverside Ltd for the year ended 31 December 20.6:

(1) the provision for dismantling and restoration costs. Show comparatives. (7)

(2) the note relating to the post-employment benefit liability. (Changes in the defined benefit obligation and the plan assets are not required.) Show comparatives. (4)

(3) the deferred tax note to the statement of financial position. You may assume that there will be sufficient future profits to offset any debit deferred tax balance. Show comparatives. (9)

All the above disclosure must comply with Statements of Generally Accepted Accounting Practice. Round all amounts off to the nearest R1.

QUESTION 2 - Suggested solution

(a) Depreciation 20.5

	R	
Cost of factory building at 1 April 20.5	2 500 000	(½)
Capitalisation of borrowing costs [2 500 000 x 11% - full year)	275 000	(1½)
Provision for dismantling and restoration costs [FV 450 000; n 25; i = 10,5%; PV =)	37 081	(2)
Cost at 1 April 20.5	2 812 081	
Depreciation for year 20.5 [2 812 081/25 x 9/12)	84 326	(1½)

Depreciation 20.6

Cost as above	2 812 081	
Add additional provision 1 January 20.6	6 223	(½)
Gross carrying amount on 1 January 20.6	2 818 304	
Depreciation for year 20.6		
[2 812 081/25]	112 483	(1)
[6 223/291* x 12]	257	(2)
	112 740	
OR R2 818 304 – 84 326 = 2 733 978/291 x 12 months = 112 740		
		9

* 300 months – 9 months passed = 291 months

(b)

	Dr R	Cr R	
Operating lease expense ((3 420 – 420(VAT) x 11)	33 000		(1)
VAT control account	4 620		(1)
Bank		37 620	(½)
Expense paid in advance (F/P – equalisation)	4 400		(3)
Operating lease expense (P/L)		4 400	(½)
[(33 000 – (11 x 2 600[a])) = 4 400]			
Bank	4 620		(½)
VAT control		4 620	(½)
Deferred tax (P/L)	1 276		(1)
Deferred tax (F/P) (4 400 x 29%)		1 276	(1)
OR - instead of first two journals			
Operating lease expense (2 600[a] x 11)	28 600		(2)
Expense paid in advance (F/P – equalisation)	4 400		(3)
VAT control account	4 620		(1)
Bank		37 620	(1)
			9

[a] [((3 420 – 420(VAT) x 18) + ((2 280 – 280(VAT) x 12)]/30 = R2 600 p.m.

(c) Accumulated unrecognised net actuarial gains and losses:

	20.4 R'000	20.5 R'000	20.6 R'000	
Balance at beginning of year – net actuarial loss	290	300	315,00	(1½)
Less: Recognised during year	(10)	(5)	(3,25)	(6½)
Plus: Actuarial losses arising during year	80	160	60,00	(1½)
Less: Actuarial gains arising during year	(60)	(140)	(120,00)	(1½)
Accumulated unrecognised net actuarial losses at year end	300	315	251,75	

Calculation of net actuarial losses to be recognised for the current year.

	20.5 R'000	20.6 R'000	
Unrecognised actuarial loss at beginning of year	300	315,00	[1]
"Corridor" – 10% of the greater of Plan Assets or the Defined Benefit Obligation at beginning of year	190	250,00	[2]
Excess	110	65,00	
Average remaining working lives (use average at beginning of year)	22	20	[1]
Less to be recognised in the current year	5	3,25	[2]

Thus the accumulated unrecognised actuarial losses at 31 December 20.6 amounts to R251,75. (1)
12

(d) RIVERSIDE LTD

NOTES TO THE STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 20.6

1. Provision for dismantling and restoration costs

	20.6 R	20.5 R	
Opening balance	40 001	-	(½)
Provision made 1 April 20.5	-	37 081	(1)
Interest charged at discount rate [W1]	4 949	2 920	(4)
Increase in provision due to revision	6 223	-	(½)
Balance at end of year	51 173	40 001	

The provision is for dismantling and restoration costs of the factory building at the end of its useful life after 25 years on 1 April 20.50. It is estimated that the final amount for the dismantling and restoration costs will be Rxxx on 1 April 20.50. (1)
(The amount is R520 000, but was not given in the question.)
7

2. Post-employment benefit liability

	20.6 R	20.5 R	
Present value of obligation	3 800 000	2 500 000	(½)
Fair value of plan assets	3 200 000	2 300 000	(½)
	600 000	200 000	
Unrecognised actuarial losses	(252 000)	(315 000)	(1)
Unrecognised past service costs [W2]	(100 000)	(150 000)	(2)
Net liability/(asset) recognised in statement of financial position	248 000	(265 000)	
			4

3. Deferred taxation

	20.6 R	20.5 R	
Provision for dismantling costs [W3]	(14 840)	(11 600)	(2)
Deferred lease payments [refer part (b)]	1 276	-	(1)
Post-employment benefit [W3]	(71 993)	76 850	(2)
Accelerated allowances on factory building [W3]	107 659	102 299	(4)
	22 102	167 549	
			9
			50

WORKINGS

W1. Interest on provision

Interest 20.5			
37 081 x 10,5% x 9/12	=	2 920	[1]
Interest up to 30 March 20.6			
(40 001 + 6 223) x 10,5% x 3/12	=	1 213	[1]
Interest 1 April – 31 December 20.5			
(40 001 + 6 223 + 1 213) x 10,5% x 9/12	=	3 736	[2]
Total interest for 20.6		4 949	
			4

Alternative for interest charge for 20.6
(40 001 + 6 223) x 10,5% = *4 854*
Although the answer is less accurate, the alternative will also be marked.

W2. Unrecognised past service costs

Past service costs	325 000	
Vested immediately	(150 000)	[½]
Vesting of unvested portion [175 000/3,5 x 6/12]	(25 000)	[1]
Balance 31 December 20.5	150 000	
Vesting of unvested portion 20.6 [175 000/3,5]	(50 000)	[½]
Balance 31 December 20.6	100 000	
		[2]

W3. Deferred taxation

Provision for dismantling costs			
20.5: 40 001 x 29%	11 600	Dr	[1]
20.6: 51 173 x 29%	14 840	Dr	[1]
Post-employment benefit			
20.5: 265 000 x 29%	76 850	Cr	[1]
20.6: 248 250 x 29%	71 993	Dr	[1]

Factory building

Cost per part (a)	2 812 081	
Less: depreciation 20.5	(84 326)	
	2 727 755	[½]
Plus: additional provision for dismantling costs	6 223	
Less: depreciation 20.6	(112 740)	
Carrying amount 20.6	2 621 238	[½]
Tax base:		
Cost	2 500 000	
Less : Wear and tear 20.5	(125 000)	[½]
	2 375 000	
: Wear and tear 20.6	(125 000)	[½]
Tax base	2 250 000	
Temporary difference 20.5 [2 727 755 – 2 375 000]	352 755	[1]
20.6 [2 621 238 – 2 250 000]	371 238	[1]